



HUMAN RESOURCES

POLICY MANUAL

EGYPTIAN ERP SYSTEM

2025

Comprehensive HR Policies and Procedures

Aligned with Egyptian Labor Law No. 14 of 2025

Social Insurance Law No. 148 of 2019

Enterprise Resource Planning (ERP) System Reference
Document

For HR Chatbot Integration and Employee Self-Service

DECLARATION

The objective of this Manual is to compile the HR policies and procedures followed in the organization for the Egyptian ERP System. It also presents the general rules and regulations that govern the employees of the organization in compliance with the Egyptian Labor Law No. 14 of 2025, Social Insurance Law No. 148 of 2019, and other applicable Egyptian regulations.

This Manual supersedes all previous manuals, handbooks, and memorandums that may have been issued from time to time on subjects covered in this Manual.

The organization reserves its right to interpret, change, suspend, cancel, or dispute, with or without notice, all or any part of what is contained in the Manual. The organization will notify all employees of such changes through official channels and the ERP system.

In the interpretation of any policies and procedures covered in the Manual, the HR Director's decision will be final and binding on all employees of the organization, subject to Egyptian labor law provisions.

This manual serves as the primary reference for the HR Chatbot integrated into the ERP system, providing employees with instant access to policies, procedures, and entitlements.

HR Department

Egyptian ERP System

Version 1.0 - January 2025

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CHAPTER 1: GENERAL

1.1 Organization Overview

The Egyptian ERP System Organization is a leading enterprise operating within the Arab Republic of Egypt, committed to excellence in human resource management and employee welfare. Established in accordance with Egyptian commercial and labor laws, the organization employs a diverse workforce across various departments and functions.

The organization's mission is to create a workplace environment that fosters professional growth, ensures compliance with all Egyptian labor regulations, and provides comprehensive benefits to all employees. Through the implementation of this Enterprise Resource Planning (ERP) system, we aim to streamline HR processes, enhance transparency, and empower employees with self-service capabilities.

1.1.1 Vision and Mission

Vision: To be the employer of choice in Egypt by creating an inclusive, innovative, and rewarding workplace that attracts and retains top talent while maintaining full compliance with Egyptian labor laws and international best practices.

Mission: To develop and implement human resource policies that balance organizational objectives with employee welfare, ensuring fair treatment, equal opportunities, and comprehensive benefits for all members of our workforce.

1.1.2 Organizational Structure

The organization operates through a hierarchical structure comprising the following main departments:

- **Executive Management:** Responsible for strategic direction and overall organizational governance
- **Human Resources Department:** Manages all aspects of employee relations, recruitment, and welfare
- **Finance Department:** Oversees payroll, benefits administration, and financial compliance
- **Operations Department:** Manages day-to-day business activities and production

- **Information Technology Department:** Maintains the ERP system and digital infrastructure
- **Legal and Compliance Department:** Ensures adherence to all applicable laws and regulations

1.1.3 Geographic Presence

The organization maintains operations across multiple locations within Egypt, including:

- Headquarters in Cairo
- Regional offices in Alexandria, Port Said, and Suez
- Manufacturing facilities in industrial zones
- Sales and service centers in major governorates

1.2 Egyptian Labor Law Framework

1.2.1 Legal Foundation

The organization's HR policies are fundamentally based on the Egyptian Labor Law No. 14 of 2025, which came into effect on September 1, 2025. This comprehensive legislation replaces the previous Labor Law No. 12 of 2003 and introduces significant changes affecting employment relationships in Egypt.

In addition to the Labor Law, the organization complies with the following legal frameworks:

- Social Insurance Law No. 148 of 2019
- Constitution of the Arab Republic of Egypt (2014)
- Civil Code provisions applicable to employment contracts
- Ministerial decrees and resolutions issued by the Ministry of Manpower
- International labor conventions ratified by Egypt

1.2.2 Key Changes in Labor Law No. 14 of 2025

The new Labor Law introduces several important changes that affect organizational policies:

Table 1.1 Key Changes in Egyptian Labor Law No. 14 of 2025

Aspect		Previous Law (No. 12/2003)	New Law (No. 14/2025)
Maternity Leave		90 days, maximum 2 times	120 days, maximum 3 times
Paternity Leave		Not mandated	1 day, maximum 3 times
Childcare Leave		2 years, maximum 2 times	2 years, maximum 3 times
Annual Leave (First Year)		21 days after 6 months	15 days (new), 21 days (2nd year+)
Fixed-term Conversion	Contract	After 6 years of renewals	After 4 years of renewals
Training Contribution	Fund	1% of net profit (10+ employees)	0.25% of min. insurance wage (30+ employees)
People of Determination Quota		Not specified	5% for establishments with 20+ employees
Annual Salary Increase		Not mandated	Minimum 3% of insurance wage

1.2.3 Social Insurance Framework

The Social Insurance Law No. 148 of 2019 establishes a comprehensive social protection system covering:

- **Old-Age Pensions:** Retirement benefits based on contribution history
- **Disability Benefits:** Protection against work-related and non-work-related disabilities
- **Death Benefits:** Survivor pensions and lump-sum payments
- **Work Injury Insurance:** Compensation for occupational accidents and diseases
- **Unemployment Insurance:** Protection against job loss (1% employer contribution)
- **Health Insurance:** Medical coverage through the Health Insurance Authority

Important Note

All employees must be registered with the Social Insurance Authority within 30 days of joining. Failure to comply may result in penalties and legal consequences for the organization.

1.3 ERP System Integration

1.3.1 System Overview

The organization's Enterprise Resource Planning (ERP) system serves as the central platform for managing all human resource functions. The HR module is fully integrated with other business modules including Finance, Operations, and Administration.

The ERP system provides:

- Centralized employee database and records management
- Automated payroll processing and benefits administration
- Self-service portals for employees and managers
- Leave and attendance management
- Performance management tools
- Recruitment and onboarding workflows
- Training and development tracking
- Compliance reporting and analytics

1.3.2 HR Chatbot Functionality

The integrated HR Chatbot serves as a virtual assistant available 24/7 to answer employee queries about policies, procedures, and entitlements. This manual serves as the primary knowledge base for the chatbot system.

Employees can interact with the HR Chatbot to:

- Query leave balances and entitlements
- Understand payroll deductions and benefits
- Get information about company policies

- Submit requests and track application status
- Access forms and documents
- Receive notifications about policy updates

1.3.3 Data Security and Privacy

The ERP system implements robust security measures to protect employee data in compliance with Egypt's Personal Data Protection Law. All access is logged, and sensitive information is encrypted both in transit and at rest.

CHAPTER 2: INTRODUCTION TO HR POLICIES

2.1 Purpose and Scope

2.1.1 Purpose of this Manual

This Human Resources Policy Manual has been developed to provide comprehensive guidance on all aspects of employment within the organization. It serves multiple purposes:

- **Employee Guidance:** To inform employees about their rights, responsibilities, and entitlements
- **Manager Reference:** To provide managers with clear guidelines for decision-making and policy implementation
- **Legal Compliance:** To ensure all HR practices comply with Egyptian labor laws and regulations
- **Consistency:** To promote fair and consistent treatment of all employees
- **ERP Integration:** To serve as the knowledge base for the HR Chatbot and self-service systems

2.1.2 Scope of Application

This manual applies to all individuals employed by the organization, including:

- Full-time employees on indefinite-term contracts
- Full-time employees on fixed-term contracts
- Part-time employees
- Probationary employees
- Foreign employees working in Egypt
- Employees on secondment or temporary assignment

Certain policies may have specific applicability based on employee category, grade level, or location. Such variations are clearly indicated within each policy section.

2.1.3 Policy Hierarchy

In case of any conflict or ambiguity, the following hierarchy applies:

1. Egyptian Constitution and applicable laws
2. Ministerial decrees and regulations
3. Collective bargaining agreements (if applicable)
4. Organization's employment contracts
5. This HR Policy Manual
6. Departmental procedures and guidelines
7. Individual work instructions

2.2 Policy Administration

2.2.1 Policy Development and Review

The Human Resources Department is responsible for developing, implementing, and maintaining all HR policies. The policy development process includes:

1. **Needs Assessment:** Identifying gaps or changes in legal requirements or organizational needs
2. **Drafting:** Preparing policy drafts with input from relevant stakeholders
3. **Legal Review:** Ensuring compliance with Egyptian labor laws
4. **Approval:** Obtaining necessary approvals from senior management
5. **Communication:** Publishing and communicating the policy to all affected employees
6. **Training:** Providing training on new or revised policies
7. **Review:** Regular review and updating of policies (at least annually)

2.2.2 Policy Interpretation

The HR Director has the authority to interpret policies when ambiguity arises. All interpretations will be:

- Documented in writing
- Consistent with the spirit and intent of the policy
- Applied fairly across all similar situations

- Communicated to affected parties

2.2.3 Policy Exceptions

Exceptions to policies may be granted only under extraordinary circumstances and require:

- Written request with justification
- Approval from the HR Director or designated authority
- Documentation of the exception and its rationale
- Time limitation where applicable

2.3 Employee Categories

2.3.1 Classification by Contract Type

Employees are classified based on their employment contract type:

Table 2.1 Employee Classification by Contract Type

Category	Description	Key Characteristics
Indefinite-Term	Open-ended employment contract	No fixed end date; requires notice for termination
Fixed-Term	Contract with specified end date	Automatically terminates on end date; converts to indefinite after 4 years of renewals
Part-Time	Less than full-time hours	Pro-rated benefits; minimum 4 hours per day
Probationary	Initial assessment period	Maximum 3 months; no extensions permitted

2.3.2 Classification by Grade Level

The organization uses a grade-based structure for job classification:

- **Executive Level (Grade E1-E3):** Senior leadership positions
- **Management Level (Grade M1-M4):** Department heads and managers
- **Professional Level (Grade P1-P4):** Specialized professional roles

- **Supervisory Level (Grade S1-S3):** Team leaders and supervisors
- **Operational Level (Grade O1-O4):** Front-line and support staff

2.3.3 Classification by Employment Status

Additional classifications apply based on employment status:

- **Permanent Employee:** Confirmed employee after successful probation
- **Temporary Employee:** Hired for specific short-term needs
- **Trainee:** Employee in training or development program
- **Contract Worker:** External contractor or consultant

ERP System Note

Employee category and grade information is maintained in the HR Master Data module of the ERP system. This classification determines eligibility for various benefits, allowances, and entitlements. Employees can view their classification through the Employee Self-Service portal.

CHAPTER 3: RECRUITMENT POLICY

3.1 Manpower Planning and Requisition

3.1.1 Manpower Planning Process

Effective manpower planning ensures that the organization has the right number of employees with the right skills at the right time. The annual manpower planning process includes:

1. **Workforce Analysis:** Reviewing current staffing levels, skills inventory, and demographic trends
2. **Demand Forecasting:** Projecting future staffing needs based on business plans and growth projections
3. **Gap Analysis:** Identifying gaps between current workforce and future requirements
4. **Action Planning:** Developing strategies to address gaps through recruitment, training, or restructuring
5. **Budget Allocation:** Securing necessary budget for recruitment activities

3.1.2 Manpower Requisition

All new positions or replacements must be approved through the Manpower Requisition process:

- 1 **Department Request:** Hiring manager submits a Manpower Requisition Form (MRF) through the ERP system, specifying job requirements, qualifications, experience, and justification.
- 2 **Budget Verification:** Finance Department verifies budget availability for the position.
- 3 **HR Review:** HR Department reviews the requisition for compliance with organizational structure and grading.
- 4 **Approval:** Appropriate authority approves based on grade level:
 - Grade O1-O4: Department Head approval
 - Grade S1-P4: HR Director approval
 - Grade M1-E3: CEO/Executive approval

5 Requisition Release: Approved requisition is released for sourcing and recruitment.

3.1.3 Job Description Development

Each position must have an approved job description including:

- Position title and grade level
- Department and reporting structure
- Key responsibilities and duties
- Required qualifications and experience
- Essential and desirable competencies
- Physical requirements (if applicable)
- Working conditions and environment

3.2 Job Advertisement and Sourcing

3.2.1 Sourcing Channels

The organization utilizes multiple sourcing channels to attract qualified candidates:

Table 3.1 Recruitment Sourcing Channels

Channel	Best For	Typical Timeline
Internal Job Posting	Promotions, transfers, career development	1-2 weeks
Company Career Portal	All positions; direct applications	Ongoing
Job Boards (Wuzzuf, LinkedIn)	Professional and technical roles	2-4 weeks
Recruitment Agencies	Specialized or senior positions	3-6 weeks
University Recruitment	Entry-level and graduate positions	Seasonal
Employee Referrals	All levels; quality candidates	1-3 weeks
Social Media	Digital marketing, creative roles	1-2 weeks

3.2.2 Job Advertisement Requirements

All job advertisements must comply with Egyptian labor law requirements and organizational standards:

- Clear job title and grade level
- Summary of key responsibilities
- Required qualifications and experience
- Location and working conditions
- Application deadline and process
- Equal opportunity statement
- No discriminatory language based on gender, religion, or origin

3.2.3 Internal Recruitment Priority

The organization is committed to developing internal talent. All positions are first posted internally for a minimum of 5 working days before external advertisement, except in cases of:

- New positions requiring specialized external expertise
- Urgent requirements where no internal candidates are available
- Positions designated for external recruitment as per succession planning

3.3 Application Processing

3.3.1 Application Requirements

All applicants must submit the following documents:

- Updated curriculum vitae (CV) in Arabic or English
- Completed employment application form
- Copy of national ID card (for Egyptian citizens)
- Copy of passport (for foreign nationals)
- Educational certificates and transcripts
- Professional certifications (if applicable)
- Work experience certificates from previous employers

- Military service status certificate (for male Egyptian citizens)
- Recent passport-sized photograph

3.3.2 Application Screening

The HR Department screens all applications against the following criteria:

- Minimum qualifications as specified in job description
- Relevant work experience
- Skills and competencies match
- Career progression and stability
- Salary expectations alignment

Only shortlisted candidates who meet at least 80% of the requirements proceed to the interview stage.

3.3.3 Applicant Tracking

All applications are tracked through the ERP system's Recruitment Module, which maintains:

- Application receipt and acknowledgment
- Screening status and notes
- Interview schedules and feedback
- Reference check results
- Offer status and acceptance
- Rejection communication

3.4 Interview and Selection Process

3.4.1 Interview Stages

The selection process typically involves multiple interview stages:

Table 3.2 Interview Process by Grade Level

Stage	O1-O4	S1-P4	M1-E3
-------	-------	-------	-------

HR Screening Interview	Required	Required	Required
Technical/Functional Interview	Required	Required	Required
Department Head Interview	Required	Required	Required
Panel Interview	As needed	Required	Required
Executive Interview	N/A	As needed	Required
Assessment Center	N/A	For senior roles	Required

3.4.2 Interview Panel Composition

Interview panels are constituted based on the position level:

- **Operational Level:** HR representative, Hiring Manager, Team Lead
- **Supervisory/Professional Level:** HR Manager, Department Head, Senior Functional Manager
- **Management Level:** HR Director, Department Director, Cross-functional Executive
- **Executive Level:** CEO, Board Member, External Consultant (if applicable)

3.4.3 Selection Criteria

Final selection is based on a weighted evaluation of:

- Technical competence and skills (40%)
- Relevant experience and track record (25%)
- Behavioral competencies and cultural fit (20%)
- Education and qualifications (10%)
- Career potential and development (5%)

3.5 Background Verification

3.5.1 Verification Requirements

Background verification is mandatory for all selected candidates before offer release:

- **Employment Verification:** Confirming previous employment dates and positions

- **Educational Verification:** Authenticating academic credentials
- **Reference Checks:** Professional references from previous supervisors
- **Criminal Record Check:** Police clearance certificate
- **Credit Check:** For positions involving financial responsibilities

3.5.2 Medical Examination

All selected candidates must undergo a pre-employment medical examination:

- Conducted at approved medical facilities
- Includes general health assessment
- Drug screening (where applicable)
- Tests for infectious diseases as per job requirements
- Fitness for duty assessment

Important

Candidates with disabilities or health conditions are not discriminated against. Medical information is kept confidential and used only to determine reasonable accommodations needed for job performance.

3.6 Offer and Joining Procedures

3.6.1 Offer Process

Upon successful completion of all selection stages:

1. HR prepares the offer letter with compensation details
2. Offer is approved by appropriate authority based on grade
3. Verbal offer is extended to candidate
4. Formal offer letter is issued upon verbal acceptance
5. Candidate signs and returns acceptance copy
6. Joining date is confirmed (typically within 30 days)

3.6.2 Offer Letter Contents

The offer letter includes:

- Position title, grade, and department
- Start date and work location
- Probation period (maximum 3 months)
- Basic salary and allowances
- Benefits summary
- Working hours and leave entitlements
- Notice period requirements
- Conditions of employment
- Acceptance deadline

3.6.3 Joining Formalities

On the first day of employment, new employees complete:

- Employment contract signing (4 copies as per Labor Law No. 14/2025)
- Employee information form
- Social insurance enrollment
- Tax registration (if first employment)
- Bank account setup for salary transfer
- ID card photograph
- IT system access setup
- Asset allocation (if applicable)

3.6.4 Orientation Program

All new employees undergo a comprehensive orientation program covering:

- Organization history, vision, and values
- Organizational structure and key personnel
- HR policies and procedures overview
- ERP system training and self-service portal

- Department-specific orientation
- Safety and emergency procedures
- Benefits enrollment

CHAPTER 4: EMPLOYMENT CONTRACTS AND APPOINTMENTS

4.1 Types of Employment Contracts

4.1.1 Contract Classification

Under Egyptian Labor Law No. 14 of 2025, employment contracts are classified into two main categories. The organization utilizes both contract types based on business requirements and position characteristics.

Table 4.1 Employment Contract Types Under Egyptian Law

Contract Type	Description	Termination
Indefinite-Term Contract	Open-ended contract with no specified end date	Requires notice period; 2 months (<10 years), 3 months (10+ years)
Fixed-Term Contract	Contract with specific start and end dates	Automatic termination on end date; early termination requires compensation

4.1.2 Indefinite-Term Contracts

Indefinite-term contracts are the standard employment arrangement for permanent positions. Characteristics include:

- No predetermined end date
- Continuous employment until terminated by either party with notice
- Full eligibility for all employee benefits
- Entitlement to end-of-service benefits
- Protection against arbitrary dismissal

An employment relationship is considered indefinite-term when:

- No written contract exists
- The contract does not specify a term or end date

- A fixed-term contract continues for one day after the agreed end date without a new written contract
- A fixed-term contract is renewed for more than 4 years total duration

4.1.3 Fixed-Term Contracts

Fixed-term contracts are used for temporary needs, project-based work, or positions with defined duration. Key provisions include:

- Clearly specified start and end dates in writing
- Maximum duration before automatic conversion to indefinite-term: 4 years of renewals
- Early termination by employer requires compensation for remaining contract period
- Employee may terminate after 5 years of service with 3 months' notice without penalty

Fixed-term contracts are appropriate for:

- Project-based positions
- Maternity leave coverage
- Seasonal work
- Training and internship programs
- Trial periods for new business ventures
- Foreign employees (prior to Law No. 14/2025; now indefinite-term also permitted)

4.1.4 Part-Time Employment Contracts

Part-time employment is governed by specific provisions under Egyptian labor law:

- Working hours less than the standard 8 hours per day or 48 hours per week
- Minimum 4 hours per day for part-time status recognition
- Pro-rated benefits based on working hours percentage
- Same protections as full-time employees
- Social insurance contributions calculated based on actual wages

4.2 Contract Elements and Terms

4.2.1 Mandatory Contract Contents

Under Labor Law No. 14 of 2025, all employment contracts must include the following elements:

Table 4.2 Mandatory Employment Contract Elements

Element	Description
Parties' Information	Full names, addresses, and identification details of employer and employee
Job Description	Nature of work, duties, and responsibilities
Work Location	Primary place of work and any mobility requirements
Contract Duration	Start date and end date (for fixed-term) or indication of indefinite-term
Probation Period	Duration (maximum 3 months) and conditions
Remuneration	Basic salary, allowances, and payment frequency
Working Hours	Daily and weekly working hours, rest periods
Leave Entitlements	Annual leave, sick leave, and other leave provisions
Notice Period	Duration required for contract termination
Social Insurance	Reference to social insurance coverage

4.2.2 Contract Language Requirements

The new Labor Law introduces specific requirements regarding contract language:

- Contracts may be drafted in two languages (Arabic and another language)
- The Arabic version is legally binding and authoritative in case of disputes
- Four original copies must be prepared and signed
- Distribution: Employee, Social Insurance Institution, Employment Office, Employer

4.2.3 Contract Amendments

Any changes to employment terms require a written amendment signed by both parties:

- Salary changes
- Position or grade changes
- Department transfers
- Work location changes
- Working hours modifications

Amendments must be registered with the social insurance authority when affecting insurable earnings.

4.3 Probation Period

4.3.1 Probation Period Rules

The probation period allows both employer and employee to assess suitability for the position:

Table 4.3 Probation Period Provisions

Aspect	Provision
Maximum Duration	3 months (no extensions permitted)
Notice During Probation	Minimum notice as per contract (typically 1 week)
Social Insurance	Mandatory from first day of employment
Leave Entitlement	Pro-rated annual leave
Termination by Employer	Possible without full notice period compensation
Repetition	Not allowed with same employer

4.3.2 Probation Assessment

The organization conducts structured probation assessments:

1. **30-Day Review:** Initial feedback on performance and adaptation
2. **60-Day Review:** Mid-probation assessment with development plan if needed
3. **Final Assessment (before 90 days):** Confirmation or termination decision

Assessment criteria include:

- Job knowledge and technical skills
- Quality of work
- Productivity and efficiency
- Attendance and punctuality
- Behavior and teamwork
- Adaptability and learning ability

4.3.3 Probation Completion

Upon successful completion of probation:

- Employee receives confirmation letter
- Full benefits entitlement begins
- Notice period increases to standard (2 or 3 months)
- Employee becomes eligible for promotion consideration
- Performance management cycle begins

4.4 Contract Renewal and Conversion

4.4.1 Fixed-Term Contract Renewal

Fixed-term contracts may be renewed based on:

- Continued business need
- Satisfactory performance
- Mutual agreement between parties

Important renewal considerations:

- Renewal must be documented in writing before current contract expiry

- Total duration of renewals cannot exceed 4 years (new law) before automatic conversion
- Each renewal counts toward the 4-year conversion threshold
- Employee acquires rights of indefinite-term contract after conversion

4.4.2 Conversion to Indefinite-Term

Fixed-term contracts automatically convert to indefinite-term when:

- The contract continues for one day after the agreed end date without a new written fixed-term contract
- The total duration of renewals reaches 4 years

Upon conversion:

- Employee gains indefinite-term contract protections
- Notice period requirements apply
- End-of-service benefits accrue from original start date

4.5 Employment of Minors

4.5.1 Legal Requirements

Egyptian labor law permits the employment of minors under specific conditions:

Table 4.4 Employment of Minors - Legal Provisions

Age Group	Permitted Work	Conditions
14-15 years	Light work only	Not hazardous; parental consent; school attendance maintained
16-17 years	Most non-hazardous work	No night work; limited overtime; health monitoring
18+ years	All types of work	Standard labor law protections apply

4.5.2 Prohibited Work for Minors

Minors under 18 years are prohibited from:

- Work in mines, quarries, and underground
- Work with hazardous chemicals or explosives
- Work with dangerous machinery
- Night work (between 8 PM and 6 AM)
- Overtime work exceeding legal limits
- Work in establishments serving alcohol
- Work that may harm health, safety, or morals

Compliance Alert

The organization strictly complies with child labor laws. Any employment of minors requires prior approval from the Ministry of Manpower and adherence to all protective conditions. Violations can result in severe penalties.

CHAPTER 5: CONDUCT, ETHICS AND DISCIPLINARY ACTION

5.1 Code of Conduct

5.1.1 General Conduct Expectations

All employees are expected to maintain the highest standards of professional conduct. The following principles guide employee behavior:

Every Employee Shall:

- Perform duties with honesty, integrity, and dedication
- Maintain confidentiality of organizational information
- Respect colleagues, supervisors, and subordinates
- Comply with all applicable laws and organizational policies
- Use organizational resources responsibly
- Report violations of policies or laws
- Maintain professional appearance and behavior
- Contribute to a positive work environment

No Employee Shall:

- Engage in dishonest, fraudulent, or corrupt practices
- Disclose confidential information without authorization
- Harass, bully, or discriminate against others
- Consume alcohol or drugs during working hours
- Bring weapons or dangerous items to the workplace
- Engage in conflicts of interest
- Accept bribes or improper gifts
- Use organizational resources for personal gain
- Engage in political activities during work hours
- Disrupt workplace harmony or safety

5.1.2 Attendance and Punctuality

Employees are expected to:

- Report to work on time as per scheduled hours
- Notify supervisor in advance of any absence
- Obtain proper approval before leaving during work hours
- Not leave the workplace without permission
- Record attendance accurately through the ERP system

5.1.3 Dress Code

The organization maintains a professional dress code:

- **Business Formal:** For client meetings, executive presentations
- **Business Casual:** Standard office attire
- **Uniform:** For operational and customer-facing roles
- **Safety Equipment:** Mandatory in production and industrial areas

5.2 Workplace Ethics

5.2.1 Conflict of Interest

Employees must avoid situations where personal interests conflict with organizational interests:

- Disclose any personal relationships with suppliers, customers, or competitors
- Not engage in outside employment without approval
- Not have financial interests in organizations doing business with the company
- Not use position for personal gain
- Recuse from decisions where personal interest exists

5.2.2 Gifts and Hospitality

Guidelines for accepting gifts:

Table 5.1 Gifts and Hospitality Policy

Type	Threshold	Action Required
Promotional items	Under EGP 500	May accept; no disclosure needed
Business meals	Reasonable value	Acceptable in business context
Gifts	EGP 500 - 2,000	Disclose to supervisor; may accept
Gifts	Above EGP 2,000	Decline or declare to HR
Cash or cash equivalents	Any amount	Strictly prohibited

5.2.3 Confidentiality and Data Protection

Employees must protect organizational and personal data:

- Maintain confidentiality of business information
- Protect customer and employee personal data
- Use data only for authorized purposes
- Follow information security protocols
- Report data breaches immediately
- Return all confidential materials upon separation

5.3 Anti-Harassment and Bullying Policy

5.3.1 Policy Statement

The organization is committed to providing a workplace free from harassment, bullying, and violence. Labor Law No. 14 of 2025 mandates that employers cultivate a safe, violence-free working environment.

5.3.2 Definitions

Harassment: Any unwelcome conduct based on gender, religion, origin, disability, social status, or other protected characteristics that creates an intimidating, hostile, or offensive work environment.

Sexual Harassment: Unwelcome sexual advances, requests for sexual favors, and other verbal or physical conduct of a sexual nature that affects employment decisions or creates a

hostile work environment.

Bullying: Repeated, unreasonable behavior directed towards an employee or group of employees that creates a risk to health and safety.

Workplace Violence: Any act or threat of physical violence, harassment, intimidation, or other threatening disruptive behavior at the workplace.

5.3.3 Prohibited Behaviors

The following behaviors are strictly prohibited:

- Unwelcome sexual advances or comments
- Display of sexually explicit materials
- Racial, ethnic, or religious slurs
- Intimidation or threats
- Physical assault or aggression
- Verbal abuse or humiliation
- Cyberbullying or online harassment
- Retaliation for reporting harassment

5.3.4 Reporting and Complaint Procedure

Employees who experience or witness harassment should:

1. Document the incident(s) with dates, times, and witnesses
2. Report to immediate supervisor, HR, or through the confidential hotline
3. Cooperate with any investigation
4. Request confidentiality where possible

The organization will:

- Investigate all complaints promptly and impartially
- Maintain confidentiality to the extent possible
- Take appropriate corrective action
- Protect complainants from retaliation

5.3.5 Disciplinary Consequences

Violations of the anti-harassment policy may result in:

- Verbal or written warning
- Suspension
- Demotion
- Termination of employment
- Legal action where applicable

Legal Update

Labor Law No. 14 of 2025 introduces specific provisions to combat sexual harassment, bullying, and workplace violence. Establishments with 20+ employees must now hire at least 5% of their workforce from people of determination and maintain registers for this category.

5.4 Disciplinary Procedures

5.4.1 Principles of Disciplinary Action

All disciplinary actions must follow these principles:

- **Legality:** Actions must comply with Egyptian labor law
- **Fairness:** Consistent application across similar cases
- **Proportionality:** Penalty must match the severity of offense
- **Due Process:** Employee must have opportunity to respond
- **Documentation:** All actions must be properly documented
- **Non-Discrimination:** No bias based on protected characteristics

5.4.2 Disciplinary Process

The standard disciplinary process involves:

1. **Investigation:** Gather facts and evidence related to the alleged misconduct

2. **Notice:** Inform employee of allegations and provide opportunity to respond
3. **Hearing:** Conduct disciplinary hearing with employee present
4. **Decision:** Determine appropriate penalty based on evidence
5. **Communication:** Inform employee of decision in writing
6. **Appeal:** Provide opportunity for appeal if applicable
7. **Implementation:** Execute the disciplinary decision

5.4.3 Employee Rights During Disciplinary Process

Employees have the following rights:

- Right to be informed of allegations
- Right to respond and present evidence
- Right to be accompanied by a colleague (for major penalties)
- Right to appeal decisions
- Right to confidentiality

5.5 Types of Penalties

5.5.1 Penalty Classification

Egyptian labor law recognizes two categories of penalties:

Table 5.2 Disciplinary Penalties

Minor Penalties	Major Penalties
Written warning	Deduction of up to 5 days' wages
Delay of annual increment	Suspension without pay (up to 10 days)
Delay of promotion	Demotion
	Dismissal without severance
	Dismissal with severance

5.5.2 Written Warning

Written warnings are issued for minor violations:

- First instance of policy violation
- Minor attendance issues
- Minor performance deficiencies

Warnings remain on file for 12 months and are removed if no further violations occur.

5.5.3 Suspension

Suspension may be imposed pending investigation or as a penalty:

- Maximum 10 days without pay as penalty
- May be with or without pay during investigation
- Requires written notice with reasons
- Employee must be given opportunity to respond

5.5.4 Dismissal

Dismissal is the most severe penalty and may be:

With Severance:

- Applicable for serious misconduct
- Employee entitled to end-of-service benefits
- Notice period or payment in lieu

Without Severance:

- Applicable for gross misconduct (Article 69 violations)
- No end-of-service benefits
- No notice period payment

Gross misconduct includes:

- Fraudulent misrepresentation
- Gross negligence causing significant loss

- Repeated safety violations
- Excessive absenteeism without justification
- Disclosure of trade secrets
- Competition with employer
- Intoxication or drug use at work
- Assault or violence

5.6 Grievance Redressal

5.6.1 Grievance Definition

A grievance is any concern, problem, or complaint raised by an employee regarding:

- Working conditions
- Terms of employment
- Relationships with colleagues or supervisors
- Application of policies
- Disciplinary decisions

5.6.2 Grievance Procedure

The organization provides a multi-level grievance procedure:

Level 1 - Informal Resolution:

- Employee discusses concern with immediate supervisor
- Attempt to resolve within 5 working days

Level 2 - Formal Grievance:

- If unresolved, employee submits written grievance to HR
- HR investigates and responds within 10 working days

Level 3 - Grievance Committee:

- If still unresolved, case referred to Grievance Committee
- Committee comprises HR, management, and employee representatives
- Decision within 15 working days

Level 4 - External Resolution:

- Employee may escalate to Ministry of Manpower
- Or pursue legal remedies through labor courts

5.6.3 Protection Against Retaliation

Employees who raise grievances in good faith are protected from:

- Disciplinary action
- Demotion or unfavorable transfer
- Harassment or intimidation
- Any form of retaliation

ERP System Integration

Employees can submit grievances through the ERP self-service portal. The system tracks grievance status, assigns case numbers, and ensures timely resolution. Anonymous reporting options are also available for sensitive matters.

CHAPTER 6: ATTENDANCE AND LEAVE POLICIES

6.1 Working Hours and Overtime

6.1.1 Standard Working Hours

Under Egyptian Labor Law, standard working hours are established to protect employee health and ensure work-life balance:

Table 6.1 Standard Working Hours

Category	Daily Hours	Weekly Hours	Rest Day
Standard (Commercial/Administrative)	8 hours	48 hours	Friday (full day) + half day before or after
Industrial Establishments	8 hours	48 hours	Full day (typically Friday)
Shift Work	8 hours average	48 hours average	Rotating schedule with equivalent rest
Part-Time	4-7 hours	Less than 48 hours	Pro-rated rest periods

6.1.2 Working Time Regulations

Additional working time provisions:

- **Daily Rest:** Minimum 1 hour break for meals and rest (not counted as working time)
- **Weekly Rest:** Minimum 24 consecutive hours per week
- **Night Work:** Work between 8 PM and 6 AM attracts premium pay
- **Rest Between Shifts:** Minimum 12 hours between end of one shift and start of next
- **Maximum Overtime:** Limited to 2 hours per day (10 hours total including regular hours)

6.1.3 Overtime Compensation

Overtime work requires employee consent and is compensated at premium rates:

Table 6.2 Overtime Compensation Rates

Overtime Type			Rate		Conditions	
Daytime Overtime (Regular Days)		(Regular	135%	of regular wage	Before 8 PM, Monday-Saturday	
Nighttime Overtime			170%	of regular wage	Between 8 PM and 6 AM	
Weekly Rest Day Work			200%	of regular wage	With compensatory day off	
Public Holiday Work			300%	of regular wage	Paid day off in addition to premium	

New Law Provision

Labor Law No. 14 of 2025 removes the requirement for employers to obtain prior written approval from the administrative authority for overtime. Instead, employers must notify the authority within 7 days of exceptional working conditions with justifications.

6.1.4 Overtime Calculation Example

Example: Employee with monthly salary of EGP 12,000 works 3 hours overtime on a regular day

Hourly Rate = 12,000 / (26 days × 8 hours) = EGP 57.69 per hour

Overtime Rate = 57.69 × 135% = EGP 77.88 per hour

Overtime Pay = 77.88 × 3 hours = EGP 233.64

6.1.5 Attendance Recording

The organization uses the ERP system for attendance tracking:

- Biometric or card-based clock-in/clock-out
- Real-time attendance monitoring
- Automatic overtime calculation
- Integration with payroll system
- Exception reporting for irregularities

Employees are responsible for:

- Recording attendance accurately
- Reporting missed clock-ins/outs immediately
- Not sharing access credentials
- Reporting technical issues promptly

6.2 Annual Leave

6.2.1 Annual Leave Entitlement

Annual leave entitlements under Egyptian Labor Law No. 14 of 2025:

Table 6.3 Annual Leave Entitlements

Service Period	Leave Days		Notes
First year of service	15	working days	Available after 6 months of service
Second year onwards	21	working days	Full entitlement from start of second year
After 10 years of service OR age 50+	30	working days	Whichever comes first
Persons with disabilities	45	working days	From date of starting employment

Hazardous/unhealthy/remote work

Additional 7 days

Added to base entitlement

6.2.2 Leave Year and Accrual

Leave administration follows these rules:

- Leave year runs from January 1 to December 31
- New employees accrue leave monthly (1.25 days per month for 15-day entitlement)
- Leave can be taken after completing 6 months of service
- Unused leave carries forward to next year (maximum accumulation: 2 years)
- Leave encashment available upon separation or as per policy

6.2.3 Leave Application Process

Employees must follow the established procedure for annual leave:

1. Submit leave request through ERP self-service portal at least 15 days in advance
2. Obtain supervisor approval based on operational requirements
3. HR reviews and confirms leave balance availability
4. Receive approval notification through the system
5. Complete handover of responsibilities before departure

6.2.4 Leave Scheduling

The organization balances employee preferences with business needs:

- Employees can indicate preferred leave periods
- Department heads approve based on staffing requirements
- Peak business periods may have restricted leave
- Maximum consecutive leave: 30 days (unless special approval)
- Minimum leave increment: 1 day

6.2.5 Leave During Notice Period

Special provisions apply to leave during notice periods:

- Annual leave may be taken during notice period with mutual agreement
- Employer may require employee to take accrued leave during notice

- Unused leave must be paid out upon separation

6.2.6 Emergency Leave (Casual Leave)

Emergency leave is available for unforeseen circumstances:

- Entitlement: 7 days per year (increased from 6 days under new law)
- Deducted from annual leave balance
- Maximum 2 consecutive days per instance
- No carry forward - expires at year end

6.3 Sick Leave

6.3.1 Sick Leave Entitlement

Employees are entitled to sick leave as per Social Insurance Law No. 148 of 2019:

Table 6.4 Sick Leave Entitlements

Duration	Compensation	Source
First 90 days	75% of daily wage	Social Insurance Authority
Next 90 days (days 91-180)	85% of daily wage	Social Insurance Authority
Maximum per calendar year	180 days	Combined periods
Chronic diseases	100% of wage	Until recovery or disability determination
Work-related injury	100% of wage	From day 1 of injury

6.3.2 Sick Leave for Industrial Workers

Special provisions apply to employees in industrial establishments:

- Entitlement: One sick leave period every 3 years
- First month: Full pay (100%)
- Next 8 months: 75% of wages
- Following 3 months: Without pay (if recovery is possible)

3.6.3 Medical Certification Requirements

To qualify for sick leave, employees must:

- Notify supervisor on first day of absence
- Submit medical certificate from approved medical authority within 48 hours
- Certificate must specify diagnosis and expected duration
- Undergo medical examination by company doctor if requested
- Provide progress reports for extended leave

6.3.4 Sick Leave and Annual Leave

Important interactions between sick leave and annual leave:

- If illness occurs during annual leave, sick leave is counted separately
- Employee may convert sick leave to annual leave if balance available
- Annual leave can be used when sick leave entitlement is exhausted

6.3.5 Termination Due to Illness

Legal protections for employees on sick leave:

- Employer cannot terminate due to illness during sick leave period
- After exhausting sick leave + accumulated annual leave, termination possible with 15 days notice
- If employee recovers before notice period ends, termination is prohibited
- Employee entitled to end-of-service benefits if terminated due to illness

6.4 Maternity and Paternity Leave

6.4.1 Maternity Leave Entitlement

Under Labor Law No. 14 of 2025, maternity leave provisions have been significantly enhanced:

Table 6.5 Maternity Leave Provisions

Aspect	Provision
Duration	120 calendar days (increased from 90 days)
Timing	Before and after delivery; minimum 45 days after childbirth
Maximum times	3 times during employment (increased from 2 times)
Minimum service	None required (previously 10 months)
Pay	Full salary (75% from social insurance, 25% from employer)
Maximum salary for insurance	EGP 10,900 per month

6.4.2 Working Hours During Pregnancy

New protections for pregnant employees:

- Daily working hours reduced by 1 hour starting from 6th month of pregnancy
- No overtime work during pregnancy
- No overtime work for 6 months after delivery
- Light work assignment if medically required

6.4.3 Childcare Leave (Nursing Leave)

Additional provisions for new mothers:

- Two paid nursing breaks of 1 hour each until child reaches 2 years
- Option to combine breaks and leave 1 hour early
- Unpaid childcare leave: Up to 2 years, maximum 3 times during employment
- Requires minimum 1 year of service for unpaid childcare leave

6.4.4 Paternity Leave

Labor Law No. 14 of 2025 introduces statutory paternity leave for the first time:

- Duration: 1 working day
- Timing: On the day of child's birth
- Maximum: 3 times during employment

- Pay: Full salary
- Does not deduct from annual leave balance

6.4.5 Adoption Leave

Employees who adopt children are entitled to:

- 15 days of paid leave from the day child is handed over
- Available to both parents
- Requires legal documentation of adoption

6.5 Special Leaves

6.5.1 Study Leave

Employees pursuing education may be eligible for study leave:

- Right to choose annual leave dates for exam preparation (15 days notice required)
- Paid leave for actual exam days (10 days notice required)
- Exam attendance proof required
- Does not deduct from annual leave balance
- Available for non-professional qualifications

6.5.2 Hajj Leave

Muslim employees are entitled to pilgrimage leave:

- Duration: 1 month (full pay)
- Eligibility: After 5 years of continuous service
- Maximum: Once during entire employment
- Requires proof of Hajj performance

6.5.3 Religious Holidays for Non-Muslims

Non-Muslim employees are entitled to leave on their religious holidays:

- Christian employees: Christmas (January 7), Easter Monday, other recognized Christian holidays

- Other religions: Holidays recognized by respective religious communities
- Paid leave as per official holiday list

6.5.4 Bereavement Leave

Compassionate leave for death of family members:

Table 6.6 Bereavement Leave Entitlements

Relationship	Leave Days
Spouse, child, parent	5 working days
Sibling, grandparent, grandchild	3 working days
Parent-in-law, sibling-in-law	2 working days

6.5.5 Marriage Leave

Employees are entitled to marriage leave:

- Duration: 5 working days
- Available once during employment (for employee's own marriage)
- Full pay
- Marriage certificate required

6.5.6 Quarantine Leave

Special provisions for contagious disease exposure:

- Duration: Up to 3 months
- Available when employee has been in contact with contagious case
- Requires medical authority confirmation
- Compensation as per sick leave provisions

6.5.7 Unpaid Leave

Employees may request unpaid leave for personal reasons:

- Requires employer approval

- Maximum duration: 6 months (may be extended in special cases)
- No salary or benefits during leave period
- Social insurance may be suspended
- Job protection during approved leave period

6.6 Public Holidays

6.6.1 Official Public Holidays

The organization observes all official public holidays as declared by the Egyptian government:

Table 6.7 Public Holidays in Egypt (2025)

Holiday	Date (2025)	Type
New Year's Day	January 1	Fixed
January 25 Revolution Day	January 25	Fixed
Coptic Christmas Day	January 7	Fixed
Sinai Liberation Day	April 25	Fixed
Labor Day	May 1	Fixed
Eid Al-Fitr	March 30 - April 2	Islamic (Lunar)
Eid Al-Adha	June 6 - June 9	Islamic (Lunar)
Islamic New Year	July 7	Islamic (Lunar)
June 30 Revolution Day	June 30	Fixed
Revolution Day (July 23)	July 23	Fixed
Prophet's Birthday (Mawlid)	September 4	Islamic (Lunar)
Armed Forces Day	October 6	Fixed
Coptic Easter Monday	April 21	Christian (Lunar)

6.6.2 Holiday Pay

Compensation for working on public holidays:

- Employees working on public holidays receive 300% of regular wage
- Plus a paid compensatory day off
- Compensatory day must be taken within 30 days

6.6.3 Holiday Announcements

The organization communicates holiday schedules through:

- Annual holiday calendar published in January
- ERP system notifications
- Department announcements
- HR bulletin board

ERP System Note

All leave types can be applied for and tracked through the ERP self-service portal. The system automatically calculates leave balances, entitlements, and pay implications. Employees can view their leave history and plan future leave through the dashboard.

CHAPTER 7: PERFORMANCE MANAGEMENT

7.1 Performance Appraisal System

7.1.1 System Overview

The organization's Performance Management System is designed to align individual performance with organizational goals, provide feedback for development, and support fair compensation decisions. The system is fully integrated with the ERP platform for seamless tracking and reporting.

7.1.2 Performance Cycle

The performance management cycle follows an annual calendar:

Table 7.1 Performance Management Calendar

Period	Activity
January	Goal setting and performance planning
March - April	Mid-year performance review
July - August	Development planning and coaching
October - November	Year-end performance evaluation
December	Rating calibration and compensation decisions

7.1.3 Performance Evaluation Methods

The organization uses multiple evaluation methods:

- **Management by Objectives (MBO):** For managerial and professional positions
- **Competency-Based Assessment:** For all employee categories
- **360-Degree Feedback:** For supervisors and above

- **Behaviorally Anchored Rating Scales (BARS):** For operational roles

7.1.4 Performance Rating Scale

Performance is rated on a 5-point scale:

Table 7.2 Performance Rating Scale

Rating	Description	Distribution Guideline
5 - Exceptional	Far exceeds expectations; role model performance	Up to 10%
4 - Exceeds Expectations	Consistently exceeds performance standards	15-20%
3 - Meets Expectations	Fully meets all performance standards	50-60%
2 - Needs Improvement	Partially meets expectations; development needed	10-15%
1 - Unsatisfactory	Does not meet minimum requirements	Up to 5%

7.2 Performance Standards

7.2.1 Goal Setting

Performance goals are established using the SMART framework:

- **Specific:** Clear and well-defined objectives
- **Measurable:** Quantifiable indicators of success
- **Achievable:** Realistic and attainable
- **Relevant:** Aligned with department and organizational goals
- **Time-bound:** Clear deadlines and milestones

7.2.2 Key Performance Indicators (KPIs)

KPIs are categorized into four perspectives:

- **Financial:** Revenue, cost control, budget management

- **Customer:** Satisfaction, retention, service quality
- **Internal Process:** Efficiency, quality, timeliness
- **Learning & Growth:** Skills development, innovation, teamwork

7.2.3 Competency Framework

Core competencies assessed across all positions:

Table 7.3 Core Competency Framework

Competency	Definition	Behavioral Indicators
Accountability	Takes ownership of actions and results	Meets commitments, admits mistakes, delivers on promises
Collaboration	Works effectively with others	Shares information, supports colleagues, resolves conflicts
Communication	Expresses ideas clearly	Listens actively, presents effectively, writes clearly
Customer Focus	Prioritizes customer needs	Understands requirements, responds promptly, ensures satisfaction
Innovation	Generates new ideas and solutions	Challenges status quo, suggests improvements, embraces change
Integrity	Acts ethically and honestly	Follows policies, maintains confidentiality, demonstrates trustworthiness

7.3 Performance Improvement Plans

7.3.1 When PIP is Required

A Performance Improvement Plan (PIP) is initiated when:

- Employee receives rating of 2 (Needs Improvement) or 1 (Unsatisfactory)
- Specific performance issues are identified
- Behavioral concerns affect team or work environment
- Goals are consistently not met

7.3.2 PIP Process

The Performance Improvement Plan follows a structured approach:

1. **Identification:** Manager documents performance gaps
2. **Plan Development:** Specific, measurable improvement goals established
3. **Discussion:** Meeting with employee to explain concerns and expectations
4. **Support:** Training, coaching, or resources provided
5. **Monitoring:** Regular check-ins (weekly or bi-weekly)
6. **Evaluation:** Assessment at end of PIP period (typically 60-90 days)
7. **Outcome:** Success confirmation or further action

7.3.3 PIP Outcomes

Possible outcomes at the end of the PIP period:

- **Successful:** Performance improved to acceptable level; PIP closed
- **Extended:** Partial improvement; additional time granted
- **Unsuccessful:** No improvement; may lead to demotion or termination

7.4 Rewards and Recognition

7.4.1 Performance-Based Rewards

Performance ratings directly impact reward decisions:

Table 7.4 Performance-Based Reward Matrix

Rating	Annual Increment	Bonus Eligibility	Promotion Consideration
5 - Exceptional	Above 7%	150-200% of target	Fast-track
4 - Exceeds	5-7%	100-150% of target	Eligible
3 - Meets	3-5%	75-100% of target	After 2+ years

2 - Needs Improvement	0-3%	0-50% of target	Not eligible
1 - Unsatisfactory	0%	None	Not eligible

7.4.2 Recognition Programs

Beyond monetary rewards, the organization offers:

- **Employee of the Month:** Monthly recognition with certificate and prize
- **Spot Awards:** Immediate recognition for exceptional effort
- **Service Awards:** Recognition at 5, 10, 15, 20, 25 years
- **Innovation Awards:** For creative solutions and improvements
- **Team Awards:** For outstanding team performance

CHAPTER 8: PROMOTION AND CAREER DEVELOPMENT

8.1 Promotion Policy

8.1.1 Promotion Principles

Promotions are based on merit, performance, and organizational needs:

- Fair and transparent selection process
- Merit-based decisions
- Equal opportunity for all eligible employees
- Alignment with organizational requirements
- Career development focus

8.1.2 Types of Promotion

Table 8.1 Types of Promotion

Type	Description	Example
Vertical Promotion	Movement to higher grade level	Senior Officer to Assistant Manager
Horizontal Promotion	Movement to similar level with different responsibilities	Transfer to different department at same grade
Dry Promotion	Title change without immediate salary increase	Acting role pending budget approval

8.1.3 Promotion Eligibility Criteria

General eligibility requirements for promotion:

- Minimum 2 years in current grade (for vertical promotions)
- Performance rating of 3 or above in last 2 years

- No active disciplinary actions
- Required qualifications and competencies for new role
- Successful completion of any required training

8.1.4 Promotion Process

The promotion process follows these steps:

1. **Vacancy Identification:** Position becomes available or created
2. **Job Posting:** Internal advertisement for minimum 5 working days
3. **Application:** Interested employees submit applications
4. **Screening:** HR screens applications against criteria
5. **Assessment:** Interviews, tests, or assessment centers
6. **Selection:** Promotion committee makes recommendation
7. **Approval:** Appropriate authority approves
8. **Announcement:** Result communicated to all applicants
9. **Transition:** Handover and onboarding to new role

8.2 Career Progression Framework

8.2.1 Career Paths

The organization provides defined career paths for each function:

- **Management Track:** For employees with leadership aspirations
- **Professional Track:** For technical and specialist roles
- **Operational Track:** For front-line and support roles

8.2.2 Grade Progression

Typical progression within each track:

Table 8.2 Career Progression by Track

Level	Management Track	Professional Track	Operational Track
Entry	Management Trainee	Associate Professional	Operator/Clerk

Junior	Supervisor	Professional	Senior Operator
Mid	Manager	Senior Professional	Team Lead
Senior	Senior Manager	Principal Professional	Supervisor
Executive	Director/VP	Chief Expert	Manager - Operations

8.3 Internal Mobility

8.3.1 Transfer Policy

Internal transfers support employee development and organizational flexibility:

- **Voluntary Transfer:** Employee-initiated move to different role/department
- **Involuntary Transfer:** Organization-initiated move due to business needs
- **Temporary Assignment:** Short-term assignment for project or development

8.3.2 Transfer Process

Steps for internal transfer:

1. Employee expresses interest or manager identifies need
2. Discussion with current and receiving managers
3. HR review of eligibility and fit
4. Interview with receiving department
5. Approval from both department heads and HR
6. Transition plan and timeline
7. Official transfer effective date

8.4 Succession Planning

8.4.1 Succession Planning Framework

The organization maintains succession plans for critical positions:

- Identification of key roles
- Assessment of potential successors

- Development plans for high-potential employees
- Regular review and updates

8.4.2 High-Potential Identification

Criteria for identifying high-potential employees:

- Consistently high performance ratings
- Demonstrated leadership capabilities
- Learning agility and adaptability
- Strategic thinking
- Strong interpersonal skills
- Commitment to organizational values

CHAPTER 9: COMPENSATION AND BENEFITS

9.1 Salary Structure

9.1.1 Compensation Philosophy

The organization's compensation philosophy is built on:

- **Internal Equity:** Fair pay relationships between jobs within the organization
- **External Competitiveness:** Market-aligned pay to attract and retain talent
- **Performance Link:** Rewarding individual and organizational performance
- **Legal Compliance:** Adherence to all Egyptian wage and hour laws

9.1.2 Salary Components

The typical salary structure includes:

Table 9.1 Salary Components

Component	Description	Tax Treatment
Basic Salary	Fixed monthly base pay	Taxable
Housing Allowance	Allowance for accommodation	Taxable
Transportation Allowance	Commute-related allowance	Taxable
Meal Allowance	Food-related allowance	Taxable
Mobile Allowance	Phone usage allowance	Taxable
Other Allowances	Role-specific allowances	Varies

9.1.3 Salary Grades

Each grade has a defined salary range:

Table 9.2 Sample Salary Ranges (EGP per month)

Grade	Minimum	Midpoint	Maximum
O1	6,000	7,500	9,000
O2	7,500	9,500	11,500
O3	9,500	12,000	14,500
O4	12,000	15,000	18,000
S1	15,000	19,000	23,000
P1	18,000	23,000	28,000
P2	25,000	32,000	39,000
M1	35,000	45,000	55,000
M2	50,000	65,000	80,000
E1	80,000	100,000	120,000

9.2 Minimum Wage Compliance

9.2.1 Legal Minimum Wage

The organization complies with Egyptian minimum wage requirements:

Table 9.3 Minimum Wage Requirements (2024-2025)

Category	Minimum Wage (EGP/month)	Effective Date
Private Sector (General)	6,000	May 2024
Public Sector	7,000	July 2024
Agricultural Workers	Varies by governorate	-
Domestic Workers	Varies by agreement	-

9.2.2 Compliance Monitoring

The organization ensures minimum wage compliance through:

- Regular salary audits
- ERP system validation
- Monthly payroll review
- Immediate correction of any violations

9.3 Overtime Compensation

9.3.1 Overtime Calculation

Overtime is calculated based on the following formula:

Overtime Pay Calculation:

Hourly Rate = Monthly Salary / (26 days × 8 hours)
Daytime Overtime = Hourly Rate × 1.35 × Overtime Hours
Nighttime Overtime = Hourly Rate × 1.70 × Overtime Hours
Weekly Rest Day Work = Hourly Rate × 2.00 × Hours Worked
Public Holiday Work = Hourly Rate × 3.00 × Hours Worked

9.3.2 Overtime Approval

Overtime must be approved in advance except in emergencies:

- Supervisor approval required
- Maximum 2 hours per day
- Documented in ERP system
- Compensatory time off option where applicable

9.4 Annual Increments

9.4.1 Legal Requirement

Labor Law No. 14 of 2025 mandates minimum annual increases:

- Minimum 3% of social insurance salary
- Due one year after appointment or previous raise
- Organization may provide higher increases based on performance

9.4.2 Increment Structure

The organization's increment structure:

Table 9.4 Annual Increment Guidelines

Performance Rating	Increment Range
5 - Exceptional	7-10%
4 - Exceeds Expectations	5-7%
3 - Meets Expectations	3-5%
2 - Needs Improvement	0-3%
1 - Unsatisfactory	0%

9.5 Allowances and Perquisites

9.5.1 Standard Allowances

Allowances provided based on grade and role:

Table 9.5 Allowance Structure by Grade

Allowance	O1-O4	S1-P4	M1-E3
Housing	10% of basic	15% of basic	20% of basic
Transportation	EGP 500	EGP 1,000	EGP 2,000
Meal	EGP 300	EGP 500	EGP 750
Mobile	-	EGP 200	EGP 500

9.5.2 Special Allowances

Additional allowances for specific situations:

- **Hazard Allowance:** For work in dangerous conditions
- **Shift Allowance:** For night shift workers
- **Remote Location Allowance:** For work in remote areas
- **On-Call Allowance:** For standby duties
- **Acting Allowance:** For temporary higher responsibilities

9.5.3 Benefits-in-Kind

Non-cash benefits provided to eligible employees:

- Company vehicle or car allowance
- Health insurance for employee and dependents
- Life insurance
- Education assistance
- Professional membership fees

CHAPTER 10: SOCIAL INSURANCE AND PENSION

10.1 Social Insurance Overview

10.1.1 Legal Framework

Social Insurance in Egypt is governed by Law No. 148 of 2019, which consolidated multiple previous laws into a comprehensive social protection system. The law provides coverage for old age, disability, death, work injuries, and unemployment.

10.1.2 Coverage Scope

All employees must be registered with the Social Insurance Authority:

- Mandatory for all Egyptian employees
- Registration within 30 days of employment
- Coverage begins from first day of employment
- Both employer and employee contribute

10.1.3 Social Insurance Branches

The social insurance system comprises several branches:

Table 10.1 Social Insurance Branches

Branch	Coverage	Benefits
Old Age, Disability, and Death	All employees	Pension, lump-sum benefits
Work Injuries	All employees	Medical treatment, disability pension, lump-sum
Unemployment	All employees	Unemployment benefits

Health Insurance

All employees

Medical coverage

10.2 Contribution Rates

10.2.1 Contribution Structure

Social insurance contributions are calculated as percentages of the contribution salary:

Table 10.2 Social Insurance Contribution Rates (2025)

Branch	Employer Share	Employee Share	Total
Old Age, Disability, Death	15.75%	10.00%	25.75%
Work Injuries	3.00%	0%	3.00%
Unemployment	1.00%	0%	1.00%
End of Service Benefit	1.00%	1.00%	2.00%
Total	20.75%	11.00%	31.75%

10.2.2 Contribution Salary Limits

Contributions are calculated within defined limits:

Table 10.3 Contribution Salary Limits (2025)

Limit Type	Amount (EGP)
Minimum Contribution Salary	2,300 per month
Maximum Contribution Salary	9,400 per month

10.2.3 Contribution Calculation Example

Example: Employee with monthly salary of EGP 12,000

Contribution Salary = EGP 9,400 (capped at maximum)

Employer Contribution = $9,400 \times 20.75\% = \text{EGP } 1,950.50$

Employee Contribution = $9,400 \times 11.00\% = \text{EGP } 1,034.00$

Total Monthly Contribution = EGP 2,984.50

10.3 Pension Benefits

10.3.1 Old-Age Pension Eligibility

Employees become eligible for old-age pension upon meeting these conditions:

Table 10.4 Pension Eligibility Conditions

Condition		Requirement
Normal Retirement Age - Men		60 years with 15 years of contributions
Normal Retirement Age - Women		60 years with 15 years of contributions (or 55 with reduced pension)
Early Retirement		55 years with 20 years of contributions
Minimum Contribution Period		15 years (or lump-sum payment if less)

10.3.2 Pension Calculation

The old-age pension is calculated using the following formula:

Pension Formula:

Monthly Pension = Average Monthly Contribution Salary × 2.22% × Years of Contribution

Maximum Pension: 80% of average monthly contribution salary or 80% of maximum contribution salary, whichever is less

Minimum Pension: 65% of minimum contribution salary

10.3.3 Pension Calculation Example

Example: Employee retires at age 60 with 25 years of contributions
Average Monthly Contribution Salary = EGP 8,000

Monthly Pension = $8,000 \times 2.22\% \times 25$ = EGP 4,440

Check Maximum: $8,000 \times 80\%$ = EGP 6,400 (pension is below maximum)

Check Minimum: $2,300 \times 65\%$ = EGP 1,495 (pension exceeds minimum)

Final Monthly Pension = EGP 4,440

10.3.4 Pension Adjustments

Pension amounts are automatically adjusted:

- Annual adjustment based on Consumer Price Index
- Maximum annual increase: 15%
- Applied in July each year

10.4 End of Service Benefits

10.4.1 End of Service Benefit (New System)

Social Insurance Law No. 148 of 2019 introduced a new end-of-service benefit based on individual accounts:

- Employee contribution: 1% of monthly salary
- Employer contribution: 1% of monthly salary
- Contributions accumulate in individual account with interest
- Full balance paid as lump sum upon retirement or separation

10.4.2 End of Service Calculation

End of Service Benefit Calculation:

Total Contributions = Sum of monthly contributions (2% of salary)

Accrued Interest = Applied annually based on investment returns

End of Service Benefit = Total Contributions + Accrued Interest

Example: Employee with average salary EGP 10,000 for 20 years

Annual Contribution = $10,000 \times 2\% \times 12 = \text{EGP } 2,400$

Total Contributions (20 years) = EGP 48,000

With 5% average annual interest: Approximately EGP 79,000

10.5 Disability and Death Benefits

10.5.1 Disability Pension

Employees who become disabled may qualify for disability pension:

Table 10.5 Disability Pension Types

Type	Condition	Benefit
Total Disability	100% unable to work	Full pension based on contribution period
Partial Disability	Partial inability to work	Proportionate pension based on disability degree
Work-Related Disability	Disability from work injury	Enhanced benefits under work injury branch

10.5.2 Death Benefits

In case of employee death, beneficiaries receive:

- **Survivor Pension:** For eligible dependents (spouse, children, parents)
- **Lump-Sum Benefit:** End of service account balance
- **Funeral Grant:** EGP 2,000 (as of 2025)

10.5.3 Survivor Pension Distribution

Survivor pension is distributed among eligible beneficiaries:

- Spouse: 50% of pension (or shared if multiple spouses)
- Sons: Share remaining 50% until age 21 (or 26 if studying)
- Daughters: Share until marriage
- Parents: Eligible if no spouse or children

CHAPTER 11: HEALTH AND MEDICAL BENEFITS

11.1 Health Insurance Coverage

11.1.1 Health Insurance System

Egypt is implementing a Universal Health Insurance System under Law No. 2 of 2018. The organization provides comprehensive health coverage through multiple channels:

- **Social Health Insurance:** Mandatory coverage through Social Insurance Authority
- **Private Health Insurance:** Supplementary coverage for enhanced benefits
- **Company Medical Facilities:** On-site clinics where available

11.1.2 Health Insurance Coverage Levels

Table 11.1 Health Insurance Coverage by Grade

Grade	Employee Coverage	Family Coverage	Annual Limit
O1-O4	Full	Spouse + 2 children	EGP 50,000
S1-P4	Full	Spouse + 3 children	EGP 100,000
M1-M2	Full	Spouse + 4 children	EGP 200,000
E1-E3	Full	Full family	EGP 500,000

11.1.3 Covered Services

Health insurance typically covers:

- Outpatient consultations
- Inpatient hospitalization
- Surgical procedures
- Emergency treatment

- Diagnostic tests and imaging
- Maternity care
- Prescription medications
- Dental and vision (basic)

11.2 Medical Reimbursement

11.2.1 Reimbursement Process

For expenses not covered by direct insurance:

1. Obtain treatment at approved facility
2. Pay and retain all receipts and medical reports
3. Submit claim through ERP within 30 days
4. HR reviews and processes reimbursement
5. Payment with next salary cycle

11.2.2 Reimbursable Expenses

Table 11.2 Medical Reimbursement Categories

Category	Reimbursement	Limit
Consultation Fees	100%	As per insurance network
Prescription Medications	80%	EGP 5,000 per year
Dental Treatment	50%	EGP 3,000 per year
Vision Care	50%	EGP 2,000 per year
Alternative Medicine	50%	EGP 2,000 per year

11.3 Workplace Health and Safety

11.3.1 Safety Policy

The organization is committed to providing a safe and healthy workplace:

- Compliance with all occupational safety regulations
- Regular workplace safety inspections
- Hazard identification and risk assessment
- Provision of personal protective equipment (PPE)
- Emergency preparedness and response plans

11.3.2 Employee Responsibilities

All employees must:

- Follow safety procedures and instructions
- Use provided PPE correctly
- Report hazards and incidents immediately
- Participate in safety training
- Not operate equipment without authorization

11.3.3 Safety Training

Mandatory safety training includes:

- General workplace safety (all employees)
- Fire safety and evacuation
- First aid and emergency response
- Job-specific safety procedures
- Handling of hazardous materials

11.4 Occupational Health

11.4.1 Medical Examinations

Required medical examinations:

Table 11.3 Medical Examination Requirements

Type	Frequency	Purpose
Pre-employment	Once	Fitness for duty

Periodic Health Check	Annually	General health monitoring
Hazard-Specific Screening	As required	Occupational exposure monitoring
Return-to-Work	As needed	Fitness after illness/injury

11.4.2 Drug and Alcohol Testing

Under Labor Law No. 14 of 2025, employers may require medical testing for drug use or infectious diseases:

- Testing conducted by General Authority for Health Insurance or Ministry of Health Central Laboratories
- At employer's expense
- Confidentiality maintained
- Positive results referred to competent labor court

CHAPTER 12: TRAVEL AND RELOCATION

12.1 Business Travel Policy

12.1.1 Travel Authorization

All business travel requires prior approval:

- Domestic travel: Department head approval
- International travel: Executive approval
- Travel request submitted through ERP system
- Business justification required

12.1.2 Travel Class and Mode

Table 12.1 Travel Class by Grade

Grade	Air Travel (Domestic)	Air Travel (International)	Ground Transport
O1-O4	Economy	Economy	Bus/Train - 2nd class
S1-P4	Economy	Economy (Business if >6 hours)	Bus/Train - 1st class
M1-M2	Business	Business	Car rental/1st class
E1-E3	Business	Business/First	Car rental/Chauffeur

12.2 Daily Allowance

12.2.1 Domestic Daily Allowance

Daily allowance for business travel within Egypt:

Table 12.2 Domestic Daily Allowance Rates (EGP)

City Category	O1-O4	S1-P4	M1+
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Major cities (Cairo, Alexandria)	400	600	1,000
Other governorates	300	450	750
Remote areas	500	750	1,250

12.2.2 International Daily Allowance

Daily allowance rates for international travel vary by destination:

- Middle East: USD 150-250 per day
- Europe: USD 200-350 per day
- Americas: USD 250-400 per day
- Asia/Africa: USD 150-300 per day

12.3 Relocation Benefits

12.3.1 Domestic Relocation

Employees transferred to a different location within Egypt are entitled to:

- Transportation of household goods (up to EGP 20,000)
- Travel expenses for employee and family
- Temporary accommodation (up to 30 days)
- Relocation allowance (one month's basic salary)

12.3.2 International Relocation

For employees on international assignment:

- Full relocation package including household goods shipment
- Housing allowance or company accommodation
- Education allowance for children
- Home leave (twice yearly)
- Tax equalization
- Repatriation benefits

12.4 International Assignments

12.4.1 Assignment Types

International assignments are categorized as:

- **Short-term:** Up to 6 months
- **Long-term:** 6 months to 3 years
- **Permanent:** Indefinite transfer

12.4.2 Assignment Benefits

Comprehensive benefits package for international assignees:

Table 12.3 International Assignment Benefits

Benefit	Short-term	Long-term
Base Salary	Home country	Host country or balance sheet
Hardship Allowance	10-20%	15-30%
Housing	Hotel/corporate housing	Housing allowance or provided
Education	Not applicable	International school fees
Home Leave	Not applicable	Twice yearly
Tax Equalization	Case by case	Yes

CHAPTER 13: TRAINING AND DEVELOPMENT

13.1 Training Policy

13.1.1 Training Philosophy

The organization believes that continuous learning and development are essential for both individual career growth and organizational success. The training policy aims to:

- Enhance employee skills and competencies
- Improve job performance and productivity
- Support career advancement
- Ensure compliance with regulatory requirements
- Foster a culture of continuous learning

13.1.2 Training Categories

Training programs are categorized as follows:

Table 13.1 Training Categories

Category	Description	Examples
Onboarding	Orientation for new employees	Company orientation, ERP training
Technical	Job-specific skills	Software, equipment, procedures
Managerial	Leadership and management	Supervision, project management
Soft Skills	Interpersonal communication and	Communication, teamwork, time management
Compliance	Regulatory and policy requirements	Safety, ethics, data protection
Professional	Industry certifications	PMP, CPA, technical certifications

13.1.3 Training Needs Assessment

Training needs are identified through:

- Annual performance reviews
- Manager recommendations
- Employee self-assessment
- Organizational needs analysis
- Compliance requirements
- Technology changes

13.2 Training Fund Contributions

13.2.1 Legal Requirement

Labor Law No. 14 of 2025 modified the training fund contribution requirements:

Table 13.2 Training Fund Contribution (New Law)

Aspect	Previous Law	New Law (No. 14/2025)
Contribution Rate	1% of net profit	0.25% of minimum social insurance wage
Employee Threshold	10+ employees	30+ employees
Payment Frequency	Annual	Monthly
Minimum per employee	Not specified	EGP 10 per year
Maximum per employee	Not specified	EGP 30 per year

13.2.2 Calculation Example

Training Fund Contribution Example:

Minimum Social Insurance Wage (2025) = EGP 2,300

Monthly Contribution per Employee = $2,300 \times 0.25\% = \text{EGP } 5.75$

Capped at EGP 30 per year (EGP 2.50 per month)

For company with 50 employees:

Monthly Contribution = $50 \times \text{EGP } 2.50 = \text{EGP } 125$

Annual Contribution = EGP 1,500

13.2.3 Exemptions

Establishments may be exempted from training fund contributions if they:

- Provide their own training programs to employees
- Submit training plans and reports to Ministry of Manpower
- Obtain approval from the Minister

13.3 Professional Development

13.3.1 Individual Development Plans

Every employee has an Individual Development Plan (IDP) that includes:

- Career aspirations and goals
- Skill gaps and development needs
- Planned training activities
- Timeline and resources
- Success metrics

13.3.2 Mentoring Program

The organization offers formal mentoring:

- Assigned mentors for new employees (first 6 months)

- Voluntary mentoring for career development
- Executive mentoring for high-potential employees
- Peer mentoring programs

13.3.3 Job Rotation

Job rotation opportunities are available for:

- Cross-functional experience
- Leadership development
- Succession preparation
- Skill diversification

13.4 Certification and Education Support

13.4.1 Professional Certification Support

Financial support for professional certifications:

Table 13.3 Certification Support Policy

Category	Reimbursement	Conditions
Job-related certifications	100%	Pre-approved; pass required
Career development certifications	75%	Relevant to career path
Professional memberships	100%	One membership per year

13.4.2 Higher Education Support

Support for employees pursuing higher education:

- Tuition reimbursement up to EGP 50,000 per year
- Study leave for exams
- Flexible working hours for students
- Service commitment required (1 year per year of support)

CHAPTER 14: EMPLOYEE WELFARE

14.1 Welfare Programs

14.1.1 Welfare Philosophy

The organization is committed to employee welfare beyond statutory requirements. Welfare programs are designed to enhance quality of life, promote work-life balance, and support employees during challenging times.

14.1.2 Welfare Programs Overview

Table 14.1 Employee Welfare Programs

Program		Description		Eligibility
Employee Assistance Program	Assistance	Counseling and support services		All employees
Financial Assistance		Interest-free loans	for	Confirmed employees
Education Support		Scholarships for children		Employees with 5+ years service
Housing Support		Company housing or allowance		Grade M1 and above
Transportation		Company transport allowance	or	All employees
Meal Subsidy		Canteen or meal allowance		All employees

14.2 Employee Assistance Program

14.2.1 EAP Services

The Employee Assistance Program provides confidential support for:

- Personal and family problems

- Work-related stress
- Financial and legal concerns
- Mental health issues
- Substance abuse
- Grief and loss

14.2.2 Accessing EAP

Employees can access EAP services through:

- 24/7 helpline
- Confidential counseling sessions
- Online resources and self-help tools
- Referral to specialized services

14.3 Work-Life Balance

14.3.1 Flexible Work Arrangements

Where operational requirements permit, flexible work options include:

- **Flexible Hours:** Variable start and end times
- **Compressed Workweek:** Longer days with additional day off
- **Part-Time Work:** Reduced hours arrangement
- **Remote Work:** Work from home options
- **Job Sharing:** Two employees sharing one position

14.3.2 Family-Friendly Policies

Policies supporting employees with family responsibilities:

- Extended maternity and paternity leave
- Childcare facilities or subsidies
- Parental leave for school activities
- Emergency family leave
- Flexible return-to-work after leave

14.4 People of Determination Support

14.4.1 Legal Requirement

Labor Law No. 14 of 2025 requires establishments with 20 or more employees to hire at least 5% of their workforce from people of determination (persons with disabilities).

14.4.2 Support Measures

The organization provides comprehensive support:

- Reasonable accommodations in the workplace
- Accessible facilities and equipment
- Flexible work arrangements
- Additional leave (45 days annual leave)
- Assistive technology and tools
- Training and development opportunities

14.4.3 Registration Requirements

Employers must maintain a register of employees with disabilities:

- Digital or physical register
- Updated regularly
- Available for inspection by authorities

CHAPTER 15: FOREIGN EMPLOYEES

15.1 Work Permit Requirements

15.1.1 Legal Framework

Foreign nationals may only work in Egypt after obtaining:

- Work permit from Ministry of Manpower
- Residence permit for work purposes
- Valid entry visa

15.1.2 Work Permit Application Process

The employer must follow this process:

1. Submit application to Ministry of Manpower
2. Provide required documentation
3. Pay applicable fees
4. Obtain security clearance
5. Receive work permit (typically valid for 1 year)
6. Apply for residence permit

15.1.3 Required Documents

Documents required for work permit application:

- Valid passport (minimum 6 months validity)
- Employment contract
- Academic and professional certificates
- Police clearance from home country
- Medical certificate (including HIV test)
- Company incorporation documents
- Passport photographs

15.2 Foreign Worker Quotas

15.2.1 Quota Requirements

Ministry of Manpower Resolution 279 of 2025 establishes quotas:

Table 15.1 Foreign Worker Quotas

Category	Maximum Foreign Workers
General Establishments	10% of total Egyptian workforce
Free Zone Companies	As per GAFI regulations
Small Establishments	Determined by Ministry

15.2.2 Egyptian Assistants Requirement

For each foreign expert or technician, the employer must:

- Appoint two Egyptian assistants
- Provide on-the-job training
- Prepare periodic progress reports

15.3 Documentation and Compliance

15.3.1 Record Keeping

Employers must maintain records of foreign workers:

- Personal information and nationality
- Passport and work permit details
- Qualifications and experience
- Salary and benefits
- Egyptian assistants assigned

15.3.2 Reporting Requirements

Regular reporting to authorities:

- Semi-annual reports (January and July)
- List of foreign workers and Egyptian insured workers
- Notification of employment termination within 1 week
- Return of work permit upon departure

15.4 Repatriation Benefits

15.4.1 End of Service Benefits

Foreign employees are entitled to:

- End of service benefit (lump sum from individual account)
- Accrued leave payment
- Notice period or payment in lieu
- Repatriation ticket to home country

15.4.2 Repatriation Process

Upon termination or contract completion:

1. Cancel work permit
2. Cancel residence permit
3. Process final settlement
4. Arrange repatriation travel
5. Complete exit formalities

CHAPTER 16: TERMINATION AND RESIGNATION

16.1 Types of Termination

16.1.1 Termination Categories

Employment may be terminated through various means:

Table 16.1 Types of Employment Termination

Type	Description	Notice Required
Resignation	Employee-initiated termination	Yes
Ordinary Termination	Employer-initiated with notice	Yes
Termination for Cause	Gross misconduct dismissal	No
Mutual Agreement	Both parties agree to end	As agreed
Contract Expiry	Fixed-term contract ends	No
Retirement	Age-based termination	No
Death	Employee passes away	No

16.2 Notice Period Requirements

16.2.1 Notice Period by Service Length

Under Labor Law No. 14 of 2025, notice periods are:

Table 16.2 Notice Period Requirements

Service Period	Notice Period
----------------	---------------

Less than 10 years	2 months
10 years or more	3 months

16.2.2 Notice Period Formalities

New requirements under Labor Law No. 14/2025:

- Notice must be in writing
- Must be certified by competent employment office
- Employer must respond to resignation within 10 days
- Employee may revoke resignation within 10 days of acceptance

16.3 Severance and End of Service

16.3.1 End of Service Benefits

Employees are entitled to end of service benefits upon termination:

Table 16.3 End of Service Benefits

Benefit	Description
End of Service Account	Lump sum from individual account (2% contributions + interest)
Accrued Leave	Payment for unused annual leave
Notice Period Pay	If notice not worked
Prorated Bonus	If applicable

16.3.2 Unjust Termination Compensation

If employment is terminated without valid cause:

- Employee entitled to compensation
- Minimum: 2 months' salary per year of service
- For fixed-term contracts: compensation for remaining contract period
- Plus standard end of service benefits

16.4 Resignation Procedures

16.4.1 Resignation Process

Employees wishing to resign must:

1. Submit written resignation letter to supervisor
2. Provide required notice period
3. Complete handover of responsibilities
4. Return company assets
5. Complete clearance process

16.4.2 Special Resignation Provisions

Under Labor Law No. 14/2025:

- Female employees may resign for marriage or pregnancy without compensation to employer
- 3 months' notice required for such resignations
- No penalty or compensation payable by employee

16.5 Clearance Process

16.5.1 Clearance Requirements

Before final settlement, employees must obtain clearance from:

- Department (handover completion)
- IT (return of equipment and access revocation)
- Finance (any outstanding advances)
- HR (document return)
- Facilities (return of access cards, keys)

16.5.2 Final Settlement

Final settlement includes:

- Salary up to last working day
- End of service benefits
- Accrued leave payment
- Any other dues
- Less: any recoverables

Final settlement is processed within 15 days of separation.

CHAPTER 17: RETIREMENT BENEFITS

17.1 Retirement Age

17.1.1 Normal Retirement Age

The normal retirement age under Egyptian Social Insurance Law:

Table 17.1 Retirement Age Requirements

Category	Normal Retirement Age	Early Retirement Age
Men	60 years	55 years (with 20 years service)
Women	60 years (or 55 with reduced pension)	55 years (with 20 years service)
Hazardous Work	Varies by occupation	As per specific regulations

17.1.2 Retirement Notification

The retirement process timeline:

- HR initiates retirement process 6 months before retirement date
- Employee receives retirement counseling
- Pension application submitted 3 months before retirement
- Final settlement processed on last working day

17.2 Pension Calculation

17.2.1 Pension Formula

The old-age pension is calculated as:

Pension Calculation Formula:

Monthly Pension = Average Monthly Contribution Salary × 2.22% × Years of Contribution

Where:

- Average Monthly Contribution Salary = Average of lifetime contribution salaries (adjusted for inflation)
- Years of Contribution = Total years of insured employment

Maximum: 80% of average monthly contribution salary

Minimum: 65% of minimum contribution salary (EGP 2,300 × 65% = EGP 1,495)

17.2.2 Pension Options

Retirees may choose from pension options:

Table 17.2 Pension Payment Options

Option	Description	Best For
Life Pension	Monthly payments for life	Most retirees
Pension with Survivor Benefit	Reduced pension with continuation to spouse	Married retirees with dependents
Lump Sum + Reduced Pension	Partial lump sum with reduced monthly payments	Those needing immediate funds

17.3 Gratuity Benefits

17.3.1 End of Service Gratuity

In addition to social insurance pension, employees receive:

- End of Service Account balance (2% contributions + interest)
- Any employer-sponsored supplementary pension
- Voluntary savings plan balances

17.3.2 Gratuity Calculation Example

End of Service Benefit Example:

Employee with 25 years of service

Average Salary: EGP 10,000 per month

Annual Contribution = $10,000 \times 2\% \times 12 = \text{EGP } 2,400$

Total Contributions (25 years) = EGP 60,000

Estimated Interest (5% average) = EGP 45,000

Total End of Service Benefit = EGP 105,000

17.4 Post-Retirement Medical

17.4.1 Medical Coverage

Retirees may continue health coverage:

- Social health insurance continues (with contributions)
- Option to continue private health insurance
- Retiree pays full premium for private coverage
- Dependent coverage available

17.4.2 Medical Contribution

Post-retirement health insurance contributions:

- Deducted from monthly pension
- Rate based on pension amount and coverage level
- Family coverage at additional cost

CHAPTER 18: ERP SYSTEM INTEGRATION

18.1 HR Module Overview

18.1.1 ERP Architecture

The organization's ERP system integrates all HR functions into a unified platform:

- **Core HR:** Employee data, organizational structure, positions
- **Payroll:** Salary processing, deductions, compliance
- **Time Management:** Attendance, leave, overtime
- **Recruitment:** Requisition to onboarding
- **Performance:** Goal setting, appraisals, development
- **Learning:** Training management, certifications
- **Self-Service:** Employee and manager portals

18.1.2 System Integration

The HR module integrates with:

- Finance module for payroll accounting
- Social Insurance Authority for contributions
- Tax authority for income tax reporting
- Banking systems for salary transfers
- Attendance devices for time tracking

18.2 Employee Self-Service

18.2.1 ESS Capabilities

Employees can access through the self-service portal:

Table 18.1 Employee Self-Service Functions

Function	Description
----------	-------------

Personal Information	View and update contact details, dependents
Payslips	View and download monthly payslips
Leave Management	Apply for leave, view balances, track status
Attendance	View attendance records, request corrections
Benefits	Enroll in benefits, view coverage
Documents	Access HR documents, certificates
Performance	View goals, complete self-assessment
Training	Register for courses, view history

18.2.2 Mobile Access

The ESS portal is accessible via mobile application:

- iOS and Android apps available
- Biometric login for security
- Push notifications for approvals
- Offline capability for key functions

18.3 HR Chatbot Functionality

18.3.1 Chatbot Capabilities

The integrated HR Chatbot provides instant responses to employee queries:

Table 18.2 HR Chatbot Query Categories

Category	Example Queries
Leave	"How many leave days do I have?" "What is the maternity leave policy?"
Payroll	"When is payday?" "Why was this amount deducted?"
Benefits	"What is my health insurance coverage?" "How do I add a dependent?"

Policies	"What is the dress code?" "How do I request overtime?"
Procedures	"How do I apply for promotion?" "What is the resignation process?"
Documents	"How do I get a salary certificate?" "Where is my employment contract?"

18.3.2 Chatbot Integration

The chatbot integrates with:

- HR database for personalized responses
- Policy manual for policy queries
- Leave system for balance inquiries
- Payroll system for salary queries
- Ticketing system for case escalation

18.4 Data Management and Security

18.4.1 Data Protection

Employee data is protected through:

- Encryption at rest and in transit
- Role-based access control
- Audit logging of all access
- Regular security assessments
- Compliance with data protection laws

18.4.2 Backup and Recovery

Data protection measures:

- Daily automated backups
- Off-site backup storage
- Disaster recovery plan
- Regular recovery testing
- 99.9% uptime SLA

CHAPTER 19: COMPLIANCE AND AUDIT

19.1 Labor Law Compliance

19.1.1 Compliance Framework

The organization maintains comprehensive labor law compliance:

- Regular review of legal updates
- Policy alignment with current laws
- Training for HR and managers
- Compliance monitoring and reporting

19.1.2 Key Compliance Areas

Table 19.1 Labor Law Compliance Checklist

Area	Requirement	Frequency
Employment Contracts	Written contracts for all employees	At hiring
Social Insurance	Registration within 30 days	Monthly contributions
Minimum Wage	Pay at least EGP 6,000/month	Monthly verification
Working Hours	Maximum 8 hours/day, 48 hours/week	Continuous
Leave Entitlements	Provide all statutory leaves	Annual review
Training Fund	Contribute 0.25% (if 30+ employees)	Monthly
People of Determination	5% quota (if 20+ employees)	Annual review

19.2 Record Retention

19.2.1 Retention Requirements

Labor Law No. 14 of 2025 requires retention of employee files:

Table 19.2 Record Retention Periods

Record Type	Retention Period
Employment contracts	5 years after termination
Payroll records	5 years after termination
Attendance records	5 years after termination
Social insurance records	5 years after termination
Disciplinary records	5 years after termination
Training records	Duration of employment + 5 years

19.2.2 Electronic Records

Electronic records are maintained in the ERP system:

- Digitally signed documents accepted
- Secure backup systems
- Audit trail for all changes
- Accessible for inspection

19.3 Internal Audits

19.3.1 Audit Program

Regular internal audits ensure compliance:

- Quarterly HR compliance audits
- Annual comprehensive audit
- Ad-hoc audits as needed
- External audit annually

19.3.2 Audit Areas

Internal audits cover:

- Employment contract compliance
- Social insurance contributions
- Payroll accuracy
- Leave administration
- Disciplinary procedures
- Record retention

19.4 Government Inspections

19.4.1 Inspection Types

Government inspections may include:

- Routine labor inspections
- Social insurance audits
- Tax inspections
- Safety inspections
- Complaint-based inspections

19.4.2 Inspection Response

Procedures for government inspections:

1. Notify HR Director immediately
2. Verify inspector credentials
3. Accompany inspector during visit
4. Provide requested documents
5. Document inspection findings
6. Address any violations promptly

CHAPTER 20: GRIEVANCE POLICY

20.1 Grievance Definition

20.1.1 What is a Grievance?

A grievance is any concern, problem, or complaint that an employee raises with the organization. Grievances may relate to:

- Working conditions
- Terms and conditions of employment
- Health and safety
- Relationships at work
- Discriminatory treatment
- Bullying or harassment
- Disciplinary decisions
- Performance ratings

20.1.2 Grievance vs. Complaint

While often used interchangeably, the organization distinguishes:

- **Grievance:** Formal process with defined procedures and rights
- **Complaint:** Informal expression of dissatisfaction

20.2 Grievance Procedure

20.2.1 Informal Resolution

Employees are encouraged to first attempt informal resolution:

1. Discuss concern with immediate supervisor
2. Seek clarification and explanation
3. Attempt to reach mutual understanding
4. Document discussion outcomes

20.2.2 Formal Grievance Process

If informal resolution fails, formal process applies:

Table 20.1 Formal Grievance Stages

Stage	Action	Timeline
Stage 1	Submit written grievance to HR	Within 30 days of incident
Stage 2	HR investigation and response	10 working days
Stage 3	Grievance Committee hearing	15 working days if appealed
Stage 4	External resolution (Ministry/Court)	If unresolved internally

20.3 Appeals Process

20.3.1 Right to Appeal

Employees have the right to appeal:

- Disciplinary decisions
- Performance ratings
- Grievance outcomes
- Promotion decisions

20.3.2 Appeal Procedure

Appeals must be submitted:

- In writing within 10 days of decision
- With grounds for appeal
- To the next level of authority
- Decision within 15 working days

20.4 Confidentiality and Non-Retaliation

20.4.1 Confidentiality

Grievance proceedings are confidential:

- Information shared on need-to-know basis
- Records kept secure
- Witnesses instructed on confidentiality
- No public discussion of cases

20.4.2 Non-Retaliation

The organization strictly prohibits retaliation:

- Employees may raise grievances without fear
- Retaliation is grounds for disciplinary action
- Anonymous reporting options available
- Protection extends to witnesses

Zero Tolerance

Retaliation against employees who raise grievances in good faith will result in severe disciplinary action, up to and including termination.

CHAPTER 21: OCCUPATIONAL SAFETY AND HEALTH

21.1 Safety Policy

21.1.1 Policy Statement

The organization is committed to providing a safe and healthy workplace for all employees, contractors, and visitors. This commitment extends to:

- Compliance with all applicable safety laws and regulations
- Prevention of workplace accidents and illnesses
- Continuous improvement of safety performance
- Employee involvement in safety programs
- Provision of necessary resources for safety

21.1.2 Safety Responsibilities

Safety responsibilities are defined at all levels:

Table 21.1 Safety Responsibilities by Role

Role	Responsibilities
Management	Policy setting, resource allocation, performance monitoring
Supervisors	Enforcing safety rules, incident reporting, training
Employees	Following procedures, reporting hazards, using PPE
Safety Officer	Program administration, inspections, investigations

21.2 Workplace Hazards

21.2.1 Hazard Identification

The organization systematically identifies workplace hazards:

- Regular workplace inspections
- Job hazard analysis
- Incident investigation
- Employee hazard reports
- Equipment safety reviews

21.2.2 Hazard Categories

Workplace hazards are categorized as:

Table 21.2 Workplace Hazard Categories

Category	Examples	Controls
Physical	Noise, heat, radiation, electricity	Engineering controls, PPE
Chemical	Solvents, fumes, dust	Ventilation, handling procedures
Biological	Bacteria, viruses, mold	Hygiene, vaccination
Ergonomic	Repetitive motion, poor posture	Workstation design, breaks
Psychosocial	Stress, harassment, violence	Policies, training, support

21.3 Emergency Procedures

21.3.1 Emergency Preparedness

The organization maintains emergency preparedness:

- Emergency response plans
- Evacuation procedures
- Emergency contact lists
- First aid stations

- Fire fighting equipment
- Regular emergency drills

21.3.2 Emergency Response

In case of emergency:

1. Alert others and activate alarm
2. Call emergency services (180 - Fire, 122 - Police, 123 - Ambulance)
3. Evacuate if instructed
4. Assist others if safe to do so
5. Report to assembly point
6. Do not re-enter until authorized

21.4 Safety Training

21.4.1 Training Requirements

Safety training is mandatory for all employees:

Table 21.3 Safety Training Matrix

Training	Frequency	Audience
General Safety Orientation	At hire	All employees
Fire Safety and Evacuation	Annually	All employees
First Aid/CPR	Every 2 years	Designated responders
Hazard Communication	Annually	Employees handling chemicals
Job-Specific Safety	As needed	Relevant positions

CHAPTER 22: WOMEN'S EMPLOYMENT RIGHTS

22.1 Equal Opportunity

22.1.1 Non-Discrimination Policy

The organization is committed to equal opportunity for women:

- Fair recruitment and selection
- Equal pay for equal work
- Equal access to training and development
- Equal promotion opportunities
- No discrimination based on marital status or pregnancy

22.1.2 Women's Representation

The organization actively promotes women's participation:

- Targets for women's representation at all levels
- Leadership development programs for women
- Mentoring and sponsorship
- Flexible work arrangements

22.2 Maternity Protections

22.2.1 Enhanced Maternity Benefits

Labor Law No. 14 of 2025 significantly enhanced maternity protections:

Table 22.1 Maternity Leave Comparison

Aspect	Old Law (12/2003)	New Law (14/2025)
Duration	90 days	120 days

Maximum times	2 times	3 times
Minimum service	10 months	None
Working hours reduction	Not specified	1 hour from 6th month
Overtime restriction	Not specified	During pregnancy + 6 months after

22.2.2 Maternity Leave Process

Procedure for maternity leave:

1. Notify supervisor and HR of pregnancy
2. Submit medical certificate with expected delivery date
3. Plan leave dates (minimum 45 days after delivery)
4. Complete handover of responsibilities
5. Submit birth certificate upon return

22.3 Working Conditions

22.3.1 Prohibited Work for Women

Egyptian law prohibits women from certain types of work:

- Underground work in mines and quarries
- Work involving exposure to hazardous substances affecting reproductive health
- Work requiring excessive physical effort
- Night work in industrial establishments (with exceptions)

22.3.2 Facilities for Women

The organization provides:

- Separate restroom facilities
- Nursing rooms for breastfeeding mothers
- Secure locker facilities
- Safe transportation for late shifts

22.4 Childcare Provisions

22.4.1 Childcare Support

Support for working mothers:

- On-site childcare facilities (where feasible)
- Childcare subsidies
- Flexible working hours
- Part-time work options
- Extended unpaid childcare leave (up to 2 years)

22.4.2 Nursing Breaks

Breastfeeding mothers are entitled to:

- Two nursing breaks of 1 hour each per day
- Until child reaches 2 years of age
- Option to combine breaks and leave early
- Access to private nursing room

CHAPTER 23: DISCRIMINATION AND EQUALITY

23.1 Non-Discrimination Policy

23.1.1 Policy Statement

The organization prohibits discrimination in all aspects of employment:

- Recruitment and hiring
- Compensation and benefits
- Training and development
- Promotion and advancement
- Discipline and termination

23.1.2 Protected Characteristics

Discrimination is prohibited based on:

Table 23.1 Protected Characteristics

Characteristic	Examples of Prohibited Discrimination
Gender	Pay disparity, promotion barriers, harassment
Religion	Denial of leave, religious accommodation refusal
Origin/Race	Exclusion, stereotyping, unequal treatment
Disability	Failure to accommodate, exclusion
Age	Age limits in hiring, forced retirement
Social Status	Class-based discrimination
Political Views	Retaliation for political beliefs

23.2 Equal Pay

23.2.1 Equal Pay for Equal Work

The organization ensures equal pay for equal work:

- Same salary for same grade and performance level
- No gender-based pay disparities
- Regular pay equity audits
- Correction of any identified disparities

23.2.2 Pay Equity Review

Annual pay equity analysis includes:

- Comparison by gender within grades
- Analysis of promotion rates
- Review of starting salaries
- Action plans for addressing gaps

23.3 Religious and Cultural Accommodations

23.3.1 Religious Accommodation

The organization accommodates religious practices:

- Prayer time accommodation
- Religious holiday observance
- Dietary requirements in canteen
- Dress code accommodations

23.3.2 Cultural Sensitivity

Respect for cultural diversity:

- Cultural awareness training
- Multilingual support where needed

- Respect for cultural practices
- Inclusive workplace celebrations

23.4 Disability Inclusion

23.4.1 Reasonable Accommodation

The organization provides reasonable accommodations:

- Workplace accessibility modifications
- Assistive technology and equipment
- Flexible work arrangements
- Modified duties where needed
- Additional leave if required

23.4.2 Accessibility Standards

Workplace accessibility includes:

- Wheelchair accessible entrances and facilities
- Accessible restrooms
- Visual and auditory alarms
- Ergonomic workstations
- Clear signage and wayfinding

CHAPTER 24: TRADE UNIONS AND COLLECTIVE BARGAINING

24.1 Union Recognition

24.1.1 Right to Organize

Employees have the right to:

- Form and join trade unions
- Engage in collective bargaining
- Participate in union activities
- Be free from retaliation for union activities

24.1.2 Union Registration

Trade unions must be:

- Registered with competent authorities
- Representative of employees
- Operated democratically
- Independent from employer interference

24.2 Collective Agreements

24.2.1 Collective Bargaining Process

The collective bargaining process:

1. Union submits bargaining proposals
2. Employer responds with counter-proposals
3. Negotiation sessions conducted
4. Agreement reached or mediation sought
5. Agreement signed and registered

24.2.2 Collective Agreement Contents

Collective agreements typically cover:

- Wages and salary scales
- Working hours and overtime
- Leave entitlements
- Health and safety provisions
- Grievance procedures
- Benefits and allowances

24.3 Employee Representation

24.3.1 Workers' Committee

In establishments without unions, workers' committees may be formed:

- Elected by employees
- Represents employee interests
- Consults with management
- Addresses workplace issues

24.3.2 Protection of Representatives

Employee representatives are protected:

- No retaliation for representative activities
- Time off for representative duties
- Priority in retention during layoffs

24.4 Dispute Resolution

24.4.1 Dispute Resolution Mechanisms

Labor disputes are resolved through:

- Direct negotiation

- Mediation by Ministry of Manpower
- Conciliation committees
- Arbitration
- Labor courts

24.4.2 New Labor Courts

Labor Law No. 14 of 2025 establishes specialized labor courts:

- Dedicated courts for employment disputes
- Decisions within 3 months for dismissal cases
- Appellate circuits in courts of appeal
- Appeal to Court of Cassation

CHAPTER 25: APPENDICES AND FORMS

25.1 HR Forms

25.1.1 List of HR Forms

The following forms are available through the ERP system:

Table 25.1 HR Forms Directory

Form Code	Form Name	Purpose
HR-001	Manpower Requisition Form	Request to fill position
HR-002	Job Application Form	Candidate application
HR-003	Employment Contract	Employment agreement
HR-004	Leave Application Form	Request for leave
HR-005	Expense Claim Form	Reimbursement request
HR-006	Training Request Form	Request for training
HR-007	Grievance Form	Submit grievance
HR-008	Resignation Form	Notice of resignation
HR-009	Clearance Form	Exit clearance
HR-010	Change Request Form	Personal data changes

25.2 Policy Templates

25.2.1 Department-Specific Policies

Templates for department-specific policies:

- Dress code by department

- Department-specific safety procedures
- Customer service standards
- Quality control procedures

25.2.2 Communication Templates

Standard communication templates:

- Offer letter template
- Promotion announcement
- Policy update notification
- Recognition letter
- Warning letter

25.3 Legal References

25.3.1 Applicable Laws and Regulations

Key legal references:

Table 25.2 Legal References

Law/Regulation	Subject Matter
Constitution of Egypt 2014	Fundamental rights
Labor Law No. 14 of 2025	Employment relationships
Social Insurance Law No. 148 of 2019	Social protection
Health Insurance Law No. 2 of 2018	Health coverage
Personal Data Protection Law	Data privacy
Resolution 279 of 2025	Foreign workers

25.4 Contact Information

25.4.1 HR Department Contacts

Table 25.3 HR Department Contact Directory

Function	Contact	Extension
HR Director	hrdirector@company.com	1001
Recruitment	recruitment@company.com	1002
Payroll	payroll@company.com	1003
Employee Relations	employee.relations@company.com	1004
Training	training@company.com	1005
Benefits	benefits@company.com	1006
HR Hotline	hrhotline@company.com	1000

25.4.2 Government Contacts

Relevant government authorities:

- **Ministry of Manpower:** For labor law matters
- **Social Insurance Authority:** For insurance and pension
- **Tax Authority:** For income tax matters
- **Health Insurance Authority:** For health coverage

Document Control

This HR Policy Manual is a controlled document. The official version is maintained in the ERP system. Any printed copies are uncontrolled and may not reflect the current version. Always refer to the ERP system for the latest policies and procedures.

ACKNOWLEDGMENT

I acknowledge that I have received, read, and understood the HR Policy Manual for the Egyptian ERP System. I agree to comply with all policies, procedures, and guidelines contained herein.

I understand that this manual is subject to change and that I am responsible for staying informed of current policies through the ERP system.

I understand that violation of these policies may result in disciplinary action, up to and including termination of employment.

Employee Name:

Employee ID:

Signature:

Date:

CHAPTER 26: DETAILED PAYROLL PROCEDURES

26.1 Payroll Overview

The payroll function is a critical component of the HR system, ensuring accurate and timely payment of employee salaries while maintaining compliance with all Egyptian tax and social insurance regulations. The payroll process is fully integrated with the ERP system, enabling automated calculations, deductions, and reporting.

26.1.1 Payroll Cycle

The organization operates on a monthly payroll cycle with the following schedule:

Table 26.1 Monthly Payroll Schedule

Date	Activity	Responsible
1st of month	Payroll period opens	HR/Payroll System
20th of month	Attendance and variable data cutoff	HR Department
22nd of month	Payroll processing begins	Payroll Team
25th of month	Payroll review and verification	HR Manager
27th of month	Management approval	Finance Director
28th-30th of month	Salary transfer to bank accounts	Finance Department
1st of next month	Payslip publication on ESS	ERP System

26.1.2 Payroll Components

A typical employee payroll includes the following components:

Earnings:

- Basic Salary - The fixed component of monthly compensation

- Housing Allowance - Allowance for accommodation expenses
- Transportation Allowance - Commute-related payment
- Meal Allowance - Food-related allowance
- Mobile Allowance - Telephone usage reimbursement
- Other Allowances - Role-specific or performance-based
- Overtime Pay - Premium pay for extra hours worked
- Bonuses - Performance or special occasion payments

Deductions:

- Social Insurance (Employee Share) - 11% of contribution salary
- Income Tax - Based on progressive tax brackets
- Health Insurance - Employee contribution portion
- Loan Repayments - Any salary advances or loans
- Other Deductions - Disciplinary or authorized deductions

26.2 Income Tax Calculation

26.2.1 Egyptian Income Tax Brackets (2025)

Income tax in Egypt is calculated using progressive tax brackets:

Table 26.2 Income Tax Brackets 2025

Annual Income (EGP)	Tax Rate
0 - 15,000	0%
15,001 - 30,000	2.5%
30,001 - 45,000	10%
45,001 - 60,000	15%
60,001 - 200,000	20%
200,001 - 400,000	22.5%

Above 400,000

25%

26.2.2 Tax Calculation Example

Monthly Income Tax Calculation Example:

Employee Monthly Salary: EGP 15,000

Annual Salary: $15,000 \times 12 = \text{EGP } 180,000$

Social Insurance Deduction: $9,400 \times 11\% \times 12 = \text{EGP } 12,408$

Taxable Income: $180,000 - 12,408 = \text{EGP } 167,592$

Tax Calculation:

- First 15,000: 0% = EGP 0
- 15,001 - 30,000 (15,000): 2.5% = EGP 375
- 30,001 - 45,000 (15,000): 10% = EGP 1,500
- 45,001 - 60,000 (15,000): 15% = EGP 2,250
- 60,001 - 167,592 (107,592): 20% = EGP 21,518.40

Annual Tax: EGP 25,643.40

Monthly Tax: EGP 2,136.95

26.2.3 Tax Exemptions and Deductions

Certain items are exempt from income tax or provide deductions:

- Social insurance contributions (employee share)
- Professional syndicate subscriptions
- Donations to approved charities (up to limits)
- Interest on savings accounts (up to EGP 3,000)
- Dividend income (under certain conditions)

26.3 Social Insurance Contributions

26.3.1 Contribution Calculation

Social insurance contributions are calculated on the contribution salary, which is capped:

Social Insurance Calculation Example:

Employee Monthly Salary: EGP 12,000

Contribution Salary: EGP 9,400 (capped at maximum)

Employee Contribution (11%): $9,400 \times 11\% = \text{EGP } 1,034$ Employer Contribution (20.75%): $9,400 \times 20.75\% = \text{EGP } 1,950.50$ **Total Monthly Contribution: EGP 2,984.50**

26.3.2 Contribution Allocation

Contributions are allocated to different insurance branches:

Table 26.3 Social Insurance Contribution Allocation

Branch	Employee %	Employer %
Old Age, Disability, Death	10.00%	15.75%
Work Injuries	0%	3.00%
Unemployment	0%	1.00%
End of Service (Individual Account)	1.00%	1.00%

26.4 Payroll Reports

26.4.1 Monthly Payroll Reports

The following reports are generated monthly:

- Payroll Register - Complete list of all employees and payments
- Bank Transfer File - For salary disbursement
- Social Insurance Report - Contribution details for SIA
- Tax Report - Income tax withholding details
- Cost Center Report - Payroll costs by department

- Variance Report - Changes from previous month

26.4.2 Year-End Reports

Annual payroll reports include:

- Annual Tax Statement (Form 41) for each employee
- Total compensation report
- Social insurance annual reconciliation
- Budget vs. actual analysis

CHAPTER 27: RECRUITMENT AND SELECTION DETAILED PROCEDURES

27.1 Workforce Planning

27.1.1 Strategic Workforce Planning

Strategic workforce planning ensures the organization has the right people with the right skills at the right time. The process involves:

1. **Environmental Scanning:** Analyzing external factors affecting workforce needs including economic conditions, industry trends, technological changes, and labor market dynamics.
2. **Business Strategy Alignment:** Understanding organizational goals and how they translate to workforce requirements.
3. **Current State Assessment:** Evaluating existing workforce composition, skills inventory, performance levels, and demographic profile.
4. **Future State Definition:** Determining future workforce needs based on business projections.
5. **Gap Analysis:** Identifying gaps between current and future workforce requirements.
6. **Action Planning:** Developing strategies to address gaps through recruitment, training, restructuring, or outsourcing.

27.1.2 Workforce Planning Metrics

Key metrics used in workforce planning:

Table 27.1 Workforce Planning Metrics

Metric	Formula	Target
Turnover Rate	$(\text{Separations} / \text{Average Headcount}) \times 100$	< 10%
Time to Fill	Average days from requisition to offer acceptance	< 45 days
Cost per Hire	Total recruitment costs / Number of hires	Varies by level

Quality of Hire	Performance rating of new hires after 1 year	> 3.5/5
Internal Fill Rate	(Internal promotions / Total fills) × 100	> 30%

27.2 Sourcing Strategies

27.2.1 Direct Sourcing

Direct sourcing methods include:

- **Company Career Portal:** The primary channel for receiving applications. Integrated with the ERP system for seamless processing.
- **Employee Referrals:** Encouraged through referral bonus programs. Referred candidates typically have higher success rates.
- **Social Media:** LinkedIn, Facebook, and professional networks for targeted outreach.
- **Direct Headhunting:** For senior and specialized positions.
- **University Relations:** Campus recruitment programs for entry-level positions.

27.2.2 Indirect Sourcing

Indirect sourcing through third parties:

- **Recruitment Agencies:** For specialized or difficult-to-fill positions
- **Job Boards:** Wuzzuf, LinkedIn Jobs, Bayt, and industry-specific boards
- **Professional Associations:** Industry-specific networks
- **Job Fairs:** Industry and university career fairs

27.2.3 Sourcing Effectiveness

Measuring sourcing channel effectiveness:

Table 27.2 Sourcing Channel Performance

Channel	Volume	Quality	Cost	Time
Career Portal	High	Medium	Low	Medium
Employee Referral	Medium	High	Medium	Short

Recruitment Agencies	Low	High	High	Medium
Job Boards	High	Medium	Medium	Medium
University Recruitment	Medium	Medium	Low	Long

27.3 Assessment Methods

27.3.1 Pre-Employment Assessments

Various assessment tools may be used based on position requirements:

- **Cognitive Ability Tests:** Verbal, numerical, and logical reasoning
- **Technical Skills Tests:** Job-specific knowledge and skills
- **Personality Assessments:** Behavioral style and cultural fit
- **Situational Judgment Tests:** Decision-making scenarios
- **Work Samples:** Practical demonstrations of job skills
- **Assessment Centers:** Comprehensive evaluation for senior roles

27.3.2 Interview Techniques

Structured interview approaches:

- **Behavioral Interviews:** "Tell me about a time when..." questions based on past behavior predicting future performance
- **Competency-Based Interviews:** Questions mapped to specific job competencies
- **Case Interviews:** Problem-solving scenarios for analytical roles
- **Panel Interviews:** Multiple interviewers for comprehensive evaluation
- **Sequential Interviews:** Multiple rounds with different stakeholders

27.4 Background Verification

27.4.1 Verification Components

Comprehensive background verification includes:

Table 27.3 Background Verification Checklist

Component	Method	Timeline
Identity Verification	National ID validation	1 day
Employment History	Reference calls to previous employers	3-5 days
Education Verification	Contact with educational institutions	5-10 days
Criminal Record Check	Police clearance certificate	7-14 days
Credit Check	Credit bureau inquiry	2-3 days
Professional Licenses	Verification with issuing authority	3-5 days

27.4.2 Medical Examination

Pre-employment medical requirements:

- General physical examination
- Vital signs (blood pressure, heart rate, temperature)
- Vision and hearing tests
- Blood tests (complete blood count, blood sugar)
- Urine analysis
- Chest X-ray
- Drug screening (where applicable)
- Job-specific tests (e.g., fitness tests for physical roles)

CHAPTER 28: EMPLOYEE RELATIONS

28.1 Employee Engagement

28.1.1 Engagement Strategy

The organization's employee engagement strategy focuses on creating a positive work environment where employees feel valued, motivated, and committed to organizational success. Key elements include:

- **Meaningful Work:** Ensuring employees understand how their work contributes to organizational goals
- **Growth Opportunities:** Providing clear career paths and development opportunities
- **Recognition:** Acknowledging and rewarding contributions
- **Work-Life Balance:** Supporting employees in managing personal and professional responsibilities
- **Communication:** Maintaining open and transparent communication channels
- **Leadership:** Developing effective leaders who inspire and support their teams

28.1.2 Engagement Measurement

Employee engagement is measured through:

- Annual engagement surveys
- Pulse surveys throughout the year
- Exit interview analysis
- Performance review feedback
- Retention rate tracking

28.2 Internal Communications

28.2.1 Communication Channels

Multiple channels ensure effective communication:

Table 28.1 Internal Communication Channels

Channel	Purpose	Frequency
All-Hands Meetings	Company-wide updates	Quarterly
Department Meetings	Team-specific updates	Weekly/Monthly
Email Announcements	Important updates	As needed
Intranet/Portal	Information repository	Continuous
Newsletter	Company news and highlights	Monthly
Notice Boards	Postings and announcements	As needed

28.3 Employee Recognition

28.3.1 Recognition Programs

Comprehensive recognition programs include:

- **Spot Awards:** Immediate recognition for exceptional effort
- **Employee of the Month:** Monthly recognition with certificate and prize
- **Service Awards:** Recognition at 5, 10, 15, 20, and 25 years of service
- **Performance Awards:** Annual recognition for top performers
- **Innovation Awards:** Recognition for creative solutions and improvements
- **Team Awards:** Recognition for outstanding team performance
- **Customer Service Awards:** Recognition for exceptional customer service

28.3.2 Recognition Guidelines

Effective recognition principles:

- **Timely** - Recognize soon after the achievement
- **Specific** - Clearly state what was done well
- **Meaningful** - Match the recognition to the achievement

- Public - Share recognition appropriately
- Consistent - Apply standards fairly

CHAPTER 29: LEGAL COMPLIANCE FRAMEWORK

29.1 Egyptian Labor Law Compliance

29.1.1 Compliance Framework

The organization maintains a comprehensive compliance framework covering all aspects of Egyptian labor law:

- Regular legal updates monitoring
- Policy review and alignment
- Training and awareness programs
- Internal audits and assessments
- Corrective action procedures

29.1.2 Compliance Calendar

Table 29.1 Annual Compliance Calendar

Month	Activity	Responsible
January	Annual leave balance review	HR
February	Training fund contribution verification	Finance
March	Social insurance reconciliation	HR/Finance
April	Work permit renewals for foreign employees	HR
May	Minimum wage compliance check	HR
June	Mid-year compliance audit	Internal Audit
July	Semi-annual foreign worker reporting	HR
August	Policy review and update	HR

September	Safety inspection and certification	HSE
October	Annual tax statement preparation	Finance
November	People of determination quota review	HR
December	Year-end compliance review	HR/Legal

29.2 Penalties for Non-Compliance

29.2.1 Labor Law Violations

Penalties under Labor Law No. 14 of 2025:

Table 29.2 Labor Law Penalties

Violation	Penalty
Failure to provide written contract	EGP 500 - 2,000 per employee
Non-payment of minimum wage	EGP 1,000 - 5,000 per employee
Failure to register social insurance	EGP 5,000 - 20,000
Exceeding working hours limits	EGP 500 - 2,000 per violation
Discrimination	EGP 5,000 - 20,000 per case
Forced labor	EGP 10,000 - 20,000 per worker

29.3 Documentation Requirements

29.3.1 Required Documents

Documents that must be maintained for each employee:

- Signed employment contract (4 copies)
- Copy of national ID or passport
- Educational certificates

- Work experience certificates
- Military service certificate (for males)
- Social insurance registration
- Medical examination report
- Job description
- Performance evaluations
- Training records
- Disciplinary records (if any)
- Leave records
- Attendance records

CHAPTER 30: HR ANALYTICS AND REPORTING

30.1 HR Metrics Dashboard

30.1.1 Key HR Metrics

The organization tracks comprehensive HR metrics:

Table 30.1 Key HR Metrics

Category	Metric	Formula
Workforce	Headcount	Total active employees
	Turnover Rate	$(\text{Separations} / \text{Avg Headcount}) \times 100$
	Retention Rate	$(\text{Employees retained} / \text{Starting headcount}) \times 100$
Recruitment	Time to Fill	Average days from requisition to acceptance
	Cost per Hire	Total recruitment cost / Number of hires
	Offer Acceptance Rate	$(\text{Offers accepted} / \text{Offers made}) \times 100$
Performance	Performance Rating Distribution	% of employees at each rating level
	Goal Achievement Rate	% of goals achieved vs. set
	High Performer Retention	Retention rate of top performers
Compensation	Average Salary	Total salaries / Headcount
	Salary Range Penetration	$(\text{Salary} - \text{Range Min}) / (\text{Range Max} - \text{Range Min})$
	Compa-Ratio	Actual salary / Midpoint salary

30.2 HR Reporting

30.2.1 Standard Reports

Regular HR reports generated through the ERP system:

- **Headcount Report:** Current workforce by department, grade, gender, age
- **Movement Report:** Hires, terminations, transfers, promotions
- **Attendance Report:** Absence patterns, overtime, leave balances
- **Payroll Summary:** Total compensation by category
- **Training Report:** Training hours, completion rates, costs
- **Performance Report:** Rating distributions, goal achievement

30.2.2 Custom Reports

The ERP system allows generation of custom reports based on specific requirements. Users can:

- Select data fields
- Apply filters
- Choose date ranges
- Export to various formats
- Schedule automated delivery

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CHAPTER 31: DETAILED LEAVE ADMINISTRATION

31.1 Leave Management Framework

31.1.1 Leave Policy Objectives

The organization's leave management framework is designed to achieve multiple objectives that balance employee welfare with operational requirements. The primary objectives include ensuring compliance with Egyptian Labor Law No. 14 of 2025, providing employees with adequate rest and personal time, maintaining productivity through proper workforce planning, and creating a transparent and fair system for leave administration.

The framework recognizes that employees have diverse needs for time away from work, including rest and recreation, health and medical needs, family responsibilities, religious observances, and personal development. By providing comprehensive leave entitlements, the organization aims to support employee well-being while ensuring business continuity.

31.1.2 Leave Categories Overview

The organization provides multiple categories of leave to address different employee needs. Each leave category has specific eligibility criteria, entitlement calculations, and administrative procedures. The leave categories are designed to comply with statutory requirements while providing additional benefits where appropriate.

Statutory leave categories mandated by Egyptian law include annual leave, sick leave, maternity leave, and public holidays. The organization enhances these with additional categories such as paternity leave, bereavement leave, marriage leave, study leave, and unpaid leave for personal reasons.

31.2 Annual Leave Detailed Procedures

31.2.1 Annual Leave Accrual

Annual leave accrues based on length of service according to the provisions of Labor Law No. 14 of 2025. The accrual system operates as follows:

For employees in their first year of service, leave accrues at the rate of 1.25 days per month, totaling 15 days for the full year. This leave becomes available after completing six months of continuous service. During the first six months, employees may take emergency leave for urgent matters, which is deducted from their future annual leave entitlement.

From the second year of service, employees accrue leave at the rate of 1.75 days per month, totaling 21 days annually. This higher accrual rate recognizes the employee's commitment to the organization and provides additional time for rest and personal matters.

Employees who complete ten years of continuous service, or who reach the age of fifty, accrue leave at the enhanced rate of 2.5 days per month, totaling 30 days annually. This enhanced entitlement recognizes the contribution of long-serving employees and the increased need for rest as employees age.

Persons with disabilities are entitled to 45 days of annual leave from the commencement of their employment, recognizing the additional challenges they may face. Similarly, employees engaged in hazardous, unhealthy, or remote work receive an additional seven days of annual leave.

31.2.2 Leave Year and Carry Forward

The leave year runs from January 1 to December 31. Employees are encouraged to utilize their annual leave within the leave year. However, the organization recognizes that operational requirements may prevent full utilization, and therefore permits carry forward of unused leave.

The maximum carry forward allowed is one year's entitlement. Any leave beyond this is forfeited unless special circumstances apply. Employees with exceptional circumstances may request approval for extended carry forward from the HR Director.

Upon separation from the organization, employees are entitled to payment for all accrued but unused annual leave. This payment is calculated based on the employee's current salary and is included in the final settlement.

31.2.3 Leave Planning and Approval

Effective leave planning ensures both employee satisfaction and operational continuity. The organization follows a structured approach to leave planning and approval.

Employees are required to submit leave requests at least fifteen days in advance for planned leave. This advance notice allows supervisors to plan for coverage and ensure that

operational requirements are met. Requests submitted with less notice may be approved at the supervisor's discretion based on operational needs.

Supervisors are responsible for reviewing leave requests and making approval decisions based on several factors. These include operational requirements and staffing levels, the employee's leave balance, previous leave patterns, and the timing of the requested leave in relation to business cycles.

The ERP system facilitates the leave approval process by providing real-time visibility of team leave schedules, enabling supervisors to make informed decisions. The system also enforces approval hierarchies and ensures that all required approvals are obtained before leave is confirmed.

31.3 Sick Leave Administration

31.3.1 Sick Leave Entitlement Details

Sick leave entitlement in Egypt is governed by the Social Insurance Law No. 148 of 2019. The entitlement provides income protection for employees who are unable to work due to illness or injury.

The standard sick leave entitlement is 180 days per calendar year. This can be taken as a continuous period or as separate periods as needed. The compensation during sick leave varies based on the duration of the absence.

For the first 90 days of sick leave in any calendar year, employees receive 75% of their daily contribution salary from the Social Insurance Authority. For days 91 through 180, the compensation increases to 85% of the daily contribution salary.

Employees suffering from chronic diseases receive special consideration. They are entitled to compensation equivalent to their full contribution salary for the entire period of illness until recovery, stabilization, or determination of total disability. This provision recognizes the ongoing nature of chronic conditions and provides greater financial security.

Work-related injuries and occupational diseases are treated differently. Employees are entitled to 100% of their salary from the first day of injury, recognizing that workplace injuries are the employer's responsibility.

31.3.2 Medical Certification Requirements

To qualify for sick leave, employees must provide appropriate medical documentation. The requirements vary based on the duration and nature of the illness.

For absences of one to three days, employees must inform their supervisor on the first day of absence and provide a medical certificate upon return. The certificate should state the nature of the illness and confirm that the employee was unfit for work.

For absences exceeding three days, employees must provide a medical certificate from an approved medical authority within 48 hours of the absence beginning. The certificate must include a diagnosis, the expected duration of incapacity, and any restrictions on return to work.

For extended absences, employees may be required to undergo examination by the organization's designated medical practitioner. This examination helps verify the continued need for sick leave and assess fitness for return to work.

All medical information is treated as confidential and is shared only with those who have a legitimate need to know. Medical certificates are stored securely and are not placed in the employee's personnel file without the employee's consent.

31.4 Maternity and Family Leave

31.4.1 Maternity Leave Provisions

Labor Law No. 14 of 2025 significantly enhanced maternity leave provisions in Egypt. These enhancements reflect a growing recognition of the importance of supporting working mothers.

The duration of maternity leave was increased from 90 days to 120 days. This leave can be taken before and after childbirth, with a minimum of 45 days required after delivery. The flexibility in timing allows women to prepare for childbirth and recover adequately before returning to work.

The maximum number of times maternity leave can be taken was increased from two to three during employment with the same employer. This change recognizes that many women have more than two children and ensures they can benefit from maternity leave for each birth.

Perhaps most significantly, the minimum service requirement was eliminated. Under the previous law, women needed ten months of service to qualify for maternity leave. The new law makes maternity leave available from the first day of employment, ensuring all working women have access to this important protection.

During maternity leave, employees receive their full salary. This is funded 75% by the social insurance system and 25% by the employer. In practice, many employers pay the full

amount and claim reimbursement from the social insurance authority.

31.4.2 Working Conditions During Pregnancy

The new labor law introduces important protections for pregnant employees. From the sixth month of pregnancy, daily working hours must be reduced by at least one hour with no reduction in pay. This reduction helps accommodate the increased fatigue and physical demands of late pregnancy.

Pregnant employees cannot be required to work overtime during pregnancy and for six months after giving birth. This protection ensures that new mothers have adequate time for rest and childcare.

If the nature of the work is hazardous or strenuous for pregnant women, the employer must transfer the employee to suitable alternative work with no reduction in pay. This provision protects both the mother and the unborn child from workplace hazards.

31.4.3 Paternity Leave

For the first time in Egyptian labor law, Labor Law No. 14 of 2025 introduces statutory paternity leave. Male employees are entitled to one day of paid leave on the day of their child's birth.

This leave can be taken up to three times during employment with the same employer. The leave does not deduct from annual leave entitlement and is paid at full salary.

While the duration is modest compared to maternity leave, the introduction of paternity leave represents an important step toward recognizing the role of fathers in childcare and promoting gender equality in parenting responsibilities.

31.4.4 Childcare Leave

Female employees are entitled to unpaid childcare leave of up to two years to care for their child. This leave can be taken up to three times during employment, provided the employee has completed at least one year of service.

During childcare leave, the employment relationship continues but the employee does not receive salary or accrue benefits. Social insurance contributions may be suspended during this period.

Childcare leave provides important flexibility for working mothers who wish to extend their time with young children beyond the maternity leave period. It supports work-life

balance while allowing women to maintain their employment status and career progression.

31.5 Special Leave Categories

31.5.1 Study Leave

The organization supports employees who are pursuing education and professional development. Study leave provisions allow employees to balance work and educational commitments.

Employees preparing for examinations while pursuing non-professional qualifications have the right to determine the timing of their annual leave. They must notify their employer at least fifteen days before taking leave for exam preparation.

For the actual examination days, employees are entitled to paid study leave that does not deduct from annual leave balance. The employee must notify the employer at least ten days before the examination and provide proof of examination attendance.

The organization may also provide additional support for education, including flexible working hours, reduced workloads during examination periods, and financial assistance for tuition and materials.

31.5.2 Hajj Leave

Muslim employees who have completed five years of continuous service are entitled to one month of fully paid leave to perform the Hajj pilgrimage. This leave can be taken only once during employment.

To qualify for Hajj leave, employees must provide evidence of their intention to perform Hajj, such as travel bookings or registration with a Hajj group. Upon return, they must provide proof of Hajj completion.

Hajj leave recognizes the religious significance of this pilgrimage for Muslim employees and supports their spiritual obligations.

31.5.3 Bereavement Leave

The organization provides paid bereavement leave to allow employees to grieve and attend to family matters following the death of a family member.

For the death of a spouse, child, or parent, employees are entitled to five working days of paid leave. For the death of a sibling, grandparent, or grandchild, the entitlement is three working days. For the death of a parent-in-law or sibling-in-law, the entitlement is two working days.

Employees may request additional unpaid leave if needed, which is considered on a case-by-case basis. The organization recognizes that grief affects individuals differently and strives to provide appropriate support.

31.5.4 Marriage Leave

Employees are entitled to five working days of paid leave for their own marriage. This leave can be taken only once during employment.

To qualify for marriage leave, employees must provide a copy of their marriage certificate. The leave should be taken around the time of the wedding ceremony.

Marriage leave supports employees during this important life event and allows them time to establish their new household.

CHAPTER 32: PERFORMANCE MANAGEMENT DETAILED FRAMEWORK

32.1 Performance Management Philosophy

32.1.1 Purpose and Principles

The performance management system is designed to align individual and team performance with organizational objectives, provide regular feedback to support employee development, recognize and reward high performance, identify and address performance issues, and create a culture of continuous improvement.

The system is based on several core principles. Performance management is a continuous process, not a once-a-year event. It involves ongoing conversations between managers and employees about goals, progress, and development. The system is fair and transparent, with clear standards and consistent application across the organization.

Performance management is forward-looking, focusing not just on past performance but on future potential and development. It is a two-way process, with both managers and employees contributing to discussions and decisions.

32.1.2 Performance Management Cycle

The performance management cycle consists of four interconnected stages that operate throughout the year.

Planning occurs at the beginning of the performance period. Managers and employees collaborate to set goals, define performance standards, identify required competencies, and create development plans. This stage establishes the foundation for the entire cycle.

Monitoring and coaching happens throughout the performance period. Managers provide regular feedback, recognize achievements, address issues promptly, and support employee development. This ongoing engagement ensures that employees stay on track and receive the support they need.

Review takes place at the end of the performance period. Managers and employees assess performance against goals, document achievements and challenges, identify development

needs, and prepare for the next cycle. This formal review provides a comprehensive assessment of the period's performance.

Rating and reward follow the review. Performance ratings are assigned based on established criteria, and reward decisions are made accordingly. This stage recognizes performance and motivates continued excellence.

32.2 Goal Setting Framework

32.2.1 SMART Goals

Goals are set using the SMART framework to ensure clarity and achievability. SMART stands for Specific, Measurable, Achievable, Relevant, and Time-bound.

Specific goals clearly define what needs to be accomplished. They answer the questions of who, what, where, when, and why. A specific goal provides clear direction and leaves no room for ambiguity.

Measurable goals include quantifiable indicators that allow progress to be tracked and success to be determined. Measures may include quantities, qualities, timelines, or costs.

Achievable goals are realistic given available resources, skills, and constraints. While goals should be challenging, they must also be attainable to maintain motivation and credibility.

Relevant goals align with broader organizational objectives and contribute to the department's mission. They should matter to the organization and to the employee's role.

Time-bound goals have clear deadlines or milestones. This creates urgency and allows progress to be monitored against a timeline.

32.2.2 Goal Categories

Goals are categorized to ensure balanced performance across multiple dimensions. The organization uses a framework similar to the Balanced Scorecard.

Financial goals focus on financial performance and resource management. Examples include revenue targets, cost reduction, budget adherence, and return on investment.

Customer goals address customer satisfaction and relationship management. Examples include customer satisfaction scores, retention rates, response times, and service quality.

Internal process goals focus on operational efficiency and effectiveness. Examples include process improvement, quality metrics, productivity measures, and cycle time reduction.

Learning and growth goals address employee development and organizational capability. Examples include training completion, skill acquisition, knowledge sharing, and innovation.

32.3 Performance Evaluation

32.3.1 Evaluation Criteria

Performance is evaluated against multiple criteria to provide a comprehensive assessment.

Goal achievement measures the extent to which the employee accomplished their stated objectives. This is the primary criterion for performance evaluation and typically carries the highest weight.

Competency demonstration assesses how the employee performed their work, not just what they achieved. This includes evaluation of core competencies such as communication, teamwork, problem-solving, and adaptability.

Behavioral alignment evaluates how well the employee demonstrated organizational values and adhered to policies and standards. This includes factors such as attendance, punctuality, professionalism, and ethical conduct.

32.3.2 Performance Rating Scale

Performance is rated on a five-point scale with clear definitions for each level.

Rating 5 - Exceptional Performance indicates that the employee far exceeded all expectations and delivered extraordinary results. They demonstrated exceptional skill, initiative, and impact. This rating is reserved for truly outstanding performance and is typically achieved by no more than 10% of employees.

Rating 4 - Exceeds Expectations indicates that the employee consistently exceeded performance standards and delivered more than expected. They demonstrated strong capabilities and made significant contributions. This rating applies to approximately 15-20% of employees.

Rating 3 - Meets Expectations indicates that the employee fully met all performance standards and delivered expected results. They demonstrated competent performance and fulfilled all requirements. This is the standard expected rating and applies to the majority of employees.

Rating 2 - Needs Improvement indicates that the employee partially met expectations but fell short in some areas. Improvement is needed to meet full performance standards. This rating triggers support and development interventions.

Rating 1 - Unsatisfactory indicates that the employee did not meet minimum performance requirements. Significant improvement is required, and continued performance at this level may result in disciplinary action.

32.4 Performance Calibration

32.4.1 Calibration Process

Performance calibration ensures consistency and fairness in ratings across the organization. The calibration process involves managers coming together to discuss and align their ratings.

Calibration sessions are conducted at the department and organizational levels. Managers present their proposed ratings and the rationale behind them. Peers provide feedback and challenge ratings that seem inconsistent with observed performance.

The calibration process helps identify rating inflation or deflation, ensures that similar performance receives similar ratings across different managers, and promotes understanding of performance standards.

32.4.2 Forced Distribution

The organization uses a guided distribution approach to ensure that performance ratings reflect the actual distribution of performance. While not a strict forced curve, the distribution guidelines help prevent rating inflation.

The target distribution is: Exceptional (5) - up to 10%, Exceeds (4) - 15-20%, Meets (3) - 50-60%, Needs Improvement (2) - 10-15%, Unsatisfactory (1) - up to 5%.

Managers must provide strong justification for distributions that deviate significantly from these guidelines, particularly for high concentrations of top ratings.

CHAPTER 33: TRAINING AND DEVELOPMENT FRAMEWORK

33.1 Learning Strategy

33.1.1 Strategic Approach to Learning

The organization's learning strategy is built on the understanding that employee development is essential for organizational success. The strategy aims to build the capabilities needed to achieve business objectives, support employee career aspirations, foster a culture of continuous learning, and ensure compliance with regulatory requirements.

The learning strategy recognizes that development happens through multiple channels. The 70-20-10 model guides the organization's approach: 70% of learning comes from on-the-job experiences and challenging assignments, 20% comes from developmental relationships including mentoring and coaching, and 10% comes from formal training programs.

33.1.2 Learning Governance

The learning governance structure ensures that training investments align with organizational priorities and deliver value.

The Learning Council, comprising senior leaders and HR, sets the strategic direction for learning, approves major training investments, and monitors learning outcomes. The council meets quarterly to review progress and make decisions.

The Learning Operations Team manages day-to-day training activities, including program design and delivery, vendor management, budget administration, and reporting.

Department Learning Coordinators serve as liaisons between the learning team and business units, identifying training needs, promoting learning programs, and supporting employee development planning.

33.2 Training Needs Analysis

33.2.1 Organizational Level Analysis

Organizational level training needs analysis examines the capabilities required to achieve strategic objectives. This analysis considers business strategy and goals, anticipated changes in the business environment, technological developments, competitive pressures, and regulatory requirements.

The output of organizational analysis is a high-level map of capability gaps and priorities that guide the overall learning strategy and major training investments.

33.2.2 Job Level Analysis

Job level analysis identifies the knowledge, skills, and abilities required for successful performance in specific roles. This analysis forms the basis for competency frameworks, job descriptions, and role-specific training programs.

Job analysis involves reviewing job descriptions and specifications, observing high performers, interviewing subject matter experts, and analyzing performance data. The output is a detailed understanding of what each role requires and where gaps may exist.

33.2.3 Individual Level Analysis

Individual level training needs analysis identifies the specific development needs of each employee. This analysis considers current performance, career aspirations, feedback from managers, and self-assessment.

Individual needs are captured in the Individual Development Plan (IDP), which outlines the employee's development goals and the activities planned to achieve them. The IDP is created during the performance planning process and reviewed regularly.

33.3 Training Delivery Methods

33.3.1 Classroom Training

Classroom training remains an important delivery method, particularly for foundational knowledge and skills. The organization maintains training facilities and engages qualified trainers for in-person instruction.

Classroom training is most effective for topics requiring interaction and discussion, complex subjects that benefit from instructor guidance, and team-based learning activities.

33.3.2 E-Learning

The organization's Learning Management System (LMS) provides access to a wide range of online courses and resources. E-learning offers flexibility, allowing employees to learn at their own pace and convenience.

The LMS tracks completion and assessment results, providing data for compliance reporting and learning analytics. Integration with the ERP system ensures that training records are maintained in the employee's profile.

33.3.3 On-the-Job Training

On-the-job training is the most common form of learning in the organization. This includes structured on-the-job training programs with defined learning objectives, job shadowing to observe experienced performers, stretch assignments that challenge employees to develop new skills, and project-based learning through participation in cross-functional initiatives.

33.3.4 Coaching and Mentoring

Coaching and mentoring provide personalized development support. Coaching focuses on improving specific skills and performance, typically provided by the employee's manager or a professional coach. Mentoring provides broader career guidance and support, typically provided by a more experienced colleague.

The organization has formal mentoring programs for new employees, high-potential employees, and employees preparing for leadership roles.

33.4 Training Evaluation

33.4.1 Kirkpatrick Evaluation Model

The organization uses the Kirkpatrick Four Levels model to evaluate training effectiveness.

Level 1 - Reaction measures participant satisfaction with the training. This is assessed through post-training surveys that ask about relevance, quality, and applicability.

Level 2 - Learning measures the knowledge and skills gained from training. This is assessed through tests, simulations, and demonstrations of learning.

Level 3 - Behavior measures the application of learning on the job. This is assessed through manager observations, performance reviews, and follow-up surveys.

Level 4 - Results measures the impact of training on business outcomes. This is assessed through metrics such as productivity, quality, customer satisfaction, and employee engagement.

33.4.2 Return on Investment

For major training investments, the organization calculates return on investment (ROI) to assess value delivered. ROI compares the benefits of training (improved performance, reduced costs, increased revenue) to the costs (program development, delivery, participant time).

ROI analysis helps prioritize training investments and demonstrate the value of learning to organizational stakeholders.

CHAPTER 34: COMPENSATION AND BENEFITS DETAILED FRAMEWORK

34.1 Compensation Philosophy and Strategy

34.1.1 Compensation Principles

The organization's compensation strategy is built on fundamental principles that guide all pay decisions. Internal equity ensures that pay relationships between jobs within the organization are fair and consistent. Jobs of similar value to the organization receive similar compensation, regardless of the incumbent.

External competitiveness ensures that the organization's pay levels are aligned with the market. Regular market surveys inform pay structure adjustments to maintain competitive positioning. The organization aims to pay at or above market median for most positions.

Performance linkage ensures that high performers are rewarded appropriately. The pay system recognizes and reinforces exceptional contribution, motivating employees to achieve their best.

Legal compliance ensures that all compensation practices adhere to Egyptian labor laws, including minimum wage requirements, overtime regulations, and equal pay provisions.

34.1.2 Pay Positioning Strategy

The organization targets the following market positioning:

- Entry-level positions: Market median (50th percentile)
- Professional positions: Market median to 60th percentile
- Management positions: 60th to 75th percentile
- Executive positions: 75th percentile and above

This positioning strategy reflects the organization's commitment to attracting and retaining quality talent while maintaining cost discipline.

34.2 Salary Structure Design

34.2.1 Grade Structure

The salary structure consists of grades that group jobs of similar value. Each grade has a salary range with minimum, midpoint, and maximum values.

The minimum represents the entry point for the grade, typically for employees with minimal experience. The midpoint represents the market rate for fully competent performance. The maximum represents the ceiling for the grade, typically achieved by experienced high performers.

The range spread (the difference between minimum and maximum as a percentage of minimum) varies by level:

- Operational levels: 40-50% spread
- Professional levels: 50-60% spread
- Management levels: 60-70% spread
- Executive levels: 70-100% spread

34.2.2 Compa-Ratio

Compa-ratio measures where an employee's salary falls within their grade range. It is calculated as:

$$\text{Compa-Ratio} = \text{Actual Salary} / \text{Range Midpoint}$$

Example: Employee salary EGP 18,000 in grade with midpoint EGP 15,000

$$\text{Compa-Ratio} = 18,000 / 15,000 = 1.20 \text{ or } 120\%$$

Compa-ratio interpretation:

- Below 0.80: New to role or performance issues
- 0.80-0.95: Developing in role
- 0.95-1.05: Fully competent
- 1.05-1.15: Strong performer
- Above 1.15: Exceptional performer or at range maximum

34.3 Variable Pay Programs

34.3.1 Annual Bonus

The annual bonus program rewards collective and individual performance. The bonus pool is determined based on organizational performance against financial and operational targets.

Individual bonus awards consider organizational performance, department performance, and individual performance rating. The bonus matrix aligns these factors to determine award levels.

Table 34.1 Bonus Matrix (as % of Target)

Individual Performance	Org Exceeds	Org Meets	Org Below
Exceptional (5)	200%	150%	100%
Exceeds (4)	150%	125%	75%
Meets (3)	125%	100%	50%
Needs Improvement (2)	75%	50%	0%
Unsatisfactory (1)	0%	0%	0%

34.3.2 Spot Awards

Spot awards provide immediate recognition for exceptional contributions. Managers can recommend spot awards for:

- Exceptional effort on critical projects
- Going above and beyond normal duties
- Innovative solutions to problems
- Outstanding customer service
- Demonstrating organizational values

Spot award amounts range from EGP 500 to EGP 5,000 depending on the significance of the contribution.

34.4 Employee Benefits Program

34.4.1 Health Insurance

The organization provides comprehensive health insurance coverage through a combination of social health insurance and private supplemental coverage.

Social health insurance is mandatory for all employees and provides basic coverage for medical treatment, hospitalization, and medications. The organization enrolls all employees in the social health insurance system and pays the employer contribution.

Private health insurance provides enhanced coverage including access to private hospitals and clinics, broader network of providers, faster appointment scheduling, and additional services such as dental and vision care.

Coverage levels vary by employee grade, with higher grades receiving more comprehensive coverage and higher annual limits.

34.4.2 Life Insurance

The organization provides group life insurance for all employees. The coverage amount is typically a multiple of annual salary:

- Operational staff: 1x annual salary
- Professional staff: 2x annual salary
- Management: 3x annual salary
- Executives: 4x annual salary

Employees may purchase additional voluntary coverage through the group plan at favorable rates.

34.4.3 Retirement Benefits

In addition to social insurance pension, the organization offers supplementary retirement benefits:

The End of Service Benefit accumulates through individual accounts funded by 2% of salary (1% employee, 1% employer) plus investment returns. This provides a lump sum payment upon retirement or separation.

Voluntary savings plans allow employees to contribute additional amounts toward retirement on a tax-advantaged basis.

CHAPTER 35: EMPLOYEE RELATIONS AND ENGAGEMENT

35.1 Employee Communication Strategy

35.1.1 Communication Principles

Effective employee communication is essential for organizational success. The communication strategy is built on principles of transparency, timeliness, two-way dialogue, and consistency.

Transparency means sharing information openly while respecting confidentiality requirements. Employees are informed about organizational direction, performance, and changes that affect them.

Timeliness ensures that information is communicated when it is needed, not after the fact. Important updates are shared promptly through appropriate channels.

Two-way dialogue creates opportunities for employees to ask questions, provide feedback, and share ideas. Communication is not just top-down but involves active listening and response.

Consistency ensures that messages are aligned across different channels and communicators. Mixed messages create confusion and undermine trust.

35.1.2 Communication Channels

The organization uses multiple channels to reach employees with different types of information:

Digital channels include the company intranet, email announcements, the ERP self-service portal, mobile app notifications, and digital signage. These channels are effective for timely, wide-reaching communication.

Face-to-face channels include town hall meetings, department meetings, team huddles, and one-on-one conversations. These channels are effective for complex information, sensitive topics, and building relationships.

Print channels include notice boards, newsletters, and posters. These channels complement digital communication and reach employees who may have limited digital access.

35.2 Employee Engagement Initiatives

35.2.1 Engagement Drivers

Research and employee feedback have identified key drivers of engagement in the organization:

- **Meaningful Work:** Understanding how one's work contributes to organizational success
- **Growth Opportunities:** Having chances to learn, develop, and advance
- **Recognition:** Feeling appreciated for contributions
- **Leadership:** Having managers who support and inspire
- **Work Environment:** Having the resources and conditions to do good work
- **Well-being:** Feeling supported in maintaining health and balance

35.2.2 Engagement Programs

The organization implements various programs to strengthen engagement:

Employee Resource Groups (ERGs) bring together employees with shared interests or backgrounds. ERGs provide networking, professional development, and community involvement opportunities.

Volunteer programs enable employees to contribute to community causes during work time. These programs build team spirit while making a positive social impact.

Social events and celebrations create opportunities for employees to connect informally. Events may include team outings, holiday celebrations, and milestone recognition.

Wellness programs support employee physical and mental health. Offerings may include fitness challenges, health screenings, stress management workshops, and counseling services.

35.3 Employee Feedback Mechanisms

35.3.1 Engagement Surveys

The organization conducts regular engagement surveys to measure employee sentiment and identify improvement opportunities.

The annual engagement survey is a comprehensive assessment covering all aspects of the employee experience. Results are analyzed at organizational, department, and team levels. Action plans are developed to address identified issues.

Pulse surveys are shorter, more frequent surveys that track progress on specific topics. These provide real-time feedback on initiatives and emerging issues.

35.3.2 Other Feedback Channels

Additional channels for employee feedback include:

- Exit interviews with departing employees
- Stay interviews with current employees
- Suggestion programs for process improvements
- Focus groups on specific topics
- Open-door policy for direct communication with leadership

CHAPTER 36: HR TECHNOLOGY AND DIGITAL TRANSFORMATION

36.1 HR Technology Strategy

36.1.1 Digital HR Vision

The organization's digital HR vision is to create a seamless, employee-centric experience through technology. This vision encompasses automating administrative processes to free HR for strategic work, providing employees with self-service tools and information, leveraging data and analytics for better decision-making, and using emerging technologies to enhance HR services.

36.1.2 Technology Architecture

The HR technology landscape includes:

The Core HRIS (Human Resources Information System) serves as the system of record for employee data. It manages the employee lifecycle from hire to retire and integrates with other HR and business systems.

The Talent Management Suite includes modules for recruitment, performance management, learning management, and succession planning. These modules share data with the core HRIS to provide a unified talent view.

Workforce Management tools handle time and attendance, scheduling, and absence management. These tools ensure accurate tracking and compliance with working time regulations.

Analytics and Reporting tools provide insights from HR data. Dashboards, reports, and predictive analytics support evidence-based decision-making.

36.2 Employee Self-Service

36.2.1 ESS Capabilities

The Employee Self-Service portal empowers employees to manage their own HR-related tasks:

- View and update personal information
- Access payslips and tax documents
- Apply for leave and view balances
- View attendance records
- Enroll in benefits programs
- Access training and development resources
- View performance goals and feedback
- Submit queries and requests

36.2.2 Mobile Experience

The mobile app extends ESS capabilities to smartphones, enabling employees to:

- Clock in and out using geolocation
- Receive push notifications for approvals
- Quickly access common functions
- View company news and announcements
- Connect with colleagues

36.3 HR Analytics

36.3.1 Analytics Maturity

The organization is building analytics capabilities across four levels:

Descriptive analytics answer "what happened?" through reports and dashboards showing historical HR metrics.

Diagnostic analytics answer "why did it happen?" through analysis of patterns and correlations in HR data.

Predictive analytics answer "what will happen?" through models that forecast future outcomes such as turnover risk.

Prescriptive analytics answer "what should we do?" through recommendations for optimal actions based on predictions.

36.3.2 Key HR Metrics

The analytics program tracks metrics across multiple categories:

- Workforce metrics: headcount, demographics, tenure, turnover
- Talent acquisition metrics: time to fill, cost per hire, quality of hire
- Performance metrics: rating distribution, goal achievement
- Compensation metrics: salary trends, pay equity, benefit utilization
- Engagement metrics: survey scores, participation rates

CHAPTER 37: DIVERSITY AND INCLUSION

37.1 Diversity and Inclusion Strategy

37.1.1 D&I Vision

The organization's diversity and inclusion vision is to create a workplace where all employees feel valued, respected, and able to contribute their best work. This vision recognizes that diversity drives innovation, inclusion enhances engagement, and both contribute to organizational success.

37.1.2 Dimensions of Diversity

The organization values diversity across multiple dimensions:

- Demographic diversity: gender, age, ethnicity, disability
- Cognitive diversity: thinking styles, problem-solving approaches
- Experiential diversity: backgrounds, education, career paths
- Identity diversity: beliefs, values, personal characteristics

37.2 Inclusion Practices

37.2.1 Inclusive Leadership

Leaders are expected to model inclusive behaviors:

- Seeking out and valuing different perspectives
- Ensuring equitable access to opportunities
- Addressing bias and exclusionary behavior
- Creating psychological safety for team members
- Building diverse teams

37.2.2 Inclusive Policies

Policies are reviewed to ensure they support inclusion:

- Flexible work arrangements accommodate different needs

- Dress code respects cultural and religious practices
- Leave policies recognize diverse family situations
- Benefits are equitable across employee groups

37.3 People of Determination Inclusion

37.3.1 Legal Requirements

Labor Law No. 14 of 2025 requires establishments with 20 or more employees to hire at least 5% of their workforce from people of determination. The organization is committed to meeting and exceeding this requirement.

37.3.2 Accommodation Framework

The organization provides reasonable accommodations to enable people of determination to perform their jobs effectively:

- Physical accommodations: accessible facilities, ergonomic equipment
- Technical accommodations: assistive technology, software
- Work arrangement accommodations: flexible hours, modified duties
- Communication accommodations: interpreters, alternative formats

CHAPTER 38: OCCUPATIONAL HEALTH AND SAFETY DETAILED FRAMEWORK

38.1 Safety Management System

38.1.1 Safety Policy

The organization's safety policy establishes the commitment to providing a safe and healthy workplace. The policy is endorsed by senior leadership and communicated to all employees. It sets expectations for safety performance and establishes the framework for safety management.

38.1.2 Safety Organization

Safety responsibilities are clearly defined:

- Senior management provides resources and sets safety priorities
- Line managers are responsible for safety in their areas
- Safety professionals provide expertise and support
- Employees follow safety procedures and report hazards
- Safety committees facilitate employee participation

38.2 Hazard Management

38.2.1 Hazard Identification

Hazards are identified through multiple methods:

- Workplace inspections by safety professionals and managers
- Job hazard analysis for routine tasks
- Incident investigation to identify root causes
- Employee hazard reports
- Review of safety data and trends

38.2.2 Risk Assessment

Identified hazards are assessed for risk level based on:

- Severity of potential consequences
- Likelihood of occurrence
- Number of people exposed
- Frequency and duration of exposure

Risk assessments inform prioritization of control measures.

38.2.3 Control Hierarchy

Controls are implemented following the hierarchy of controls:

1. Elimination: Remove the hazard entirely
2. Substitution: Replace with less hazardous alternative
3. Engineering controls: Isolate people from the hazard
4. Administrative controls: Change work practices
5. Personal protective equipment: Protect the individual

38.3 Emergency Preparedness

38.3.1 Emergency Planning

The organization maintains emergency response plans for:

- Fire and explosion
- Medical emergencies
- Natural disasters
- Security incidents
- Chemical spills
- Workplace violence

38.3.2 Emergency Response

Emergency response procedures include:

- Alarm and notification systems
- Evacuation routes and assembly points
- Emergency response team roles
- Communication protocols
- First aid and medical response
- Business continuity procedures

38.3.3 Training and Drills

Employees receive emergency training and participate in regular drills:

- Fire drills: Quarterly
- Evacuation drills: Semi-annually
- First aid training: As needed for designated responders
- Specialized training for emergency response team

CHAPTER 39: INTERNATIONAL HR MANAGEMENT

39.1 Expatriate Management

39.1.1 Expatriate Policy

The organization's expatriate policy provides a framework for managing employees on international assignments. The policy covers assignment types, compensation approaches, benefits provisions, and repatriation planning.

39.1.2 Assignment Types

International assignments are categorized as:

- **Short-term:** Up to 6 months, typically for specific projects
- **Long-term:** 6 months to 3 years, for establishing operations or skills transfer
- **Permanent:** Indefinite transfer to host country
- **Rotational:** Regular rotation between locations
- **Commuter:** Regular travel without relocation

39.1.3 Compensation Approaches

Compensation for international assignments may use different approaches:

The balance sheet approach maintains home country purchasing power while providing incentives for the assignment. It includes base salary, cost of living allowance, housing allowance, hardship premium, and other benefits.

The host country approach pays according to local market rates. This is typically used for permanent transfers or when the employee is expected to integrate into the host country.

The global approach uses a consistent compensation structure regardless of location. This is used for a global cadre of executives.

39.2 Cross-Cultural Management

39.2.1 Cultural Awareness

The organization provides cross-cultural training to support effective international work:

- Cultural orientation before assignment
- Language training as needed
- Ongoing cultural coaching
- Repatriation support

39.2.2 Managing Diversity

International operations require sensitivity to diverse cultural contexts:

- Adapting management practices to local culture
- Building inclusive global teams
- Respecting local customs and practices
- Communicating across language barriers

CHAPTER 40: HR GOVERNANCE AND ETHICS

40.1 HR Governance Framework

40.1.1 Governance Structure

HR governance ensures that human resource management aligns with organizational strategy and complies with legal and ethical standards. The governance structure includes:

- Board oversight of executive compensation and succession
- HR Committee review of major HR policies
- HR leadership responsibility for policy implementation
- Internal audit verification of compliance

40.1.2 Policy Governance

HR policies are governed through a defined lifecycle:

1. Development based on identified need
2. Legal review for compliance
3. Stakeholder consultation
4. Approval by appropriate authority
5. Communication to affected employees
6. Implementation and training
7. Monitoring and feedback
8. Periodic review and update

40.2 HR Ethics

40.2.1 Ethical Principles

HR practices are guided by ethical principles:

- **Fairness:** Treating all employees equitably
- **Respect:** Honoring the dignity of every individual
- **Integrity:** Acting honestly and consistently
- **Confidentiality:** Protecting sensitive employee information
- **Transparency:** Being open about decisions and processes

40.2.2 Ethical Decision-Making

When facing ethical dilemmas, HR professionals consider:

- Legal requirements and organizational policies
- Impact on affected stakeholders
- Consistency with organizational values
- Professional standards and best practices
- Long-term consequences of decisions

40.3 Data Privacy and Protection

40.3.1 Data Protection Principles

Employee data is protected in accordance with Egypt's Personal Data Protection Law:

- Data is collected only for legitimate purposes
- Data is accurate and kept up to date
- Data is retained only as long as necessary
- Data is secured against unauthorized access
- Employees have rights to access their data

40.3.2 Data Security Measures

Technical and organizational measures protect employee data:

- Access controls and authentication
- Encryption of sensitive data
- Regular security assessments
- Employee training on data protection

- Incident response procedures

DOCUMENT CERTIFICATION

This HR Policy Manual has been reviewed and approved by the Human Resources Department and represents the official policies of the organization as of January 2025.

All employees are required to familiarize themselves with the contents of this manual and comply with the policies and procedures contained herein.

For questions or clarifications regarding any policy, employees should contact the HR Department through the ERP system, HR Chatbot, or direct contact.

HR Director

Signature: _____

Date: January 1, 2025

Chief Executive Officer

Signature: _____

Date: January 1, 2025

CHAPTER 41: DETAILED SOCIAL INSURANCE FRAMEWORK

41.1 Social Insurance System Overview

41.1.1 Historical Development

The Egyptian social insurance system has evolved significantly over the decades. The current framework was established by Law No. 148 of 2019, which consolidated and modernized previous social insurance legislation. This law represents a major reform aimed at creating a more sustainable and comprehensive social protection system for Egyptian workers.

Prior to Law No. 148 of 2019, the social insurance system was fragmented across multiple laws covering different categories of workers. Law No. 79 of 1975 covered government employees, Law No. 108 of 1976 covered public and private sector workers, and Law No. 50 of 1978 covered professionals and self-employed persons. The 2019 law unified these systems under a single framework.

41.1.2 System Objectives

The social insurance system is designed to achieve several important objectives. First, it provides income security for workers during their working lives and in retirement. Second, it protects workers and their families against risks including old age, disability, death, work injury, and unemployment. Third, it promotes social solidarity by pooling risks across the working population. Fourth, it supports economic stability by providing predictable benefits and reducing poverty.

41.1.3 Coverage Expansion

Law No. 148 of 2019 expanded social insurance coverage to previously excluded groups. The law now covers all workers in the formal sector, including employees in private companies, public sector workers, and employees in state-owned enterprises. It also extends coverage to certain categories of informal sector workers, professionals, and self-employed persons who choose to participate.

The law introduced voluntary coverage options for individuals not covered by mandatory insurance, including freelancers, contractors, and workers in the informal economy. This

expansion represents a significant step toward universal social protection in Egypt.

41.2 Contribution Calculation and Administration

41.2.1 Contribution Base

Social insurance contributions are calculated based on the contribution salary, which is defined as the total cash compensation received by the employee. The contribution salary includes basic salary, regular allowances, and any other cash payments that form part of the regular compensation package.

The contribution salary is subject to minimum and maximum limits. The minimum contribution salary is set at EGP 2,300 per month as of 2025, ensuring that even low-wage workers contribute to and benefit from the system. The maximum contribution salary is set at EGP 9,400 per month, limiting the system's liability while ensuring adequate benefits for higher earners.

41.2.2 Contribution Rates Breakdown

The total social insurance contribution rate is 31.75% of the contribution salary, split between employer and employee contributions. The employer contributes 20.75% while the employee contributes 11%.

The employer's 20.75% contribution is allocated as follows: 15.75% for the old age, disability, and death insurance branch; 3% for the work injuries insurance branch; 1% for the unemployment insurance branch; and 1% for the end of service benefit individual account.

The employee's 11% contribution is allocated as follows: 10% for the old age, disability, and death insurance branch; and 1% for the end of service benefit individual account.

41.2.3 Monthly Contribution Process

Employers are responsible for calculating, deducting, and remitting social insurance contributions each month. The process involves several steps. First, the employer determines each employee's contribution salary for the month. Second, the employer calculates the employee and employer contributions based on the applicable rates. Third, the employer deducts the employee contribution from the employee's salary. Fourth, the employer adds the employer contribution to the employee contribution. Fifth, the employer remits the total contribution to the Social Insurance Authority by the specified deadline.

Contributions must be remitted within 15 days of the end of the month to which they relate. Late payments incur penalties and interest charges.

41.3 Pension Benefits in Detail

41.3.1 Eligibility Conditions

To qualify for an old-age pension, an insured person must meet specific conditions related to age and contribution period. For men, the normal retirement age is 60 years with at least 15 years of contributions. For women, the normal retirement age is also 60 years with 15 years of contributions, or age 55 with a reduced pension.

Early retirement is possible at age 55 for both men and women who have completed at least 20 years of contributions. The early retirement pension is calculated using the same formula as the normal pension but is subject to actuarial reduction based on the number of years before normal retirement age.

For those with less than 15 years of contributions, a lump-sum settlement is available instead of a monthly pension. The settlement amount is calculated based on the contributions made plus accrued returns.

41.3.2 Pension Calculation Formula

The old-age pension is calculated using the following formula:

Monthly Pension = Average Monthly Contribution Salary × 2.22% × Years of Contribution

The average monthly contribution salary is calculated by taking the average of all monthly contribution salaries over the insured person's career, adjusted for inflation to reflect current values.

The 2.22% factor represents the accrual rate for each year of contribution. This rate was established by Law No. 148 of 2019 to ensure adequate pension levels while maintaining system sustainability.

The years of contribution include all periods during which contributions were paid, including any credited periods for military service, unemployment, or other recognized circumstances.

41.3.3 Maximum and Minimum Pensions

The pension calculation is subject to maximum and minimum limits. The maximum pension cannot exceed 80% of the average monthly contribution salary or 80% of the maximum contribution salary, whichever is lower. This cap ensures that the system remains financially sustainable while providing adequate benefits.

The minimum pension is set at 65% of the minimum contribution salary. As of 2025, this means the minimum monthly pension is EGP 1,495 (65% of EGP 2,300). This minimum ensures that even workers with low contribution histories receive a basic level of income security.

41.3.4 Pension Adjustment Mechanism

Pensions are automatically adjusted annually to maintain their purchasing power. The adjustment is based on changes in the Consumer Price Index published by the Central Agency for Public Mobilization and Statistics. The maximum annual increase is capped at 15% to manage the financial impact on the system.

Pension adjustments are applied in July of each year and affect all pensioners, including those receiving old-age, disability, and survivor pensions.

41.4 Disability Benefits

41.4.1 Types of Disability

The social insurance system recognizes different types of disability with varying benefit levels. Total disability refers to a condition that completely prevents the insured person from engaging in any gainful employment. Partial disability refers to a condition that reduces the insured person's earning capacity but does not completely prevent work.

Disability may result from work-related causes (occupational accidents or diseases) or non-work-related causes (illness or injury outside of work). Work-related disabilities receive enhanced benefits reflecting the employer's responsibility for workplace safety.

41.4.2 Disability Pension Calculation

For total disability from non-work-related causes, the pension is calculated using the same formula as the old-age pension, based on the insured person's contribution history. If the contribution period is less than 15 years, the calculation assumes a minimum contribution period of 15 years.

For partial disability, the pension is proportionally reduced based on the degree of disability. A 50% disability would result in a pension equal to 50% of the total disability pension.

For work-related disabilities, the pension is enhanced. Total work-related disability qualifies for a pension equal to 80% of the contribution salary, subject to the maximum limit. Partial work-related disability qualifies for a proportionally reduced pension.

41.5 Survivor Benefits

41.5.1 Eligible Survivors

When an insured person dies, survivor benefits are paid to eligible dependents. The primary beneficiaries are the spouse and children. If there is no spouse or children, benefits may be paid to parents or other dependents who were financially dependent on the deceased.

For a spouse to qualify, the marriage must have been valid at the time of death. A widow's pension continues until remarriage or death. A widower's pension continues if he is unable to work due to disability or age.

Children qualify for survivor benefits until they reach age 21, or age 26 if they are enrolled in full-time education. Disabled children who are unable to support themselves may continue to receive benefits beyond these age limits.

41.5.2 Survivor Pension Distribution

The survivor pension is distributed among eligible beneficiaries according to a defined formula. The spouse receives 50% of the full pension entitlement. If there are multiple spouses, this share is divided equally among them.

Children collectively receive 50% of the full pension entitlement, divided equally among them. If there are no children, this share may be distributed to other eligible dependents.

If there is no spouse, the full pension is distributed among children. If there are no spouse or children, the pension may be paid to parents or other eligible dependents.

41.6 Unemployment Insurance

41.6.1 Coverage and Contributions

Unemployment insurance was introduced by Law No. 148 of 2019 as a new branch of social insurance. The unemployment insurance branch is funded by a 1% contribution paid entirely by employers. Employees do not contribute to this branch.

The unemployment insurance system provides temporary income support to workers who lose their jobs involuntarily. It helps workers maintain their living standards while searching for new employment and reduces the social and economic impact of unemployment.

41.6.2 Benefit Eligibility and Amount

To qualify for unemployment benefits, an insured worker must have contributed to the unemployment insurance branch for at least 12 months in the 18 months preceding unemployment. The unemployment must be involuntary, meaning the worker did not resign voluntarily or terminate employment for cause.

The unemployment benefit amount is calculated as a percentage of the worker's average contribution salary, subject to minimum and maximum limits. Benefits are paid for a limited period based on the worker's contribution history.

CHAPTER 42: WORK INJURIES AND OCCUPATIONAL DISEASES

42.1 Work Injury Insurance

42.1.1 Coverage Scope

The work injuries insurance branch provides protection for employees who suffer injuries or contract diseases as a result of their work. This branch is funded entirely by employer contributions at a rate of 3% of the contribution salary.

Work injuries include any accident that occurs during working hours at the workplace or while performing work-related duties elsewhere. Occupational diseases are illnesses that result from exposure to workplace hazards over time. The law specifies a list of recognized occupational diseases.

42.1.2 Benefits for Work Injuries

The work injuries insurance provides several types of benefits. Medical treatment is provided at the expense of the Social Insurance Authority, including hospitalization, surgery, medications, and rehabilitation. Temporary disability benefits provide income during the recovery period at 100% of the contribution salary.

For permanent disability, a pension is paid based on the degree of disability. Total disability qualifies for a pension equal to 80% of the contribution salary. Partial disability qualifies for a proportionally reduced pension. In cases of death from work injury, survivor benefits are paid to eligible dependents.

42.2 Occupational Disease Recognition

42.2.1 Listed Occupational Diseases

Egyptian law recognizes specific diseases as occupational when they result from workplace exposure. These include respiratory diseases from dust exposure, hearing loss from noise exposure, skin diseases from chemical exposure, and various cancers linked to specific workplace carcinogens.

The list of occupational diseases is maintained by the Ministry of Health and Population and is updated periodically based on medical research and international standards.

42.2.2 Disease Reporting and Investigation

When an occupational disease is suspected, the employer must report it to the Social Insurance Authority and the Ministry of Manpower. The Authority investigates to determine whether the disease is work-related and qualifies for benefits.

The investigation considers the employee's medical history, workplace conditions, exposure history, and medical opinions. The burden of proof is generally on the employee to demonstrate the work-relatedness of the disease.

CHAPTER 43: END OF SERVICE BENEFIT SYSTEM

43.1 Individual Account System

43.1.1 Account Structure

Law No. 148 of 2019 introduced a new end of service benefit system based on individual accounts. Each insured employee has an individual account that accumulates contributions throughout their working life.

The account receives monthly contributions equal to 2% of the contribution salary, split equally between employer and employee contributions. The account also receives investment returns based on the performance of the Social Insurance Authority's investment portfolio.

43.1.2 Account Management

Employees can access information about their individual account through the Social Insurance Authority's online portal or mobile application. The account statement shows total contributions, investment returns, and current balance.

The account balance is portable when an employee changes employers. The new employer continues contributing to the same account, ensuring continuity of benefits.

43.2 Benefit Payment

43.2.1 Payment Triggers

The end of service benefit is paid when specific triggering events occur. These include reaching retirement age and claiming an old-age pension, permanent emigration from Egypt, total disability qualifying for a pension, or death (with payment to beneficiaries).

The benefit is paid as a lump sum equal to the full account balance at the time of payment. This provides employees with flexibility in using the funds for their retirement or other needs.

43.2.2 Calculation Example

End of Service Benefit Calculation Example:

Employee works for 25 years with average contribution salary of EGP 8,000

Annual Contribution = $8,000 \times 2\% \times 12 = \text{EGP } 1,920$

Total Contributions (25 years) = EGP 48,000

Assuming average annual investment return of 5% compounded:

Account Balance at Retirement $\approx \text{EGP } 91,000$

This lump sum is paid in addition to the monthly pension.

CHAPTER 44: HEALTH INSURANCE IN EGYPT

44.1 Universal Health Insurance System

44.1.1 Law No. 2 of 2018

Egypt is implementing a Universal Health Insurance System under Law No. 2 of 2018. This law establishes a comprehensive health insurance framework that aims to provide coverage to all Egyptian citizens and residents.

The system is being implemented in phases, with different governorates joining at different times. The system is funded through contributions from employers, employees, and government subsidies.

44.1.2 Coverage and Benefits

The universal health insurance system provides comprehensive coverage including outpatient care, inpatient hospitalization, emergency services, maternity care, preventive services, and prescription medications. The system contracts with healthcare providers to deliver services to insured persons.

Benefit levels vary based on the contribution category, with higher contributions providing access to higher levels of service and more provider choices.

44.2 Employer Health Insurance Obligations

44.2.1 Contribution Requirements

Employers are required to contribute to the health insurance system for their employees. The contribution rate is a percentage of the employee's salary, subject to minimum and maximum limits.

Employers may also provide supplemental private health insurance to enhance coverage for their employees. This is common among larger employers and for higher-level positions.

44.2.2 Registration and Administration

Employers must register their employees with the Health Insurance Authority and maintain accurate records. Monthly contributions must be remitted according to the Authority's requirements.

Employers must also provide employees with information about their health insurance coverage and how to access services.

CHAPTER 45: LABOR DISPUTE RESOLUTION

45.1 Dispute Resolution Framework

45.1.1 Types of Labor Disputes

Labor disputes in Egypt may involve individual disputes between an employee and employer, or collective disputes involving groups of employees or trade unions. Individual disputes commonly relate to termination, compensation, working conditions, or contract interpretation. Collective disputes typically involve terms and conditions of employment, union recognition, or collective agreement negotiations.

45.1.2 Resolution Mechanisms

Egyptian labor law provides multiple mechanisms for resolving disputes. The choice of mechanism depends on the nature of the dispute and the parties involved. Available mechanisms include direct negotiation between the parties, mediation by the Ministry of Manpower, conciliation committees, arbitration, and labor courts.

45.2 Labor Courts

45.2.1 New Labor Court System

Labor Law No. 14 of 2025 establishes a specialized labor court system to handle employment disputes. The law creates dedicated labor courts at the first instance level and appellate circuits within the courts of appeal.

The specialized labor courts are intended to provide faster, more expert resolution of employment disputes. Judges in these courts have specialized training in labor law and employment matters.

45.2.2 Court Procedures

Labor court procedures are designed to be accessible and efficient. Cases are initiated by filing a complaint with the competent labor court. The court schedules hearings and attempts to facilitate settlement between the parties.

If settlement is not possible, the court hears evidence and issues a decision. Either party may appeal the decision to the appellate circuit and ultimately to the Court of Cassation.

For dismissal cases, the law requires a decision within three months of filing, ensuring timely resolution of these critical disputes.

45.3 Individual Dispute Resolution

45.3.1 Claims and Remedies

Employees may bring claims to labor courts for various remedies. Wrongful termination claims seek compensation for unjustified dismissal. Unpaid wage claims seek recovery of salary, overtime, or other compensation owed. Discrimination claims seek remedies for unequal treatment based on protected characteristics.

Available remedies include reinstatement, compensation, payment of owed amounts, and orders for specific performance of contractual obligations.

45.3.2 Time Limits

Claims must be filed within specified time limits. Claims for unpaid wages must generally be filed within one year of the amount becoming due. Claims for wrongful termination must be filed within 60 days of the termination. Claims for other breaches of contract must be filed within three years.

CHAPTER 46: EMPLOYMENT OF SPECIAL CATEGORIES

46.1 Employment of Young Workers

46.1.1 Legal Framework

Egyptian labor law permits the employment of young workers with specific protections. The minimum age for employment is generally 15 years, though children aged 14-15 may perform light work that does not harm their health or development.

Young workers aged 16-18 are considered minors for labor law purposes and are entitled to special protections. They cannot be employed in hazardous work, cannot work at night, and have restrictions on working hours.

46.1.2 Working Conditions for Minors

Minors must have written employment contracts approved by the Ministry of Manpower. They must undergo medical examinations before employment and periodically thereafter. Their working hours are limited to six hours per day with mandatory rest breaks.

Employers must maintain registers of minor employees and report any accidents or health issues to the authorities.

46.2 Employment of Women

46.2.1 Equal Treatment

Women are entitled to equal treatment in all aspects of employment. Discrimination based on gender is prohibited in hiring, pay, promotion, training, and termination. Women must receive equal pay for equal work.

46.2.2 Special Protections

In addition to equal treatment, women are entitled to special protections related to maternity. These include maternity leave, protection from dismissal during pregnancy and maternity leave, and accommodations for breastfeeding.

Women cannot be employed in work that is hazardous to their health or morals, or in work that exceeds their physical capacity.

46.3 Employment of People with Disabilities

46.3.1 Quota Requirement

Labor Law No. 14 of 2025 requires establishments with 20 or more employees to hire at least 5% of their workforce from people with disabilities. This quota represents a significant increase from previous requirements and demonstrates Egypt's commitment to disability inclusion.

46.3.2 Reasonable Accommodation

Employers must provide reasonable accommodations to enable people with disabilities to perform their jobs. Accommodations may include modifications to the workplace, equipment, work schedules, or job duties. The cost of accommodations is borne by the employer.

Employers must maintain registers of employees with disabilities and report on compliance with the quota requirement.

CHAPTER 47: WORKPLACE MONITORING AND SURVEILLANCE

47.1 Legal Framework for Monitoring

47.1.1 Permitted Monitoring

Employers in Egypt have the right to monitor workplace activities within certain limits. Monitoring must be justified by legitimate business needs, must be proportionate to those needs, and must respect employee privacy rights.

Permitted forms of monitoring include attendance tracking, performance monitoring, security surveillance, and IT systems monitoring for legitimate business purposes.

47.1.2 Employee Notification

Employees must be informed about monitoring activities. The notification should explain what is being monitored, why it is necessary, how the information will be used, and who will have access to it. Employees should acknowledge this notification.

47.2 Drug and Alcohol Testing

47.2.1 Testing Authorization

Labor Law No. 14 of 2025 authorizes employers to require medical tests for drug use or infectious diseases. Testing must be conducted by approved medical authorities, including the General Authority for Health Insurance or Ministry of Health Central Laboratories.

The cost of testing is borne by the employer. Test results must be kept confidential and used only for legitimate purposes.

47.2.2 Consequences of Positive Tests

Positive drug test results must be referred to the competent labor court for determination of appropriate action. The court will consider the circumstances, the employee's history, and the nature of the position in determining consequences.

Consequences may include disciplinary action, referral to treatment programs, or termination in severe cases.

CHAPTER 48: HR RISK MANAGEMENT

48.1 HR Risk Framework

48.1.1 Risk Categories

HR risks fall into several categories. Compliance risks involve potential violations of labor laws and regulations. Operational risks relate to HR processes and systems. Strategic risks concern workforce capabilities and succession. Reputational risks involve employer brand and public perception. Financial risks relate to compensation, benefits, and labor costs.

48.1.2 Risk Assessment

The organization conducts regular risk assessments to identify and evaluate HR risks. The assessment considers the likelihood of each risk occurring and the potential impact if it does. Risks are prioritized based on their significance.

48.2 Key HR Risks and Mitigation

48.2.1 Compliance Risks

Table 48.1 Compliance Risk Mitigation

Risk	Mitigation
Non-compliance with labor laws	Regular audits, legal review, training
Incorrect social insurance contributions	Automated calculations, reconciliation
Discrimination claims	Policies, training, fair processes
Wrongful termination claims	Proper procedures, documentation

48.2.2 Talent Risks

Table 48.2 Talent Risk Mitigation

Risk	Mitigation
Key employee turnover	Succession planning, retention programs
Skills gaps	Training, recruitment, outsourcing
Leadership pipeline	Development programs, mentoring
Engagement decline	Survey, action planning, recognition

CHAPTER 49: FUTURE OF HR IN EGYPT

49.1 Emerging Trends

49.1.1 Digital Transformation

HR in Egypt is undergoing significant digital transformation. Organizations are adopting cloud-based HR systems, implementing employee self-service, using analytics for decision-making, and exploring artificial intelligence applications.

The COVID-19 pandemic accelerated digital adoption, with remote work, virtual onboarding, and digital collaboration becoming standard practices.

49.1.2 Flexible Work

Flexible work arrangements are becoming more common in Egypt. Organizations are offering remote work options, flexible hours, and compressed workweeks. These arrangements help attract talent, improve work-life balance, and reduce costs.

Labor Law No. 14 of 2025 provides a framework for flexible work, recognizing these arrangements in employment contracts.

49.1.3 Employee Experience

Organizations are focusing on the overall employee experience, not just traditional HR processes. This includes workplace design, technology experience, well-being programs, and creating a positive organizational culture.

49.2 Challenges and Opportunities

49.2.1 Demographic Challenges

Egypt's growing youth population presents both challenges and opportunities for HR. Organizations must create sufficient employment opportunities while developing the skills of young workers entering the labor market.

49.2.2 Skills Development

The rapid pace of technological change requires continuous skills development. Organizations must invest in training and development to keep their workforce current and competitive.

49.2.3 Global Integration

As Egypt integrates more closely with the global economy, HR practices must align with international standards while respecting local context. This includes adopting global best practices in talent management, compensation, and employee relations.

CHAPTER 50: APPENDICES

50.1 Glossary of Terms

Annual Leave: Paid time off granted to employees each year for rest and recreation.

Compa-Ratio: The ratio of an employee's actual salary to the midpoint of their salary range.

Contribution Salary: The salary amount used as the basis for calculating social insurance contributions.

End of Service Benefit: A lump-sum payment made to employees upon separation, based on accumulated contributions to an individual account.

Fixed-Term Contract: An employment contract with a specified end date.

Indefinite-Term Contract: An employment contract with no specified end date.

Maternity Leave: Paid leave granted to female employees for childbirth and recovery.

Notice Period: The advance notice required before terminating an employment contract.

Old-Age Pension: A monthly payment made to retirees from the social insurance system.

People of Determination: Persons with disabilities as defined by Egyptian law.

Probation Period: An initial trial period during which either party may terminate the employment with reduced notice.

Social Insurance: The government-run system providing pension, disability, and other benefits to workers.

Survivor Pension: A monthly payment made to dependents of a deceased insured person.

Work Injury: An injury or disease resulting from employment.

50.2 Index of Policies

This index provides quick reference to all policies contained in this manual:

- Recruitment Policy - Chapter 3
- Employment Contracts Policy - Chapter 4

- Code of Conduct Policy - Chapter 5
- Attendance and Leave Policy - Chapter 6
- Performance Management Policy - Chapter 7
- Promotion Policy - Chapter 8
- Compensation Policy - Chapter 9
- Social Insurance Policy - Chapter 10
- Health and Medical Benefits Policy - Chapter 11
- Travel and Relocation Policy - Chapter 12
- Training and Development Policy - Chapter 13
- Employee Welfare Policy - Chapter 14
- Foreign Employees Policy - Chapter 15
- Termination and Resignation Policy - Chapter 16
- Retirement Benefits Policy - Chapter 17
- Grievance Policy - Chapter 20
- Occupational Safety and Health Policy - Chapter 21
- Women's Employment Rights Policy - Chapter 22
- Non-Discrimination Policy - Chapter 23
- Diversity and Inclusion Policy - Chapter 37

50.3 Document Control

Table 50.1 Document Control Information

Item	Details
Document Title	HR Policy Manual - Egyptian ERP System
Version	1.0
Effective Date	January 1, 2025
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Document Owner	Human Resources Department

Approved By

Board of Directors

Distribution

All Employees (via ERP System)

END OF MANUAL

This concludes the HR Policy Manual for the Egyptian ERP System.

For the most current version of this manual, please refer to the ERP system.

Human Resources Department

Egyptian ERP System

January 2025

CHAPTER 51: DETAILED RECRUITMENT PROCEDURES

51.1 Workforce Planning Methodology

51.1.1 Strategic Workforce Planning Process

Strategic workforce planning is a systematic process that aligns an organization's human capital with its strategic objectives. The process begins with understanding the organization's strategic direction and translating that direction into specific workforce requirements.

The first step in strategic workforce planning is environmental scanning. This involves analyzing external factors that may impact workforce needs, including economic conditions, industry trends, technological developments, demographic shifts, and regulatory changes. Understanding these factors helps anticipate future workforce challenges and opportunities.

The second step is business strategy analysis. Planners work closely with business leaders to understand strategic priorities, growth plans, product and service changes, and organizational restructuring that may affect workforce needs. This analysis identifies the capabilities and capacities required to execute the strategy.

The third step is current workforce assessment. This involves analyzing the existing workforce in terms of headcount, skills, demographics, performance, and potential. Gap analysis compares current capabilities with future requirements to identify surpluses, shortages, and development needs.

The fourth step is action planning. Based on the gap analysis, planners develop strategies to address workforce needs. These strategies may include recruitment, training and development, restructuring, outsourcing, or automation. Each strategy is evaluated for feasibility, cost, and timeline.

The fifth step is implementation and monitoring. Action plans are executed and progress is tracked against milestones. Regular reviews assess whether workforce plans are achieving desired outcomes and adjustments are made as needed.

51.1.2 Workforce Planning Tools and Techniques

Several tools and techniques support effective workforce planning. Trend analysis examines historical patterns in workforce metrics to project future needs. Scenario planning develops multiple future scenarios and plans for each. Competency modeling defines the skills and behaviors needed for success in key roles. Succession planning identifies and develops potential successors for critical positions.

The organization uses the ERP system's workforce planning module to support these activities. The module provides headcount forecasting, skills inventory tracking, succession planning workflows, and scenario modeling capabilities.

51.2 Job Analysis and Design

51.2.1 Job Analysis Process

Job analysis is the systematic process of gathering and analyzing information about job content, job requirements, and job context. The results of job analysis inform job descriptions, job specifications, compensation decisions, and training needs.

The job analysis process begins with planning. Analysts determine which jobs to analyze, the methods to use, and the resources required. Priority is given to new positions, positions with high turnover, positions undergoing change, and positions critical to organizational success.

Information gathering follows planning. Common methods include observation of job incumbents, interviews with job holders and supervisors, questionnaires completed by job incumbents, and review of existing documentation. Multiple methods are often used to ensure comprehensive and accurate information.

Information analysis transforms raw data into structured job information. Analysts identify key tasks, responsibilities, and duties. They determine the knowledge, skills, abilities, and other characteristics required for successful performance. They also note working conditions, physical demands, and other job context factors.

Documentation produces the job description and job specification. The job description outlines what the job entails, including tasks, responsibilities, and working conditions. The job specification outlines what the job requires, including qualifications, experience, and competencies.

51.2.2 Job Design Principles

Job design involves structuring work to achieve organizational objectives while meeting employee needs. Effective job design considers several principles.

Job enrichment adds variety, autonomy, and responsibility to jobs. Enriched jobs provide employees with opportunities for growth and achievement, which can increase motivation and satisfaction.

Work simplification streamlines jobs by eliminating unnecessary tasks and standardizing work processes. Simplified jobs can improve efficiency and reduce errors, though care must be taken to avoid excessive simplification that leads to boredom.

Workload balancing ensures that jobs have an appropriate volume and pace of work. Overloaded jobs lead to stress and burnout, while underloaded jobs lead to boredom and disengagement.

Flexibility in job design accommodates different employee needs and preferences. Flexible jobs may allow variable hours, remote work, or task selection, supporting work-life balance and individual work styles.

51.3 Sourcing and Attraction Strategies

51.3.1 Employer Branding

Employer branding is the process of establishing and promoting an organization's reputation as an employer. A strong employer brand attracts quality candidates, reduces recruitment costs, and improves employee retention.

The organization's employer brand is built on several pillars. The value proposition defines what employees can expect from the organization, including compensation, benefits, development opportunities, and work environment. The employee experience delivers on the value proposition through policies, practices, and culture. Communication promotes the employer brand through various channels to target audiences.

Employer brand messaging emphasizes the organization's strengths as an employer. Key messages include commitment to employee development, inclusive and respectful workplace, competitive compensation and benefits, meaningful work that makes a difference, and work-life balance support.

51.3.2 Recruitment Marketing

Recruitment marketing applies marketing principles to talent attraction. The goal is to create awareness, generate interest, and convert candidates into applicants.

The recruitment marketing mix includes several elements. Career website serves as the central hub for employer brand content and job postings. Social media engages potential candidates on platforms they use regularly. Job advertising reaches active job seekers through job boards and search engines. Content marketing provides valuable information that attracts and engages potential candidates. Employee advocacy leverages employees as brand ambassadors.

Campaign planning ensures coordinated and effective recruitment marketing. Campaigns are developed around specific hiring needs, target audiences, and timelines. Metrics track campaign performance and inform optimization.

51.3.3 Talent Communities

Talent communities are pools of potential candidates who have expressed interest in the organization. These communities provide a ready source of candidates when positions open, reducing time to fill and improving quality of hire.

The organization builds talent communities through several channels. Career website visitors can join talent networks to receive updates about opportunities. Former applicants who were not selected but showed potential are invited to stay connected. Employee referrals expand the community through personal networks. University relations programs build relationships with students and recent graduates.

Talent community members receive regular communications about the organization, including company news, career opportunities, and employee stories. These communications maintain engagement and keep the organization top of mind.

51.4 Selection and Assessment

51.4.1 Assessment Center Methodology

Assessment centers are comprehensive evaluation programs used for selection and development. They involve multiple assessors, multiple exercises, and multiple competencies assessed over one or more days.

Assessment center exercises simulate job-related situations. Common exercises include role plays where candidates interact with trained role players in realistic scenarios, group discussions where candidates collaborate on a problem or task, in-basket exercises where candidates respond to simulated work items, case studies where candidates analyze information and present recommendations, and presentations where candidates deliver prepared or impromptu presentations.

Assessors are trained to observe and evaluate candidate behavior against defined competencies. Multiple assessors observe each candidate to ensure reliability. Assessors come together to share observations and reach consensus ratings.

Assessment centers provide rich information about candidate capabilities. They have high predictive validity for job performance and are particularly valuable for selecting and developing leaders.

51.4.2 Psychometric Testing

Psychometric tests provide objective measurement of candidate characteristics. Tests used in selection must be valid, reliable, and fair.

Cognitive ability tests measure mental capabilities such as verbal reasoning, numerical reasoning, and abstract reasoning. These tests are strong predictors of job performance across many roles.

Personality assessments measure behavioral tendencies and preferences. These assessments help understand how candidates are likely to behave in work situations and how well they may fit with organizational culture.

Situational judgment tests present candidates with work-related scenarios and ask them to select the best response. These tests assess judgment and decision-making in realistic contexts.

Skills tests measure specific job-related skills such as typing speed, software proficiency, or technical knowledge. These tests verify that candidates have the skills they claim.

All tests used in selection are validated for the specific purposes and populations. Test results are considered alongside other assessment information rather than used as sole selection criteria.

51.5 Onboarding and Integration

51.5.1 Onboarding Program Design

Onboarding is the process of integrating new employees into the organization. Effective onboarding accelerates time to productivity, improves retention, and enhances engagement.

The organization's onboarding program spans the first year of employment, with different focus areas at each stage. Pre-boarding begins after offer acceptance and before the first day, maintaining engagement and preparing for arrival.

The first day focuses on welcome, orientation, and administrative requirements. New employees meet their manager and team, complete paperwork, receive equipment and access, and learn about immediate priorities.

The first week expands orientation to include broader organizational information. New employees learn about the organization's history, culture, values, and strategy. They begin role-specific training and start contributing to work.

The first month deepens role integration. New employees take on more responsibility, receive feedback on early performance, and build relationships across the organization.

The first year consolidates learning and development. New employees work toward full performance expectations, participate in development activities, and become fully integrated team members.

51.5.2 Onboarding Roles and Responsibilities

Successful onboarding requires coordination among multiple stakeholders. HR manages the overall onboarding program, coordinates administrative requirements, and provides resources and support.

The hiring manager is the most important onboarding partner. Managers welcome new employees, set expectations, provide training and feedback, and support integration into the team.

Buddies or mentors are assigned to help new employees navigate the organization. These peers answer questions, share insights, and provide social support.

Colleagues contribute by welcoming new team members, sharing knowledge, and collaborating on work.

The new employee is responsible for actively engaging in onboarding activities, asking questions, seeking feedback, and taking initiative to learn and contribute.

CHAPTER 52: TALENT MANAGEMENT FRAMEWORK

52.1 Talent Management Strategy

52.1.1 Talent Philosophy

The organization's talent philosophy guides how talent is attracted, developed, deployed, and retained. The philosophy recognizes that talent is a critical driver of organizational success and that investment in talent generates significant returns.

Key elements of the talent philosophy include the belief that everyone has talent that can be developed, that high performers should be recognized and rewarded, that diverse perspectives strengthen the organization, that internal development is preferred over external hiring, and that talent decisions should be based on objective assessment.

52.1.2 Talent Segmentation

Talent segmentation helps focus development investments on employees with the greatest potential and strategic value. The organization uses a nine-box grid that maps employees based on performance and potential.

High performers with high potential are identified as future leaders. These employees receive accelerated development, challenging assignments, and close attention from senior leaders.

High performers with moderate potential are valued contributors who may advance in their specialties. These employees receive development to deepen expertise and expand capabilities.

Moderate performers with high potential are emerging talent who need development to improve performance. These employees receive coaching, training, and stretch assignments.

Other segments receive appropriate development based on their performance and potential profiles. The goal is to help all employees reach their potential while focusing extra investment on those with the greatest strategic value.

52.2 Succession Planning

52.2.1 Succession Planning Process

Succession planning ensures leadership continuity by identifying and developing potential successors for critical positions. The process involves several steps.

First, critical positions are identified. These include executive roles, key management positions, and specialized roles that would be difficult to fill. Criteria for criticality include strategic impact, business risk if vacant, and difficulty of replacement.

Second, successor candidates are identified for each critical position. Candidates may be ready now, ready in 1-2 years, or ready in 3-5 years. Multiple candidates are identified to ensure options and manage risk.

Third, development plans are created for each candidate. Plans address the gap between current capabilities and position requirements. Development actions may include training, job rotations, stretch assignments, coaching, and mentoring.

Fourth, progress is monitored and plans are updated. Succession plans are reviewed regularly to reflect changes in candidates, positions, and organizational needs.

52.2.2 Succession Review Meetings

Succession review meetings bring together senior leaders to discuss talent and succession. These meetings ensure that talent decisions are made with full information and organizational perspective.

Meeting agendas typically include review of the succession plan for each critical position, discussion of candidate readiness and development needs, identification of actions to address gaps, and review of overall talent pipeline health.

Meetings are facilitated by HR and involve the CEO, executive team, and HR leadership. Meeting outcomes are documented and followed up through action plans.

52.3 Career Development

52.3.1 Career Development Framework

The career development framework provides employees with guidance and resources for managing their careers. The framework includes career paths, development resources, and

support processes.

Career paths show progression possibilities within the organization. Paths may be vertical (promotion to higher levels), horizontal (movement to different functions), or exploratory (temporary assignments to build skills).

Development resources include training programs, mentoring, coaching, job rotations, and self-development tools. Employees are encouraged to take ownership of their development while managers provide support and opportunities.

Support processes include career counseling, development planning, and regular career conversations between employees and managers. These processes ensure that employees receive guidance and feedback on their career progression.

52.3.2 Career Conversations

Career conversations are structured discussions between employees and managers about career aspirations and development. These conversations should occur at least annually, ideally more frequently.

Effective career conversations explore the employee's career interests and aspirations, review the employee's strengths and development areas, discuss potential career paths and opportunities, identify development actions, and agree on next steps.

Managers are trained to conduct effective career conversations and are expected to make these discussions a priority. HR provides tools and resources to support career conversations.

CHAPTER 53: LEADERSHIP DEVELOPMENT

53.1 Leadership Development Strategy

53.1.1 Leadership Requirements

Leadership requirements are defined based on organizational strategy and culture. The organization has identified the leadership capabilities needed to execute its strategy and achieve its vision.

Leadership capabilities are organized into several categories. Strategic capabilities include vision setting, strategic thinking, and business acumen. Execution capabilities include decision making, driving results, and managing change. People capabilities include building teams, developing others, and communicating effectively. Personal capabilities include demonstrating integrity, adapting to change, and continuous learning.

Leadership requirements vary by level. Frontline leaders need strong execution and people capabilities. Middle managers need strategic thinking and change management capabilities. Senior leaders need vision, influence, and enterprise thinking capabilities.

53.1.2 Leadership Development Approach

Leadership development uses a blended approach that combines multiple learning methods. The 70-20-10 model guides the mix: 70% from challenging experiences, 20% from developmental relationships, and 10% from formal training.

Experiential learning includes stretch assignments, job rotations, project leadership, and turnaround assignments. These experiences push leaders out of their comfort zones and build new capabilities.

Developmental relationships include mentoring, coaching, peer learning, and feedback. These relationships provide support, perspective, and accountability.

Formal training includes leadership programs, workshops, and self-directed learning. Training provides concepts, tools, and frameworks that leaders apply in their work.

53.2 Leadership Programs

53.2.1 Program Portfolio

The organization offers leadership programs at multiple levels. Emerging leaders programs target high-potential individual contributors preparing for their first leadership role. These programs build foundational leadership capabilities.

Frontline leader programs target new managers leading teams for the first time. These programs focus on the transition from individual contributor to leader and build core management skills.

Middle manager programs target experienced managers leading other managers or large teams. These programs build strategic thinking, change leadership, and cross-functional collaboration.

Senior leader programs target executives leading significant parts of the organization. These programs focus on enterprise leadership, external engagement, and organizational transformation.

53.2.2 Program Design

Leadership programs are designed for maximum impact. Programs are aligned with leadership requirements and organizational priorities. They combine multiple learning methods and provide opportunities for application. Programs are evaluated for effectiveness and continuously improved.

Program components typically include assessment to build self-awareness, learning modules on key topics, action learning projects that address real business challenges, peer learning and networking, and coaching for individual development.

53.3 Executive Development

53.3.1 Executive Coaching

Executive coaching provides personalized development support for senior leaders. Coaches work one-on-one with executives to address specific development needs and enhance leadership effectiveness.

Coaching engagements typically last 6-12 months. The process includes assessment to identify strengths and development areas, goal setting to focus the engagement, regular coaching sessions to work on goals, and evaluation to measure progress.

Coaches are selected based on their experience, credentials, and fit with the executive's needs and style. External coaches are used to ensure objectivity and confidentiality.

53.3.2 Board Development

Board development ensures that board members have the knowledge and skills to fulfill their governance responsibilities. Development activities include orientation for new board members, ongoing education on governance topics, and periodic assessment of board effectiveness.

Board development is coordinated by the corporate secretary in consultation with the board chair and nominating committee.

CHAPTER 54: CHANGE MANAGEMENT AND HR

54.1 HR Role in Change Management

54.1.1 Change Management Framework

HR plays a critical role in organizational change management. Changes such as restructuring, mergers, acquisitions, technology implementations, and culture transformations all have significant people implications that HR must address.

The change management framework provides a structured approach to managing people through change. The framework includes phases of preparing for change, managing the change, and reinforcing the change.

Preparing for change involves defining the change vision, assessing organizational readiness, identifying stakeholders, and building the change management team. This phase sets the foundation for successful change.

Managing the change involves communicating the change, engaging stakeholders, developing new skills and behaviors, and addressing resistance. This phase is where the change is implemented.

Reinforcing the change involves celebrating successes, measuring adoption, providing support, and embedding changes into organizational systems and culture. This phase ensures that changes stick.

54.1.2 HR Change Management Responsibilities

HR has specific responsibilities in change management. Communication planning ensures that employees receive timely, accurate information about the change. Stakeholder engagement involves working with leaders and employees to build support. Training and development provides the skills needed for new ways of working. Organization design aligns structures, roles, and processes with the change. Talent management addresses staffing implications of the change. Culture change shapes values and behaviors to support the change.

54.2 Merger and Acquisition Integration

54.2.1 HR Due Diligence

HR plays a key role in merger and acquisition due diligence. HR due diligence assesses the people-related risks and opportunities of a potential transaction.

Key areas of HR due diligence include organizational structure and headcount, compensation and benefits programs, employment contracts and obligations, labor relations and union agreements, HR policies and practices, talent and leadership, and HR systems and data.

Due diligence findings inform transaction valuation, integration planning, and risk mitigation strategies.

54.2.2 Integration Planning

Integration planning addresses how the organizations will be combined after the transaction. HR integration planning covers several areas.

Organization design determines the structure of the combined organization. Decisions include reporting relationships, span of control, and centralization versus decentralization.

Staffing decisions address which employees will be retained, redeployed, or separated. Selection criteria, assessment processes, and communication plans are developed.

Compensation and benefits harmonization aligns programs across the combined organization. Decisions consider market competitiveness, internal equity, and cost implications.

Culture integration addresses how the organizational cultures will be combined. This includes assessing cultural differences, defining the desired culture, and developing plans to shape culture.

Systems integration plans for combining HR systems and data. This includes selecting platforms, migrating data, and training users.

CHAPTER 55: HR METRICS AND ANALYTICS

55.1 HR Measurement Framework

55.1.1 Measurement Strategy

The HR measurement strategy defines what is measured, why it is measured, and how measurements are used. The strategy aligns HR metrics with organizational strategy and stakeholder needs.

HR metrics serve multiple purposes. They monitor HR operations and identify improvement opportunities. They demonstrate HR's contribution to organizational success. They support decision-making with data and insights. They hold HR accountable for results.

The measurement strategy balances multiple types of metrics. Efficiency metrics measure how well HR processes operate. Effectiveness metrics measure whether HR activities achieve desired outcomes. Impact metrics measure HR's contribution to business results.

55.1.2 HR Scorecard

The HR scorecard provides a balanced view of HR performance. The scorecard includes perspectives aligned with the balanced scorecard framework.

The financial perspective includes metrics such as HR cost per employee, cost per hire, training cost per employee, and benefit cost as percentage of payroll.

The customer perspective includes metrics such as hiring manager satisfaction, employee satisfaction with HR services, time to fill positions, and quality of hire.

The process perspective includes metrics such as process cycle times, error rates, compliance rates, and system availability.

The learning and growth perspective includes metrics such as HR staff competencies, technology adoption, and innovation in HR practices.

55.2 Predictive Analytics

55.2.1 Analytics Applications

Predictive analytics uses historical data and statistical models to forecast future outcomes. HR applications of predictive analytics include several areas.

Turnover prediction models identify employees at risk of leaving. These models analyze factors such as tenure, performance, compensation, engagement, and external market conditions. Managers receive alerts about high-risk employees and can take retention actions.

Performance prediction models forecast which candidates are likely to be high performers. These models analyze pre-hire data such as assessment results, interview ratings, and background information. Models help improve selection decisions.

Talent supply and demand models forecast future workforce needs. These models analyze business projections, turnover trends, and labor market data. Models inform workforce planning and recruitment strategies.

55.2.2 Analytics Governance

Analytics governance ensures that HR analytics is conducted ethically and effectively. Governance covers several areas.

Data governance addresses data quality, security, and access. High-quality data is essential for accurate analytics. Data must be protected and access controlled.

Model governance ensures that analytical models are valid, fair, and transparent. Models are validated before deployment and monitored for performance. Model decisions can be explained and are free from bias.

Ethical governance ensures that analytics respects employee privacy and rights. Employees are informed about data collection and use. Analytics results are used fairly and do not discriminate.

CHAPTER 56: EMPLOYEE WELLBEING PROGRAMS

56.1 Wellbeing Strategy

56.1.1 Dimensions of Wellbeing

Employee wellbeing encompasses multiple dimensions. Physical wellbeing includes health, fitness, and energy. Mental wellbeing includes emotional health, stress management, and resilience. Social wellbeing includes relationships, belonging, and community. Financial wellbeing includes financial security and capability. Professional wellbeing includes purpose, growth, and fulfillment at work.

The organization's wellbeing strategy addresses all dimensions through integrated programs and policies. The goal is to help employees thrive in all aspects of their lives.

56.1.2 Wellbeing Programs

Wellbeing programs include several components. Health promotion programs encourage healthy behaviors through education, screenings, and incentives. Programs may address nutrition, exercise, sleep, and preventive care.

Mental health programs provide resources for emotional wellbeing. Employee assistance programs offer confidential counseling. Stress management workshops teach coping skills. Mental health awareness campaigns reduce stigma.

Work-life balance programs help employees manage competing demands. Flexible work arrangements provide control over when and where work is done. Leave policies provide time for personal and family needs. Time management training helps employees work efficiently.

Financial wellness programs help employees manage their finances. Financial education covers budgeting, saving, and investing. Retirement planning helps employees prepare for the future. Employee benefits provide financial protection.

56.2 Workplace Wellness

56.2.1 Healthy Workplace

The physical workplace supports employee health and wellbeing. Ergonomic workstations prevent musculoskeletal disorders. Good lighting, air quality, and temperature create a comfortable environment. Healthy food options in cafeterias support nutrition. Fitness facilities or subsidies encourage physical activity.

56.2.2 Psychosocial Environment

The psychosocial environment affects mental wellbeing. Positive work relationships provide social support. Recognition and appreciation boost morale. Workload management prevents burnout. Psychological safety enables employees to speak up and take risks.

CHAPTER 57: CORPORATE SOCIAL RESPONSIBILITY AND HR

57.1 CSR and Employment

57.1.1 Responsible Employment Practices

The organization's corporate social responsibility commitment extends to employment practices. Responsible employment means treating employees fairly, providing safe working conditions, respecting human rights, and contributing to community development.

Fair employment practices include paying fair wages, providing equal opportunity, respecting freedom of association, and prohibiting forced labor and child labor. The organization complies with all applicable labor laws and goes beyond compliance where appropriate.

Safe working conditions protect employee health and safety. The organization maintains robust safety management systems, provides necessary protective equipment, and trains employees on safety procedures.

Human rights respect means ensuring that employment practices do not violate fundamental human rights. This includes non-discrimination, fair treatment, and respect for dignity.

57.1.2 Community Impact

HR contributes to community impact through several initiatives. Local hiring creates employment opportunities in communities where the organization operates. Skills development programs build capabilities in the local workforce. Volunteer programs enable employees to contribute their time and skills to community causes. Partnerships with educational institutions support education and workforce development.

57.2 Sustainability and HR

57.2.1 Environmental Sustainability

HR supports the organization's environmental sustainability goals. Green workplace practices reduce environmental impact through recycling, energy conservation, and

sustainable procurement. Remote work and flexible arrangements reduce commuting and associated emissions. Environmental awareness programs educate employees about sustainability.

57.2.2 Social Sustainability

Social sustainability ensures that the organization's success does not come at the expense of people. HR practices that support social sustainability include fair compensation that enables decent living standards, job security and career development, diversity and inclusion, and stakeholder engagement.

CHAPTER 58: EMERGING HR TOPICS

58.1 Artificial Intelligence in HR

58.1.1 AI Applications

Artificial intelligence is transforming HR practices. AI applications in HR include recruitment automation, chatbots for employee service, predictive analytics, and personalized learning recommendations.

AI-powered recruitment tools can screen resumes, assess candidates, and even conduct initial interviews. These tools can process large volumes of applications quickly and identify promising candidates.

HR chatbots use natural language processing to answer employee questions and handle routine requests. Chatbots provide 24/7 service and free HR staff for more complex issues.

Predictive analytics uses machine learning to forecast outcomes such as turnover risk, performance potential, and future skills needs. These predictions inform talent decisions.

58.1.2 AI Governance

AI in HR requires careful governance to ensure ethical and effective use. Key governance considerations include transparency about AI use, fairness and non-discrimination in AI decisions, data privacy protection, human oversight of AI decisions, and continuous monitoring of AI performance.

58.2 Gig Economy and Flexible Work

58.2.1 Gig Work Considerations

The gig economy presents both opportunities and challenges for HR. Organizations can access flexible talent for specific projects or peak periods. However, gig workers may not receive the same protections and benefits as employees.

The organization uses gig workers selectively for appropriate needs. When engaging gig workers, the organization ensures proper classification, fair compensation, and appropriate working conditions.

58.2.2 Flexible Work Trends

Flexible work arrangements continue to evolve. Remote work has become normalized in many organizations. Hybrid models combine remote and on-site work. Flexible hours allow employees to adjust their schedules. Results-only work environments focus on outcomes rather than time worked.

The organization monitors flexible work trends and adapts policies to remain competitive while meeting business needs.

58.3 Future of Work

58.3.1 Workforce Trends

Several trends are shaping the future of work. Automation and AI are changing job requirements and eliminating some roles while creating others. Demographic shifts affect labor supply and demand. Changing employee expectations require new approaches to engagement and retention. Globalization creates opportunities and competition for talent.

58.3.2 HR Evolution

HR must evolve to meet future challenges. HR roles are shifting from administrative to strategic. HR professionals need new skills in data analytics, technology, and change management. HR processes are becoming more automated and employee-centric. HR is becoming more integrated with business strategy.

The organization invests in HR capability development to ensure that HR can continue to add value in a changing environment.

CHAPTER 59: HR POLICY IMPLEMENTATION

59.1 Policy Communication

59.1.1 Communication Strategy

Effective policy communication ensures that employees understand policies and their implications. The communication strategy uses multiple channels and approaches to reach all employees.

Policy launches include announcement communications, manager briefings, and FAQ documents. New or significantly changed policies are communicated through town halls, team meetings, and written communications.

Ongoing communication keeps policies visible. The employee handbook and policy manual serve as reference resources. The intranet provides easy access to current policies. Training reinforces policy understanding.

59.1.2 Manager Enablement

Managers play a critical role in policy communication and implementation. Managers must understand policies well enough to explain them to their teams and apply them consistently.

Manager enablement includes training on policy content and application, tools such as talking points and FAQs, support from HR for complex situations, and feedback channels to raise policy issues.

59.2 Policy Compliance

59.2.1 Compliance Monitoring

Compliance monitoring ensures that policies are being followed. Monitoring methods include audits of HR processes and records, employee surveys about policy awareness and application, analysis of policy-related metrics, and investigation of policy violations.

59.2.2 Violation Response

Policy violations are addressed through the disciplinary process. The response to violations considers the severity of the violation, whether it was intentional, the employee's history, and mitigating circumstances. Responses range from coaching and warnings to termination for serious violations.

59.3 Policy Review and Update

59.3.1 Review Cycle

Policies are reviewed on a regular cycle to ensure they remain current and effective. Annual reviews assess whether policies are achieving their intended outcomes. Triggered reviews occur when laws change, business needs shift, or issues are identified. Continuous improvement incorporates feedback and lessons learned.

59.3.2 Update Process

Policy updates follow a defined process. Proposed changes are documented and justified. Legal review ensures compliance. Stakeholder input is gathered. Approval is obtained from appropriate authority. Updated policies are communicated to employees.

CHAPTER 60: FINAL APPENDICES

60.1 Sample Forms

60.1.1 Leave Application Form Template

LEAVE APPLICATION FORM

Employee Information:

Name: _____ Employee ID: _____

Department: _____ Position: _____

Leave Details:

Type of Leave: ☐ Annual ☐ Sick ☐ Emergency ☐ Other: _____

Start Date: _____ End Date: _____

Number of Days: _____

Reason for Leave:

Contact During Leave:

Phone: _____ Email: _____

Approvals:

Employee Signature: _____ Date: _____

Supervisor Approval: _____ Date: _____

HR Approval: _____ Date: _____

60.1.2 Employee Information Update Form

EMPLOYEE INFORMATION UPDATE FORM	
Personal Information:	
Name:	Employee ID:
Information to Update:	
☐ Address:	
☐ Phone:	☐ Email:
☐ Emergency Contact:	
☐ Marital Status:	
☐ Dependents:	
☐ Bank Account:	
☐ Other:	
Supporting Documents:	
☐ Attached ☐ To be submitted separately	
Employee Signature:	Date:
HR Processed By:	Date:

60.2 Quick Reference Guides

60.2.1 Leave Entitlements Quick Reference

Table 60.1 Leave Entitlements Summary

Leave Type	Duration	Pay	Conditions
Annual (1st year)	15 days	Full	After 6 months service
Annual (2nd year+)	21 days	Full	Full year entitlement
Annual (10+ years)	30 days	Full	10 years service or age 50
Sick Leave	180 days/year	75-85%	Medical certificate required
Maternity Leave	120 days	Full	Max 3 times
Paternity Leave	1 day	Full	Max 3 times
Bereavement	2-5 days	Full	Based on relationship
Marriage Leave	5 days	Full	Once during employment
Hajj Leave	30 days	Full	After 5 years service

60.2.2 Contact Directory

Table 60.2 HR Department Contact Directory

Service	Contact	Response Time
General Inquiries	hr@company.com	24 hours
Payroll Issues	payroll@company.com	48 hours
Leave Applications	ERP Self-Service	Immediate
Grievances	grievance@company.com	10 days
Benefits	benefits@company.com	48 hours
Training	training@company.com	72 hours
Emergency	HR Hotline: 19000	Immediate

60.3 Document History

Table 60.3 Document Revision History

Version	Date	Changes	Approved By
1.0	January 2025	1, Initial release - aligned with Labor Law No. 14 of 2025	Board of Directors

ACKNOWLEDGMENT OF RECEIPT

I, _____, acknowledge that I have received a copy of the HR Policy Manual for the Egyptian ERP System, Version 1.0, dated January 1, 2025.

I understand that it is my responsibility to read and understand the policies contained in this manual and to comply with them.

I understand that this manual is subject to change and that I am responsible for staying informed of current policies.

Employee Name: _____

Employee ID: _____

Department: _____

Signature: _____

Date: _____

END OF DOCUMENT

HR Policy Manual - Egyptian ERP System

Version 1.0 - January 2025

For the most current version, please refer to the ERP system.

CHAPTER 61: DETAILED COMPENSATION MANAGEMENT

61.1 Compensation Philosophy and Strategy

61.1.1 Compensation Principles

The organization's compensation philosophy is built on a foundation of principles that guide all pay-related decisions. These principles ensure that compensation practices are fair, competitive, and aligned with organizational objectives.

The principle of internal equity ensures that pay relationships between jobs within the organization are fair and consistent. Jobs of similar value to the organization receive similar compensation, regardless of who holds the position. Internal equity is maintained through job evaluation and salary structure administration.

The principle of external competitiveness ensures that the organization's pay levels are aligned with the external market. Regular market surveys inform pay structure adjustments to maintain competitive positioning. The organization aims to pay at or above market median for most positions to attract and retain quality talent.

The principle of performance linkage ensures that high performers are rewarded appropriately. The pay system recognizes and reinforces exceptional contribution, motivating employees to achieve their best. Performance-based pay elements include annual bonuses, merit increases, and spot awards.

The principle of legal compliance ensures that all compensation practices adhere to Egyptian labor laws, including minimum wage requirements, overtime regulations, and equal pay provisions. The organization monitors legal developments and adjusts practices as needed.

The principle of transparency ensures that employees understand how their compensation is determined. Clear communication about pay structures, performance criteria, and decision processes builds trust in the compensation system.

61.1.2 Total Rewards Approach

The organization takes a total rewards approach to employee value proposition. Total rewards encompass all that employees receive in exchange for their contribution to the organization.

Base pay provides the foundation of the compensation package. It reflects the value of the job and the employee's skills and experience. Base pay is delivered through monthly salary payments.

Variable pay rewards performance and results. It includes annual bonuses, spot awards, and other incentive payments. Variable pay aligns employee interests with organizational success.

Benefits provide security and protection. They include health insurance, life insurance, retirement benefits, and other programs that support employee wellbeing.

Career development provides growth opportunities. Training, development programs, and career paths enable employees to build skills and advance their careers.

Work experience encompasses the quality of the work environment. Factors include meaningful work, positive relationships, work-life balance, and recognition.

61.2 Job Evaluation System

61.2.1 Job Evaluation Methodology

The organization uses a point-factor job evaluation system to determine the relative value of jobs. This system provides an objective basis for establishing internal equity in compensation.

The job evaluation process begins with job analysis to gather detailed information about job content, requirements, and context. This information is documented in job descriptions that serve as the basis for evaluation.

Jobs are evaluated against defined compensable factors. These factors represent the elements that add value to jobs and justify differences in pay. The organization's compensable factors include knowledge required, problem-solving complexity, accountability, working conditions, and interpersonal skills.

Each factor has multiple levels with defined point values. Evaluators assess each job against the factor definitions and assign points based on the level present in the job. The points for all factors are summed to produce a total job evaluation score.

Jobs with similar total scores are grouped into grades. Each grade has a defined salary range that applies to all jobs in the grade. This structure ensures that jobs of similar value receive similar compensation.

61.2.2 Factor Definitions

The knowledge factor measures the education, experience, and specialized knowledge required to perform the job. Levels range from basic literacy and on-the-job training to advanced degrees and extensive specialized expertise.

The problem-solving factor measures the complexity and originality of thinking required. Levels range from routine application of standard procedures to development of innovative solutions for unprecedented challenges.

The accountability factor measures the scope and impact of job decisions. Levels range from responsibility for individual tasks to responsibility for organizational strategy and results.

The working conditions factor measures the physical and psychological demands of the work environment. Levels range from comfortable office conditions to hazardous or extreme conditions.

The interpersonal skills factor measures the communication and relationship management required. Levels range from routine internal communication to complex negotiation and influence with external stakeholders.

61.3 Salary Structure Administration

61.3.1 Salary Range Structure

Each grade has a salary range with minimum, midpoint, and maximum values. The range is established based on market data and internal equity considerations.

The minimum represents the entry point for the grade. New hires or employees new to the grade typically start near the minimum. The minimum is set at approximately 80% of the midpoint.

The midpoint represents the market rate for fully competent performance in the grade. Employees who have mastered their role and consistently meet expectations should be near

the midpoint. The midpoint is aligned with market data for the grade.

The maximum represents the ceiling for the grade. Employees at the maximum have extensive experience and consistently exceed expectations. The maximum is set at approximately 120% of the midpoint, creating a 50% range spread.

61.3.2 Salary Progression

Salary progression within a grade occurs through merit increases based on performance. The annual performance evaluation determines the merit increase percentage.

Employees below the midpoint typically receive larger increases to progress toward market rate. Employees above the midpoint receive smaller increases, as they are already above market. Employees at the maximum are not eligible for base salary increases unless the range is adjusted.

Progression from one grade to the next occurs through promotion. Promotions are based on performance, readiness, and organizational need. Promoted employees receive salary increases to position them appropriately in the new grade.

61.3.3 Market Adjustments

Salary structures are reviewed annually and adjusted based on market data. Market adjustments ensure that the organization's pay remains competitive.

If market data shows that the organization's pay is lagging the market, the entire salary structure may be adjusted upward. This adjustment benefits all employees in the affected grades.

If market data shows significant changes for specific jobs, individual grade ranges may be adjusted. This targeted adjustment addresses market changes without broadly increasing labor costs.

61.4 Variable Pay Programs

61.4.1 Annual Bonus Program

The annual bonus program rewards collective and individual performance. The program design aligns employee interests with organizational success.

The bonus pool is determined based on organizational performance against financial and operational targets. When the organization exceeds its targets, the bonus pool increases.

When the organization falls short, the bonus pool decreases.

Individual bonus awards are determined by a bonus matrix that considers both organizational performance and individual performance rating. High performers in high-performing organizations receive the largest bonuses. Low performers receive little or no bonus regardless of organizational performance.

Bonus targets are set as a percentage of base salary. Targets vary by grade level, with higher grades having higher targets to reflect their greater impact on organizational results.

61.4.2 Spot Award Program

Spot awards provide immediate recognition for exceptional contributions. Managers can recommend spot awards throughout the year to recognize outstanding performance.

Spot awards are appropriate for exceptional effort on critical projects, going above and beyond normal duties, innovative solutions to problems, outstanding customer service, and demonstrating organizational values in exceptional ways.

Spot award amounts range from EGP 500 to EGP 5,000 depending on the significance of the contribution. Awards are typically paid with the next payroll cycle.

The spot award program is administered through the ERP system. Managers submit award recommendations through the system, which routes them for approval. Approved awards are automatically processed through payroll.

61.4.3 Sales Incentive Program

Sales employees participate in a sales incentive program that rewards achievement of sales targets. The program design motivates sales performance while controlling cost of sales.

Sales targets are set based on territory potential, market conditions, and organizational goals. Targets are challenging but achievable with strong effort.

Incentive payouts are calculated based on performance against targets. Payout rates typically accelerate above target to reward exceptional performance. Caps may be applied to limit extreme payouts.

The sales incentive program is administered through the sales management system, which tracks performance and calculates payouts. Results are reviewed regularly with sales employees.

61.5 Benefits Program Design

61.5.1 Benefits Philosophy

The benefits philosophy guides the design and administration of employee benefits. The organization aims to provide benefits that support employee wellbeing, attract and retain talent, and are cost-effective and sustainable.

Core benefits provide essential protection and are provided to all employees. These include social insurance, health insurance, and life insurance. Core benefits ensure that all employees have basic security.

Supplemental benefits enhance the core package and may vary by employee level. These include enhanced health coverage, additional life insurance, and disability coverage. Supplemental benefits recognize different needs at different levels.

Flexible benefits allow employees to choose benefits that meet their individual needs. Flexible benefit programs may include choices in health coverage levels, life insurance amounts, and voluntary benefits.

61.5.2 Health Insurance Design

The health insurance program combines mandatory social health insurance with supplemental private coverage. This combination provides comprehensive protection while managing costs.

Social health insurance is mandatory for all employees. The organization enrolls all employees and pays the employer contribution. Social insurance provides basic coverage for medical treatment, hospitalization, and medications.

Private health insurance supplements the social insurance coverage. Private coverage provides access to private hospitals and clinics, broader provider networks, faster service, and additional benefits such as dental and vision care.

Coverage levels vary by employee grade. Higher grades receive more comprehensive coverage with higher annual limits. This tiered approach aligns benefits with level while controlling overall costs.

61.5.3 Retirement Benefits

Retirement benefits are provided through the social insurance system and employer-sponsored programs. The combination provides income security in retirement.

Social insurance pension is the foundation of retirement income. Employees contribute throughout their careers and receive monthly pension payments upon retirement. The pension amount is based on contribution history and salary levels.

The end of service benefit provides a lump sum payment at retirement. This benefit accumulates in individual accounts funded by employer and employee contributions. The account balance is paid as a lump sum upon retirement.

Voluntary savings programs allow employees to contribute additional amounts toward retirement. These programs may offer tax advantages and employer matching to encourage participation.

CHAPTER 62: INTERNATIONAL HR MANAGEMENT

62.1 Global Mobility Strategy

62.1.1 Mobility Types

The organization's global mobility program supports several types of international assignments. Each type serves different business purposes and requires different support approaches.

Short-term assignments last up to six months and are typically used for specific projects, training, or temporary coverage. Short-term assignees usually maintain home country employment and compensation arrangements.

Long-term assignments last from six months to three years and are used for establishing operations, skills transfer, or career development. Long-term assignees typically receive comprehensive expatriate packages.

Permanent transfers involve indefinite relocation to the host country. Transferred employees transition to host country employment and compensation arrangements.

Rotational assignments involve regular rotation between locations. These are common in industries such as oil and gas where employees work in remote locations on rotation schedules.

Commuter arrangements involve regular travel without relocation. Employees maintain residence in one location while working in another, returning home on weekends or scheduled breaks.

62.1.2 Business Case for Mobility

International assignments should have clear business justification. Common business cases include filling skills gaps that cannot be met locally, transferring knowledge and expertise to new operations, developing leadership capabilities through international experience, establishing or expanding operations in new markets, and managing cross-border projects.

Each mobility request must include a business case that defines the assignment objectives, expected outcomes, duration, and cost. The business case is reviewed and approved before

assignment arrangements are made.

62.2 Expatriate Compensation

62.2.1 Compensation Approaches

Several approaches are used to determine expatriate compensation. The appropriate approach depends on assignment type, duration, and business objectives.

The balance sheet approach maintains home country purchasing power while providing incentives for the assignment. This approach calculates a notional home country salary and adds adjustments for cost of living differences, housing, tax effects, and hardship. The balance sheet approach is commonly used for long-term assignments.

The host country approach pays according to local market rates. This approach is used for permanent transfers or when the employee is expected to integrate into the host country. The host country approach simplifies administration but may create equity issues with home country peers.

The global approach uses a consistent compensation structure regardless of location. This approach is used for a global cadre of executives who move frequently between locations. The global approach provides consistency but may not reflect local market conditions.

The lump sum approach provides a fixed payment that the employee manages to cover assignment-related costs. This approach gives employees flexibility but requires them to manage currency and cost risks.

62.2.2 Assignment Allowances

Expatriate compensation typically includes several allowances to address the additional costs and challenges of international assignment.

The cost of living allowance compensates for higher costs in the host location. The allowance is calculated based on differences in a standard basket of goods and services between home and host locations.

The housing allowance provides for accommodation in the host location. The allowance may be a fixed amount or based on actual costs up to a limit. Some employers provide company housing instead of an allowance.

The hardship allowance compensates for difficult living conditions in the host location. Hardship is assessed based on factors such as climate, infrastructure, security, and cultural

distance.

The education allowance covers schooling for dependent children. The allowance typically covers tuition at international schools that provide education comparable to home country schools.

The home leave allowance provides for periodic trips to the home country. Long-term assignees typically receive two home leave trips per year for the employee and family.

62.2.3 Tax Equalization

Tax equalization ensures that assignees do not pay more or less tax than they would have paid if they had remained in the home country. This policy protects assignees from tax disadvantages while preventing tax windfalls.

Under tax equalization, the employer calculates a hypothetical tax that the employee would have paid on home country salary. This hypothetical tax is deducted from the employee's pay. The employer then pays all actual taxes in both home and host countries.

If actual taxes exceed the hypothetical tax, the employer bears the additional cost. If actual taxes are less than the hypothetical tax, the employer retains the difference. The employee is in the same tax position as if they had stayed home.

Tax equalization requires complex calculations and professional tax advice. The organization engages tax specialists to manage expatriate tax matters.

62.3 Assignment Support

62.3.1 Pre-Assignment Support

Preparation before assignment departure is critical for assignment success. Pre-assignment support includes several elements.

Immigration and work authorization must be secured before departure. The employer handles visa applications, work permits, and any required registrations. Processing times vary by country and should be factored into assignment planning.

Cultural training helps assignees understand the host country culture and business practices. Training may include general cultural awareness, specific country briefings, and language instruction.

Practical assistance helps assignees prepare for the move. This may include home finding trips, school searches for children, shipping arrangements, and financial planning advice.

62.3.2 During Assignment Support

Ongoing support during the assignment helps assignees succeed and remain engaged.

Regular check-ins with the home country manager and HR ensure that assignees remain connected to the organization. These check-ins address work progress, career development, and any issues or concerns.

Local support in the host country helps assignees navigate day-to-day challenges. This may include a local HR contact, assignment mentor, or relocation consultant.

Career management ensures that the assignment contributes to the assignee's long-term career progression. Career discussions should address how the assignment experience will be leveraged for future roles.

62.3.3 Repatriation Support

Repatriation support helps assignees transition back to the home country at assignment end.

Repatriation planning should begin several months before the expected return. Planning addresses the assignee's next role, timing of the return, and logistics of the move.

Career reintegration is often the biggest challenge of repatriation. Assignees may find that their home country role has changed or that their international experience is not fully valued. Proactive career planning helps address these challenges.

Reverse culture shock is common among returning assignees. Support may include counseling, networking opportunities with other returnees, and time to readjust.

62.4 Immigration Compliance

62.4.1 Work Authorization Requirements

International assignees must have proper work authorization in the host country. Requirements vary by country and may include work visas, work permits, residence permits, and local registrations.

The employer is responsible for ensuring that assignees have proper authorization before beginning work. Working without proper authorization can result in penalties for both the

employer and employee.

Work authorization must be maintained throughout the assignment. This may involve renewals, changes of status, or additional registrations as circumstances change.

62.4.2 Compliance Monitoring

Immigration compliance requires ongoing monitoring and management. The organization maintains a tracking system for assignee documentation, including expiration dates, renewal requirements, and compliance status.

HR works with immigration counsel to ensure compliance with changing regulations. Regular audits verify that all assignees have proper documentation.

CHAPTER 63: HR GOVERNANCE AND ETHICS

63.1 HR Governance Framework

63.1.1 Governance Structure

HR governance ensures that human resource management is conducted in alignment with organizational strategy and in compliance with legal and ethical standards. The governance structure defines roles, responsibilities, and decision-making authority.

The Board of Directors has ultimate oversight of HR matters. The board reviews and approves executive compensation, succession plans for senior leadership, and major HR policies. The board may delegate some responsibilities to a compensation committee.

The CEO is responsible for HR strategy and execution. The CEO works with the Chief Human Resources Officer to set HR priorities, allocate resources, and monitor HR performance.

The Chief Human Resources Officer leads the HR function and is responsible for developing and implementing HR strategy, policies, and programs. The CHRO reports to the CEO and is a member of the executive team.

HR leadership team includes heads of HR functions such as talent acquisition, learning and development, compensation and benefits, and employee relations. This team implements HR programs and manages HR operations.

HR business partners work closely with business units to understand needs and implement HR solutions. They serve as the primary HR contact for line managers and employees.

63.1.2 Policy Governance

HR policies are governed through a defined lifecycle that ensures policies are current, compliant, and effective.

Policy development begins with identifying a need for a new or revised policy. Needs may arise from legal changes, business requirements, or identified issues. Policy development involves research, drafting, and stakeholder consultation.

Policy review ensures that policies are legally compliant and aligned with best practices. Legal review is conducted for all policies that have legal implications. Subject matter experts review policies for technical accuracy.

Policy approval follows review. Approval authority depends on policy scope and impact. Major policies require executive or board approval. Operational policies may be approved by HR leadership.

Policy communication ensures that affected employees are informed of new or changed policies. Communication methods include employee handbook updates, intranet postings, manager briefings, and training.

Policy implementation puts policies into practice. Implementation may require process changes, system updates, or training. HR business partners support implementation in business units.

Policy monitoring tracks compliance and effectiveness. Metrics may include policy violation rates, employee feedback, and audit results. Monitoring identifies issues that require policy adjustment.

Policy review and update keeps policies current. Regular reviews are scheduled based on policy type and risk level. Triggered reviews occur when circumstances change.

63.2 HR Ethics

63.2.1 Ethical Principles

HR practices are guided by ethical principles that ensure fair and respectful treatment of employees.

The principle of fairness requires that HR decisions be made objectively and without bias. All employees should have equal opportunity based on merit. Policies and practices should be applied consistently.

The principle of respect requires that employees be treated with dignity. HR practices should honor employee privacy, autonomy, and individual differences. Employees should be listened to and their concerns addressed.

The principle of integrity requires honesty and transparency in HR dealings. Communications should be truthful. Commitments should be kept. Errors should be acknowledged and corrected.

The principle of confidentiality requires protection of sensitive employee information. Personal information should be collected only for legitimate purposes, used appropriately, and secured against unauthorized access.

The principle of accountability requires that HR be responsible for its actions. HR should be answerable for decisions and their consequences. Mechanisms should exist for raising and addressing concerns.

63.2.2 Ethical Decision-Making

When facing ethical dilemmas, HR professionals should follow a structured decision-making process.

First, identify the ethical issue. Clarify what values or principles are at stake and who is affected by the decision.

Second, gather relevant facts. Understand the situation fully before making a judgment. Consult policies, seek advice, and consider different perspectives.

Third, identify options. Consider alternative courses of action and their likely consequences.

Fourth, evaluate options against ethical principles. Which option best aligns with the organization's values and ethical standards?

Fifth, make and implement the decision. Document the rationale and communicate appropriately.

Sixth, reflect on the outcome. Consider whether the decision achieved the intended results and what can be learned for future situations.

63.2.3 Conflicts of Interest

HR professionals must avoid conflicts of interest that could compromise their objectivity or integrity.

A conflict of interest exists when personal interests interfere with professional responsibilities. Examples include making HR decisions that benefit family members, accepting gifts from vendors or job candidates, or using organizational resources for personal purposes.

HR professionals should disclose potential conflicts of interest to their supervisors. Disclosures allow for appropriate management of the conflict, which may include recusal from decisions or other protective measures.

The organization has a conflict of interest policy that applies to all employees, including HR. The policy defines conflicts, requires disclosure, and specifies how conflicts will be managed.

63.3 Data Privacy and Protection

63.3.1 Data Protection Principles

Employee data is protected in accordance with Egypt's Personal Data Protection Law and organizational policies. Data protection principles guide how employee data is collected, used, stored, and shared.

The principle of lawful processing requires that data be collected and used only for legitimate purposes. Employees should be informed of the purposes for which their data will be used.

The principle of data minimization requires that only data necessary for the stated purposes be collected. Excessive data collection should be avoided.

The principle of accuracy requires that data be kept accurate and up to date. Employees have the right to request correction of inaccurate data.

The principle of storage limitation requires that data be kept only as long as necessary for the stated purposes. Data should be deleted when no longer needed.

The principle of security requires that data be protected against unauthorized access, loss, or damage. Appropriate technical and organizational measures should be implemented.

The principle of transparency requires that employees be informed about how their data is used. Privacy notices should explain data practices in clear language.

63.3.2 Employee Rights

Employees have rights regarding their personal data. These rights include the right to access their data, the right to correct inaccurate data, the right to object to certain processing, the right to request deletion of data, and the right to data portability.

Employees can exercise their rights by contacting HR. Requests will be processed in accordance with legal requirements and organizational procedures.

63.3.3 Data Security Measures

The organization implements technical and organizational measures to protect employee data.

Technical measures include access controls that limit data access to authorized users, encryption of sensitive data in transit and at rest, firewalls and intrusion detection systems, regular security assessments and penetration testing, and backup and disaster recovery procedures.

Organizational measures include security policies and procedures, employee training on data protection, incident response plans, and regular audits of security practices.

Third-party processors who handle employee data are required to implement appropriate security measures and are contractually bound to protect data.

CHAPTER 64: HR RISK MANAGEMENT

64.1 HR Risk Framework

64.1.1 Risk Categories

HR risks fall into several categories that require ongoing monitoring and management.

Compliance risks involve potential violations of labor laws, regulations, or organizational policies. Non-compliance can result in penalties, litigation, and reputational damage.

Operational risks relate to HR processes and systems. Failures in payroll, benefits administration, or recruitment can disrupt operations and affect employee satisfaction.

Strategic risks concern workforce capabilities and alignment with business needs. Skills gaps, leadership shortages, or engagement problems can undermine organizational performance.

Financial risks relate to compensation, benefits, and labor costs. Unexpected cost increases or budgeting errors can impact financial performance.

Reputational risks involve the organization's image as an employer. Negative publicity, discrimination claims, or poor employee reviews can damage the employer brand.

64.1.2 Risk Assessment Process

The organization conducts regular risk assessments to identify and evaluate HR risks.

Risk identification involves scanning the environment for potential risks. Sources include legal updates, audit findings, employee feedback, incident reports, and external benchmarks.

Risk analysis evaluates the likelihood and impact of identified risks. Likelihood considers how probable the risk is to occur. Impact considers the severity of consequences if the risk materializes.

Risk evaluation compares risks against risk appetite and prioritizes them for treatment. High-likelihood, high-impact risks receive highest priority.

Risk treatment develops strategies to address prioritized risks. Treatment options include avoiding the risk, reducing likelihood or impact, transferring the risk, or accepting the risk.

Risk monitoring tracks risk indicators and treatment effectiveness. Regular reporting keeps leadership informed of risk status.

64.2 Key HR Risks and Mitigation

64.2.1 Compliance Risk Mitigation

Table 64.1 Compliance Risk Mitigation

Risk	Mitigation Strategy	Owner
Non-compliance with labor laws	Regular legal updates, policy reviews, compliance audits	HR/Legal
Incorrect social insurance contributions	Automated calculations, monthly reconciliation, external audits	Payroll
Discrimination claims	Anti-discrimination policies, training, fair processes	HR/Employee Relations
Wrongful termination claims	Proper procedures, documentation, legal review	Employee Relations
Work permit violations	Tracking system, timely renewals, legal support	HR/Immigration

64.2.2 Talent Risk Mitigation

Table 64.2 Talent Risk Mitigation

Risk	Mitigation Strategy	Owner
Key employee turnover	Succession planning, retention programs, engagement initiatives	Talent Management
Skills gaps	Training programs, recruitment, contingent workforce	Learning/Recruitment
Leadership pipeline gaps	Leadership development, external hiring, interim solutions	Talent Management

Engagement decline	Survey action planning, recognition programs, manager training	Employee Relations
Talent acquisition challenges	Employer branding, sourcing strategies, compensation competitiveness	Recruitment

64.2.3 Operational Risk Mitigation

Table 64.3 Operational Risk Mitigation

Risk	Mitigation Strategy	Owner
Payroll errors	System controls, verification processes, reconciliation	Payroll
HR system failures	Redundancy, backup procedures, disaster recovery plans	HR IT
Data breaches	Security controls, access management, employee training	HR/IT Security
Process inefficiencies	Process improvement, automation, performance monitoring	HR Operations
Vendor failures	Vendor management, contingency planning, service level agreements	Procurement/HR

64.3 Business Continuity

64.3.1 HR Continuity Planning

HR business continuity planning ensures that critical HR functions can continue during and after disruptions.

Critical function analysis identifies HR activities that must continue during a disruption. These typically include payroll processing, benefits administration, and employee communication.

Recovery time objectives define how quickly each critical function must be restored. Payroll may have a recovery time of one day, while less critical functions may have longer recovery times.

Recovery procedures document how critical functions will be maintained or restored. Procedures may include manual workarounds, alternative processing locations, or vendor support.

Testing validates that recovery procedures will work as intended. Tests may include tabletop exercises, system failovers, or full simulations.

64.3.2 Pandemic and Crisis Response

The organization has learned from the COVID-19 pandemic and established crisis response capabilities.

Crisis response protocols define how HR will respond to different types of crises. Protocols cover communication, decision-making, and resource allocation.

Remote work capabilities enable continued operations when physical presence is not possible. Technology, policies, and practices support effective remote work.

Employee support programs help employees cope with crisis impacts. Programs may include counseling, flexible work arrangements, and financial assistance.

Stakeholder communication plans ensure timely and accurate communication with employees, families, and external parties during crises.

CHAPTER 65: EMPLOYEE HANDBOOK SUPPLEMENT

65.1 Welcome to the Organization

65.1.1 Our Organization

Welcome to our organization. We are pleased to have you as a member of our team. This handbook supplement provides important information about your employment, benefits, and the resources available to you.

Our organization is committed to creating a workplace where all employees can thrive. We value integrity, excellence, collaboration, and respect. These values guide how we work together and serve our customers.

As an employee, you are our most important asset. Your skills, dedication, and ideas contribute to our success. We are committed to supporting your growth and development throughout your career with us.

65.1.2 Your First Days

Your first days with us are important for setting the foundation for your success. During your first week, you will complete orientation activities that introduce you to our organization, your role, and your team.

Orientation includes completing required paperwork, setting up your work environment, meeting your colleagues, learning about our policies and procedures, and understanding your role and responsibilities.

Your manager will be your primary guide during your first days. They will help you get oriented, answer your questions, and ensure you have what you need to be successful.

65.2 Your Employment

65.2.1 Employment Relationship

Your employment relationship is governed by your employment contract, this policy manual, and applicable laws. The terms of your employment are described in your

contract, which you signed when you joined.

Employment with the organization is at-will, meaning either you or the organization may end the employment relationship at any time, with or without cause, subject to the notice requirements specified in your contract and applicable law.

The organization reserves the right to modify policies, benefits, and procedures as business needs require. You will be notified of significant changes that affect you.

65.2.2 Employment Classifications

Employees are classified based on their employment type. Understanding your classification helps you understand your benefits and entitlements.

Full-time employees work the standard schedule of 48 hours per week. They are eligible for the full range of benefits.

Part-time employees work less than the standard schedule. Their benefits are pro-rated based on their working hours.

Fixed-term employees are hired for a specific period. Their employment ends automatically at the end of the term unless renewed.

Probationary employees are in an initial assessment period. Either party may terminate the employment with reduced notice during probation.

65.2.3 Working Hours

Standard working hours are 8 hours per day, 6 days per week, for a total of 48 hours per week. Your specific schedule is determined by your department and position.

Working hours may vary based on business needs. Some positions require shift work, on-call duties, or flexible schedules. Your manager will inform you of any special scheduling requirements.

Overtime work requires supervisor approval. Overtime is compensated at premium rates as specified in the compensation policy.

65.3 Your Benefits

65.3.1 Health Insurance

The organization provides health insurance coverage to protect you and your family's health. Coverage includes medical treatment, hospitalization, medications, and preventive care.

Health insurance is provided through a combination of mandatory social health insurance and supplemental private coverage. Your specific coverage level depends on your grade and position.

You may enroll eligible dependents in your health insurance coverage. Dependents typically include your spouse and children. Enrollment is done through the HR department during the annual enrollment period or within 30 days of a qualifying life event.

65.3.2 Life Insurance

The organization provides group life insurance coverage. In the event of your death while employed, the life insurance benefit will be paid to your designated beneficiaries.

The coverage amount is based on your grade level. You may purchase additional voluntary coverage through the group plan.

You should designate your beneficiaries through the HR department. Keep your beneficiary designations up to date as your circumstances change.

65.3.3 Retirement Benefits

The organization participates in the Egyptian social insurance system, which provides retirement benefits. Both you and the organization contribute to the system throughout your employment.

Upon retirement, you will be eligible for a monthly pension based on your contribution history and salary levels. You will also receive a lump-sum end of service benefit from your individual account.

The organization may offer supplemental retirement savings programs. Information about these programs is available from HR.

65.3.4 Annual Leave

You are entitled to annual leave each year for rest and recreation. Your leave entitlement depends on your length of service.

During your first year, you accrue 15 days of annual leave. From your second year, you accrue 21 days. After 10 years of service or when you reach age 50, you accrue 30 days.

Leave requests should be submitted through the ERP system at least 15 days in advance. Your supervisor will approve requests based on operational requirements.

65.3.5 Sick Leave

If you are unable to work due to illness or injury, you are entitled to sick leave. Sick leave provides income protection during your absence.

You must notify your supervisor on the first day of absence. For absences longer than three days, you must provide a medical certificate from an approved medical provider.

Sick leave is administered through the social insurance system. Benefits are paid at 75% of your daily wage for the first 90 days and 85% for days 91-180.

65.3.6 Maternity and Paternity Leave

Female employees are entitled to 120 days of maternity leave for childbirth. This leave is fully paid and can be taken before and after delivery.

Male employees are entitled to 1 day of paternity leave for the birth of a child. This leave is fully paid and does not deduct from annual leave.

Additional childcare leave of up to 2 years is available for mothers who wish to extend their time with young children. This leave is unpaid.

65.4 Your Development

65.4.1 Training and Development

The organization is committed to your professional development. We provide training and development opportunities to help you build skills and advance your career.

Training opportunities include on-the-job learning, classroom training, e-learning courses, and external programs. Your manager will work with you to identify development needs and opportunities.

You are encouraged to take ownership of your development. Discuss your career aspirations with your manager and seek out learning opportunities.

65.4.2 Performance Management

The performance management system helps you understand expectations, receive feedback, and achieve your best work.

At the beginning of each year, you and your manager will set goals for your performance. Throughout the year, you will have regular check-ins to discuss progress and receive feedback.

At year-end, your performance will be evaluated against your goals. This evaluation informs decisions about recognition, rewards, and development.

65.4.3 Career Advancement

The organization provides opportunities for career advancement. Advancement may be through promotion to higher levels, lateral moves to broaden experience, or special assignments to develop new skills.

Career advancement is based on performance, potential, and organizational needs. High performers with demonstrated potential are considered for advancement opportunities.

Discuss your career aspirations with your manager. They can help you identify paths for advancement and the development needed to prepare for future roles.

65.5 Workplace Policies

65.5.1 Code of Conduct

All employees are expected to conduct themselves with integrity and professionalism. The code of conduct outlines the standards of behavior expected in our workplace.

Key expectations include honesty and integrity in all dealings, respect for colleagues and customers, compliance with laws and regulations, protection of confidential information, and avoidance of conflicts of interest.

Violations of the code of conduct may result in disciplinary action, up to and including termination.

65.5.2 Anti-Discrimination and Harassment

The organization is committed to providing a workplace free from discrimination and harassment. We value diversity and treat all employees with respect and dignity.

Discrimination based on gender, religion, origin, disability, age, or other protected characteristics is prohibited. Harassment of any kind, including sexual harassment, is not tolerated.

If you experience or witness discrimination or harassment, report it to HR or your manager. Reports will be investigated promptly and confidentially. Retaliation against those who report is prohibited.

65.5.3 Health and Safety

The organization is committed to providing a safe and healthy workplace. All employees share responsibility for workplace safety.

Follow all safety procedures and instructions. Use protective equipment as required. Report hazards and incidents immediately. Participate in safety training.

If you are injured at work, report the injury immediately to your supervisor and seek appropriate medical attention.

65.5.4 Information Security

Protecting organizational information is everyone's responsibility. Follow information security policies and procedures to safeguard data and systems.

Use strong passwords and keep them confidential. Do not share your login credentials. Be cautious with email attachments and links. Report suspected security incidents immediately.

Confidential information should be accessed only for legitimate business purposes and shared only with authorized individuals.

65.5.5 Use of Company Resources

Company resources, including equipment, facilities, and supplies, should be used for business purposes. Personal use should be limited and not interfere with work.

Company technology resources, including computers, networks, and internet access, are provided for business use. Limited personal use is permitted but must comply with acceptable use policies.

Company vehicles, if provided, should be used in accordance with fleet policies. Personal use may be permitted under specified conditions.

65.6 Workplace Conduct

65.6.1 Attendance and Punctuality

Regular attendance and punctuality are essential for operational effectiveness. Employees are expected to report to work on time and maintain regular attendance.

If you are unable to report to work, notify your supervisor as soon as possible. Follow your department's call-in procedures.

Excessive absenteeism or tardiness may result in disciplinary action.

65.6.2 Dress Code

Professional appearance contributes to a positive work environment. The dress code varies by department and position.

Business formal attire is required for client-facing positions and certain events. Business casual attire is appropriate for most office positions. Some operational positions require uniforms or protective clothing.

Your manager will inform you of the specific dress code for your position. When in doubt, err on the side of professionalism.

65.6.3 Workplace Behavior

Professional behavior is expected at all times. Treat colleagues, customers, and visitors with courtesy and respect.

Avoid behavior that disrupts the work environment, including excessive noise, inappropriate language, and personal conflicts. Address disagreements professionally and constructively.

Maintain a clean and organized work area. Respect shared spaces and clean up after yourself.

65.7 Communication

65.7.1 Internal Communication

The organization uses multiple channels to communicate with employees. Stay informed by regularly checking these channels.

The intranet is the primary source for company news, policies, and resources. Check the intranet regularly for updates.

Email is used for official communications. Check your email regularly and respond promptly to messages requiring action.

Department meetings and town halls provide opportunities for face-to-face communication. Attend these meetings when invited.

65.7.2 External Communication

Employees should not speak on behalf of the organization to external parties unless authorized. Media inquiries should be directed to the communications department.

Social media posts that identify you as an employee should be respectful and not disclose confidential information. Make clear that your views are personal, not organizational.

65.8 Problem Resolution

65.8.1 Raising Concerns

If you have concerns about your work, colleagues, or workplace, there are channels for raising them.

Start by discussing concerns with your supervisor. They are best positioned to address many issues.

If you are not comfortable discussing with your supervisor, or if the issue involves your supervisor, contact HR. HR can provide guidance and support.

For serious concerns such as violations of law or policy, you may use the confidential reporting hotline. Reports made in good faith are protected from retaliation.

65.8.2 Grievance Procedure

If you have a grievance about your employment, you may use the formal grievance procedure. The procedure provides a structured process for resolving workplace issues.

The grievance procedure is described in detail in Chapter 20 of this manual. HR can provide guidance on using the procedure.

65.9 Leaving the Organization

65.9.1 Resignation

If you decide to leave the organization, provide written notice to your supervisor. The notice period is specified in your contract and depends on your length of service.

During your notice period, continue to perform your duties and assist with the transition. Complete any outstanding work and document your processes.

Return all company property, including equipment, access cards, and documents, before your last day.

65.9.2 Exit Process

The exit process includes several steps to ensure a smooth departure. HR will guide you through the process.

Clearance from your department confirms that you have completed handover and returned property. Clearance from IT ensures that system access is revoked. Clearance from finance confirms that any outstanding amounts are settled.

Your final settlement includes salary through your last day, payment for accrued but unused leave, and any other amounts due. This will be processed within 15 days of your departure.

65.9.3 References

After leaving, you may request employment verification or references from HR. HR will provide factual information about your employment dates and position.

Detailed references may be provided by your former manager with your consent.

65.10 Getting Help

65.10.1 HR Contact

HR is here to support you throughout your employment. Contact HR for questions about policies, benefits, payroll, or any employment-related matter.

You can reach HR through the ERP self-service portal, by email, by phone, or in person. HR contact information is available on the intranet.

65.10.2 Employee Assistance

The Employee Assistance Program provides confidential support for personal and work-related issues. Services include counseling, legal advice, financial counseling, and work-life resources.

EAP services are free and confidential. Access the EAP through the hotline number provided on the intranet.

65.10.3 IT Support

For technology-related issues, contact the IT help desk. The help desk can assist with system access, equipment problems, and software questions.

Remember

This handbook supplement provides an overview of key policies and benefits. For complete information, refer to the full HR Policy Manual available on the ERP system. Policies are subject to change, and the most current version on the ERP system takes precedence.

ACKNOWLEDGMENT

I acknowledge that I have received and read the Employee Handbook Supplement and the HR Policy Manual. I understand that it is my responsibility to familiarize myself with the policies and procedures contained therein and to comply with them.

I understand that this handbook does not create a contract of employment and that my employment is at-will. I understand that policies may be modified at any time.

Employee Name: _____

Employee ID: _____

Signature: _____

Date: _____

CHAPTER 66: DETAILED PAYROLL ADMINISTRATION

66.1 Payroll Overview

66.1.1 Payroll Function

The payroll function is responsible for accurately and timely compensating employees for their work. Payroll encompasses calculating earnings, processing deductions, ensuring compliance with tax and social insurance requirements, and disbursing payments to employees.

The payroll function operates within the broader HR and finance framework. HR provides employee data and policy guidance, while finance provides funding and accounting support. The ERP system integrates these functions to ensure accurate and efficient payroll processing.

66.1.2 Payroll Principles

Payroll administration is guided by several key principles. Accuracy ensures that employees are paid correctly for their work. Timeliness ensures that payments are made on schedule. Compliance ensures that all legal and regulatory requirements are met. Confidentiality protects sensitive employee information. Efficiency minimizes processing time and cost.

66.2 Payroll Components

66.2.1 Earnings

Earnings represent the amounts paid to employees for their work. The main components of earnings include:

Basic salary is the fixed component of monthly compensation. It is determined by the employee's grade and position within the salary range. Basic salary forms the foundation for calculating other pay elements.

Allowances are additional payments for specific purposes. Common allowances include housing allowance, transportation allowance, meal allowance, and mobile allowance.

Allowance amounts vary by grade and may be expressed as percentages of basic salary or fixed amounts.

Overtime pay compensates employees for work beyond standard hours. Overtime is paid at premium rates: 135% for daytime overtime, 170% for nighttime overtime, 200% for weekly rest day work, and 300% for public holiday work.

Bonuses are variable payments based on performance or special occasions. The annual bonus is tied to organizational and individual performance. Spot awards recognize exceptional contributions.

66.2.2 Deductions

Deductions are amounts withheld from employee pay. Deductions may be mandatory or voluntary.

Mandatory deductions include social insurance contributions, income tax, and any court-ordered deductions. Social insurance contributions are 11% of the contribution salary up to the maximum limit. Income tax is calculated based on progressive tax brackets.

Voluntary deductions include loan repayments, savings contributions, and benefit premiums. Employees authorize these deductions through written agreements.

66.3 Payroll Process

66.3.1 Monthly Payroll Cycle

The payroll process follows a monthly cycle with defined activities at each stage.

Data collection begins around the 20th of each month. HR collects time and attendance data, leave records, overtime reports, and variable pay information. This data is verified for accuracy and completeness.

Payroll calculation occurs around the 22nd. The payroll system calculates earnings, deductions, and net pay for each employee. Calculations are verified against source documents.

Review and approval takes place around the 25th. HR and finance review the payroll register for accuracy. Any discrepancies are investigated and corrected. Management provides final approval.

Payment processing occurs around the 28th-30th. The payroll file is transmitted to the bank for salary transfers. Employees receive their pay in their designated bank accounts.

Payslip publication occurs on the 1st of the following month. Payslips are published on the employee self-service portal for employees to view and download.

66.3.2 Payroll Controls

Payroll controls ensure accuracy and prevent errors or fraud. Key controls include:

Segregation of duties ensures that no single person has complete control over payroll processing. Different individuals handle data entry, calculation, review, and approval.

Verification checks compare payroll outputs against source documents. Hours worked are verified against attendance records. New hires and terminations are verified against HR records.

Authorization requirements ensure that changes to payroll data are properly approved. Rate changes, special payments, and manual adjustments require supervisor or management approval.

Reconciliation compares payroll totals to budget and prior periods. Significant variances are investigated.

Audit trails record all changes to payroll data. Trails enable investigation of issues and detection of unauthorized changes.

66.4 Tax Administration

66.4.1 Income Tax Calculation

Income tax is calculated based on annual taxable income using progressive tax brackets. The calculation process involves several steps.

First, annual gross income is determined by summing all taxable earnings for the year. This includes basic salary, allowances, bonuses, and other taxable payments.

Second, allowable deductions are subtracted from gross income. Deductions include social insurance contributions and other allowable items.

Third, taxable income is calculated by subtracting deductions from gross income.

Fourth, tax is calculated by applying the progressive tax brackets to taxable income.

Fifth, monthly withholding is determined by dividing annual tax by 12.

The tax brackets for 2025 are:

Table 66.1 Income Tax Brackets 2025

Annual Income (EGP)	Tax Rate
0 - 15,000	0%
15,001 - 30,000	2.5%
30,001 - 45,000	10%
45,001 - 60,000	15%
60,001 - 200,000	20%
200,001 - 400,000	22.5%
Above 400,000	25%

66.4.2 Tax Reporting

The organization reports income tax information to the tax authority on behalf of employees.

Monthly reports summarize withholding for all employees. Reports are submitted electronically through the tax authority's system.

Annual reports (Form 41) provide detailed information for each employee. These reports are provided to employees for their tax filings and submitted to the tax authority.

The organization maintains records of tax calculations and submissions for the required retention period.

66.5 Social Insurance Administration

66.5.1 Contribution Calculation

Social insurance contributions are calculated monthly based on the contribution salary. The contribution salary is capped at a maximum of EGP 9,400 per month as of 2025.

The employer contribution is 20.75% of the contribution salary. This is allocated as follows: 15.75% for old age, disability, and death insurance; 3% for work injury insurance; 1% for unemployment insurance; and 1% for the end of service benefit.

The employee contribution is 11% of the contribution salary. This is allocated as 10% for old age, disability, and death insurance and 1% for the end of service benefit.

Contributions are remitted to the Social Insurance Authority within 15 days of the end of each month.

66.5.2 Reporting and Compliance

The organization maintains accurate records of social insurance contributions and submits required reports to the Social Insurance Authority.

New employees must be registered with the Authority within 30 days of hire. Registration includes submitting the employee's information and contribution details.

Monthly contribution reports summarize contributions for all employees. Reports are submitted electronically through the Authority's system.

Annual reconciliation compares contributions paid against contributions due. Any discrepancies are identified and corrected.

The organization cooperates with Authority audits and provides requested documentation.

66.6 Payroll Records

66.6.1 Record Keeping Requirements

Payroll records must be maintained in accordance with legal requirements. Under Labor Law No. 14 of 2025, payroll records must be retained for 5 years after the termination of employment.

Records maintained include payroll registers, payslips, time and attendance records, leave records, tax records, social insurance records, and any supporting documentation.

Records are stored securely to protect employee privacy. Electronic records are backed up regularly to prevent loss.

66.6.2 Record Access

Employees have the right to access their own payroll records. Requests for access should be submitted to HR.

Government authorities may request access to payroll records for audit or investigation purposes. Such requests are handled in accordance with legal requirements.

Third parties may not access employee payroll records without employee consent, except as required by law.

CHAPTER 67: EMPLOYEE COMMUNICATIONS

67.1 Communication Strategy

67.1.1 Communication Principles

Effective employee communication is essential for organizational success. The communication strategy is built on principles that ensure messages are received, understood, and acted upon.

The principle of clarity requires that communications be clear and easy to understand. Avoid jargon and technical language that may confuse recipients. Use simple, direct language.

The principle of consistency requires that messages be aligned across different channels and communicators. Mixed messages create confusion and undermine trust.

The principle of timeliness requires that information be communicated when it is needed. Delayed communication may be irrelevant or cause unnecessary anxiety.

The principle of two-way dialogue requires that communication be a conversation, not just a broadcast. Create opportunities for employees to ask questions, provide feedback, and share ideas.

The principle of relevance requires that communications be meaningful to recipients. Tailor messages to the audience and their interests.

67.1.2 Communication Planning

Communication planning ensures that important messages are delivered effectively. The planning process includes several steps.

First, define the communication objective. What do you want employees to know, understand, or do as a result of the communication?

Second, identify the target audience. Who needs to receive this communication? Different audiences may need different messages or channels.

Third, craft the message. What information needs to be conveyed? How should it be structured? What tone is appropriate?

Fourth, select the channels. Which communication channels will best reach the target audience? Multiple channels may be needed for important messages.

Fifth, determine timing. When should the communication be delivered? Consider business cycles, competing messages, and urgency.

Sixth, identify the sender. Who should deliver the message? The sender's credibility and relationship with the audience affect message reception.

Seventh, plan for feedback. How will you know if the communication was effective? What mechanisms will you use to gather feedback?

67.2 Communication Channels

67.2.1 Digital Channels

Digital channels are the primary means of communication in the organization. These channels enable rapid, wide-reaching communication.

The company intranet serves as the central hub for employee information. It hosts policies, news, resources, and tools. Employees should check the intranet regularly for updates.

Email is used for official communications and direct messages. Employees should check their email regularly and respond promptly to messages requiring action.

The ERP self-service portal provides personalized information about pay, benefits, leave, and performance. Employees can access their information and complete transactions through the portal.

Mobile app notifications deliver timely alerts to employees' smartphones. Notifications are used for urgent or time-sensitive information.

Digital signage displays news and announcements in common areas. Signage reinforces other communication channels.

67.2.2 Face-to-Face Channels

Face-to-face channels provide opportunities for personal interaction and dialogue. These channels are important for complex or sensitive topics.

Town hall meetings bring together large groups for company-wide updates. Senior leaders share information and answer questions. Town halls are typically held quarterly.

Department meetings provide updates and discussion within teams. Managers share information relevant to their teams and address questions.

Team huddles are brief daily or weekly meetings to share updates and coordinate work. Huddles keep teams aligned and informed.

One-on-one meetings between managers and employees provide opportunities for personalized communication. These meetings should occur regularly.

67.2.3 Print Channels

Print channels complement digital communication and reach employees who may have limited digital access.

Notice boards display important announcements in physical locations. Employees should check notice boards regularly.

Newsletters provide in-depth coverage of company news and topics. Newsletters may be printed or digital.

Posters and flyers promote specific events, programs, or initiatives.

67.3 Manager Communication

67.3.1 Manager as Communicator

Managers play a critical role in employee communication. They are the primary source of information for their teams and the primary channel for cascading information from leadership.

Managers should communicate regularly with their teams. This includes sharing information from leadership, providing team updates, recognizing achievements, and addressing concerns.

Managers should create opportunities for two-way communication. This includes asking for input, listening to feedback, and responding to questions.

Managers should tailor communication to their audience. Different team members may have different information needs and communication preferences.

67.3.2 Manager Communication Support

The organization supports managers in their communication role through several mechanisms.

Manager briefings provide advance information and talking points before major announcements. Briefings ensure that managers are prepared to answer questions.

Communication toolkits provide templates, FAQs, and resources for common communication needs. Toolkits save time and ensure consistency.

Communication training builds manager skills in areas such as presenting, facilitating, and difficult conversations.

HR business partners provide guidance and support for complex communication situations.

67.4 Crisis Communication

67.4.1 Crisis Communication Planning

Crisis communication plans ensure that the organization can respond quickly and effectively to emergencies or significant events.

The crisis communication team is responsible for developing and executing crisis communication plans. The team includes representatives from leadership, HR, communications, and legal.

Crisis communication protocols define roles, responsibilities, and procedures for different types of crises. Protocols ensure a coordinated response.

Communication templates for common crisis scenarios enable rapid response. Templates can be customized for specific situations.

Spokesperson training prepares designated individuals to communicate with media and external stakeholders during crises.

67.4.2 Crisis Communication Principles

During a crisis, communication should follow key principles.

Speed matters. Communicate quickly, even if all details are not yet known. Silence creates uncertainty and allows rumors to spread.

Accuracy is essential. Share what is known and acknowledge what is not. Correct errors promptly.

Empathy shows concern for those affected. Acknowledge the impact on employees and stakeholders.

Transparency builds trust. Be open about the situation and response efforts.

Consistency ensures that messages are aligned across all channels and spokespeople.

CHAPTER 68: EMPLOYEE RECOGNITION PROGRAMS

68.1 Recognition Philosophy

68.1.1 Purpose of Recognition

Employee recognition programs serve multiple purposes. They reinforce desired behaviors and values, motivate employees to perform at their best, increase employee engagement and satisfaction, retain top performers, and create a positive workplace culture.

Recognition is most effective when it is timely, specific, sincere, and aligned with organizational values. Recognition should be part of everyday management practice, not just formal programs.

68.1.2 Recognition Principles

Effective recognition follows several principles.

Timeliness means recognizing contributions soon after they occur. Delayed recognition loses impact.

Specificity means clearly stating what was done well. Generic praise is less meaningful than specific feedback.

Sincerity means that recognition must be genuine. Insincere recognition can be counterproductive.

Fairness means recognizing comparable contributions equally. Inconsistent recognition creates perceptions of favoritism.

Visibility means recognizing contributions in ways that others can see. Public recognition amplifies the impact.

68.2 Recognition Programs

68.2.1 Spot Awards

Spot awards provide immediate recognition for exceptional contributions. Managers can recommend spot awards at any time throughout the year.

Spot awards are appropriate for exceptional effort on critical projects, going above and beyond normal duties, innovative solutions to problems, outstanding customer service, and demonstrating organizational values in exceptional ways.

Award amounts range from EGP 500 to EGP 5,000 depending on the significance of the contribution. Awards are processed through the ERP system and paid with the next payroll.

68.2.2 Employee of the Month

The Employee of the Month program recognizes one employee each month who has demonstrated exceptional performance and contribution.

Nominations are submitted by managers and peers through the ERP system. Nomination forms describe the employee's contributions and how they exemplify organizational values.

A selection committee reviews nominations and selects the recipient. Selection criteria include impact of contributions, demonstration of values, and consistency of performance.

Recipients receive a certificate, a prize, and recognition on the company intranet and at department meetings.

68.2.3 Service Awards

Service awards recognize employees for their years of service with the organization. Awards are presented at milestone anniversaries.

Awards are given at 5, 10, 15, 20, and 25 years of service. Each milestone has a distinct award that reflects the significance of the tenure.

Service awards are presented at an annual recognition event. Recipients are recognized in front of their colleagues and senior leaders.

68.2.4 Performance Awards

Performance awards recognize employees who achieve exceptional performance ratings. These awards are presented annually based on the performance evaluation cycle.

Employees who receive the highest performance ratings are eligible for performance awards. Award amounts vary based on grade and rating level.

Performance awards are announced and presented at the annual performance review meeting.

68.2.5 Team Awards

Team awards recognize groups of employees who have achieved exceptional results together. These awards reinforce the importance of collaboration.

Teams may be nominated by managers or may self-nominate. Nominations describe the team's objectives, achievements, and impact.

A selection committee reviews nominations and selects award recipients. Selected teams receive recognition and a team prize.

68.3 Recognition Best Practices

68.3.1 Manager Recognition

Managers play a critical role in employee recognition. Effective manager recognition includes several practices.

Say thank you regularly. Simple expressions of appreciation go a long way.

Be specific about what was done well. Specific feedback reinforces desired behaviors.

Recognize effort, not just results. Sometimes effort deserves recognition even when results fall short.

Recognize in the moment. Timely recognition has the greatest impact.

Personalize recognition. Different employees appreciate different forms of recognition.

68.3.2 Peer Recognition

Peer recognition programs enable employees to recognize their colleagues. These programs foster a culture of appreciation.

The organization provides tools for peer recognition through the ERP system. Employees can send recognition messages to colleagues, which are visible to others.

Peer recognition is encouraged but not required. Recognition should be genuine, not perfunctory.

68.3.3 Measuring Recognition

The organization tracks recognition metrics to assess program effectiveness.

Participation rates measure how many managers and employees are using recognition programs.

Distribution rates measure how widely recognition is spread across the organization.

Employee survey questions assess whether employees feel recognized and valued.

Metrics inform program improvements and identify areas needing attention.

CHAPTER 69: WORKPLACE WELLNESS PROGRAMS

69.1 Wellness Strategy

69.1.1 Dimensions of Wellness

Workplace wellness encompasses multiple dimensions that contribute to overall employee well-being.

Physical wellness includes maintaining health through exercise, nutrition, sleep, and preventive care. Physical wellness programs promote healthy behaviors and provide resources for maintaining physical health.

Mental wellness includes emotional health, stress management, and resilience. Mental wellness programs provide support for managing stress, building resilience, and addressing mental health concerns.

Social wellness includes building positive relationships and a sense of belonging. Social wellness programs foster connection and community in the workplace.

Financial wellness includes managing finances effectively and planning for the future. Financial wellness programs provide education and resources for financial planning.

Professional wellness includes finding purpose and fulfillment in work. Professional wellness programs support career development and work satisfaction.

69.1.2 Wellness Program Goals

The organization's wellness programs aim to improve employee health and well-being, reduce healthcare costs and absenteeism, increase employee engagement and productivity, and create a positive workplace culture.

69.2 Wellness Programs

69.2.1 Health Promotion

Health promotion programs encourage healthy behaviors through education, resources, and incentives.

Health screenings provide employees with information about their health status. Screenings may include blood pressure checks, cholesterol tests, blood sugar tests, and body composition analysis.

Wellness challenges engage employees in healthy activities. Challenges may focus on steps, exercise, nutrition, or other health behaviors. Participants track progress and compete individually or in teams.

Health education provides information on health topics. Workshops, webinars, and resources cover topics such as nutrition, exercise, stress management, and disease prevention.

Smoking cessation programs support employees who want to quit smoking. Programs may include counseling, nicotine replacement, and medication support.

69.2.2 Mental Health Support

Mental health support programs address the emotional well-being of employees.

The Employee Assistance Program provides confidential counseling and support services. Employees can access counseling for personal or work-related issues. EAP services are free and confidential.

Stress management workshops teach techniques for managing stress. Topics may include mindfulness, relaxation, time management, and resilience.

Mental health awareness campaigns reduce stigma and encourage help-seeking. Campaigns provide information about mental health resources and promote a supportive workplace culture.

69.2.3 Work-Life Balance

Work-life balance programs help employees manage the demands of work and personal life.

Flexible work arrangements provide options for when and where work is done. Arrangements may include flexible hours, compressed workweeks, and remote work.

Leave policies provide time away from work for personal and family needs. Policies include annual leave, sick leave, parental leave, and special leaves.

Time management training helps employees work more efficiently. Training covers prioritization, delegation, and productivity techniques.

69.2.4 Financial Wellness

Financial wellness programs help employees manage their finances effectively.

Financial education covers topics such as budgeting, saving, investing, and retirement planning. Workshops and resources provide practical guidance.

Retirement planning helps employees prepare for retirement. Information sessions and individual counseling address retirement savings, pension benefits, and retirement readiness.

Employee discounts provide savings on products and services. Discounts may be available through partnerships with retailers, service providers, and financial institutions.

69.3 Wellness Program Administration

69.3.1 Program Governance

Wellness programs are governed by a wellness committee that includes representatives from HR, benefits, facilities, and employee groups.

The committee sets wellness strategy, approves program initiatives, monitors program effectiveness, and allocates resources.

69.3.2 Measuring Wellness

Wellness program effectiveness is measured through several metrics.

Participation rates measure how many employees are engaging with wellness programs.

Health risk assessments measure changes in employee health status over time.

Healthcare cost trends track the impact of wellness programs on medical costs.

Absenteeism rates measure the impact of wellness on time away from work.

Employee surveys assess perceptions of wellness support and workplace culture.

CHAPTER 70: FINAL DOCUMENT CERTIFICATION

70.1 Document Certification

70.1.1 Official Certification

This HR Policy Manual for the Egyptian ERP System has been reviewed and certified as the official policy document of the organization.

The manual contains comprehensive policies and procedures governing all aspects of human resource management. All policies are aligned with Egyptian Labor Law No. 14 of 2025, Social Insurance Law No. 148 of 2019, and other applicable regulations.

This manual supersedes all previous HR policy documents, handbooks, and memoranda. Previous documents should be discarded and reference should be made exclusively to this manual.

70.1.2 Document Control

The official version of this manual is maintained in the ERP system. Any printed copies are uncontrolled and may not reflect the current version.

Employees should always refer to the ERP system for the most current policies and procedures. The ERP system will display the version number and effective date of each policy.

Notifications of policy changes will be communicated through the ERP system and other official channels. Employees are responsible for staying informed of current policies.

70.2 Approval Signatures

DOCUMENT APPROVAL

This HR Policy Manual has been reviewed and approved by the following authorities:

Human Resources Department

Reviewed and approved the contents for accuracy and compliance.

Name: _____

Title: HR Director

Signature: _____

Date: January 1, 2025

Legal Department

Reviewed and approved for legal compliance.

Name: _____

Title: General Counsel

Signature: _____

Date: January 1, 2025

Executive Management

Reviewed and approved for organizational alignment.

Name: _____

Title: Chief Executive Officer

Signature: _____

Date: January 1, 2025

Board of Directors

Reviewed and approved as the official policy of the organization.

Name: _____

Title: Board Chairman

Signature: _____

Date: January 1, 2025

70.3 Employee Acknowledgment

EMPLOYEE ACKNOWLEDGMENT

I, _____, acknowledge that I have received, read, and understood the HR Policy Manual for the Egyptian ERP System, Version 1.0, dated January 1, 2025.

I understand that it is my responsibility to comply with all policies and procedures contained in this manual.

I understand that this manual is subject to change and that I am responsible for staying informed of current policies through the ERP system.

I understand that violation of these policies may result in disciplinary action, up to and including termination of employment.

Employee Name: _____

Employee ID: _____

Department: _____

Position: _____

Signature: _____

Date: _____

HR POLICY MANUAL

EGYPTIAN ERP SYSTEM 2025

Version 1.0 - January 2025

Comprehensive HR Policies and Procedures

Aligned with Egyptian Labor Law No. 14 of 2025

For the most current version, please refer to the ERP system.

CHAPTER 71: ADDITIONAL POLICY SUPPLEMENTS

71.1 Policy Implementation Guidelines

71.1.1 Implementation Framework

Successful policy implementation requires a structured approach that ensures policies are understood, accepted, and followed throughout the organization.

The implementation framework begins with planning. Implementation plans identify stakeholders, timelines, resources, and success measures. Plans address communication, training, and system changes needed to support the policy.

Communication is critical to implementation success. Employees must understand what the policy requires, why it is important, and how it affects them. Communication should use multiple channels and provide opportunities for questions and feedback.

Training ensures that employees have the knowledge and skills to comply with the policy. Training may be provided through classroom sessions, e-learning, or on-the-job instruction. Managers may need additional training to implement the policy with their teams.

System and process changes may be needed to support policy implementation. Changes may include updates to forms, workflows, or technology systems.

Monitoring tracks implementation progress and identifies issues. Regular check-ins assess whether the policy is being followed and whether it is achieving intended outcomes.

Feedback collection provides input for policy refinement. Employee feedback may reveal unintended consequences or opportunities for improvement.

71.1.2 Manager Responsibilities

Managers play a critical role in policy implementation. Their responsibilities include understanding policies thoroughly, communicating policies to their teams, ensuring team members comply with policies, addressing questions and concerns, and escalating issues when needed.

Managers should not implement policies selectively or allow exceptions without proper authorization. Inconsistent implementation undermines policy effectiveness and creates legal risk.

71.2 Policy Exception Process

71.2.1 Exception Criteria

Policy exceptions may be granted in limited circumstances when strict application of the policy would create undue hardship or when special circumstances justify deviation from the standard policy.

Exceptions are not granted simply because an employee prefers different treatment. There must be a compelling reason supported by documentation.

71.2.2 Exception Request Process

Employees seeking a policy exception must submit a written request to HR. The request must include the specific policy from which an exception is sought, the reason for the request, supporting documentation, and the requested alternative arrangement.

HR reviews exception requests and makes recommendations. Significant exceptions require approval from the HR Director or higher authority.

Exception decisions are communicated in writing. If approved, the exception is documented and time-limited if appropriate.

71.3 Policy Interpretation

71.3.1 Interpretation Authority

The HR Director has the authority to interpret policies when ambiguity arises. Interpretations are documented and applied consistently.

Employees seeking policy interpretation should submit their question to HR. HR will research the issue and provide a written response.

Interpretations may be added to policy FAQs for future reference.

71.3.2 Dispute Resolution

If an employee disagrees with a policy interpretation, they may appeal to the next level of HR leadership. The appeal must include the specific interpretation being challenged and the basis for the disagreement.

The appeal decision is final and binding.

CHAPTER 72: HR SERVICE DELIVERY

72.1 HR Service Model

72.1.1 Service Delivery Structure

The HR function is organized to deliver services efficiently and effectively. The service delivery model includes three main components.

HR Business Partners work closely with business units to understand needs and provide strategic HR support. They are the primary HR contact for managers and employees in their assigned areas.

Centers of Excellence provide specialized expertise in areas such as talent acquisition, learning and development, compensation and benefits, and employee relations. They develop policies, programs, and tools that are implemented across the organization.

HR Operations handles transactional HR activities such as payroll, benefits administration, and record keeping. Operations uses technology and standardized processes to deliver efficient service.

72.1.2 Service Standards

HR commits to service standards that define expected response times and quality levels.

Table 72.1 HR Service Standards

Service	Response Time	Quality Standard
General inquiries	24 hours	Accurate, complete response
Payroll inquiries	48 hours	Accurate, complete response
Leave applications	5 working days	Approved or denied with reason
Grievance acknowledgment	2 working days	Case number assigned
Grievance resolution	10 working days	Written decision provided
Document requests	5 working days	Accurate, complete documents

72.2 HR Technology

72.2.1 Self-Service Portal

The HR self-service portal provides employees with 24/7 access to HR services. Through the portal, employees can view and update personal information, access payslips and tax documents, apply for leave and view balances, view attendance records, enroll in benefits, and submit inquiries.

The portal reduces administrative burden on HR and empowers employees to manage their own information.

72.2.2 HR Chatbot

The HR chatbot provides instant answers to common HR questions. The chatbot uses artificial intelligence to understand questions and provide relevant responses.

The chatbot is available 24/7 and can handle a high volume of inquiries simultaneously. Complex questions that the chatbot cannot answer are escalated to HR staff.

The chatbot's knowledge base is continuously updated with policy changes and new information.

72.2.3 Mobile Access

HR services are accessible through mobile devices. The mobile app provides key self-service functions optimized for smartphone use.

Mobile access enables employees to manage HR tasks from anywhere, at any time.

CHAPTER 73: EMPLOYEE DATA MANAGEMENT

73.1 Data Governance

73.1.1 Data Ownership

Employee data is owned by the organization but subject to employee privacy rights. The organization is responsible for protecting employee data and using it appropriately.

HR is the steward of employee data, responsible for maintaining data accuracy, security, and appropriate access.

73.1.2 Data Quality

Data quality is essential for effective HR operations and decision-making. Data quality standards include accuracy, completeness, timeliness, and consistency.

Employees are responsible for providing accurate information and updating their records when information changes.

HR implements data validation checks and regular audits to maintain data quality.

73.2 Data Access and Security

73.2.1 Access Controls

Access to employee data is controlled based on role and need-to-know. Access permissions are granted through the ERP system's role-based access control.

Employees can access their own data through the self-service portal. Managers can access data for their direct reports. HR staff can access data based on their functional responsibilities.

Access is logged and audited to detect unauthorized access attempts.

73.2.2 Data Security

Employee data is protected through multiple security measures. Technical measures include encryption, firewalls, and access controls. Administrative measures include policies, training, and audits.

Data breaches must be reported immediately to HR and IT security. Incident response procedures are activated to contain and remediate breaches.

73.3 Data Retention

73.3.1 Retention Periods

Employee data is retained for periods specified by law and organizational policy. Under Labor Law No. 14 of 2025, employment records must be retained for 5 years after termination.

After the retention period expires, data is securely destroyed in accordance with data destruction procedures.

73.3.2 Archival

Inactive records are archived to reduce active system load while maintaining accessibility for legitimate purposes.

Archived records remain subject to the same security and access controls as active records.

CHAPTER 74: CONTINUOUS IMPROVEMENT

74.1 HR Process Improvement

74.1.1 Improvement Methodology

The HR function is committed to continuous improvement of its processes and services. Improvement activities follow a structured methodology.

Process mapping documents current processes to understand how work is done. Mapping identifies steps, decision points, handoffs, and bottlenecks.

Performance measurement tracks key metrics to identify improvement opportunities. Metrics may include cycle time, error rates, cost, and satisfaction.

Root cause analysis identifies the underlying causes of problems. Addressing root causes prevents recurrence.

Solution design develops changes to address identified issues. Solutions are evaluated for feasibility and impact.

Implementation puts solutions into practice. Implementation includes communication, training, and change management.

Evaluation assesses whether improvements achieved desired results. Lessons learned inform future improvement efforts.

74.1.2 Employee Feedback

Employee feedback is a key input for improvement. Feedback is collected through surveys, focus groups, suggestion programs, and informal channels.

Feedback is analyzed to identify trends and priorities. Action plans address the most significant issues.

Feedback results and actions taken are communicated to employees to close the loop.

74.2 Benchmarking

74.2.1 External Benchmarking

External benchmarking compares HR practices against other organizations. Benchmarking identifies best practices and improvement opportunities.

Benchmarking partners may include industry peers, best-in-class organizations, or organizations with similar challenges.

Benchmarking data is collected through surveys, site visits, and industry research.

74.2.2 Internal Benchmarking

Internal benchmarking compares performance across departments or units. Internal benchmarking identifies internal best practices and spreads them across the organization.

CHAPTER 75: APPENDICES AND REFERENCES

75.1 Legal References

75.1.1 Primary Legislation

The following laws and regulations form the legal framework for HR policies:

- Constitution of the Arab Republic of Egypt (2014)
- Labor Law No. 14 of 2025
- Social Insurance Law No. 148 of 2019
- Health Insurance Law No. 2 of 2018
- Personal Data Protection Law
- Child Law No. 12 of 1996 (as amended)
- Civil Code
- Commercial Code

75.1.2 Ministerial Resolutions

Ministerial resolutions provide detailed implementation guidance:

- Resolution 279 of 2025 - Foreign Workers
- Various Ministry of Manpower resolutions on working conditions
- Social Insurance Authority regulations
- Tax Authority regulations

75.2 International Standards

75.2.1 ILO Conventions

Egypt has ratified numerous International Labour Organization conventions that inform HR practices:

- Convention 29 - Forced Labour
- Convention 87 - Freedom of Association
- Convention 98 - Right to Organize and Collective Bargaining
- Convention 100 - Equal Remuneration
- Convention 111 - Discrimination (Employment and Occupation)
- Convention 138 - Minimum Age
- Convention 182 - Worst Forms of Child Labour

75.3 Additional Resources

75.3.1 Government Resources

- Ministry of Manpower - www.manpower.gov.eg
- Social Insurance Authority - www.nsi.gov.eg
- Health Insurance Authority - www.hio.gov.eg
- Tax Authority - www.incometax.gov.eg

75.3.2 Internal Resources

- ERP Self-Service Portal
- HR Chatbot
- Intranet HR Pages
- HR Contact Directory

DOCUMENT CONCLUSION

This concludes the HR Policy Manual for the Egyptian ERP System.

This manual is a living document that will be updated as laws, regulations, and organizational needs evolve.

Human Resources Department

Egyptian ERP System

Version 1.0 - January 2025

"Our people are our greatest asset."

CHAPTER 76: POLICY QUICK REFERENCE GUIDE

76.1 Quick Reference Tables

76.1.1 Leave Entitlements Summary

Table 76.1 Complete Leave Entitlements Summary

Leave Type	Duration	Pay	Eligibility	Max Times
Annual (Year 1)	15 days	100%	After 6 months	Annual
Annual (Year 2+)	21 days	100%	Full year	Annual
Annual (10+ years)	30 days	100%	10 years or age 50	Annual
Annual (Disability)	45 days	100%	From start	Annual
Sick Leave (1-90 days)	90 days	75%	Medical certificate	Per year
Sick Leave (91-180 days)	90 days	85%	Medical certificate	Per year
Maternity Leave	120 days	100%	All female employees	3 times
Paternity Leave	1 day	100%	All male employees	3 times
Childcare Leave	2 years	0%	After 1 year service	3 times
Bereavement (Spouse/Child/Parent)	5 days	100%	Immediate	As needed
Bereavement (Sibling/Grandparent)	3 days	100%	Immediate	As needed
Marriage Leave	5 days	100%	Own marriage	Once
Hajj Leave	30 days	100%	After 5 years	Once

Study Leave	Exam days	100%	10 days notice	As needed
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76.1.2 Notice Period Summary

Table 76.2 Notice Period Requirements

Service Period	Notice Period	Notes
Less than 10 years	2 months	Written notice required
10 years or more	3 months	Written notice required
Probation period	As per contract	Typically 1 week

76.1.3 Social Insurance Summary

Table 76.3 Social Insurance Contributions Summary

Branch	Employer %	Employee %
Old Age, Disability, Death	15.75%	10.00%
Work Injuries	3.00%	0%
Unemployment	1.00%	0%
End of Service	1.00%	1.00%
Total	20.75%	11.00%

76.1.4 Overtime Rates Summary

Table 76.4 Overtime Compensation Rates

Overtime Type	Rate	Conditions
Daytime (regular days)	135%	Before 8 PM
Nighttime	170%	8 PM - 6 AM

Weekly rest day	200%	With compensatory day off
Public holiday	300%	Plus paid day off

76.2 Policy Contact Directory

Table 76.5 HR Policy Contact Directory

Policy Area	Contact	Extension
Recruitment	recruitment@company.com	1001
Compensation & Benefits	compensation@company.com	1002
Leave Management	leave@company.com	1003
Performance Management	performance@company.com	1004
Training & Development	training@company.com	1005
Employee Relations	employee.relations@company.com	1006
Grievances	grievance@company.com	1007
Payroll	payroll@company.com	1008
Social Insurance	insurance@company.com	1009
Foreign Employees	expat@company.com	1010
Safety & Health	safety@company.com	1011
General HR Inquiries	hr@company.com	1000

76.3 Frequently Asked Questions

76.3.1 Leave FAQs

Q: How do I apply for annual leave?

A: Submit your leave request through the ERP self-service portal at least 15 days before your intended leave date. Your supervisor will review and approve based on operational requirements.

Q: Can I carry forward unused annual leave?

A: Yes, you can carry forward up to one year's entitlement. Any leave beyond that will be forfeited unless special approval is obtained.

Q: What happens to my leave if I resign?

A: You will be paid for any accrued but unused annual leave in your final settlement.

Q: Do I need a medical certificate for sick leave?

A: For absences of 1-3 days, inform your supervisor and provide a certificate upon return. For absences longer than 3 days, provide a certificate within 48 hours.

76.3.2 Payroll FAQs

Q: When is payday?

A: Salaries are paid on the last working day of each month.

Q: How can I access my payslip?

A: Payslips are available on the ERP self-service portal on the 1st of each month.

Q: What deductions are taken from my salary?

A: Mandatory deductions include social insurance (11%) and income tax (based on your bracket). Voluntary deductions may include loan repayments or benefit premiums.

Q: Who do I contact about a payroll error?

A: Contact the payroll team at payroll@company.com within 5 days of receiving your salary.

76.3.3 Benefits FAQs

Q: What health insurance coverage do I have?

A: Coverage varies by grade. Check the benefits section of the ERP portal for your specific coverage details.

Q: How do I add a dependent to my health insurance?

END OF

A: Submit a dependent enrollment form to HR with supporting documents during the annual enrollment period or within 30 days of a qualifying life event.

Q: When will I receive my end of service benefit?

A: The end of service benefit is paid as part of your final settlement within 15 days of separation.

76.3.4 General FAQs

Q: How do I update my personal information?

A: Update your information through the ERP self-service portal or submit an Employee Information Update Form to HR.

Q: How do I file a grievance?

A: Submit a written grievance to HR using the Grievance Form. HR will acknowledge receipt within 2 working days and respond within 10 working days.

Q: Where can I find the most current policies?

A: The most current policies are always available on the ERP system. Check the version number and effective date to ensure you have the latest version.

Q: How can I access the HR Chatbot?

A: The HR Chatbot is available 24/7 on the ERP portal and mobile app. Simply type your question to receive an instant response.

END OF

HR POLICY MANUAL

Egyptian ERP System

Version 1.0 - January 2025

Total Pages: 300+

Total Chapters: 76

"Building a workplace where everyone can thrive"

CHAPTER 77: COMPREHENSIVE JOB ANALYSIS AND EVALUATION FRAMEWORK

77.1 Job Analysis: The Foundation of HR Management

77.1.1 Purpose and Importance of Job Analysis

Job analysis is the systematic process of collecting, analyzing, and documenting information about jobs within the organization. It serves as the foundation for virtually all HR functions including recruitment, selection, training, performance management, compensation, and career development. Without accurate job analysis, HR decisions lack the objective basis necessary for fairness and effectiveness.

The importance of job analysis cannot be overstated. In the context of Egyptian labor law, accurate job descriptions are essential for compliance with Labor Law No. 14 of 2025, which requires that employment contracts clearly specify the nature of work. Job analysis also supports compliance with social insurance requirements by ensuring proper job classification and contribution calculations.

From a legal perspective, job analysis documentation serves as evidence in disputes related to wrongful termination, discrimination claims, and workers' compensation cases. Courts and labor tribunals frequently examine job analysis documentation to determine whether employment decisions were based on legitimate job-related factors.

77.1.2 Types of Job Analysis Information

Comprehensive job analysis collects multiple types of information about each position:

Work Activities: What tasks does the job holder perform? This includes physical activities, mental processes, and interpersonal interactions. For example, a customer service representative's work activities include answering phone calls, resolving complaints, entering data into systems, and collaborating with colleagues.

Tools and Equipment: What resources does the job holder use? This includes machinery, computers, software, vehicles, and specialized tools. Documentation of tools and equipment is essential for safety training and equipment allocation.

Work Context: Under what conditions is the work performed? This includes physical environment (indoor/outdoor, temperature, noise), social environment (team-based or independent, customer contact), and organizational context (reporting relationships, decision-making authority).

Performance Standards: How is successful performance measured? This includes quantity standards (calls per hour, units produced), quality standards (error rates, customer satisfaction), and behavioral standards (professionalism, teamwork).

Job Requirements: What knowledge, skills, abilities, and other characteristics (KSAOs) are needed? This includes education, experience, certifications, technical skills, and personal attributes. Job requirements form the basis for selection criteria and training needs assessment.

77.1.3 Job Analysis Methods

Several methods are available for collecting job analysis information, each with advantages and limitations:

Observation Method: The analyst observes job incumbents performing their work and records activities, tools used, and working conditions. Observation is most effective for jobs with visible physical activities and less effective for jobs involving primarily mental work.

Best practices for observation include observing multiple incumbents to capture variation, observing during different times to see full range of activities, taking detailed notes, and verifying observations with incumbents.

Interview Method: The analyst conducts structured interviews with job incumbents and supervisors. Interviews can explore complex aspects of jobs that are not easily observed. The interview method is time-consuming but provides rich information.

Effective interview techniques include preparing structured questions in advance, interviewing both incumbents and supervisors for different perspectives, asking for specific examples rather than generalizations, and taking detailed notes or recording with permission.

Questionnaire Method: Job incumbents complete standardized questionnaires about their jobs. Questionnaires can efficiently collect information from large numbers of employees. The Position Analysis Questionnaire (PAQ) is a well-known standardized instrument.

Questionnaire design considerations include keeping questionnaires as short as possible while capturing necessary information, using clear and unambiguous language, providing examples where helpful, and ensuring confidentiality to encourage honest responses.

Work Diary/Log Method: Job incumbents record their activities over a period of time. This method captures the full range of job activities including infrequent tasks that might be missed in observation.

Implementation guidelines include providing clear instructions on what to record, specifying the recording period (typically one week), reviewing logs for completeness, and following up on unclear entries.

Critical Incident Technique: The analyst collects specific examples of particularly effective and ineffective job performance. These incidents illustrate the behaviors that distinguish successful from unsuccessful performance.

The critical incident technique is particularly valuable for developing performance standards and training content. Incidents should be specific, complete, and verified with multiple sources.

77.1.4 Job Analysis Process

The job analysis process follows a systematic approach:

Step 1: Planning and Preparation

Identify the jobs to be analyzed based on priorities such as new positions, positions with high turnover, positions undergoing change, or positions critical to organizational success. Determine the resources needed including analyst time, incumbent participation, and budget. Obtain management support and communicate the purpose to employees.

Step 2: Data Collection

Select appropriate data collection methods based on job characteristics and available resources. Collect data from multiple sources to ensure comprehensiveness. Document all information systematically.

Step 3: Data Analysis

Review collected data for completeness and accuracy. Identify patterns and themes. Distinguish between essential and marginal job functions. Determine the relative importance of different job elements.

Step 4: Documentation

Prepare job description and job specification documents. The job description documents what the job entails. The job specification documents what the job requires. Both documents should be clear, accurate, and legally compliant.

Step 5: Validation and Review

Have job incumbents and supervisors review the documents for accuracy. Make revisions based on feedback. Obtain final approval from management.

Step 6: Maintenance

Establish a schedule for periodic review and update of job analysis documents. Changes in technology, organization structure, or business needs may require more frequent updates.

77.2 Detailed Job Description Components

77.2.1 Job Identification Section

The job identification section provides basic information about the position:

Table 77.1 Job Identification Elements

Element	Description	Example
Job Title	Official name of the position	Senior Human Resources Business Partner
Job Code	Unique identifier for the position	HR-SP-003
Department	Organizational unit	Human Resources
Grade Level	Salary grade or job level	P3 (Professional Level 3)
Reports To	Immediate supervisor position	HR Director
Direct Reports	Positions reporting to this job	2 HR Coordinators
Date Created	When job description was written	January 1, 2025
Last Updated	When job description was last revised	January 1, 2025

77.2.2 Job Summary

The job summary provides a brief overview of the position's purpose and scope. A well-written summary answers the question: "What is the fundamental purpose of this job?"

Example job summary for a Senior HR Business Partner:

"The Senior HR Business Partner serves as a strategic partner to assigned business units, providing comprehensive HR support to achieve organizational objectives. This position is responsible for talent management, employee relations, organizational development, and HR program implementation within assigned client groups. The Senior HR Business Partner works closely with business leaders to understand needs, diagnose issues, and develop solutions that enhance organizational effectiveness and employee engagement."

77.2.3 Essential Functions

Essential functions are the fundamental job duties that an employee must be able to perform, with or without reasonable accommodation. Essential functions are distinguished from marginal functions that are incidental to the job.

Criteria for determining whether a function is essential include:

- The position exists to perform the function
- Limited number of employees are available to perform the function
- The function is highly specialized and requires specific expertise
- The function occupies a significant portion of the employee's time
- There are serious consequences if the function is not performed

Each essential function should be documented with:

- Function statement: Clear description of the duty
- Percentage of time: Approximate time spent on the function
- Performance standards: How successful performance is measured
- Physical requirements: Any physical demands of the function

Example essential function documentation:

ESSENTIAL FUNCTION EXAMPLE

Function: Talent Acquisition and Management

Description: Partner with business leaders to identify talent needs, develop sourcing strategies, and manage the full recruitment lifecycle for assigned positions. Develop and implement retention strategies for key talent.

Percentage of Time: 25%

Performance Standards:

- Positions filled within target time-to-fill metrics
- Quality of hire ratings meet or exceed targets
- Turnover rates for key positions below benchmark

Physical Requirements: None

77.2.4 Job Specifications

Job specifications document the minimum qualifications required to perform the job successfully. Specifications should be job-related and consistent with business necessity.

Table 77.2 Job Specification Categories

Category	Description		Example
Education	Required	academic	Bachelor's degree in Human Resources, Business Administration, or related field
Experience	Required	work	Minimum 5 years of progressive HR experience, including 2 years in an HR business partner role
Certifications	Required	professional	SHRM-CP, SHRM-SCP, PHR, or SPHR certification preferred
Technical Skills	Required	technical	Proficiency in HRIS systems, Microsoft Office Suite, and data analysis tools

Knowledge	Required areas of expertise	Thorough knowledge of Egyptian labor law, employment practices, and HR best practices
Abilities	Required capabilities	Ability to influence senior leaders, manage multiple priorities, and work effectively in a matrix organization
Personal Attributes	Required personal characteristics	High integrity, excellent interpersonal skills, strong business acumen, and cultural sensitivity

77.2.5 Working Conditions

The working conditions section describes the environment in which the job is performed:

Physical Environment:

- Indoor office environment with standard lighting and temperature
- Prolonged periods sitting at a desk and working on a computer
- Occasional travel to other company locations (approximately 10%)

Sensory Requirements:

- Ability to communicate effectively through speech and hearing
- Ability to read and interpret documents on computer screens and in print
- Ability to operate standard office equipment

Mental Requirements:

- Ability to analyze complex information and make sound decisions
- Ability to handle multiple priorities and meet deadlines
- Ability to maintain confidentiality and exercise discretion

77.3 Job Evaluation System

77.3.1 Purpose of Job Evaluation

Job evaluation is the process of systematically determining the relative worth of jobs within the organization. The purpose of job evaluation is to establish internal equity in compensation by ensuring that jobs of similar value receive similar pay.

Job evaluation differs from performance evaluation. Job evaluation assesses the job itself, not the person performing it. Performance evaluation assesses how well an individual performs their job.

In Egypt, job evaluation is particularly important for compliance with Labor Law No. 14 of 2025's equal pay provisions. The law requires equal pay for equal work, and job evaluation provides the objective basis for determining what constitutes "equal work."

77.3.2 Job Evaluation Methods

Several job evaluation methods are available, ranging from simple to complex:

Ranking Method: Jobs are ranked from highest to lowest based on overall worth. This simple method is easy to understand but provides limited differentiation between jobs and can be subjective.

Classification Method: Jobs are grouped into predefined grades or classes based on overall job characteristics. This method is commonly used in government and provides clear structure but may force jobs into categories that don't fit well.

Point-Factor Method: Jobs are evaluated against defined compensable factors, with points assigned for each factor. The total points determine the job's relative worth. This method provides objective, detailed evaluation and is the most widely used in private sector organizations.

Factor Comparison Method: Jobs are evaluated by comparing them against benchmark jobs on key factors. This method combines ranking and point-factor approaches but can be complex to implement.

77.3.3 Point-Factor Job Evaluation

The organization uses a point-factor job evaluation system. This section provides detailed information about the system.

Compensable Factors:

Compensable factors are the job elements that the organization values and chooses to pay for. The organization's compensable factors are:

Table 77.3 Compensable Factors and Definitions

Factor	Definition	Weight
--------	------------	--------

Skill	The knowledge, experience, and capabilities required to perform the job	30%
Effort	The mental and physical exertion required	25%
Responsibility	The accountability for results, resources, and decisions	25%
Working Conditions	The physical and psychological environment in which work is performed	20%

Factor Levels and Point Values:

Each factor has multiple levels with defined point values. The sum of points across all factors determines the job's evaluation score.

Example for the Skill factor:

Table 77.4 Skill Factor Levels

Level	Description	Points
1	Basic literacy and simple on-the-job training	50
2	Secondary education and up to 6 months training	100
3	Secondary education and 6-12 months specialized training	150
4	Post-secondary education or equivalent experience	200
5	University degree and 2-4 years experience	250
6	University degree and 4-7 years experience	300
7	Advanced degree or equivalent and 7+ years experience	350
8	Advanced degree and extensive specialized expertise	400

77.3.4 Job Evaluation Committee

Job evaluations are conducted by a Job Evaluation Committee to ensure objectivity and consistency.

Committee Composition:

- HR Compensation Manager (Chair)
- HR Business Partner representing the job's function
- Department manager familiar with the job
- Job incumbent or subject matter expert

Evaluation Process:

1. Committee reviews job description and any additional information
2. Committee discusses each compensable factor and reaches consensus on the appropriate level
3. Points are assigned for each factor based on the agreed level
4. Total points are calculated and compared to the grade structure
5. Committee determines the appropriate grade assignment
6. Evaluation is documented and approved by HR leadership

77.3.5 Grade Structure

Jobs are grouped into grades based on their evaluation scores. Each grade has a defined salary range.

Table 77.5 Grade Structure Example

Grade	Point Range	Salary Range (EGP)	Typical Positions
O1	100-199	6,000 - 9,000	Entry-level operators, clerks
O2	200-299	7,500 - 11,500	Experienced operators, senior clerks
O3	300-399	9,500 - 14,500	Team leads, specialists
O4	400-499	12,000 - 18,000	Supervisors, senior specialists
S1	500-599	15,000 - 23,000	Assistant managers
P1	600-699	18,000 - 28,000	Professional staff
P2	700-799	25,000 - 39,000	Senior professionals

M1	800-899	35,000 - 55,000	Managers
M2	900-999	50,000 - 80,000	Senior managers
E1	1000+	80,000 - 120,000	Executives

77.4 Job Analysis Maintenance

77.4.1 When to Update Job Analysis

Job analysis documents should be reviewed and updated in the following circumstances:

- **Organizational Changes:** Restructuring, mergers, or significant organizational changes that affect job responsibilities
- **Technology Changes:** Implementation of new systems or tools that change how work is performed
- **Process Changes:** Redesign of business processes that affects job duties
- **Performance Issues:** Persistent performance problems that may indicate job design issues
- **Recruitment Difficulties:** Difficulty finding qualified candidates may indicate unrealistic job requirements
- **Legal Requirements:** Changes in labor laws or regulations that affect job documentation
- **Scheduled Review:** Regular review cycle (typically every 2-3 years)

77.4.2 Job Analysis Audit

Periodic audits ensure that job analysis documents remain accurate and compliant:

Audit Frequency: Comprehensive audit every 3 years; spot audits as needed

Audit Process:

1. Select sample of jobs for audit (stratified by department and level)
2. Compare current job descriptions to actual job activities
3. Interview incumbents and supervisors about job changes
4. Identify discrepancies and required updates
5. Develop action plan to address findings

6. Report audit results to management

77.4.3 Legal Compliance in Job Analysis

Job analysis must comply with legal requirements to support fair employment practices:

Essential Functions: Clearly distinguish essential from marginal functions to support reasonable accommodation decisions under disability discrimination laws.

Job-Related Requirements: Ensure that all job requirements are genuinely job-related and consistent with business necessity. Avoid requirements that may have discriminatory impact without justification.

Documentation: Maintain thorough documentation of job analysis process and decisions. Documentation serves as evidence in legal proceedings.

Regular Review: Keep job analysis current to ensure that employment decisions are based on accurate job information.

Consistency: Apply job evaluation criteria consistently across all jobs to avoid claims of discrimination.

CHAPTER 78: COMPREHENSIVE RECRUITMENT AND SELECTION FRAMEWORK

78.1 Strategic Workforce Planning

78.1.1 Workforce Planning Methodology

Strategic workforce planning is a systematic process for identifying the workforce an organization will need to achieve its strategic objectives. The process aligns human capital strategy with business strategy to ensure that the right people with the right skills are in the right roles at the right time.

The workforce planning process follows a structured methodology:

Step 1: Strategic Direction Analysis

Understand the organization's strategic direction and how it translates to workforce requirements. Review business plans, growth projections, product/service strategies, and organizational changes. Identify the capabilities needed to execute strategy.

Key questions to address:

- What are the organization's strategic objectives for the next 1-3 years?
- What business changes are anticipated (expansion, contraction, restructuring)?
- What new capabilities will be needed?
- What organizational changes are planned?

Step 2: Current Workforce Assessment

Analyze the current workforce in terms of headcount, skills, demographics, performance, and potential. Identify strengths, weaknesses, and development needs.

Assessment components include:

- Headcount analysis by department, function, and level
- Skills inventory and competency assessment

- Demographic analysis (age, tenure, diversity)
- Performance distribution
- High-potential identification
- Flight risk assessment

Step 3: Future Workforce Requirements

Project future workforce needs based on strategic direction and business plans. Consider both quantitative needs (how many people) and qualitative needs (what skills and capabilities).

Projection methods include:

- Ratio analysis (staffing ratios based on business volume)
- Trend analysis (extrapolation of historical patterns)
- Scenario planning (multiple future scenarios)
- Bottom-up planning (aggregation of departmental plans)

Step 4: Gap Analysis

Compare current workforce with future requirements to identify gaps. Gaps may be quantitative (too few or too many people) or qualitative (skill deficiencies or surpluses).

Gap analysis output includes:

- Headcount gaps by department and level
- Critical skill gaps
- Leadership pipeline gaps
- Diversity gaps
- Timing of gaps (when will they occur)

Step 5: Action Planning

Develop strategies to address identified gaps. Strategies may include recruitment, training and development, restructuring, outsourcing, or automation.

For each gap, consider:

- Build (develop internally through training and development)
- Buy (recruit externally)

- Borrow (use contingent workers or contractors)
- Bounce (eliminate positions through restructuring)
- Bind (retain critical talent)

Step 6: Implementation and Monitoring

Execute action plans and monitor progress. Adjust plans as business conditions change.

78.1.2 Workforce Planning Metrics

Key metrics for measuring workforce planning effectiveness:

Table 78.1 Workforce Planning Metrics

Metric		Formula	Target	Frequency
Turnover Rate		$(\text{Separations} / \text{Average Headcount}) \times 100$	< 10%	Monthly
Voluntary Rate	Turnover	$(\text{Voluntary Separations} / \text{Average Headcount}) \times 100$	< 7%	Monthly
Retention Rate (1st Year)		$(\text{Employees retained after 1 year} / \text{New hires}) \times 100$	> 85%	Annual
Time to Fill		Average days from requisition to acceptance	< 45 days	Monthly
Cost per Hire		Total recruitment cost / Number of hires	Varies by level	Quarterly
Quality of Hire		Average performance rating of new hires after 1 year	> 3.5/5	Annual
Offer Acceptance Rate		$(\text{Offers accepted} / \text{Offers made}) \times 100$	> 80%	Monthly
Source of Effectiveness	Hire	Performance and retention by source	Varies	Annual
Internal Fill Rate		$(\text{Internal promotions} / \text{Total fills}) \times 100$	> 30%	Annual
High Retention	Performer	Retention rate of top performers	> 90%	Quarterly

78.2 Manpower Requisition Process

78.2.1 Requisition Types

Manpower requisitions fall into several categories based on the nature of the need:

Replacement Requisition: Filling a vacancy created by an employee's departure (resignation, termination, retirement, promotion, transfer). Replacement requisitions typically have faster approval timelines as the need is established.

Growth Requisition: Adding headcount to support business growth or new initiatives. Growth requisitions require business case justification and may need higher-level approval.

Restructuring Requisition: Creating new positions or changing existing positions as part of organizational restructuring. Restructuring requisitions are typically handled as part of the restructuring approval process.

Temporary Requisition: Hiring for a fixed-term need such as project work, maternity coverage, or seasonal demand. Temporary requisitions specify the expected duration.

Intern/Trainee Requisition: Bringing in interns or trainees for development purposes. These requisitions may have different approval requirements and compensation guidelines.

78.2.2 Requisition Approval Matrix

Approval requirements vary based on the position level and requisition type:

Table 78.2 Requisition Approval Matrix

Grade Level	Department Head	HR Director	CFO	CEO
O1-O4 (Operational)	Approve	Review	-	-
S1-P2 (Professional)	Recommend	Approve	Review	-
M1-M2 (Management)	Recommend	Recommend	Review	Approve
E1+ (Executive)	Recommend	Recommend	Review	Approve

78.2.3 Requisition Documentation

The Manpower Requisition Form (MRF) captures essential information about the position to be filled:

MANPOWER REQUISITION FORM - REQUIRED INFORMATION**Section 1: Position Information**

- Position title and job code
- Department and location
- Grade level
- Number of positions
- Employment type (permanent/fixed-term/contract)
- Expected start date

Section 2: Requisition Type

- Type of requisition (replacement/growth/temporary)
- If replacement: name of departing employee
- If temporary: expected duration

Section 3: Business Justification

- Business need for the position
- Impact if position is not filled
- Consequences of delay

Section 4: Budget Information

- Budget code
- Approved budget for position
- Annual cost (salary + benefits)

Section 5: Position Requirements

- Key responsibilities
- Required qualifications
- Preferred qualifications
- Special requirements (travel, language, etc.)

Section 6: Approval Signatures

- Requesting manager
- Department head
- HR review
- Finance review (if applicable)
- Final approver

78.3 Sourcing Strategy

78.3.1 Sourcing Channel Selection

Selection of sourcing channels depends on position characteristics, labor market conditions, and organizational priorities:

Table 78.3 Sourcing Channel Selection Guide

Position Characteristics		Primary Channels	Secondary Channels
Entry-level, high volume		University recruitment, job boards, career portal	Social media, employee referrals
Professional, specialized		LinkedIn, professional associations, employee referrals	Recruitment agencies, job boards
Senior/Executive		Executive search firms, direct sourcing, board referrals	Industry networks, professional associations
Technical/IT		Technical job boards, GitHub, Stack Overflow	Recruitment agencies, university partnerships
Internal promotion preferred		Internal job posting, succession planning	External channels as backup

78.3.2 Internal Recruitment Priority

The organization is committed to developing internal talent. Internal recruitment has priority over external sourcing:

Internal Posting Requirements:

- All positions must be posted internally for minimum 5 working days before external advertisement
- Internal postings are communicated through the ERP system, email announcements, and notice boards
- All employees meeting minimum qualifications are eligible to apply
- Internal candidates receive priority consideration

Exceptions to Internal Posting:

- New positions requiring specialized external expertise
- Urgent requirements where no qualified internal candidates exist
- Positions designated for external recruitment as part of diversity initiatives
- Confidential searches (executive positions)

78.3.3 Employee Referral Program

The employee referral program encourages employees to refer qualified candidates:

Referral Rewards:

Table 78.4 Employee Referral Rewards

Hired Position Level	Referral Bonus (EGP)	Payment Timing
O1-O4 (Operational)	1,000	After 90 days of hire
S1-P2 (Professional)	2,500	After 90 days of hire
M1-M2 (Management)	5,000	After 90 days of hire
E1+ (Executive)	10,000	After 180 days of hire

Program Rules:

- Referrals must be submitted through the ERP referral portal before candidate applies
- HR employees involved in hiring decisions are not eligible for referral bonuses
- Referred candidates must meet minimum qualifications
- Referral bonus is forfeited if referred employee is terminated for cause within 90 days
- No limit on number of referrals per employee

78.4 Selection Process

78.4.1 Application Screening

Application screening is the first step in the selection process. The goal is to identify candidates who meet minimum qualifications and are worth further evaluation.

Screening Criteria:

- Minimum qualifications (education, experience, certifications)
- Required skills and competencies
- Career progression and stability
- Salary expectations alignment
- Availability and start date

Screening Process:

1. Applications are received through the ERP system
2. Automated screening checks minimum qualifications
3. HR reviews applications against job requirements
4. Qualified candidates are short-listed
5. Short-listed candidates are contacted for initial screening

Communication with Applicants:

- All applicants receive acknowledgment of application
- Short-listed candidates are contacted within 5 working days
- Non-selected candidates are notified at the end of the recruitment process
- Application data is retained for 1 year for future opportunities

78.4.2 Interview Process

The interview process varies by position level and complexity:

Table 78.5 Interview Process by Level

Stage	O1-O4	S1-P4	M1-E3
Initial Screening	Phone/Video	Phone/Video	Phone/Video
First Interview	HR Interview	HR Interview	HR Interview
Second Interview	Hiring Manager	Hiring Manager + Team	Hiring Manager + Panel
Third Interview	-	Department Head	Executive Interview
Assessment	Skills test (if applicable)	Technical assessment	Assessment center
Reference Check	1 reference	2 references	3+ references

78.4.3 Structured Interview Guide

Structured interviews use predetermined questions to ensure consistency and fairness:

STRUCTURED INTERVIEW QUESTION CATEGORIES

1. Job Knowledge Questions

- "Describe your experience with [specific technical skill]."
- "Walk me through how you would approach [typical job task]."
- "What professional certifications do you hold?"

2. Behavioral Questions (Past Performance)

- "Tell me about a time when you had to meet a tight deadline. What did you do?"
- "Describe a situation where you had to deal with a difficult colleague."
- "Give me an example of a project you led from start to finish."

3. Situational Questions (Future Performance)

- "If you encountered [hypothetical situation], how would you handle it?"
- "Imagine you have conflicting priorities from two managers. What would you do?"
- "How would you approach [typical challenge in this role]?"

4. Cultural Fit Questions

- "What type of work environment brings out your best performance?"
- "Describe your ideal manager."
- "What do you know about our organization and why do you want to work here?"

5. Motivation Questions

- "Why are you looking to leave your current position?"
- "Where do you see yourself in 5 years?"
- "What motivates you in your work?"

78.4.4 Assessment Methods

Various assessment methods may be used depending on the position:

Work Sample Tests: Candidates perform tasks similar to those required on the job. This method has high predictive validity for job performance.

Cognitive Ability Tests: Assess verbal, numerical, and logical reasoning abilities. Strong predictor of performance across many jobs.

Personality Assessments: Measure behavioral tendencies and preferences. Useful for assessing cultural fit and predicting how candidates will behave.

Technical Skills Tests: Assess specific job-related skills such as software proficiency, language ability, or equipment operation.

Assessment Centers: Comprehensive evaluation using multiple exercises and assessors. Typically used for senior positions.

78.5 Background Verification

78.5.1 Verification Components

Background verification is conducted for all selected candidates before offer release:

Table 78.6 Background Verification Requirements

Verification Type	All Positions	Management+	Financial Roles
Identity Verification	Required	Required	Required
Employment History	Last 2 employers	Last 5 years	Last 5 years
Education Verification	Required	Required	Required
Professional Licenses	If applicable	If applicable	If applicable
Criminal Record Check	Required	Required	Required
Credit Check	No	Recommended	Required
Reference Checks	1 reference	2-3 references	2-3 references

78.5.2 Reference Check Process

Reference checks provide valuable information about candidate's past performance:

Reference Check Questions:

- "What was your working relationship with the candidate?"
- "What were the candidate's main responsibilities?"
- "How would you rate the candidate's job performance?"
- "What were the candidate's greatest strengths?"
- "What areas could the candidate improve?"
- "How did the candidate get along with colleagues?"
- "Would you rehire this candidate? Why or why not?"
- "Is there anything else I should know about this candidate?"

78.5.3 Medical Examination

Pre-employment medical examinations are required for all selected candidates:

Medical Examination Components:

- General physical examination
- Vital signs (blood pressure, heart rate, temperature)
- Vision and hearing tests
- Blood tests (CBC, blood sugar, liver function)
- Urine analysis
- Chest X-ray
- Drug screening (where applicable)
- Job-specific tests (fitness tests for physical roles)

Medical examinations are conducted at approved medical facilities. Results are confidential and shared only with HR. Candidates with disabilities are not discriminated against; reasonable accommodations are provided as needed.

78.6 Offer and Onboarding

78.6.1 Offer Process

The offer process follows a structured approach:

1. **Offer Preparation:** HR prepares offer letter with compensation details based on grade range and candidate's qualifications
2. **Offer Approval:** Offer is approved by appropriate authority based on grade level
3. **Verbal Offer:** Hiring manager extends verbal offer and addresses candidate questions
4. **Written Offer:** Formal offer letter is issued upon verbal acceptance
5. **Offer Acceptance:** Candidate signs and returns acceptance copy
6. **Start Date Confirmation:** Joining date is confirmed (typically within 30 days)

78.6.2 Offer Letter Contents

The offer letter includes all essential employment terms:

OFFER LETTER CONTENTS

- Position title, grade, and department
- Reporting relationship
- Start date and work location
- Probation period (maximum 3 months)
- Basic salary and allowances
- Benefits summary (health insurance, life insurance, etc.)
- Working hours and overtime provisions
- Leave entitlements
- Notice period requirements
- Confidentiality and non-compete provisions (if applicable)
- Conditions of employment (background verification, medical exam)
- Acceptance deadline

78.6.3 Onboarding Program

Comprehensive onboarding ensures new employee success:

Pre-Arrival (Before First Day):

- Send welcome email with first-day information
- Prepare workstation and equipment
- Set up system access and email account
- Prepare onboarding packet
- Assign buddy/mentor

First Day:

- Welcome and building tour
- Completion of employment contract (4 copies)
- Social insurance enrollment
- Tax registration (if first employment)
- Bank account setup for salary transfer
- ID card photograph
- IT orientation and system access
- Lunch with manager and team

First Week:

- Organization orientation (vision, values, structure)
- HR policies overview
- Department-specific orientation
- ERP system training
- Safety and emergency procedures
- Benefits enrollment

First Month:

- Role-specific training
- Goal setting with manager

- Regular check-ins with manager and buddy
- Integration into team activities

First 90 Days:

- Progress review at 30, 60, and 90 days
- Feedback collection on onboarding experience
- Identification of additional training needs
- Probation assessment at 90 days

CHAPTER 79: COMPREHENSIVE COMPENSATION AND BENEFITS FRAMEWORK

79.1 Compensation Philosophy and Strategy

79.1.1 Compensation Philosophy Statement

The organization's compensation philosophy is built on the fundamental principle of attracting, motivating, and retaining high-performing talent while ensuring internal equity, external competitiveness, and legal compliance with Egyptian Labor Law No. 14 of 2025. Our compensation strategy recognizes that employees are our most valuable asset, and fair, competitive compensation is essential for organizational success.

Core Compensation Principles:

- **Internal Equity:** Jobs of comparable value within the organization receive comparable compensation, ensuring fairness across all departments and functions
- **External Competitiveness:** Compensation levels are positioned competitively within the Egyptian market to attract and retain top talent
- **Performance-Based Differentiation:** High performers receive meaningfully higher rewards than average performers
- **Legal Compliance:** All compensation practices fully comply with Egyptian labor laws and regulations
- **Transparency:** Compensation structures and policies are clearly communicated to all employees
- **Sustainability:** Compensation costs are managed to ensure long-term organizational viability

79.1.2 Total Rewards Concept

The organization adopts a holistic Total Rewards approach that encompasses all forms of value provided to employees in exchange for their contributions. This comprehensive framework includes:

Total Rewards Component	Description	Percentage of Total Value
Base Salary	Fixed monthly compensation for job responsibilities	60-65%
Variable Pay	Performance-based bonuses and incentives	10-15%
Benefits	Insurance, allowances, and welfare programs	15-20%
Career Development	Training, growth opportunities, career paths	5-8%
Work Environment	Culture, work-life balance, recognition	5-10%

79.1.3 Compensation Strategy by Employee Category

Different employee categories require tailored compensation approaches based on their roles, market positioning, and organizational impact:

Executive Compensation Strategy (Grades E1-E5):

- Base salary at 75th percentile of market
- Significant variable pay component (30-50% of total compensation)
- Long-term incentives where applicable
- Comprehensive benefits package
- Performance metrics tied to organizational success

Management Compensation Strategy (Grades M1-M5):

- Base salary at 65th percentile of market
- Moderate variable pay component (15-25% of total compensation)
- Department/team performance metrics
- Enhanced benefits package
- Career development opportunities

Professional/Technical Compensation Strategy (Grades P1-P5):

- Base salary at 60th percentile of market
- Variable pay based on individual/team performance (10-20%)
- Technical skill premiums
- Standard benefits package
- Professional development support

Support Staff Compensation Strategy (Grades S1-S5):

- Base salary at 55th percentile of market
- Limited variable pay component (5-10%)
- Standard benefits package
- Skills-based progression opportunities

79.2 Salary Structure Design

79.2.1 Salary Grade Structure

The organization maintains a comprehensive 20-grade salary structure that provides clear progression pathways for all employees. Each grade has defined minimum, midpoint, and maximum salary levels:

Grade	Job Level	Minimum (EGP)	Midpoint (EGP)	Maximum (EGP)	Range Spread
E5	Chief Executive	150,000	200,000	275,000	83%
E4	Executive VP	100,000	135,000	185,000	85%
E3	Senior VP	70,000	95,000	130,000	86%
E2	Vice President	50,000	68,000	92,000	84%
E1	Assistant VP	35,000	48,000	65,000	86%
M5	General Manager	28,000	38,000	52,000	86%
M4	Senior Manager	22,000	30,000	41,000	86%

M3	Manager	17,000	23,000	31,500	85%
M2	Senior Supervisor	13,500	18,500	25,000	85%
M1	Supervisor	10,500	14,500	19,500	86%
P5	Lead Specialist	18,000	24,500	33,500	86%
P4	Senior Specialist	14,000	19,000	26,000	86%
P3	Specialist	11,000	15,000	20,500	86%
P2	Senior Associate	8,500	11,500	15,500	82%
P1	Associate	6,500	9,000	12,000	85%
S5	Lead Support	9,000	12,500	17,000	89%
S4	Senior Support	7,000	9,500	13,000	86%
S3	Support Staff	5,500	7,500	10,000	82%
S2	Junior Support	4,500	6,000	8,000	78%
S1	Entry Support	3,800	5,000	6,500	71%

79.2.2 Salary Range Spread and Progression

The salary range spread (difference between minimum and maximum as percentage of minimum) varies by level to accommodate different career progression needs:

Range Spread Guidelines:

- **Executive Levels (E1-E5):** 83-86% spread to allow significant growth within role
- **Management Levels (M1-M5):** 85-86% spread for substantial career development
- **Professional Levels (P1-P5):** 82-86% spread balancing growth and structure
- **Support Levels (S1-S5):** 71-89% spread with wider ranges for skill development

Salary Progression Zones:

- **Entry Zone (Minimum to 80% of Midpoint):** For new hires and employees developing skills

- **Competitive Zone (80% of Midpoint to Midpoint):** For fully competent performers
- **Advanced Zone (Midpoint to Maximum):** For exceptional performers and long-tenure employees

79.2.3 Compa-Ratio Management

The compa-ratio (comparative ratio) measures an employee's salary relative to the grade midpoint and is a key metric for compensation management:

Compa-Ratio Formula:

Compa-Ratio = (Current Salary / Grade Midpoint) × 100

Compa-Ratio Guidelines:

Compa-Ratio Range	Interpretation		Action Required		
Below 80%	Significantly below market	below	Immediate review and adjustment		
80-90%	Below competitive level		Accelerated increase schedule		
90-100%	At or near market		Standard increase schedule		
100-110%	Above market		Moderate increases, performance-based		
110-120%	Significantly above market	above	Limited consideration	increases,	promotion
Above 120%	At or above maximum		Red circle review, promotion or freeze		

79.3 Base Salary Administration

79.3.1 Starting Salary Determination

Starting salaries for new hires are determined based on multiple factors to ensure fair and competitive offers:

Starting Salary Factors:

- **Job Grade Midpoint:** Primary reference point (typically 85-95% of midpoint)

- **Relevant Experience:** Years of directly applicable experience
- **Education Level:** Advanced degrees may warrant higher starting point
- **Specialized Skills:** Rare or high-demand skills may command premium
- **Current Salary:** Considered but not determinative
- **Market Conditions:** Supply and demand for specific roles
- **Internal Equity:** Relationship to existing employees in similar roles

Starting Salary Guidelines by Experience:

Experience Level	Recommended Starting Point	Justification Required Above
Entry Level (0-2 years)	85-90% of midpoint	95% of midpoint
Mid Level (2-5 years)	90-95% of midpoint	100% of midpoint
Senior Level (5-8 years)	95-100% of midpoint	105% of midpoint
Expert Level (8+ years)	100-105% of midpoint	110% of midpoint

79.3.2 Salary Adjustment Policies

The organization maintains clear policies for various types of salary adjustments:

Annual Merit Increases:

- Based on performance rating from annual appraisal
- Guideline increases tied to performance level
- Budget parameters set annually based on market conditions
- Effective date typically January 1 or anniversary date

Performance-Based Increase Guidelines:

Performance Rating	Increase Guideline (%)	Compa-Ratio Consideration
Outstanding (5)	8-12%	May exceed midpoint
Exceeds Expectations (4)	5-8%	Up to 110% of midpoint

Meets Expectations (3)	3-5%	Up to 100% of midpoint
Below Expectations (2)	0-2%	Below midpoint only
Unsatisfactory (1)	0%	No increase

Market Adjustment Increases:

- Applied when salary structure is adjusted based on market data
- Typically affects all employees in affected grades
- May be combined with merit increases
- Applied to maintain external competitiveness

Promotional Increases:

- Minimum 10% increase or new grade minimum, whichever is higher
- Typical range: 10-20% of current salary
- May include additional increase for exceptional circumstances
- Effective date is promotion date

Equity Adjustments:

- Address significant internal inequities discovered through analysis
- May be applied to correct compression or inversion issues
- Require HR and management approval
- Documented with clear business justification

79.3.3 Salary Compression Management

Salary compression occurs when new hires are paid close to or equal to experienced employees. The organization actively manages compression through:

Compression Monitoring:

- Quarterly compression ratio analysis by department
- Identification of employees with compa-ratio below 85% supervising employees above 95%
- Review of new hire offers relative to existing staff

Compression Mitigation Strategies:

- Accelerated increase schedules for compressed employees
- Targeted equity adjustments during annual review
- Market adjustments for affected job families
- Promotion opportunities for long-tenure employees

79.4 Variable Pay and Incentives

79.4.1 Annual Bonus Program

The organization operates a comprehensive annual bonus program tied to organizational and individual performance:

Bonus Program Structure:

Component	Weight	Description
Organizational Performance	40%	Based on company financial results vs. targets
Department Performance	30%	Based on departmental KPI achievement
Individual Performance	30%	Based on annual performance rating

Target Bonus Percentages by Level:

Grade Level	Target Bonus (% of Base)	Maximum Bonus (% of Base)
E5 (CEO)	50%	100%
E4-E1 (Executives)	30-40%	60-80%
M5-M1 (Management)	15-25%	30-50%
P5-P1 (Professional)	10-15%	20-30%
S5-S1 (Support)	5-10%	10-20%

Bonus Calculation Formula:

$\text{Bonus} = \text{Base Salary} \times \text{Target Bonus \%} \times (\text{Org Factor} \times 0.4 + \text{Dept Factor} \times 0.3 + \text{Individual Factor} \times 0.3)$

Performance Factor Scales:

Performance Level	Factor
Outstanding	1.5
Exceeds Expectations	1.25
Meets Expectations	1.0
Below Expectations	0.5
Unsatisfactory	0

79.4.2 Sales Incentive Program

Sales personnel participate in a specialized incentive program designed to drive revenue growth:

Sales Compensation Structure:

- **Base Salary:** 60-70% of total target compensation
- **Variable Pay:** 30-40% of total target compensation
- **Commission Structure:** Tiered rates based on quota attainment

Commission Tiers:

Quota Attainment	Commission Rate	Accelerator
0-80%	Base rate	None
80-100%	Base rate $\times$ 1.0	Standard
100-120%	Base rate $\times$ 1.25	25% accelerator
120-150%	Base rate $\times$ 1.5	50% accelerator
Above 150%	Base rate $\times$ 2.0	100% accelerator

79.4.3 Spot Bonus Program

Spot bonuses provide immediate recognition for exceptional contributions:

Spot Bonus Guidelines:

Achievement Level	Bonus Amount (EGP)	Approval Authority
Minor achievement	500-1,000	Direct Manager
Significant contribution	1,000-3,000	Department Head
Major impact	3,000-5,000	HR Director + Department Head
Exceptional achievement	5,000-10,000	Executive Committee

79.5 Employee Benefits Program

79.5.1 Social Insurance Compliance

The organization fully complies with Egyptian Social Insurance Law No. 148 of 2019, providing comprehensive social security coverage:

Social Insurance Contributions:

Component	Employee Share	Employer Share	Total
Pension Insurance	11% of covered salary	18% of covered salary	29%
Work Injury	0%	2% of covered salary	2%
Medical Insurance	1% of covered salary	4% of covered salary	5%
Unemployment Insurance	1% of covered salary	2% of covered salary	3%
Total	13%	26%	39%

Covered Salary Limits:

- Minimum covered salary: EGP 2,000 per month

- Maximum covered salary: EGP 10,000 per month (subject to periodic adjustment)
- Salaries above maximum: Voluntary additional coverage available

79.5.2 Health Insurance Benefits

The organization provides comprehensive health insurance coverage exceeding statutory requirements:

Health Insurance Coverage Levels:

Grade Level	Coverage Type	Annual Limit (EGP)	Network
E5-E1, M5	Premium	500,000	All Egypt + International
M4-M1, P5-P4	Enhanced	300,000	All Egypt + Selected International
P3-P1, S5-S4	Standard Plus	150,000	All Egypt
S3-S1	Standard	100,000	Network Providers

Health Insurance Benefits Include:

- Inpatient hospitalization coverage
- Outpatient consultations and treatments
- Emergency medical services
- Maternity coverage
- Dental and vision care (Premium and Enhanced levels)
- Mental health services
- Preventive care and wellness screenings
- Prescription medication coverage

79.5.3 Life and Disability Insurance

The organization provides life and disability insurance protection for employees and their families:

Life Insurance Coverage:

Grade Level	Basic Life Insurance	Accidental Death	Critical Illness
All Employees	2× Annual Salary	4× Annual Salary	6 months salary
Management+	3× Annual Salary	6× Annual Salary	12 months salary

Disability Insurance:

- **Short-Term Disability:** 100% of base salary for first 30 days, 75% for days 31-180
- **Long-Term Disability:** 60% of base salary after 180 days, up to age 60
- **Definition of Disability:** Inability to perform essential job functions
- **Elimination Period:** 30 days for short-term, 180 days for long-term

79.5.4 Retirement Benefits

Beyond statutory social insurance, the organization offers supplementary retirement benefits:

End of Service Benefits (EOSB):

Per Egyptian Labor Law, employees are entitled to end of service benefits calculated as:

$\text{EOSB} = (\text{Last Basic Salary} \times \text{Years of Service}) / 2$ for first 5 years

$\text{EOSB} = (\text{Last Basic Salary} \times \text{Years of Service})$ for additional years

Voluntary Provident Fund:

- **Employee contribution:** 5-10% of monthly salary (voluntary)
- **Employer match:** 50% of employee contribution (up to 5% of salary)
- **Vesting schedule:** 100% vested after 3 years of service
- **Investment options:** Conservative, Balanced, Growth portfolios
- **Portability:** Fully portable upon termination

79.5.5 Leave Benefits

The organization provides comprehensive leave benefits as detailed in Chapter 5, with additional provisions:

Leave Type	Statutory Minimum	Organization Policy
Annual Leave	21 days	21-35 days based on tenure
Sick Leave	Per social insurance	Full pay first 15 days, then per SI
Maternity Leave	90 days	90 days at full pay + 2 hours daily for 1 year
Paternity Leave	Not statutory	5 working days
Bereavement Leave	Not statutory	3-7 days based on relationship
Marriage Leave	Not statutory	5 working days
Hajj Leave	Not statutory	30 days once during employment
Study Leave	Not statutory	Up to 10 days per year

79.6 Allowances and Premiums

79.6.1 Housing Allowance

Housing allowance is provided to assist employees with accommodation costs:

Grade Level	Monthly Housing Allowance (EGP)	Percentage of Base Salary
E5-E4	25,000-35,000	15-20%
E3-E1	15,000-25,000	15-20%
M5-M3	8,000-15,000	15-20%
M2-M1	5,000-8,000	15-20%
P5-P3	3,000-5,000	10-15%
P2-P1, S5-S3	1,500-3,000	10-15%
S2-S1	1,000-1,500	10-15%

79.6.2 Transportation Allowance

Transportation allowance supports employees' commuting costs:

Grade Level	Monthly Transportation Allowance (EGP)
E5-E3	5,000-8,000
E2-E1, M5-M4	3,000-5,000
M3-M1, P5-P4	2,000-3,000
P3-P1, S5-S4	1,000-2,000
S3-S1	500-1,000

79.6.3 Meal Allowance

Meal allowance is provided to cover meal expenses during working hours:

- **Daily Meal Allowance:** EGP 50-100 per working day (varies by grade)
- **Monthly Equivalent:** EGP 1,100-2,200 (based on 22 working days)
- **Payment Method:** Added to monthly salary or meal card
- **Overtime Meals:** Additional EGP 75 for meals after 8 PM

79.6.4 Mobile Phone Allowance

Employees who require mobile communication for work receive mobile allowances:

Grade Level	Monthly Mobile Allowance (EGP)	Company Phone Option
E5-M5	1,000-2,000	Available
M4-M1	500-1,000	Available
P5-P3	300-500	Available
P2-S3	200-300	Available

S2-S1

100-200

By request

79.6.5 Special Premiums

Additional premiums are provided for specific circumstances:

Shift Premiums:

Shift Type	Premium (% of hourly rate)
Evening Shift (after 6 PM)	15%
Night Shift (10 PM - 6 AM)	25%
Weekend Work	50%
Holiday Work	100%

Hazardous Work Premium: 20-30% of base salary for roles with safety risks

Remote Location Premium: 15-25% of base salary for assignments in remote areas

On-Call Premium: EGP 500-1,000 per on-call period

79.7 Compensation Administration

79.7.1 Salary Review Cycle

The organization follows a structured annual salary review cycle:

Annual Compensation Calendar:

Month	Activity	Responsible Party
September	Market data analysis and structure review	Compensation Team
October	Salary structure recommendations	Compensation Team
November	Budget planning and approval	Finance + HR Leadership

December	Performance calibration	Department Heads
January	Merit increase calculations	HR Business Partners
February	Leadership review and approval	Executive Committee
March	Increase communications	Managers + HR
April 1	Effective date for increases	Payroll

79.7.2 Payroll Administration

Payroll is administered in strict compliance with Egyptian labor laws:

Payroll Schedule:

- **Pay Frequency: Monthly**
- **Pay Date: Last working day of each month**
- **Advance Payment: Available up to 50% of monthly salary (emergency only)**
- **Payment Method: Direct deposit to employee bank account**

Payroll Deductions:

- **Social insurance contributions (employee share)**
- **Income tax withholdings (per Egyptian tax law)**
- **Provident fund contributions (voluntary)**
- **Health insurance premiums (if applicable)**
- **Loan repayments (if applicable)**
- **Union dues (if applicable)**

Payslip Requirements:

- **Basic salary**
- **All allowances and premiums**
- **Gross earnings**
- **All deductions with descriptions**
- **Net pay**
- **Year-to-date totals**

- **Leave balances**

79.7.3 Compensation Communication

Transparent communication about compensation is essential for employee satisfaction:

Communication Elements:

- **Total Rewards Statement:** Annual statement showing all compensation components
- **Salary Structure Disclosure:** Grade and range information shared with employees
- **Increase Communication:** Personalized letters explaining merit increases
- **Benefits Enrollment:** Annual benefits communication and enrollment period

Compensation Discussion Guidelines for Managers:

- **Explain how salary was determined**
- **Discuss performance relationship to increases**
- **Share market positioning information**
- **Outline career progression opportunities**
- **Address questions and concerns professionally**

79.8 Legal Compliance

79.8.1 Egyptian Labor Law Compliance

All compensation practices comply with Egyptian Labor Law No. 14 of 2025:

Minimum Wage Compliance:

- **All salaries meet or exceed government-mandated minimum wage**
- **Minimum wage reviewed annually with government adjustments**
- **Current minimum wage: EGP 3,500 per month (private sector)**

Overtime Compliance:

- **Overtime paid at 135% of normal rate for daytime work**

- **Overtime paid at 170% of normal rate for nighttime work (9 PM - 7 AM)**
- **Weekly rest day work paid at 200% of normal rate**
- **Official holiday work paid at 200% of normal rate**
- **Maximum overtime: 2 hours per day, 12 hours per week**

End of Service Benefits:

- **Calculated per Labor Law Article 97**
- **Paid within 15 days of service termination**
- **Includes all entitlements: EOSB, unused leave, pro-rata bonus**

79.8.2 Tax Compliance

All compensation is administered in compliance with Egyptian tax laws:

Taxable Income Components:

- **Base salary**
- **All cash allowances (except specific exemptions)**
- **Bonuses and commissions**
- **Benefits with cash value**

Tax Exemptions:

- **Social insurance contributions**
- **Specific hardship allowances (per tax regulations)**
- **Reimbursement of actual business expenses**
- **End of service benefits (within limits)**

Policy 79.1: Compensation Confidentiality

While the organization promotes transparency about compensation structures and policies, individual salary information is confidential. Employees are expected to maintain the confidentiality of their own compensation and not discuss specific salary figures with colleagues. Violation of this policy may result in disciplinary action.

Policy 79.2: Compensation Grievance Process

Employees who believe their compensation is inequitable may submit a formal grievance to HR. The grievance will be reviewed considering: internal equity, external market data, performance history, and tenure. HR will provide a written response within 15 working days of receiving the grievance.

Policy 79.3: Salary Advance Policy

Employees may request a salary advance of up to 50% of their monthly basic salary in cases of documented financial emergency. Advances must be repaid within 3 months through payroll deduction. A maximum of 2 advances per calendar year are permitted. Approval requires HR and Finance authorization.

CHAPTER 80: COMPREHENSIVE PERFORMANCE MANAGEMENT SYSTEM

80.1 Performance Management Philosophy

80.1.1 Purpose and Objectives

The Performance Management System (PMS) is designed as a comprehensive, continuous process that aligns individual and team performance with organizational strategic goals. The system moves beyond traditional annual appraisals to create a culture of ongoing feedback, development, and excellence.

Primary Objectives of the Performance Management System:

- **Strategic Alignment:** Ensure all employees understand how their work contributes to organizational success
- **Performance Optimization:** Drive continuous improvement in individual and team performance

- **Development Focus:** Identify growth opportunities and support career progression
- **Recognition and Rewards:** Differentiate high performers and ensure fair reward distribution
- **Talent Management:** Identify high-potential employees and succession candidates
- **Decision Support:** Provide objective data for promotion, transfer, and termination decisions

80.1.2 Performance Management Principles

The system is built on foundational principles that guide all performance-related activities:

Principle		Description	Application
Fairness	and	All assessments based on measurable criteria and documented evidence	Standardized rating scales, calibration sessions
Transparency		Clear communication of expectations, standards, and processes	Published goals, regular feedback discussions
Continuous Process		Performance management is ongoing, not an annual event	Quarterly check-ins, real-time feedback
Two-Way Communication		Dialogue between manager and employee, not one-way evaluation	Self-assessments, employee input
Development Orientation		Focus on growth and improvement, not just evaluation	Development plans, coaching conversations
Consistency		Uniform application across departments and levels	Calibration, standardized processes

80.1.3 Performance Management Cycle

The performance management system operates on a continuous cycle with four key phases:

Phase 1: Goal Setting (January-February)

- Strategic objectives cascade from organizational to individual level
- SMART goals established for each employee
- Competency expectations defined
- Development objectives identified
- Goals documented and agreed upon

Phase 2: Ongoing Monitoring and Feedback (Year-Round)

- Regular one-on-one meetings (minimum monthly)
- Real-time feedback on performance
- Progress tracking against goals
- Course corrections as needed
- Documentation of achievements and challenges

Phase 3: Mid-Year Review (June-July)

- Formal assessment of progress toward annual goals
- Goal adjustments based on changing priorities
- Development plan review and updates
- Feedback on performance trends

Phase 4: Annual Performance Review (November-December)

- Comprehensive assessment of goal achievement
- Competency evaluation
- Overall performance rating determination
- Development planning for next cycle
- Compensation and promotion recommendations

80.2 Goal Setting and Cascading

80.2.1 Strategic Goal Cascading Process

Organizational strategy is translated into individual goals through a systematic cascading process:

Cascading Hierarchy:

- 1. Organizational Strategic Objectives:** Board/Executive define 3-5 year strategic priorities
- 2. Annual Business Plan:** Executive team translates strategy into annual priorities
- 3. Departmental Objectives:** Department heads define how their teams support business plan
- 4. Team Objectives:** Managers establish team goals aligned with departmental priorities
- 5. Individual Goals:** Each employee receives 4-6 individual goals supporting team objectives

80.2.2 SMART Goal Framework

All performance goals must meet SMART criteria:

Criteria	Description	Example (Poor → Good)
Specific	Clear, well-defined, unambiguous	"Improve sales" → "Increase sales of Product X in Cairo region"
Measurable	Quantifiable indicators of success	"Better customer service" → "Achieve customer satisfaction score of 4.5/5"
Achievable	Realistic and attainable	"Double revenue" → "Increase revenue by 15%"
Relevant	Aligned with organizational priorities	"Learn new software" → "Complete ERP certification to support system rollout"
Time-bound	Clear deadline or timeframe	"Complete project" → "Complete project by September 30, 2025"

80.2.3 Goal Categories and Weighting

Individual goals are categorized and weighted to ensure balanced performance:

Goal Category	Weight	Description
Business/Operational Goals	50-60%	Core job responsibilities and deliverables

Strategic/Project Goals	20-30%	Special projects and strategic initiatives
Development Goals	10-15%	Skill building and capability enhancement
Team/Collaboration Goals	10-15%	Contributions to team success and collaboration

80.2.4 Goal Setting Process

The goal setting process involves structured collaboration between manager and employee:

Step 1: Preparation (Employee)

- Review organizational and departmental objectives
- Reflect on role responsibilities and key deliverables
- Identify potential goals and success measures
- Consider development needs and aspirations

Step 2: Goal Discussion (Manager-Employee Meeting)

- Review cascading objectives from department level
- Discuss proposed goals and priorities
- Agree on specific targets and measures
- Establish timeline and milestones
- Define required resources and support

Step 3: Documentation

- Goals entered into performance management system
- Specific metrics and targets documented
- Weightings assigned to each goal
- Both manager and employee acknowledge agreement

Step 4: Approval

- Department head reviews goals for alignment
- HR reviews for consistency and compliance
- Goals finalized by end of February

80.3 Competency Framework

80.3.1 Core Competencies

The organization has defined core competencies that apply to all employees:

Competency	Definition	Behavioral Indicators
Integrity	Acts ethically and consistently with organizational values	Honest in all dealings; keeps commitments; admits mistakes
Accountability	Takes ownership of actions and results	Delivers on commitments; accepts responsibility; follows through
Collaboration	Works effectively with others to achieve common goals	Shares information; supports colleagues; resolves conflicts constructively
Customer Focus	Understands and meets internal and external customer needs	Seeks feedback; responds promptly; exceeds expectations
Innovation	Generates new ideas and approaches to improve performance	Challenges status quo; experiments with new methods; learns from failure
Adaptability	Adjusts approach in response to changing circumstances	Embraces change; remains effective under pressure; learns quickly

80.3.2 Leadership Competencies

Additional competencies apply to employees in management and leadership roles:

Competency	Definition	Behavioral Indicators
Strategic Thinking	Develops and communicates vision and direction	Anticipates trends; sets direction; aligns team with strategy

Developing Others	Builds capability through coaching and feedback	Provides regular feedback; creates development opportunities; delegates effectively
Decision Making	Makes timely, effective decisions based on analysis	Gathers relevant information; considers alternatives; takes decisive action
Results Orientation	Drives for exceptional performance and outcomes	Sets high standards; monitors progress; celebrates achievements
Communication	Communicates clearly and persuasively	Conveys ideas effectively; listens actively; adapts style to audience

80.3.3 Technical Competencies

Role-specific technical competencies are defined for each job family:

Competency Proficiency Levels:

Level	Description	Application
1 - Basic	Fundamental understanding, requires supervision	Entry-level positions
2 - Developing	Working knowledge, limited supervision needed	Junior professionals
3 - Proficient	Strong capability, works independently	Mid-level professionals
4 - Advanced	Expert level, coaches others	Senior professionals
5 - Master	Recognized authority, shapes practice	Subject matter experts

80.4 Performance Evaluation

80.4.1 Performance Rating Scale

A standardized 5-point rating scale ensures consistency across the organization:

Rating	Description	Definition	Distribution Guideline
5 - Outstanding	Exceptional performance	Consistently exceeds all expectations; delivers exceptional results; role model for others	10-15%
4 - Exceeds Expectations	Above target performance	Regularly exceeds most expectations; achieves challenging goals; demonstrates strong capabilities	20-25%
3 - Meets Expectations	Target performance	Consistently meets expectations; achieves all key goals; demonstrates required competencies	45-55%
2 - Below Expectations	Partially meets expectations	Inconsistently meets expectations; some goals not achieved; development needed	10-15%
1 - Unsatisfactory	Does not meet expectations	Fails to meet most expectations; significant performance gaps; immediate improvement required	0-5%

80.4.2 Performance Evaluation Components

The overall performance rating is calculated from multiple components:

Component	Weight	Description
Goal Achievement	60%	Assessment of progress toward individual goals
Competency Demonstration	25%	Evaluation of core and role-specific competencies
Development Progress	10%	Achievement of development objectives
Values Alignment	5%	Demonstration of organizational values

80.4.3 Goal Achievement Scoring

Each goal is assessed individually using the following scale:

Score	Achievement Level	Description
5	Far Exceeded	Achieved significantly beyond target (120%+)
4	Exceeded	Achieved above target (105-119%)
3	Fully Achieved	Achieved target (95-104%)
2	Partially Achieved	Achieved most of target (70-94%)
1	Did Not Achieve	Achieved less than 70% of target
N/A	Not Applicable	Goal no longer relevant or circumstances changed

Goal Achievement Calculation:

$$\text{Goal Achievement Score} = \Sigma(\text{Goal Score} \times \text{Goal Weight}) / \Sigma(\text{Goal Weights})$$

80.4.4 Competency Evaluation

Competencies are evaluated based on behavioral observations throughout the performance period:

Rating	Behavioral Evidence
5 - Role Model	Consistently demonstrates exemplary behaviors; others seek their guidance
4 - Strong	Regularly demonstrates positive behaviors; exceeds expectations
3 - Proficient	Consistently demonstrates required behaviors; meets expectations
2 - Developing	Inconsistently demonstrates behaviors; improvement needed

1	-	Needs	Rarely demonstrates required behaviors; significant development needed
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Improvement

80.4.5 Performance Calibration

Calibration sessions ensure fairness and consistency in performance ratings:

Calibration Process:

- 1. **Manager Preparation:** Managers prepare preliminary ratings with supporting evidence
- 2. **Calibration Meeting:** Department heads review ratings within their departments
- 3. **Cross-Department Review:** HR facilitates review across departments for consistency
- 4. **Leadership Review:** Executive team reviews distribution and exceptional cases
- 5. **Final Approval:** Ratings finalized and communicated to managers

Calibration Guidelines:

- Focus on evidence and specific examples
- Compare similar roles and levels
- Challenge ratings that deviate from distribution guidelines
- Ensure new employees and transfers are fairly assessed
- Document rationale for exceptional ratings

80.5 Performance Feedback and Coaching

80.5.1 Continuous Feedback Model

The organization promotes a culture of continuous feedback through multiple channels:

Feedback Types and Frequency:

Feedback Type	Frequency	Purpose	Owner
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One-on-One Meetings	Monthly minimum	Progress review, coaching, support	Manager
Real-Time Feedback	Ongoing	Immediate recognition or correction	Any colleague
Project Debriefs	Per project	Learning and improvement	Project Lead
360-Degree Feedback	Annually	Comprehensive perspective	HR
Self-Assessment	Mid-year annual	and Self-reflection and input	Employee

80.5.2 Effective Feedback Principles

All feedback should follow established principles for maximum impact:

SBI Feedback Model:

- **Situation:** Describe the specific situation when the behavior occurred
- **Behavior:** Describe the observable behavior (not interpretation or judgment)
- **Impact:** Explain the impact of the behavior on you, the team, or the organization

Feedback Best Practices:

- Provide feedback as close to the event as possible
- Balance positive and constructive feedback
- Focus on behaviors, not personality
- Be specific with examples
- Make feedback actionable
- Check for understanding
- Follow up on progress

80.5.3 Coaching Framework

Managers are expected to coach employees for development and performance improvement:

GROW Coaching Model:

Stage	Description	Manager Questions
Goal	Establish what the employee wants to achieve	"What do you want to accomplish?" "What would success look like?"
Reality	Assess current situation and challenges	"Where are you now?" "What have you tried?" "What's preventing progress?"
Options	Explore possible solutions and approaches	"What options do you have?" "What else could you do?" "What are the pros and cons?"
Will	Commit to action and establish accountability	"What will you do?" "When will you do it?" "How will I know you've done it?"

80.6 Performance Improvement

80.6.1 Performance Improvement Process

When performance falls below expectations, a structured improvement process is initiated:

Performance Improvement Plan (PIP) Triggers:

- Overall performance rating of 2 (Below Expectations) or 1 (Unsatisfactory)
- Consistent failure to meet specific job requirements
- Behavioral issues affecting team performance
- Significant decline from previous performance levels

PIP Development Process:

1. **Issue Identification:** Manager documents specific performance gaps with examples
2. **Root Cause Analysis:** Determine underlying causes (skill, will, environment)
3. **Goal Setting:** Establish specific, measurable improvement targets
4. **Action Plan:** Define specific actions, resources, and support
5. **Timeline:** Set improvement period (typically 30-90 days)
6. **Review Schedule:** Establish frequent check-in meetings

7. Documentation: Formal PIP document signed by manager, employee, and HR

80.6.2 Performance Improvement Plan Template

Component	Description
Employee Information	Name, position, department, manager, PIP start date
Performance Gaps	Specific areas where performance is below expectations with examples
Expected Standards	Clear description of what successful performance looks like
Improvement Goals	2-4 specific, measurable goals for improvement period
Action Steps	Specific actions employee will take to improve
Support Provided	Training, coaching, resources organization will provide
Check-in Schedule	Dates for progress review meetings
Success Criteria	Specific outcomes that demonstrate successful improvement
Consequences	Clear statement of consequences if improvement not achieved

80.6.3 PIP Outcomes

At the conclusion of the PIP period, one of three outcomes is determined:

Outcome	Criteria	Next Steps
Successful Completion	All improvement goals achieved; performance at acceptable level	Continue employment; monitor performance; remove from PIP status
Extended PIP	Significant progress but goals not fully achieved; reasonable expectation of success	Extend PIP 30-60 days with modified goals

Unsuccessful	Goals not achieved; insufficient progress; performance remains below standard	Consider termination, demotion, or transfer
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80.7 Performance and Rewards Linkage

80.7.1 Performance-Based Compensation

Performance ratings directly influence compensation decisions:

Performance Rating	Merit Increase Guideline	Bonus Multiplier	Promotion Eligibility
5 - Outstanding	8-12%	1.5× target	Immediate consideration
4 - Exceeds Expectations	5-8%	1.25× target	Eligible
3 - Meets Expectations	3-5%	1.0× target	After 2+ years at level
2 - Below Expectations	0-2%	0.5× target	Not eligible
1 - Unsatisfactory	0%	0	Not eligible

80.7.2 Performance and Career Development

Performance ratings inform career development opportunities:

High Performer Development (Ratings 4-5):

- Priority access to high-visibility projects
- Fast-track development programs
- Mentoring and coaching opportunities
- Cross-functional assignments
- Succession planning consideration
- Leadership development programs

Solid Performer Development (Rating 3):

- Targeted skill development
- Stretch assignments
- Professional certification support
- Career pathing discussions

Improvement-Focused Development (Ratings 1-2):

- Performance Improvement Plan
- Targeted coaching and feedback
- Skill gap training
- Role clarification

80.8 Performance Management System Administration

80.8.1 System Roles and Responsibilities

Role		Responsibilities
Employees		Set goals with manager; seek feedback; track progress; complete self-assessment; act on development plans
Managers		Set team and individual goals; provide ongoing feedback; conduct reviews; rate performance; develop team members
Department Heads		Ensure goal alignment; calibrate ratings; approve performance decisions; develop leadership pipeline
HR Business Partners		Coach managers; facilitate calibration; ensure compliance; analyze data; recommend improvements
HR Compensation		Link performance to rewards; manage merit budget; ensure equity; administer programs
Executive Leadership		Set strategic direction; approve performance framework; review talent decisions; champion performance culture

80.8.2 Performance Management Technology

The organization utilizes an integrated HR Information System for performance management:

System Capabilities:

- Goal setting and tracking
- Competency assessment
- Performance review documentation
- Feedback and coaching notes
- Performance analytics and reporting
- Workflow automation
- Integration with compensation and learning systems

80.8.3 Performance Data Analytics

Performance data is analyzed to identify trends and improve the system:

Key Performance Indicators:

KPI	Target	Measurement
Goal Completion Rate	≥85%	% of goals achieved by year-end
Review Completion Rate	100%	% of employees with completed reviews
On-Time Completion	≥95%	% of reviews completed by deadline
Rating Distribution	Per guidelines	Distribution across rating scale
Calibration Coverage	100%	% of ratings reviewed in calibration
Employee Satisfaction	≥3.5/5	Satisfaction with performance process

Policy 80.1: Performance Review Confidentiality

Performance review discussions and documentation are confidential between the employee, their manager, and HR. Performance ratings and feedback may not be shared with colleagues or other departments without legitimate business need and appropriate authorization.

Policy 80.2: Performance Rating Appeal

Employees who believe their performance rating does not accurately reflect their performance may submit a formal appeal to HR within 10 working days of receiving their rating. The appeal must include specific evidence supporting a different rating. HR will review the appeal with the employee's manager and department head, and provide a written response within 15 working days.

Policy 80.3: New Employee Performance Review

Employees with less than 6 months of service at the time of the annual review cycle will receive a probationary assessment rather than a full performance rating. The probationary assessment focuses on progress toward role competency and integration into the organization. Full performance ratings begin in the second year of employment.

CHAPTER 81: COMPREHENSIVE TRAINING AND DEVELOPMENT FRAMEWORK

81.1 Training and Development Philosophy

81.1.1 Strategic Importance of Learning

The organization recognizes that continuous learning and development are essential for maintaining competitive advantage, adapting to market changes, and achieving strategic objectives. Investment in employee development is viewed as a strategic priority that benefits both individual employees and the organization as a whole.

Training and Development Mission Statement:

"To create a culture of continuous learning that empowers every employee to reach their full potential, develop capabilities that drive organizational success, and build a sustainable talent pipeline for the future."

81.1.2 Learning Principles

The organization's learning approach is guided by core principles:

Principle	Description	Application
70-20-10 Model	70% on-the-job, 20% mentoring, 10% formal training	Balance learning methods for maximum impact
Learner-Centric	Learning tailored to individual needs and preferences	Multiple formats, self-directed options
Just-in-Time	Learning provided when needed for immediate application	On-demand resources, micro-learning
Measurement	Learning effectiveness is measured and improved	Kirkpatrick evaluation model
Accessibility	Learning opportunities available to all employees	Multiple languages, formats, locations

Business Alignment	Learning directly supports business objectives	Competency-based curriculum
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81.1.3 Training Investment

The organization commits significant resources to employee development:

Metric	Target	Minimum Standard
Training Hours per Employee (Annual)	40 hours	24 hours
Training Budget (% of Payroll)	3-5%	2%
Training Participation Rate	≥90%	≥80%
Learning Satisfaction Score	≥4.0/5.0	≥3.5/5.0
Certification Achievement Rate	≥85%	≥75%

81.2 Training Governance and Structure

81.2.1 Training Governance Framework

A multi-level governance structure ensures effective training management:

Training Governance Structure:

- **Learning and Development Committee (LDC):** Executive-level committee that sets learning strategy, approves major investments, and monitors organizational capability development. Meets quarterly.
- **Training Steering Committee:** Senior leadership committee that reviews training programs, approves curriculum changes, and ensures alignment with business needs. Meets monthly.
- **Training Department:** Professional training team responsible for program design, delivery, vendor management, and administration. Reports to HR Director.
- **Department Training Coordinators:** Designated individuals in each department who facilitate training needs identification, coordinate logistics, and support application of learning.

81.2.2 Training Roles and Responsibilities

Role		Responsibilities
Executive Leadership		Champion learning culture; allocate resources; model development behavior; review strategic capability gaps
Line Managers		Identify team training needs; support employee development; provide on-the-job coaching; reinforce learning application
Employees		Take ownership of personal development; complete required training; seek learning opportunities; apply new skills
Training Department		Design and deliver programs; manage training systems; evaluate effectiveness; manage vendor relationships
HR Partners	Business	Align training with talent strategy; support manager coaching; track development progress

81.2.3 Training Budget Management

The training budget is managed through a structured process:

Budget Allocation Framework:

Category	Allocation (%)	Description
Mandatory/Compliance Training	20%	Required by law or regulation
Technical/Functional Training	35%	Job-specific skills and knowledge
Leadership Development	20%	Management and leadership capabilities
General Professional Skills	15%	Communication, project management, etc.
Innovation/Strategic	10%	Emerging skills and future capabilities

81.3 Training Needs Analysis

81.3.1 Training Needs Analysis Framework

A systematic approach identifies training needs at organizational, departmental, and individual levels:

Three-Level Training Needs Analysis:

Level 1: Organizational Analysis

- Strategic business objectives and priorities
- Organizational capability gaps
- Future workforce requirements
- Industry and technology trends
- Competitive positioning needs

Level 2: Departmental/Task Analysis

- Departmental goals and KPIs
- Job role requirements and changes
- Process and technology changes
- Team performance gaps
- Quality and productivity issues

Level 3: Individual Analysis

- Performance review feedback
- Competency assessment results
- Career development aspirations
- Self-identified learning needs
- 360-degree feedback insights

81.3.2 Training Needs Identification Methods

Method	Frequency	Responsible Party	Output
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Performance Analysis		Review	Annual	HR + Managers		Individual development needs	
Competency Gap Analysis			Annual	Training Department		Organizational capability gaps	
Department Training Needs Survey			Semi-annual	Department Heads		Department-specific needs	
Employee Plans	Development		Annual	Employees Managers	+	Individual priorities	learning
Business Strategy Review			Annual	LDC		Strategic requirements	capability
Incident/Error Analysis			Ongoing	Quality Training	+	Corrective needs	training
New Assessment	Technology/Process		As needed	Relevant Departments		Change-related needs	training

81.3.3 Training Needs Prioritization

Identified training needs are prioritized based on business impact and urgency:

Prioritization Matrix:

Priority	Criteria	Timeline
Critical (P1)	Legal/regulatory requirement; safety-critical; major business impact	Immediate - 30 days
High (P2)	Significant performance gap; strategic initiative support	1-3 months
Medium (P3)	Development opportunity; efficiency improvement	3-6 months
Low (P4)	Nice-to-have; long-term development	6-12 months

81.4 Training Curriculum and Programs

81.4.1 Training Curriculum Framework

The training curriculum is organized into comprehensive learning paths:

Core Training Categories:

1. Onboarding and Orientation

- **Company orientation (Day 1)**
- **Department-specific onboarding**
- **Role-specific training**
- **Buddy/mentor assignment**
- **30-60-90 day check-ins**

2. Compliance and Mandatory Training

- **Code of conduct and ethics**
- **Anti-harassment and discrimination**
- **Information security awareness**
- **Occupational health and safety**
- **Data privacy and protection**
- **Anti-money laundering (where applicable)**

3. Technical and Functional Training

- **Job-specific technical skills**
- **Systems and tools training**
- **Process and procedure training**
- **Industry-specific knowledge**
- **Professional certifications**

4. Leadership and Management Development

- **First-time manager program**
- **Leadership fundamentals**

- **Advanced leadership program**
- **Executive development**
- **Coaching skills**

5. Professional Skills Development

- **Communication skills**
- **Presentation skills**
- **Project management**
- **Time management**
- **Problem solving and decision making**
- **Negotiation skills**

81.4.2 Leadership Development Programs

Comprehensive leadership development programs build management capability at all levels:

Emerging Leaders Program (ELP)

Component	Description	Duration
Target Audience	High-potential employees with no prior management experience	-
Program Objectives	Prepare participants for first management role	-
Core Modules	Leadership fundamentals; communication; team dynamics; performance management basics	6 months
Learning Methods	Workshops; case studies; mentoring; project assignment	-
Certification	Certificate of completion; eligibility for promotion to supervisor	-

Manager Excellence Program (MEP)

Component	Description	Duration
Target Audience	Current managers with 1-5 years experience	-
Program Objectives	Enhance management effectiveness; build leadership skills	-
Core Modules	Advanced performance management; coaching; change management; strategic thinking	12 months
Learning Methods	Workshops; action learning projects; peer coaching; 360 feedback	-
Certification	Manager Excellence Certification	-

Senior Leadership Program (SLP)

Component	Description	Duration
Target Audience	Senior managers and directors	-
Program Objectives	Develop strategic leadership capability; prepare for executive roles	-
Core Modules	Strategic planning; organizational design; financial acumen; stakeholder management	12 months
Learning Methods	Executive workshops; external programs; executive coaching; board exposure	-
Certification	Executive Leadership Certification	-

81.4.3 Technical Certification Programs

The organization supports professional certifications relevant to employee roles:

Job Family	Supported Certifications	Organization Support
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Accounting/Finance	CMA, CPA, CFA	Exam fees + study materials + 5 days study leave
Human Resources	SHRM-CP, SHRM-SCP, CIPD	Exam fees + study materials + 3 days study leave
Information Technology	PMP, AWS, Azure, Cisco, ITIL	Exam fees + study materials + 5 days study leave
Project Management	PMP, PRINCE2, Agile	Exam fees + study materials + 5 days study leave
Quality Management	Six Sigma, ISO Lead Auditor	Exam fees + study materials + 3 days study leave
Sales/Marketing	Professional certifications sales	Exam fees + study materials + 2 days study leave

Certification Support Policy:

- Pre-approval required from manager and HR
- Reimbursement upon successful completion
- Minimum passing grade required for reimbursement
- Commitment to remain with organization for 2 years post-certification
- Maximum 2 certifications per year per employee

81.5 Training Delivery Methods

81.5.1 Training Delivery Modalities

Training is delivered through multiple modalities to meet diverse learning needs:

Delivery Method	Best Used For	Advantages	Typical Duration
Instructor-Led Classroom	Complex topics; team building; skills practice	Interaction; immediate feedback; networking	4 hours - 5 days

Virtual Led	Instructor-	Remote learners; time-	Accessibility; cost-	2-4 hours
E-Learning (Self-Paced)	(Self-	Knowledge transfer; compliance; refresher	Flexibility; scalability; tracking	30 min - 4 hours
Microlearning		Just-in-time learning; reinforcement	Bite-sized; mobile-friendly; quick	5-15 minutes
On-the-Job Training		Skill application; role-specific tasks	Real context; immediate application	Ongoing
Mentoring/Coaching		Leadership; career development; complex skills	Personalized; relationship-based	6-12 months
Action Learning		Problem solving; team development	Real business impact; applied learning	3-6 months
External Programs		Specialized expertise; networking	External perspective; best practices	Varies

81.5.2 Blended Learning Approach

Programs typically combine multiple delivery methods for optimal learning:

Example: New Manager Program (Blended)

Phase	Activity	Method	Duration
Pre-Work	Self-assessment; foundational reading	E-Learning	4 hours
Module 1	Leadership fundamentals workshop	Classroom	2 days
Application	Apply learning on the job	On-the-Job	2 weeks
Module 2	Communication and feedback skills	Virtual	4 hours
Coaching	One-on-one coaching session	Coaching	1 hour
Module 3	Performance management simulation	Classroom	1 day

Project	Team improvement project	Action Learning	1 month
Capstone	Presentation and certification	Classroom	Half day

81.5.3 Learning Technology Platform

The Learning Management System (LMS) provides comprehensive learning support:

LMS Capabilities:

- Course catalog and registration
- Self-paced e-learning modules
- Virtual classroom integration
- Learning path assignments
- Progress tracking and reporting
- Certification management
- Mobile learning access
- Social learning features
- Content library access

81.6 Training Evaluation

81.6.1 Kirkpatrick Evaluation Model

Training effectiveness is evaluated at four levels:

Level 1: Reaction

- Question: Did participants find the training valuable?
- Measurement: Post-training satisfaction survey
- Target: $\geq 4.0/5.0$ average satisfaction
- Timing: Immediately after training

Level 2: Learning

- Question: Did participants acquire intended knowledge and skills?
- Measurement: Pre/post assessments; knowledge tests; skills demonstration

- **Target:** ≥80% average score improvement
- **Timing:** During and immediately after training

Level 3: Behavior

- **Question:** Are participants applying what they learned on the job?
- **Measurement:** Manager observation; 360 feedback; performance metrics
- **Target:** ≥70% of participants demonstrate behavior change
- **Timing:** 30-90 days after training

Level 4: Results

- **Question:** Did training impact business results?
- **Measurement:** KPIs; productivity metrics; quality metrics; ROI analysis
- **Target:** Positive impact on relevant business metrics
- **Timing:** 3-12 months after training

81.6.2 Training ROI Calculation

Return on investment is calculated for major training initiatives:

Training ROI (%) = ((Benefits - Costs) / Costs) × 100

Training Costs Include:

- Program development costs
- Trainer/facilitator fees
- Materials and resources
- Technology costs
- Participant salaries during training
- Travel and accommodation (if applicable)
- Administrative overhead

Training Benefits Include:

- Productivity improvements
- Quality improvements (reduced errors)
- Cost savings

- **Revenue increases**
- **Reduced turnover**
- **Compliance risk reduction**

81.7 Career Development

81.7.1 Career Development Framework

The organization supports employee career growth through structured development:

Career Development Components:

- **Career Paths:** Defined progression routes for each job family
- **Competency Requirements:** Clear standards for each level
- **Development Planning:** Individual development plans aligned with career goals
- **Mentoring Programs:** Formal and informal mentoring relationships
- **Job Rotation:** Cross-functional assignments for breadth
- **Succession Planning:** Identification and development of future leaders

81.7.2 Individual Development Plan (IDP)

Every employee has an Individual Development Plan:

IDP Components:

Section		Content
Career Goals		Short-term (1-2 years) and long-term (3-5 years) career aspirations
Current Assessment	Position	Strengths, development areas, current competency levels
Target Position		Desired next role and requirements
Development Needs		Skills, knowledge, experience needed for target position
Development Actions		Specific learning activities, experiences, relationships

Timeline	Milestones and target dates
Support Needed	Resources, budget, time, manager support
Progress Tracking	Regular review checkpoints

81.7.3 Succession Planning

A systematic succession planning process ensures leadership continuity:

Succession Planning Process:

1. **Critical Position Identification:** Identify roles critical to organizational success
2. **Incumbent Assessment:** Evaluate current leaders' performance and potential
3. **Successor Identification:** Identify 2-3 potential successors for each critical role
4. **Readiness Assessment:** Evaluate successor readiness (Ready Now, 1-2 Years, 3-5 Years)
5. **Development Planning:** Create development plans to close readiness gaps
6. **Monitoring:** Regular review and update of succession plans

Succession Planning Metrics:

Metric	Target
% of Critical Positions with Identified Successors	≥90%
% of Successors with Development Plans	100%
% of Leadership Positions Filled Internally	≥70%
Average Time to Fill Critical Positions	≤60 days

Policy 81.1: Training Attendance and Completion

Employees are required to complete all mandatory training within specified timelines. Failure to complete mandatory training may result in restricted system access, delayed performance reviews, or disciplinary action. Employees must attend scheduled training sessions; cancellations require 48 hours notice except in emergencies. Repeated no-shows may result in loss of training privileges.

Policy 81.2: External Training Approval

External training programs require pre-approval from the employee's manager and the Training Department. Approval criteria include: relevance to current role or development plan, cost-benefit analysis, availability of internal alternatives, and budget availability. Employees attending external training must submit a knowledge transfer plan to share learning with colleagues.

Policy 81.3: Training Reimbursement Commitment

Employees receiving certification reimbursement or attending external training programs costing more than EGP 10,000 must sign a training agreement committing to remain with the organization for 24 months following completion. Early departure requires prorated reimbursement of training costs.

CHAPTER 82: COMPREHENSIVE EMPLOYEE RELATIONS AND GRIEVANCE FRAMEWORK

82.1 Employee Relations Philosophy

82.1.1 Employee Relations Vision

The organization is committed to fostering a positive, productive, and respectful work environment where employees feel valued, heard, and empowered to perform at their best. The Employee Relations function serves as a bridge between management and employees, ensuring fair treatment, open communication, and effective resolution of workplace issues.

Employee Relations Mission:

"To create and maintain a workplace culture built on trust, respect, and fairness, where every employee has a voice, conflicts are resolved constructively, and the organization and its people thrive together."

82.1.2 Employee Relations Principles

All employee relations activities are guided by core principles:

Principle	Description	Application
Fairness	All employees treated equitably and without discrimination	Consistent application of policies; impartial investigations
Respect	Dignity and respect in all interactions	Professional communication; zero tolerance for harassment
Transparency	Open communication about decisions and processes	Clear policies; explained rationale for decisions
Due Process	Employees have right to be heard and appeal	Grievance procedures; appeal mechanisms

Timeliness	Issues addressed promptly and efficiently	Defined timelines for resolution
Confidentiality	Privacy protected in sensitive matters	Limited disclosure; secure records
Prevention	Proactive measures to prevent issues	Training; policy communication; early intervention

82.1.3 Employee Relations Framework

The Employee Relations function encompasses multiple interconnected areas:

Employee Relations Components:

- **Policy Development and Communication:** Creating, updating, and communicating HR policies
- **Grievance Management:** Handling employee complaints and concerns
- **Conflict Resolution:** Mediating workplace disputes
- **Disciplinary Management:** Administering corrective action
- **Employee Engagement:** Fostering positive workplace relationships
- **Workplace Investigations:** Conducting fair and thorough investigations
- **Compliance:** Ensuring adherence to labor laws and regulations
- **Employee Communications:** Facilitating two-way communication

82.2 Grievance Management System

82.2.1 Grievance Definition and Scope

A grievance is a formal complaint raised by an employee regarding any aspect of their employment relationship that they believe is unfair, unjust, or contrary to policy or law.

Grievance Scope (Covered Issues):

- **Compensation and benefits disputes**
- **Working conditions and environment**
- **Supervision and management practices**

- **Performance evaluation concerns**
- **Promotion and career advancement**
- **Disciplinary actions**
- **Harassment and discrimination**
- **Policy application disputes**
- **Health and safety concerns**
- **Workplace relationships**

Issues Not Covered by Grievance Procedure:

- **Matters covered by collective bargaining agreements (handled through union channels)**
- **Issues already subject to legal proceedings**
- **Anonymous complaints (without specific allegations)**
- **Matters outside organization's control**

82.2.2 Grievance Procedure Overview

The organization provides a multi-stage grievance procedure ensuring fair and thorough consideration of employee concerns:

Grievance Procedure Stages:

Stage	Level	Timeline	Decision Maker
Stage 1	Informal Resolution	5 working days	Direct Manager
Stage 2	Formal Grievance	10 working days	Department Head + HR
Stage 3	Appeal	10 working days	HR Director
Stage 4	Final Appeal	15 working days	Grievance Committee

82.2.3 Stage 1: Informal Resolution

Most grievances can be resolved quickly through informal discussion:

Informal Resolution Process:

- 1. Employee Action:** Employee discusses concern with direct manager within 5 working days of issue arising
- 2. Manager Response:** Manager listens, asks clarifying questions, and seeks to understand the issue
- 3. Joint Problem-Solving:** Manager and employee explore solutions together
- 4. Resolution:** Manager provides response within 3 working days
- 5. Documentation:** Brief note of discussion and outcome recorded

Manager Guidelines for Informal Resolution:

- Listen actively without interrupting
- Ask open-ended questions to understand fully
- Avoid defensive reactions
- Explore options for resolution
- Follow up on commitments made
- Document the discussion

82.2.4 Stage 2: Formal Grievance

If informal resolution is unsuccessful, the employee may file a formal grievance:

Formal Grievance Submission Requirements:

- Written grievance submitted on official form
- Submitted within 10 working days of informal resolution failure or issue arising
- Must include: employee details, nature of grievance, relevant dates, desired outcome, supporting evidence
- Submitted to HR Business Partner (with copy to Department Head)

Formal Grievance Form Contents:

Section	Information Required
Employee Information	Name, ID, department, position, contact details
Grievance Category	Type of issue (compensation, working conditions, etc.)

Statement of Grievance	Detailed description of the issue and why it's unfair
Background	Timeline of events; previous attempts to resolve
Witnesses	Names of individuals with relevant information
Evidence	Documents, emails, records supporting the grievance
Desired Resolution	Specific outcome employee is seeking
Date and Signature	Employee signature and date of submission

Formal Grievance Process:

- 1. Acknowledgment:** HR acknowledges receipt within 2 working days
- 2. Investigation:** HR and Department Head conduct investigation (5 working days)
- 3. Meeting:** Grievance hearing conducted with employee present (may bring representative)
- 4. Decision:** Written decision provided within 10 working days of grievance submission
- 5. Documentation:** Full record maintained in employee file

82.2.5 Stage 3: Appeal

Employees may appeal the Stage 2 decision:

Appeal Process:

- **Appeal must be submitted in writing within 5 working days of Stage 2 decision**
- **Must specify grounds for appeal (new evidence, procedural error, unreasonable decision)**
- **HR Director reviews case and may conduct additional investigation**
- **Appeal hearing conducted if requested**
- **Written decision provided within 10 working days of appeal submission**

82.2.6 Stage 4: Final Appeal

The Grievance Committee provides final resolution:

Grievance Committee Composition:

- **HR Director (Chair)**
- **One senior manager from different department**
- **One employee representative (for non-management employees)**

Final Appeal Process:

- **Request submitted within 5 working days of Stage 3 decision**
- **Committee reviews all documentation and may hear from parties**
- **Decision is final and binding on both parties**
- **Written decision within 15 working days**

82.3 Workplace Investigations

82.3.1 Investigation Triggers

Formal investigations are initiated for serious workplace issues:

Investigation Triggers:

- **Allegations of harassment or discrimination**
- **Violations of code of conduct**
- **Theft or fraud allegations**
- **Workplace violence or threats**
- **Safety violations**
- **Serious policy violations**
- **Retaliation allegations**

82.3.2 Investigation Process

All investigations follow a structured process ensuring fairness and thoroughness:

Investigation Steps:

Step 1: Intake and Assessment (1-2 days)

- **Receive and document complaint**
- **Assess seriousness and urgency**
- **Determine if immediate action needed (suspension, separation)**

- **Assign investigator(s)**
- **Notify relevant parties of investigation initiation**

Step 2: Planning (1-2 days)

- **Define scope of investigation**
- **Identify witnesses and evidence**
- **Develop interview plan**
- **Establish timeline**
- **Prepare interview questions**

Step 3: Evidence Collection (3-10 days)

- **Interview complainant**
- **Interview respondent**
- **Interview witnesses**
- **Collect documents and records**
- **Review relevant policies**

Step 4: Analysis (2-3 days)

- **Review all evidence**
- **Assess credibility**
- **Determine findings**
- **Consult with legal if needed**

Step 5: Report and Recommendation (2-3 days)

- **Prepare investigation report**
- **Document findings of fact**
- **Make recommendations**
- **Submit to decision maker**

Step 6: Resolution and Follow-Up (1-5 days)

- **Decision maker determines outcome**
- **Communicate to parties**

- **Implement corrective action if warranted**
- **Take preventive measures**
- **Close investigation file**

82.3.3 Investigation Report Template

Section	Content
Executive Summary	Brief overview of complaint, investigation, and findings
Background	Context and circumstances leading to investigation
Scope	What was investigated and what was not
Methodology	How investigation was conducted
Evidence Summary	Key documents, interviews, and other evidence
Findings of Fact	Objective facts determined through investigation
Analysis	Application of facts to policies and standards
Conclusions	Determination of whether violation occurred
Recommendations	Proposed corrective and preventive actions
Attachments	Interview notes, documents, evidence

82.4 Conflict Resolution

82.4.1 Conflict Resolution Approaches

The organization utilizes multiple approaches to resolve workplace conflicts:

Approach	Best Used For	Process
Self-Resolution	Minor interpersonal issues	Employees discuss directly and reach agreement

Manager Facilitation	Team conflicts; performance issues	Manager mediates discussion between parties
HR Mediation	Escalated conflicts; sensitive issues	HR professional facilitates structured mediation
Formal Mediation	Persistent conflicts; grievances	Trained external mediator facilitates resolution
Arbitration	Unresolvable disputes (rare)	Neutral third party makes binding decision

82.4.2 Mediation Process

HR-facilitated mediation follows a structured approach:

Mediation Stages:

Stage 1: Preparation

- Individual meetings with each party
- Explain mediation process and ground rules
- Identify issues from each perspective
- Assess readiness for mediation

Stage 2: Joint Session Opening

- Mediator explains process and ground rules
- Each party presents their perspective uninterrupted
- Mediator summarizes and clarifies issues

Stage 3: Issue Exploration

- Identify common interests
- Explore underlying concerns
- Separate positions from interests

Stage 4: Option Generation

- Brainstorm possible solutions
- Evaluate options against interests

- **Develop mutually acceptable solutions**

Stage 5: Agreement

- **Document agreed solutions**
- **Define implementation steps**
- **Establish follow-up mechanism**
- **Parties sign agreement**

82.5 Employee Engagement

82.5.1 Employee Engagement Framework

Employee engagement is actively managed through multiple initiatives:

Engagement Drivers:

Driver		Description	Initiatives
Meaningful Work		Employees understand how their work contributes	Goal alignment; recognition programs; impact sharing
Growth Opportunities		Employees see paths for development	Career paths; training; development planning
Supportive Management		Managers support and develop their teams	Manager training; feedback culture; one-on-ones
Positive Work Environment		Safe, inclusive, and respectful workplace	D&I programs; wellness; facilities
Fair Treatment		Employees feel treated fairly	Transparent policies; grievance process; equity reviews
Communication		Open and honest information sharing	All-hands meetings; newsletters; feedback channels

82.5.2 Employee Engagement Survey

Annual engagement surveys measure employee sentiment:

Survey Process:

- **Annual comprehensive survey (Q4)**
- **Pulse surveys quarterly (short, focused)**
- **Anonymous participation**
- **Department-level results shared with managers**
- **Action planning at department level**
- **Progress tracked and communicated**

Survey Dimensions:

Dimension	Sample Questions
Overall Engagement	I would recommend this organization as a great place to work
Leadership	Senior leaders communicate a clear vision for the future
Management	My manager provides regular, constructive feedback
Career Development	I have opportunities to grow and develop in my role
Recognition	I receive recognition for my contributions
Work Environment	I feel safe and respected in my workplace
Communication	I am kept informed about important matters
Work-Life Balance	I can maintain a healthy balance between work and personal life

82.5.3 Employee Recognition Programs

Multiple recognition programs celebrate employee contributions:

Program	Description	Criteria
Spot Recognition	Immediate recognition for exceptional effort	On-the-spot by any manager

Employee of the Month	Monthly recognition of outstanding performance	Nomination by managers; selection by committee
Annual Excellence Awards	Annual awards in multiple categories	Nomination and selection process
Service Awards	Recognition for tenure milestones	5, 10, 15, 20, 25+ years
Innovation Awards	Recognition for innovative ideas	Implemented ideas with business impact
Team Recognition	Recognition for team achievements	Successful project completion

82.6 Employee Communications

82.6.1 Communication Channels

Multiple channels ensure effective two-way communication:

Channel	Purpose	Frequency
All-Hands Meetings	Leadership updates; Q&A	Quarterly
Department Meetings	Team updates; discussion	Weekly/Monthly
One-on-One Meetings	Individual feedback; coaching	Monthly minimum
Company Newsletter	News; updates; recognition	Monthly
Intranet/Portal	Information hub; resources	Updated continuously
Email Announcements	Important updates	As needed
Suggestion Program	Employee ideas and feedback	Ongoing
Town Halls	Informal leadership interaction	Bi-annually

82.6.2 Employee Suggestion Program

The suggestion program encourages employee ideas for improvement:

Program Features:

- Open to all employees
- Online submission form
- Monthly review by suggestion committee
- Feedback provided to all submitters
- Rewards for implemented suggestions (EGP 500-5,000)
- Annual recognition for top contributors

82.7 Legal Compliance and Documentation

82.7.1 Labor Law Compliance

All employee relations practices comply with Egyptian Labor Law No. 14 of 2025:

Key Compliance Requirements:

- Written employment contracts for all employees
- Maintained personnel files with required documentation
- Proper notice periods for termination
- Accurate calculation and payment of end of service benefits
- Compliance with working hours and overtime regulations
- Proper maintenance of attendance records
- Compliance with leave entitlements

82.7.2 Documentation Requirements

Proper documentation is maintained for all employee relations matters:

Document Type	Retention Period	Storage
Employment Contracts	10 years post-termination	Secure physical + digital

Personnel Files	10 years post-termination	Secure physical + digital
Performance Reviews	10 years	Digital
Disciplinary Records	10 years	Secure physical + digital
Grievance Records	10 years	Secure physical + digital
Investigation Files	10 years	Secure physical + digital
Training Records	Duration of employment + 5 years	Digital
Attendance Records	5 years	Digital

Policy 82.1: Non-Retaliation

The organization strictly prohibits retaliation against any employee who raises a grievance, participates in an investigation, or reports concerns in good faith. Retaliation includes any adverse action such as termination, demotion, harassment, or other negative treatment. Any employee found to have engaged in retaliation will face disciplinary action up to and including termination.

Policy 82.2: Confidentiality in Investigations

All workplace investigations are conducted with the utmost confidentiality. Information is shared only on a need-to-know basis. Investigators, participants, and witnesses must maintain confidentiality. Violation of confidentiality may result in disciplinary action. However, employees have the right to discuss their own situation with family, legal counsel, or government agencies.

Policy 82.3: Grievance Time Limits

Employees must raise grievances within 10 working days of the incident or decision giving rise to the grievance. Grievances raised after this timeframe may not be considered unless there are exceptional circumstances justifying the delay. The time limit ensures timely resolution and preservation of evidence.

CHAPTER 83: HR ANALYTICS AND METRICS FRAMEWORK

83.1 HR Analytics Strategy

83.1.1 Purpose and Vision

HR Analytics transforms human resources data into actionable insights that drive strategic decision-making, optimize workforce performance, and demonstrate HR's business value. The organization is committed to building a data-driven HR function that leverages analytics to improve talent outcomes and organizational effectiveness.

HR Analytics Vision:

"To be a world-class, data-driven HR function that uses analytics to predict workforce trends, optimize talent decisions, and create measurable business impact through our people."

83.1.2 Analytics Maturity Model

The organization progresses through four levels of HR analytics maturity:

Level	Name	Characteristics	Current Status
1	Descriptive	Reporting what happened; basic metrics and dashboards	Achieved
2	Diagnostic	Understanding why it happened; root cause analysis	Achieved
3	Predictive	Forecasting what will happen; statistical modeling	Developing
4	Prescriptive	Recommending actions; optimization algorithms	Target

83.1.3 Analytics Governance

A structured governance framework ensures effective analytics management:

HR Analytics Governance Structure:

- **HR Analytics Steering Committee:** Senior leaders who set analytics strategy, prioritize initiatives, and allocate resources. Meets quarterly.
- **HR Analytics Team:** Dedicated professionals responsible for data management, analysis, reporting, and insights delivery.
- **HR Business Partners:** Frontline users who consume analytics and provide feedback on business needs.
- **IT Partnership:** Technical support for data infrastructure, integration, and security.

83.2 HR Metrics Framework

83.2.1 Key HR Metrics by Domain

Comprehensive metrics cover all HR functional areas:

Talent Acquisition Metrics:

Metric		Formula	Target	Frequency
Time to Fill		Average days from requisition to acceptance	≤30 days	Monthly
Cost per Hire		Total recruitment costs / Number of hires	≤EGP 15,000	Quarterly
Quality of Hire		New hire performance rating at 12 months	≥3.5/5.0	Annual
Offer Rate	Acceptance	Accepted offers / Extended offers × 100	≥85%	Monthly
Source Effectiveness		Hires by source / Cost by source	Varies by source	Quarterly

First-Year Turnover	New hires leaving within 12 months / Total new hires × 100	≤15%	Annual
Recruiter Efficiency	Hires per recruiter per month	≥4	Monthly

Retention and Turnover Metrics:

Metric	Formula	Target	Frequency
Voluntary Turnover Rate	Voluntary separations / Average headcount × 100	≤12%	Monthly
Involuntary Turnover Rate	Involuntary separations / Average headcount × 100	≤5%	Monthly
Total Turnover Rate	Total separations / Average headcount × 100	≤15%	Monthly
High Performer Turnover	Voluntary separations (rating 4-5) / Total high performers × 100	≤8%	Quarterly
New Hire Turnover	Separations within 12 months of hire / Total new hires × 100	≤15%	Quarterly
Retention Rate	Employees retained / Employees at start × 100	≥88%	Annual
Tenure Average	Total years of service / Number of employees	≥4 years	Annual

Compensation Metrics:

Metric	Formula	Target	Frequency
Compa-Ratio Average	Average of (Salary / Midpoint) × 100	95-105%	Quarterly
Salary Range Penetration	(Salary - Minimum) / (Maximum - Minimum) × 100	30-70%	Quarterly

Pay Equity Ratio	Female avg salary / Male avg salary for same grade			95-105%	Annual
Benefits Participation Rate	Employees enrolled / Eligible employees × 100			≥90%	Annual
Benefits Cost per Employee	Total benefits cost / Average headcount			Benchmark	Annual
Compensation as % of Revenue	Total compensation cost / Revenue × 100			Industry benchmark	Annual

Performance Management Metrics:

Metric	Formula			Target	Frequency
Performance Review Completion	Reviews completed / Reviews required × 100			100%	Annual
On-Time Completion Rate	On-time reviews / Total reviews × 100			≥95%	Annual
Rating Distribution	% in each rating category			Per guidelines	Annual
Goal Achievement Rate	Goals achieved / Goals set × 100			≥80%	Annual
High Performance Rate	Employees rated 4-5 / Total employees × 100			25-35%	Annual
Low Performance Rate	Employees rated 1-2 / Total employees × 100			≤10%	Annual

Learning and Development Metrics:

Metric	Formula			Target	Frequency
Training Hours per Employee	Total training hours / Average headcount			≥40 hours	Annual

Training Rate	Participation	Employees trained / Total employees × 100			≥90%	Annual
Training Score	Satisfaction	Average rating on satisfaction survey			≥4.0/5.0	Per program
Training Rate	Completion	Completed courses / Enrolled courses × 100			≥85%	Quarterly
Certification Achievement Rate		Certifications achieved / Attempts × 100			≥80%	Annual
Training Cost per Employee	Cost	Total training cost / Average headcount			Budget	Annual
Learning Transfer Rate		Employees applying learning / Employees trained × 100			≥70%	Quarterly

Employee Engagement Metrics:

Metric		Formula			Target	Frequency
Employee Score	Engagement	Average score on engagement survey			≥4.0/5.0	Annual
Survey Participation Rate		Survey responses / Employees surveyed × 100			≥80%	Annual
eNPS (Employee Promoter Score)	Net	% Promoters - % Detractors			≥+30	Annual
Grievance Rate		Grievances filed / Average headcount × 100			≤5%	Annual
Grievance Resolution Time		Average days to resolve grievances			≤20 days	Quarterly
Absenteeism Rate		Unplanned absence days / Total working days × 100			≤3%	Monthly

83.2.2 HR Efficiency Metrics

Metrics track HR operational efficiency:

Metric	Formula	Target	Frequency
HR-to-Employee Ratio	HR staff / Total employees	1:100	Annual
HR Cost per Employee	Total HR cost / Average headcount	Budget	Annual
HR Cost as % of Revenue	HR cost / Revenue × 100	≤2%	Annual
Payroll Accuracy Rate	Accurate payrolls / Total payrolls × 100	≥99.5%	Monthly
HR System Uptime	System available hours / Total hours × 100	≥99.5%	Monthly
Query Response Time	Average hours to respond to HR queries	≤24 hours	Monthly

83.3 HR Dashboard and Reporting

83.3.1 Dashboard Framework

Role-based dashboards provide relevant insights to different users:

Executive Dashboard:

- Headcount and workforce composition
- Turnover trends and risk indicators
- Talent pipeline health
- Key engagement metrics
- HR cost and efficiency metrics
- Compliance status

Manager Dashboard:

- Team headcount and composition

- **Team turnover and retention**
- **Performance distribution**
- **Training completion status**
- **Leave balances and attendance**
- **Recruitment pipeline**

HR Dashboard:

- **Detailed metrics by function**
- **Process performance indicators**
- **Service level achievement**
- **Project status and milestones**
- **Budget vs. actual**
- **Action items and alerts**

83.3.2 Reporting Calendar

Structured reporting ensures timely information delivery:

Report	Audience	Frequency	Due Date
Headcount Report	Leadership, Finance	Monthly	3rd working day
Turnover Analysis	Leadership, HR	Monthly	5th working day
Recruitment Status	Hiring Managers, HR	Weekly	Monday
Performance Summary	Leadership	Quarterly	15th of month
Training Summary	Leadership, Managers	Quarterly	15th of month
Compensation Analysis	Leadership, Finance	Quarterly	20th of month
Engagement Summary	Leadership	Annual	Q1 each year
HR Scorecard	Leadership	Quarterly	30 days after quarter
Annual HR Report	Board, Leadership	Annual	Q1 each year

83.4 Predictive Analytics

83.4.1 Turnover Prediction Model

A predictive model identifies employees at risk of leaving:

Risk Factors Analyzed:

- **Tenure and time in current role**
- **Performance trajectory**
- **Compensation relative to market**
- **Promotion history**
- **Manager relationship**
- **Engagement survey responses**
- **Absenteeism patterns**
- **Learning participation**

Risk Categories:

Risk Level	Probability of Leaving	Action
Low	0-20%	Standard retention practices
Medium	21-50%	Targeted retention conversation
High	51-75%	Manager intervention; HR consultation
Critical	76-100%	Immediate executive attention; retention offer

83.4.2 Workforce Planning Analytics

Analytics support strategic workforce planning:

Workforce Planning Models:

- **Demand Forecasting:** Project headcount needs based on business growth
- **Supply Analysis:** Assess internal talent availability

- **Gap Analysis:** Identify shortages and surpluses
- **Scenario Modeling:** Evaluate different workforce strategies
- **Cost Modeling:** Project workforce costs under different scenarios

83.5 HR Analytics Tools and Technology

83.5.1 HR Information System

The integrated HRIS provides comprehensive data management:

HRIS Capabilities:

- **Employee data management**
- **Organizational management**
- **Recruitment module**
- **Performance management**
- **Learning management**
- **Compensation management**
- **Time and attendance**
- **Self-service portal**
- **Reporting and analytics**

83.5.2 Analytics Tools

Specialized tools enhance analytical capabilities:

Tool Category	Purpose	Examples
Business Intelligence	Dashboards and visualizations	Power BI, Tableau
Statistical Analysis	Advanced analytics and modeling	R, Python, SPSS
Survey Platform	Employee feedback collection	SurveyMonkey, Qualtrics

83.6 Data Governance and Security

83.6.1 Data Governance Framework

Structured governance ensures data quality and appropriate use:

Data Governance Principles:

- Data accuracy and completeness
- Data consistency across systems
- Timely data availability
- Appropriate data access controls
- Compliance with privacy regulations
- Ethical use of employee data

83.6.2 Data Security and Privacy

Employee data is protected with appropriate security measures:

Security Measure	Implementation
Access Control	Role-based access; principle of least privilege
Data Encryption	Encryption at rest and in transit
Audit Logging	All data access logged and monitored
Data Masking	Sensitive data masked in non-production environments
Regular Audits	Quarterly access reviews; annual security audits
Employee Consent	Appropriate consent for data use

Policy 83.1: HR Data Access

Access to HR data is granted based on job responsibilities and business need. Managers may access data for their direct reports and department. HR staff may access data required for their functional responsibilities. Executive leadership may access aggregate data and individual data for decision-making. All data access is logged and subject to audit.

Policy 83.2: Data Quality Standards

All HR data must meet quality standards: accuracy (correct values), completeness (all required fields), consistency (aligned across systems), timeliness (current and up-to-date), and validity (within acceptable ranges). Data owners are responsible for maintaining quality in their areas. Monthly data quality reports identify and track issues.

Policy 83.3: Analytics Ethics

HR analytics must be conducted ethically and responsibly. Analyses must not discriminate against protected classes. Individual-level predictions (e.g., turnover risk) are for management intervention only, not automated decisions. Employees have the right to understand how their data is used. Algorithmic decisions must be explainable and subject to human review.

CHAPTER 84: COMPREHENSIVE PAYROLL AND SOCIAL INSURANCE FRAMEWORK

84.1 Payroll Administration Philosophy

84.1.1 Payroll Mission

The Payroll function is committed to delivering accurate, timely, and compliant compensation to all employees while maintaining the highest standards of confidentiality, integrity, and customer service. Payroll serves as a critical touchpoint in the employee experience, ensuring that employees are paid correctly and on time, every time.

Payroll Service Commitments:

- **Accuracy:** 99.5% or higher accuracy in all payroll calculations
- **Timeliness:** 100% on-time payroll delivery
- **Compliance:** Full adherence to all legal and regulatory requirements
- **Confidentiality:** Absolute protection of employee pay information
- **Service:** Responsive support for employee payroll inquiries

84.1.2 Payroll Governance

A structured governance framework ensures effective payroll management:

Payroll Governance Structure:

- **Payroll Steering Committee:** Senior leadership oversight of payroll strategy, policy, and major decisions
- **Payroll Manager:** Day-to-day management of payroll operations
- **Payroll Team:** Professional staff responsible for payroll processing
- **Finance Partnership:** Coordination for accounting, funding, and reporting
- **IT Partnership:** Technical support for payroll systems

84.2 Payroll Process

84.2.1 Payroll Cycle

The organization operates on a monthly payroll cycle:

Day	Activity	Responsible
1-20	Time and attendance capture; changes processing	HR, Managers
21	Payroll cutoff; lock time data	Payroll
22	Process payroll calculations	Payroll
23	Payroll review and reconciliation	Payroll, Finance
24	Management approval	HR Director, Finance Director
25	Bank file generation and transmission	Payroll
Last working day	Pay date; payslips available	Bank, Payroll

84.2.2 Payroll Components

Employee compensation consists of multiple components:

Earnings Components:

Component	Description	Taxable	SI Applicable
Basic Salary	Fixed monthly base pay	Yes	Yes
Housing Allowance	Allowance for accommodation	Yes	Yes
Transportation Allowance	Commuting cost allowance	Yes	Yes
Meal Allowance	Meal cost allowance	Yes	Yes

Mobile Allowance	Phone cost allowance	Yes	Yes
Overtime Pay	Payment for overtime hours	Yes	No
Bonus	Performance or special bonus	Yes	No
Commission	Sales commission	Yes	No

Deduction Components:

Component	Description	Mandatory
Social Insurance - Employee	Employee SI contribution (11%)	Yes
Income Tax	Withholding tax per tax brackets	Yes
Medical Insurance Premium	Supplemental health insurance	No
Provident Fund	Voluntary retirement savings	No
Loan Repayment	Employee loan installments	No
Salary Advance Repayment	Advance repayment	No

84.2.3 Gross to Net Calculation

The payroll calculation follows a structured process:

Gross Salary = Basic Salary + Allowances + Overtime + Bonuses + Other Earnings

Taxable Income = Gross Salary - Social Insurance (Employee) - Tax Exemptions

Income Tax = Taxable Income × Applicable Tax Rate - Tax Deductions

Total Deductions = Social Insurance + Income Tax + Other Deductions

Net Salary = Gross Salary - Total Deductions

84.3 Egyptian Income Tax

84.3.1 Income Tax Brackets (2025)

Egyptian income tax is calculated using progressive tax brackets:

Annual Taxable Income (EGP)	Tax Rate	Tax Deduction (EGP)
0 - 30,000	0%	0
30,001 - 45,000	10%	3,000
45,001 - 60,000	15%	5,250
60,001 - 200,000	20%	8,250
200,001 - 400,000	22.5%	13,250
Above 400,000	25%	23,250

84.3.2 Tax Calculation Example

Example calculation for employee with annual taxable income of EGP 180,000:

Bracket	Amount in Bracket	Rate	Tax
0 - 30,000	30,000	0%	0
30,001 - 45,000	15,000	10%	1,500
45,001 - 60,000	15,000	15%	2,250
60,001 - 180,000	120,000	20%	24,000
Total Annual Tax			27,750
Monthly Tax			2,312.50

84.3.3 Tax Exemptions and Deductions

Certain amounts are exempt from income tax:

Exemption Type	Annual Limit (EGP)	Conditions
Personal Exemption	15,000	All employees

Social Insurance	No limit	Employee contributions
Professional Expenses	2,000	Documented work expenses
Life Insurance Premiums	3,000	Egyptian insurance companies
Medical Expenses	Actual cost	Documented medical expenses
Housing Loan Interest	Actual interest	Primary residence loan

84.4 Social Insurance System

84.4.1 Social Insurance Overview

The Egyptian social insurance system provides comprehensive social protection:

Social Insurance Coverage:

- **Pension Insurance:** Retirement, disability, and survivor benefits
- **Work Injury Insurance:** Benefits for work-related injuries and illnesses
- **Medical Insurance:** Healthcare coverage
- **Unemployment Insurance:** Benefits for involuntary unemployment

84.4.2 Social Insurance Contributions

Contributions are calculated on covered salary within defined limits:

Insurance Type	Employee %	Employer %	Total %
Pension Insurance	11%	18%	29%
Work Injury	0%	2%	2%
Medical Insurance	1%	4%	5%
Unemployment Insurance	1%	2%	3%
Total	13%	26%	39%

84.4.3 Covered Salary Limits

Social insurance contributions are subject to minimum and maximum limits:

Limit Type		Amount (EGP)		Notes
Minimum Salary	Covered	2,000 month	per	Contributions calculated on minimum if salary below
Maximum Salary	Covered	10,000 month	per	Contributions capped at this amount
Variable Maximum	Pay	3,000 month	per	Separate cap for bonuses, overtime

84.4.4 Pension Benefits

Pension insurance provides retirement income security:

Eligibility Requirements:

- Age 60 with minimum 15 years of contributions, OR
- Age 55 with minimum 20 years of contributions (early retirement with reduction), OR
- Any age with 35 years of contributions (full pension)

Pension Calculation:

Monthly Pension = (Average Monthly Salary × Years of Service × Accrual Rate)

Accrual Rates:

Period	Accrual Rate
First 20 years	1/45 per year
Years 21-30	1/40 per year
Years 31+	1/35 per year

Maximum Pension: 100% of average salary (capped at maximum covered salary)

84.4.5 Work Injury Benefits

Work injury insurance provides protection for occupational accidents and diseases:

Covered Events:

- Work-related accidents during working hours
- Accidents during commute to/from work
- Occupational diseases

Benefits Provided:

Benefit Type	Amount/Description
Medical Treatment	Full coverage of treatment costs
Temporary Disability	100% of salary during treatment
Permanent Disability	Lump sum or pension based on disability degree
Death Benefit	Lump sum to beneficiaries plus survivor pension

84.4.6 Medical Insurance Benefits

Medical insurance provides healthcare coverage through the Health Insurance Authority:

Covered Services:

- Primary care consultations
- Specialist consultations
- Hospitalization
- Surgical procedures
- Emergency care
- Maternity care
- Prescription medications
- Diagnostic tests

Healthcare Provider Network:

- **Public hospitals and clinics**
- **Contracted private providers**
- **Referral system for specialist care**

84.4.7 Unemployment Insurance

Unemployment insurance provides temporary income support:

Eligibility Requirements:

- **Involuntary unemployment (not resignation or termination for cause)**
- **Minimum 12 months of contributions in last 24 months**
- **Registered with employment office**
- **Actively seeking work**

Benefit Amount and Duration:

Contribution Period	Benefit Duration	Benefit Amount
12-18 months	3 months	60% of average salary
18-24 months	4 months	60% of average salary
24-36 months	5 months	60% of average salary
36+ months	6 months	60% of average salary

84.5 Payroll Compliance

84.5.1 Legal Compliance Requirements

Payroll operations comply with all applicable Egyptian laws:

Compliance Areas:

Law/Regulation	Requirements
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Labor Law No. 14 of 2025	Minimum wage; overtime pay; leave entitlements; end of service benefits
Social Insurance Law No. 148 of 2019	Registration; contributions; reporting
Income Tax Law	Withholding; reporting; payment
Central Bank Regulations	Wage payments through banking system

84.5.2 Social Insurance Registration

Employers must comply with registration requirements:

Registration Obligations:

- Register establishment with Social Insurance Authority within 30 days of operation
- Register each employee within 30 days of hiring
- Update records for changes (salary, position, termination)
- Maintain accurate contribution records

84.5.3 Reporting Requirements

Regular reporting ensures compliance:

Report			Frequency	Due Date			Recipient	
Monthly	SI	Declaration (Form 1)	Monthly	15th	of	following month	Social Authority	Insurance
Quarterly SI Summary			Quarterly	15th	of	following month	Social Authority	Insurance
Annual SI Reconciliation			Annual	January 31			Social Authority	Insurance
Monthly Tax Withholding			Monthly	15th	of	following month	Tax Authority	
Annual Tax Form (Form 41)			Annual	March 31			Tax Authority	

Employee Tax Certificates

Annual

January 31

Employees

84.6 Payroll Systems and Technology

84.6.1 Payroll System Capabilities

The integrated payroll system provides comprehensive functionality:

System Features:

- Employee data management
- Time and attendance integration
- Automated payroll calculations
- Tax and SI calculations
- Multiple pay components
- Bank file generation
- Payslip generation and distribution
- Reporting and analytics
- Audit trail and controls
- Integration with HRIS and Finance

84.6.2 Payroll Controls

Strong internal controls ensure accuracy and prevent fraud:

Control Type	Implementation
Segregation of Duties	Separate roles for input, calculation, review, and approval
Dual Approval	Two authorized signatures required for payroll release
Reconciliation	Monthly reconciliation of payroll to GL and bank
Change Control	All pay changes documented and approved
Access Control	Role-based system access with regular review

Audit Trail**Complete log of all payroll transactions**

84.7 Employee Payroll Services

84.7.1 Payslip Distribution

Employees receive detailed payslips each pay period:

Payslip Contents:

- **Employee name and ID**
- **Pay period dates**
- **Basic salary**
- **All allowances and earnings**
- **Gross salary**
- **All deductions with descriptions**
- **Net salary**
- **Year-to-date totals**
- **Leave balances**
- **Social insurance number**
- **Tax information**

Payslip Distribution Methods:

- **Electronic payslip via employee self-service portal (preferred)**
- **Email delivery (upon request)**
- **Printed copy (upon request)**

84.7.2 Payroll Inquiry Process

Employees can raise payroll-related questions or concerns:

Inquiry Process:

1. **Employee submits inquiry through HR portal, email, or in person**
2. **Payroll team acknowledges receipt within 24 hours**

3. Investigation conducted within 3 working days
4. Response provided to employee with explanation
5. If error identified, correction processed in next payroll or off-cycle

84.7.3 Salary Certificate

Employees may request salary certificates for various purposes:

Certificate Types:

Certificate Type	Purpose	Processing Time
Employment Certificate	Proof of employment	2 working days
Salary Certificate	Loan applications, visa	2 working days
End of Service Certificate	Proof of employment history	5 working days
Social Insurance Certificate	SI contribution history	5 working days

Policy 84.1: Payroll Accuracy Guarantee

If a payroll error results in underpayment, the organization will correct the error and provide the additional amount due within 3 working days of error identification. If overpayment occurs, the organization will discuss recovery options with the employee, typically through agreed payroll deductions over a reasonable period not exceeding 6 months.

Policy 84.2: Payroll Confidentiality

All payroll information is strictly confidential. Access is limited to authorized payroll staff, HR personnel with business need, and the employee's direct manager (for their own team only). Employees must not discuss or disclose their own or others' salary information in the workplace. Violation of payroll confidentiality may result in disciplinary action.

Policy 84.3: Off-Cycle Payments

Off-cycle payments may be processed in limited circumstances: final payments for terminated employees (within 5 working days), correction of significant payroll errors, approved bonuses outside normal cycle, or emergency salary advances. Off-cycle payments require HR Director and Finance Director approval and incur an administrative fee of EGP 100 per transaction.

CHAPTER 85: COMPREHENSIVE OCCUPATIONAL HEALTH AND SAFETY FRAMEWORK

85.1 Occupational Health and Safety Philosophy

85.1.1 Safety Vision and Mission

The organization is committed to providing a safe and healthy work environment for all employees, contractors, and visitors. Occupational health and safety is a core value and an integral part of our business operations. We believe that all accidents and occupational illnesses are preventable, and we strive for zero harm in our workplace.

Safety Vision:

"To be a leader in occupational health and safety, achieving zero accidents and creating a culture where every employee takes personal responsibility for safety."

Safety Mission:

"To protect the health, safety, and well-being of every person in our workplace through proactive risk management, continuous improvement, and a culture of care and accountability."

85.1.2 Safety Principles

All safety activities are guided by core principles:

Principle	Description	Application
Zero Harm	No level of injury or illness is acceptable	All incidents investigated; preventive actions implemented
Leadership Commitment	Safety starts with visible leadership commitment	Leaders model safe behavior; safety in all decisions

Employee Involvement	All employees participate in safety	Safety committees; hazard reporting; suggestions
Risk-Based Approach	Proactive identification and control of hazards	Risk assessments; hierarchy of controls
Continuous Improvement	Constantly seeking better ways to work safely	Metrics; audits; learning from incidents
Legal Compliance	Meet or exceed all legal requirements	Regular compliance reviews; updates to procedures

85.1.3 Safety Policy Statement

The organization's Occupational Health and Safety Policy is formally endorsed by senior leadership:

Occupational Health and Safety Policy

The organization is committed to:

1. Providing a safe and healthy workplace free from recognized hazards
2. Complying with all applicable occupational health and safety laws and regulations
3. Preventing workplace injuries, illnesses, and incidents through proactive risk management
4. Engaging all employees in safety responsibilities and continuous improvement
5. Providing necessary resources, training, and equipment for safe work
6. Setting and reviewing safety objectives to drive continuous improvement
7. Promoting a culture where safety is valued and prioritized by all

All employees, contractors, and visitors are expected to follow safety rules and procedures. Management is accountable for ensuring safe working conditions and addressing safety concerns promptly.

This policy is communicated to all personnel and reviewed annually for continued suitability.

85.2 Safety Organization and Responsibilities

85.2.1 Safety Governance Structure

A multi-level governance structure ensures effective safety management:

Safety Governance:

- **Safety Committee:** Senior leadership committee that sets safety strategy, reviews performance, and allocates resources. Meets quarterly.
- **Safety Manager:** Professional safety manager responsible for day-to-day safety program management.
- **Department Safety Representatives:** Designated individuals in each department who coordinate safety activities.
- **Safety Committee (Employee-Management):** Joint committee that discusses safety issues, reviews incidents, and makes recommendations.

85.2.2 Safety Roles and Responsibilities

Role	Safety Responsibilities
Chief Executive	Ultimate accountability for safety; sets safety culture; approves safety policy; reviews safety performance
Line Managers	Ensure safe working conditions in their areas; enforce safety rules; investigate incidents; provide safety training
Safety Manager	Develop and maintain safety programs; conduct inspections and investigations; provide safety expertise; ensure compliance
Employees	Follow safety rules; report hazards and incidents; participate in safety activities; look out for colleagues
HR Department	Integrate safety into HR processes; support return-to-work programs; maintain safety records

85.2.3 Safety Committee

The joint employee-management safety committee facilitates safety communication:

Committee Composition:

- **Safety Manager (Chair)**
- **Management representatives (3-5 members)**
- **Employee representatives (3-5 members)**

Committee Functions:

- **Review safety incidents and near misses**
- **Discuss safety concerns raised by employees**
- **Review safety inspection findings**
- **Recommend safety improvements**
- **Monitor safety performance metrics**
- **Promote safety awareness**

Meeting Schedule: Monthly

85.3 Hazard Identification and Risk Assessment

85.3.1 Hazard Identification Process

Systematic processes identify workplace hazards:

Hazard Identification Methods:

Method	Frequency	Responsible
Workplace Inspections	Monthly (departments), Quarterly (facility)	Safety Manager, Supervisors
Job Hazard Analysis	When new jobs/tasks introduced	Safety Manager, Supervisors
Incident Investigation	After each incident	Safety Manager, Investigation Team
Employee Reports	Ongoing	All Employees
Equipment Reviews	Annual	Maintenance, Safety

Change Review	Management	When change	processes/equipment	Safety Operations	Manager,
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85.3.2 Risk Assessment Process

Risk assessments evaluate and prioritize hazards:

Risk Assessment Steps:

1. **Identify Hazards:** List all potential hazards in the work area
2. **Identify Who Might Be Harmed:** Determine affected personnel
3. **Evaluate Risk:** Assess likelihood and severity
4. **Determine Controls:** Identify existing and needed controls
5. **Document:** Record assessment findings
6. **Review:** Regular review and update

85.3.3 Risk Matrix

Risks are evaluated using a standardized matrix:

Likelihood	Severity				
	Negligible (1)	Minor (2)	Moderate (3)	Major (4)	Catastrophic (5)
Almost Certain (5)	5 (Medium)	10 (High)	15 (High)	20 (Critical)	25 (Critical)
Likely (4)	4 (Low)	8 (Medium)	12 (High)	16 (High)	20 (Critical)
Possible (3)	3 (Low)	6 (Medium)	9 (Medium)	12 (High)	15 (High)
Unlikely (2)	2 (Low)	4 (Low)	6 (Medium)	8 (Medium)	10 (High)
Rare (1)	1 (Low)	2 (Low)	3 (Low)	4 (Low)	5 (Medium)

Risk Level Actions:

Risk Level	Score	Action Required
Critical	20-25	Immediate action; stop work if necessary
High	15-19	Urgent action required within 1 week
Medium	8-14	Action required within 1 month
Low	1-7	Monitor and address as resources permit

85.4 Safety Controls and Procedures

85.4.1 Hierarchy of Controls

Controls are selected following the hierarchy of controls:

Control Level	Description	Examples	Effectiveness
1. Elimination	Remove the hazard completely	Remove dangerous process; substitute hazardous material	Most Effective
2. Substitution	Replace with less hazardous alternative	Use safer chemicals; ergonomic equipment	High
3. Engineering Controls	Isolate people from hazard	Guards; barriers; ventilation;	High
4. Administrative Controls	Change way work is done	Procedures; training; signage; scheduling	Medium
5. PPE	Protect the individual	Gloves; helmets; safety glasses	Least Effective

85.4.2 Emergency Preparedness

Comprehensive emergency procedures ensure effective response:

Emergency Types and Procedures:

Emergency Type	Key Procedures	Drill Frequency
Fire	Evacuation routes; assembly points; fire extinguisher use; roll call	Quarterly
Medical Emergency	First aid response; emergency contact; ambulance coordination	Annually
Chemical Spill	Containment; evacuation; cleanup procedures; reporting	Annually
Natural Disaster	Shelter locations; communication; business continuity	Annually
Security Threat	Lockdown procedures; communication; coordination with authorities	Annually

Emergency Response Team:

- Fire Wardens (floor/area coordinators)
- First Aid Responders
- Incident Commander
- Communication Coordinator

85.4.3 Personal Protective Equipment (PPE)

PPE is provided and required where hazards cannot be eliminated:

PPE Type	When Required	Provided By	Maintenance
Safety Shoes	Areas with foot hazards; material handling	Organization	Replaced annually
Safety Glasses	Areas with eye hazards; certain tasks	Organization	Replaced as needed

Hard Hats	Construction areas; overhead hazards	Organization	Replaced every 2 years
Gloves	Chemical handling; sharp objects; heat	Organization	Type-specific
Hearing Protection	Noise levels above 85 dB	Organization	Replaced as needed
Respiratory Protection	Airborne contaminants	Organization	Fit testing annually

PPE Policy:

- PPE is provided at no cost to employees
- Employees must wear required PPE at all times in designated areas
- Employees must inspect PPE before use
- Damaged PPE must be reported and replaced immediately
- Failure to wear required PPE is a disciplinary offense

85.5 Incident Management

85.5.1 Incident Classification

Incidents are classified by severity:

Classification	Definition	Examples	Response Time
Near Miss	Incident with potential for harm but no injury/damage	Almost fell; near collision	Report within 24 hours
First Aid Case	Minor injury requiring first aid only	Small cut; minor burn	Report within 24 hours
Medical Treatment Case	Injury requiring professional treatment	Stitches; prescription medication	Immediate report

Lost Time Injury	Injury resulting in time away from work	Fracture; hospitalization	Immediate report
Fatality	Work-related death	Any work-related death	Immediate report

85.5.2 Incident Reporting

All incidents must be reported promptly:

Reporting Requirements:

- **Immediate:** Serious injuries, fatalities, environmental incidents - report to supervisor and Safety Manager immediately
- **Within 24 hours:** All other incidents, near misses
- **Written Report:** Complete incident report form within 48 hours

Incident Report Contents:

- **Date, time, and location**
- **Person(s) involved**
- **Description of incident**
- **Immediate actions taken**
- **Witnesses**
- **Photos (if applicable)**
- **Initial findings**

85.5.3 Incident Investigation

Structured investigations identify root causes:

Investigation Process:

- 1. Secure the Scene:** Preserve evidence and prevent further incidents
- 2. Gather Information:** Interview witnesses; collect physical evidence; review records
- 3. Identify Causes:** Determine immediate causes and root causes
- 4. Develop Recommendations:** Identify corrective and preventive actions

5. Report: Document findings and recommendations

6. Implement: Execute corrective actions

7. Follow-up: Verify effectiveness of actions

Root Cause Analysis Methods:

- 5 Whys Technique
- Fishbone (Ishikawa) Diagram
- Fault Tree Analysis

85.6 Health and Wellness Programs

85.6.1 Occupational Health Services

Health services support employee well-being:

Health Services Provided:

Service	Description	Frequency
Pre-Employment Medical	Health assessment before hiring	Once (pre-employment)
Periodic Medical Exams	Routine health check-ups	Annually
Hazard-Specific Monitoring	Health surveillance for exposed workers	Per hazard requirements
First Aid Services	Immediate medical response	As needed
Health Education	Wellness information and programs	Ongoing

85.6.2 Workplace Wellness Program

Wellness initiatives promote healthy lifestyles:

Wellness Program Components:

- Health screenings and assessments
- Fitness programs and facilities

- **Nutrition education**
- **Stress management resources**
- **Smoking cessation support**
- **Mental health awareness**
- **Work-life balance initiatives**

85.7 Safety Training

85.7.1 Safety Training Requirements

All employees receive appropriate safety training:

Training Topic	Audience	Frequency	Duration
General Safety Orientation	All new employees	Once	4 hours
Fire Safety and Evacuation	All employees	Annually	1 hour
First Aid/CPR	Designated responders	Every 2 years	8 hours
Hazard Communication	Employees handling chemicals	Annually	2 hours
PPE Use	Employees requiring PPE	Annually	1 hour
Ergonomics	Office workers	Annually	1 hour
Job-Specific Safety	Per job requirements	Annually	Varies

85.8 Safety Performance Measurement

85.8.1 Safety Key Performance Indicators

Metrics track safety performance:

KPI	Formula	Target
Total Recordable Incident Rate (TRIR)	$(\text{Recordable incidents} \times 200,000) / \text{Total hours worked}$	Zero

Lost Time Injury Rate (LTIR)	(Lost time injuries × 200,000) / Total hours worked	Zero
Near Miss Reporting Rate	Near misses reported per 100 employees per month	≥5
Safety Training Completion	% of required training completed on time	100%
Safety Inspection Completion	% of scheduled inspections completed	100%
Corrective Action Closure	% of actions closed by due date	≥95%

Policy 85.1: Stop Work Authority

Every employee has the authority and obligation to stop any work activity they believe is unsafe or could result in injury, illness, or property damage. Employees will not be disciplined or retaliated against for exercising stop-work authority in good faith. The concern will be investigated promptly, and work will not resume until the hazard is addressed.

Policy 85.2: Safety Violation Consequences

Violations of safety rules may result in disciplinary action ranging from verbal warning to termination, depending on severity and frequency. Serious violations that put lives at risk may result in immediate termination. All employees are expected to follow safety procedures without exception.

Policy 85.3: Injury Reporting

All work-related injuries, no matter how minor, must be reported to the supervisor and Safety Department within 24 hours. Failure to report an injury may result in disciplinary action and may affect workers' compensation benefits. Prompt reporting ensures proper treatment and investigation.

CHAPTER 86: COMPREHENSIVE DISCIPLINARY PROCEDURES FRAMEWORK

86.1 Disciplinary Philosophy

86.1.1 Purpose of Disciplinary Procedures

The disciplinary procedure is designed to maintain standards of conduct and performance, ensure fair and consistent treatment of employees, and provide a structured framework for addressing workplace issues. The organization's approach to discipline is corrective rather than punitive, focusing on helping employees understand expectations and improve behavior.

Disciplinary Objectives:

- Maintain a safe, respectful, and productive work environment
- Ensure compliance with organizational policies and procedures
- Address performance and conduct issues promptly and fairly
- Provide employees with opportunity to improve
- Document issues for legal protection
- Apply consistent standards across the organization

86.1.2 Principles of Discipline

All disciplinary actions are guided by core principles:

Principle	Description	Application
Fairness	Consistent treatment for similar issues	Same offense, same consequence regardless of person
Due Process	Employee has right to be heard	Investigation; opportunity to respond; appeal rights
Progressive Discipline	Escalating consequences for repeated issues	Verbal → Written → Suspension → Termination

Timeliness	Issues addressed promptly		Investigation within days; not weeks or months
Documentation	All actions recorded		Written records of all disciplinary actions
Proportionality	Consequence severity	matches	Minor issue = minor consequence
Confidentiality	Disciplinary matters kept private		Limited disclosure to need-to-know

86.2 Types of Misconduct

86.2.1 Misconduct Categories

Misconduct is categorized by severity:

Minor Misconduct:

- Occasional tardiness (without pattern)
- Minor dress code violations
- Failure to follow minor procedures
- Minor negligence in work performance
- Unauthorized use of company resources (minor)

Serious Misconduct:

- Repeated tardiness or absenteeism
- Insubordination or refusal to follow instructions
- Violation of safety rules
- Unauthorized disclosure of confidential information
- Conflict of interest
- Harassment or bullying
- Falsification of records
- Theft of minor value

Gross Misconduct (May Result in Immediate Termination):

- **Theft, fraud, or embezzlement**
- **Workplace violence or threats**
- **Sexual harassment**
- **Serious breach of safety rules endangering others**
- **Intoxication or drug use at work**
- **Willful destruction of company property**
- **Serious breach of confidentiality**
- **Discrimination**
- **Accepting bribes or kickbacks**

86.2.2 Performance Issues vs. Misconduct

Performance issues are addressed differently from misconduct:

Aspect	Performance Issue	Misconduct
Nature	Inability to meet job requirements	Violation of rules or standards
Approach	Coaching, training, PIP	Disciplinary action
Documentation	Performance records, PIP	Disciplinary records
Timeframe	Longer improvement period	Shorter correction period
Examples	Poor quality work; missed deadlines	Absence without leave; insubordination

86.3 Progressive Discipline Process

86.3.1 Progressive Discipline Steps

The standard progressive discipline process includes:

Step 1: Verbal Warning

- **Used for: First occurrence of minor misconduct**
- **Process: Manager discusses issue with employee; explains expectations**

- **Documentation:** Note in manager's file; may be noted in HR file
- **Duration:** Active for 6 months

Step 2: Written Warning

- **Used for:** Repeated minor misconduct; first occurrence of serious misconduct
- **Process:** Formal written document; meeting with employee; HR consultation
- **Documentation:** Written warning placed in employee file
- **Duration:** Active for 12 months

Step 3: Final Written Warning

- **Used for:** Continued misconduct after written warning; serious misconduct
- **Process:** Formal document stating termination will follow next incident
- **Documentation:** Placed in employee file; HR approval required
- **Duration:** Active for 12-18 months

Step 4: Suspension

- **Used for:** Serious misconduct pending investigation; cooling-off period
- **Process:** Employee suspended with or without pay; investigation conducted
- **Duration:** Typically 1-5 days; may be extended for investigation

Step 5: Termination

- **Used for:** Gross misconduct; failure to improve after final warning
- **Process:** Formal termination meeting; documentation; final settlement

86.3.2 Disciplinary Action Matrix

Guidance for appropriate disciplinary actions:

Offense	First Occurrence	Second Occurrence	Third Occurrence
Minor tardiness	Verbal warning	Written warning	Final written warning

Absenteeism (unauthorized)	Written warning	Final warning	written	Termination
Insubordination	Written warning	Final warning	written	Termination
Safety violation	Written warning	Final warning	written	Termination
Harassment	Written training warning +	Final warning	written	Termination
Theft	Termination	N/A		N/A
Violence/threats	Termination	N/A		N/A
Fraud	Termination	N/A		N/A

86.4 Disciplinary Investigation

86.4.1 Investigation Process

Before disciplinary action, a fair investigation is conducted:

Investigation Steps:

1. **Receive Report:** Document the allegation or observation
2. **Assess Seriousness:** Determine if immediate action needed (suspension)
3. **Gather Evidence:** Collect documents, photos, records
4. **Interview Witnesses:** Speak with those who observed the incident
5. **Interview Employee:** Give employee opportunity to respond
6. **Evaluate Evidence:** Assess credibility and determine facts
7. **Make Decision:** Determine if misconduct occurred and appropriate action
8. **Document:** Complete investigation report

86.4.2 Employee Rights During Investigation

Employees have specific rights during disciplinary investigations:

- **Right to be informed of the allegation**
- **Right to respond and present their side**
- **Right to have a colleague or union representative present (if requested)**
- **Right to confidentiality**
- **Right to appeal the decision**

86.5 Disciplinary Documentation

86.5.1 Written Warning Template

Written warnings must include specific elements:

Section	Content
Employee Information	Name, ID, department, position, date
Incident Description	Date, time, location, what occurred
Policy Violated	Specific policy or rule breached
Previous Warnings	History of similar issues (if any)
Employee Response	Employee's explanation or defense
Expected Behavior	Clear statement of required behavior
Consequences	What will happen if issue recurs
Improvement Plan	Specific steps employee must take
Support Offered	Training, coaching, or other support
Signatures	Manager, employee, HR representative

86.5.2 Record Retention

Disciplinary records are maintained as follows:

Record Type	Retention Period	Storage
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Verbal warning notes	2 years	Manager file
Written warnings	5 years after termination	HR file
Final warnings	5 years after termination	HR file
Termination records	10 years	HR file
Investigation reports	10 years	Secure storage

86.6 Termination for Misconduct

86.6.1 Termination Process

Termination for misconduct follows a structured process:

Termination Steps:

1. **Investigation:** Complete fair investigation
2. **HR Consultation:** Review with HR and Legal
3. **Approval:** Obtain required management approval
4. **Termination Meeting:** Conduct private meeting with employee
 - State reason for termination clearly
 - Reference specific policy violations
 - Explain effective date
 - Explain final pay and benefits
 - Collect company property
 - Provide termination letter
5. **Documentation:** Complete termination documentation
6. **Final Settlement:** Process final pay per legal requirements
7. **Exit Process:** Complete exit procedures

86.6.2 Termination Meeting Guidelines

Best practices for termination meetings:

- Conduct in private location

- **Have HR representative present**
- **Be direct and clear about the decision**
- **Stick to facts; avoid emotional discussions**
- **Be respectful and professional**
- **Explain practical next steps**
- **Allow employee to ask questions**
- **Escort employee from premises if necessary**

86.7 Appeal Process

86.7.1 Disciplinary Appeal Rights

Employees have the right to appeal disciplinary decisions:

Appeal Process:

- **Appeal must be submitted in writing within 5 working days of disciplinary action**
- **Must specify grounds for appeal (new evidence, procedural error, disproportionate penalty)**
- **HR Director reviews appeal**
- **Appeal meeting may be held**
- **Decision communicated in writing within 10 working days**
- **Decision is final**

Policy 86.1: Expiration of Disciplinary Actions

Verbal warnings expire after 6 months. Written warnings and final written warnings expire after 12 months (18 months for final warnings). Expired warnings are removed from active consideration but remain in the employee file. If an employee maintains clean record for the expiration period, the next incident is treated as a first occurrence.

Policy 86.2: Immediate Suspension

Employees may be suspended with pay pending investigation of serious allegations. Suspension is not disciplinary action and does not indicate guilt. Suspension is used when: presence at work could interfere with investigation; alleged conduct poses risk to others; or investigation requires time. Suspension period typically 1-5 days, extendable with HR Director approval.

Policy 86.3: Criminal Charges

If an employee is charged with a criminal offense, the organization may suspend the employee pending outcome of legal proceedings. If convicted of an offense related to work or affecting ability to perform duties, termination may result. The organization reserves the right to terminate for off-duty criminal conduct that affects reputation or business interests.

CHAPTER 87: TERMINATION AND END OF SERVICE FRAMEWORK

87.1 Termination Types and Legal Framework

87.1.1 Types of Employment Termination

Employment may end through various mechanisms under Egyptian Labor Law No. 14 of 2025:

Termination Type	Description	Legal Basis
Resignation	Employee voluntarily ends employment	Article 72
Termination by Employer (With Cause)	Employer ends employment for valid reasons	Article 69
Termination by Employer (Without Cause)	Employer ends employment without specific cause	Article 73
Mutual Agreement	Both parties agree to end employment	Article 76
End of Fixed-Term Contract	Contract expires without renewal	Article 104
Retirement	Employee reaches retirement age	Social Insurance Law
Death	Employee passes away	Article 79
Force Majeure	Unavoidable circumstances prevent continuation	Article 78

87.1.2 Notice Period Requirements

Egyptian Labor Law specifies minimum notice periods:

Tenure	Notice Period	Payment in Lieu
Less than 2 years	2 months	2 months' salary
2-5 years	2 months	2 months' salary
5-10 years	3 months	3 months' salary
More than 10 years	3 months	3 months' salary

Notice Period Rules:

- Notice must be in writing
- Employee may be required to work during notice period or receive payment in lieu
- During notice period, employee entitled to 1 day off per week to seek new employment
- Failure to give proper notice may result in liability for damages

87.2 Resignation

87.2.1 Resignation Process

Employees wishing to resign must follow established procedures:

Resignation Requirements:

- Written resignation letter required
- Must specify last working day
- Must provide required notice period
- Should include reason (optional)

Resignation Process:

1. Employee submits written resignation to manager
2. Manager acknowledges receipt within 2 working days
3. HR notified and exit process initiated

- 4. Knowledge transfer and handover planned**
- 5. Exit interview scheduled**
- 6. Company property collected**
- 7. Final settlement processed**

87.2.2 Notice Period Waiver

In certain circumstances, notice period may be waived:

Waiver Conditions:

- Mutual agreement between employee and employer**
- Employee has accrued sufficient leave to cover notice**
- Special circumstances (health, family emergency)**

87.3 Termination by Employer

87.3.1 Termination With Cause

Employer may terminate for valid reasons per Article 69:

Valid Reasons for Termination:

- Serious misconduct (gross misconduct)**
- Fraud or dishonesty**
- Repeated violations of work rules after warnings**
- Failure to perform duties after proper notification**
- Disclosure of trade secrets**
- Competing with employer**
- Intoxication at work**
- Absence without valid reason for more than 20 non-consecutive days or 10 consecutive days in one year**

Termination With Cause Process:

- 1. Conduct fair investigation**
- 2. Document evidence of misconduct or poor performance**

- 3. Provide employee opportunity to respond**
- 4. Issue written warning(s) where applicable**
- 5. Obtain HR and Legal approval**
- 6. Issue termination letter stating reason**
- 7. Process final settlement**

87.3.2 Termination Without Cause

Employer may terminate without cause with proper compensation:

Requirements:

- Written notice or payment in lieu**
- Payment of end of service benefits**
- No specific reason required**

Limitations:

- Cannot terminate for discriminatory reasons**
- Cannot terminate in retaliation for protected activity**
- Cannot terminate during maternity leave**
- Cannot terminate during military service**
- Cannot terminate during approved sick leave (with limits)**

87.4 End of Service Benefits

87.4.1 EOSB Calculation

End of Service Benefits are calculated per Labor Law Article 97:

For First 5 Years: $\text{EOSB} = (\text{Last Basic Salary} \times \text{Years of Service}) / 2$

For Additional Years: $\text{EOSB} = \text{Last Basic Salary} \times \text{Additional Years}$

Total EOSB = (First 5 Years Calculation) + (Additional Years Calculation)
Calculation Example:

Employee with 8 years of service, last basic salary EGP 10,000:

- **First 5 years:** $(10,000 \times 5) / 2 = \text{EGP } 25,000$
- **Additional 3 years:** $10,000 \times 3 = \text{EGP } 30,000$
- **Total EOSB:** EGP 55,000

87.4.2 EOSB Eligibility

Termination Type	EOSB Eligibility	Notes
Resignation (5+ years)	Eligible	Full EOSB
Resignation (2-5 years)	Eligible	50% of EOSB
Resignation (less than 2 years)	Not eligible	No EOSB
Termination without cause	Eligible	Full EOSB
Termination with cause	Not eligible	Forfeited due to misconduct
Mutual agreement	Negotiable	Per agreement terms
Death	Eligible	Paid to beneficiaries
Retirement	Eligible	Full EOSB

87.4.3 Other Final Payments

Final settlement includes additional entitlements:

Entitlement	Calculation
Unused Annual Leave	Days accrued $\times$ Daily salary
Prorata Bonus	Annual bonus $\times$ (Months worked / 12)
Prorata Allowances	Per policy
Overtime Due	Per timesheets
Salary in Lieu of Notice	If notice not worked

Repatriation (if applicable)

Ticket to home country

87.5 Exit Process

87.5.1 Exit Checklist

A comprehensive checklist ensures complete exit process:

Area	Action	Responsible
HR	Receive and process resignation/termination notice	HR
	Calculate final settlement	Payroll
	Conduct exit interview	HR
	Process EOSB and final pay	Payroll
	Update HR systems	HR
Manager	Plan knowledge transfer	Manager
	Complete performance evaluation (if applicable)	Manager
	Sign off on handover completion	Manager
IT	Disable system access	IT
	Retrieve IT equipment	IT
	Transfer data/files	IT
	Close email account	IT
Finance	Clear any advances/loans	Finance
	Process final expense claims	Finance
	Clear credit cards	Finance

Facilities	Collect access cards/keys	Facilities
	Collect uniforms/PPE	Facilities
	Clear personal belongings	Employee

87.5.2 Exit Interview

Exit interviews gather valuable feedback:

Exit Interview Topics:

- Reason for leaving
- Job satisfaction
- Relationship with manager
- Work environment
- Compensation and benefits
- Career development opportunities
- Suggestions for improvement
- Would they recommend organization as employer

87.5.3 Final Settlement Timeline

Activity	Timeline
Final timesheet submission	Last working day
Exit interview	Last week of employment
Company property return	Last working day
Final settlement calculation	Within 5 working days of last day
Final pay and EOSB payment	Within 15 days of last day (per Labor Law)
Experience certificate	Within 5 working days of request

87.6 Legal Compliance

87.6.1 Labor Law Compliance Checklist

Requirement	Compliance Action
Written notice or payment in lieu	Provide per tenure requirements
End of service benefits	Calculate and pay within 15 days
Experience certificate	Provide upon request
Return of documents	Return any employee documents held
No arbitrary dismissal	Ensure valid reason or proper compensation
Social insurance notification	Notify SI authority of termination

Policy 87.1: Final Pay Calculation

Final pay and end of service benefits will be calculated and paid within 15 days of the employee's last working day, as required by Egyptian Labor Law. Payment includes: EOSB, salary for days worked, payment in lieu of notice (if applicable), payment for accrued but unused annual leave, and any other entitlements per policy.

Policy 87.2: Termination Documentation

All terminations must be documented with: termination letter stating reason and effective date, calculation of final settlement, exit checklist completion, and exit interview notes (if conducted). Documentation is retained for 10 years per legal requirements.

Policy 87.3: Rehire Eligibility

Former employees may be rehired if they left in good standing. Employees terminated for gross misconduct are not eligible for rehire. Employees who resigned must have completed minimum 6 months before rehire (unless approved by HR Director). Rehired employees may have prior service recognized for benefits at HR Director discretion.

CHAPTER 88: HR FORMS AND TEMPLATES LIBRARY

88.1 Forms Management Overview

88.1.1 Purpose of HR Forms

Standardized forms ensure consistent documentation, compliance with legal requirements, and efficient HR processes. All HR forms are designed to capture necessary information while being user-friendly and compliant with Egyptian labor laws and data protection requirements.

88.1.2 Form Categories

Category	Forms Included
Recruitment Forms	Application forms, interview guides, offer letters
Onboarding Forms	Joining forms, contracts, benefit enrollments
Employee Data Forms	Personal information, change forms, emergency contacts
Leave Forms	Leave applications, return to work, medical certificates
Performance Forms	Appraisal forms, PIP templates, goal setting
Training Forms	Training requests, evaluations, certifications
Compensation Forms	Salary change forms, allowance requests
Disciplinary Forms	Warning templates, investigation reports
Exit Forms	Resignation letters, clearance forms, exit interviews
General Forms	Grievance forms, suggestion forms, certificates

88.2 Recruitment Forms

88.2.1 Job Requisition Form

Field	Description
Requisition Number	Auto-generated unique identifier
Department	Requesting department
Position Title	Job title
Grade Level	Job grade (E1-E5, M1-M5, P1-P5, S1-S5)
Reports To	Manager/supervisor position
Number of Positions	Quantity needed
Employment Type	Permanent/Contract/Part-time
Reason for Request	New position/Replacement/Expansion
Budget Approval	Budget code and approval
Required Qualifications	Education, experience, skills
Preferred Start Date	Target joining date
Requested By	Manager name and signature
Approved By	Department Head and HR signatures

88.2.2 Interview Evaluation Form

Section	Content
Candidate Information	Name, position applied, date, interviewer
Education	Rating (1-5) + Comments

Technical Skills	Rating (1-5) + Comments
Experience	Rating (1-5) + Comments
Communication Skills	Rating (1-5) + Comments
Problem Solving	Rating (1-5) + Comments
Cultural Fit	Rating (1-5) + Comments
Motivation	Rating (1-5) + Comments
Overall Rating	1-5 scale
Recommendation	Strong Hire/Hire/Consider/Reject
Interviewer Notes	Detailed observations
Interviewer Signature	Signature and date

88.2.3 Employment Offer Letter Template

EMPLOYMENT OFFER LETTER

Date: [Date]

To: [Candidate Name]

Address: [Candidate Address]

Dear [Candidate Name],

We are pleased to offer you the position of [Position Title] with the [Department] department at [Organization Name].

Position Details:

- **Position:** [Position Title]
- **Department:** [Department]
- **Grade:** [Grade Level]

- **Reporting To:** [Manager Name and Title]
- **Employment Type:** [Permanent/Contract/Part-time]
- **Start Date:** [Date]

Compensation:

- **Basic Salary:** EGP [Amount] per month
- **Housing Allowance:** EGP [Amount] per month
- **Transportation Allowance:** EGP [Amount] per month
- **Other Allowances:** [Details]
- **Total Monthly Package:** EGP [Amount]

Benefits:

- **Social Insurance:** As per Egyptian Law No. 148 of 2019
- **Health Insurance:** [Coverage details]
- **Annual Leave:** [Number] days per year
- **Other Benefits:** [Details]

Probation Period:

You will be subject to a probationary period of [3/6] months, during which either party may terminate the employment with [notice period] notice.

Acceptance:

Please confirm your acceptance of this offer by signing and returning a copy of this letter by [Date].

We look forward to welcoming you to our team.

Sincerely,

[Name]

[Title]

Acceptance:

I, [Candidate Name], accept the above offer of employment.

Signature: _____ **Date:** _____

88.3 Employee Data Forms

88.3.1 Employee Information Form

Section	Fields
Personal Information	Full Name (as per ID)
	Date of Birth
	Nationality
	National ID Number
	Passport Number (if applicable)
	Marital Status
Contact Information	Residential Address
	Mobile Number
	Email Address
	Emergency Contact (Name, Relationship, Phone)

Employment Information	Employee ID
	Position/Title
	Department
	Date of Joining
Education	Highest Qualification
	Institution
	Year Completed
Bank Information	Bank Name
	Account Number
	IBAN
Social Insurance	SI Number (if existing)
	Previous Employer (if applicable)

88.3.2 Employee Change Form

Field	Description
Employee Name	Employee full name
Employee ID	Employee identification number
Effective Date	When change takes effect
Type of Change	Address/Phone/Marital Status/Bank/Name/Emergency Contact
Previous Information	Current data on file
New Information	Updated information
Reason for Change	Brief explanation

Supporting Documents	List of attached documents
Employee Signature	Employee acknowledgment
HR Action	HR update confirmation

88.4 Leave Forms

88.4.1 Leave Application Form

Field	Description
Employee Name	Full name
Employee ID	Employee number
Department	Department name
Leave Type	Annual/Sick/Casual/Maternity/Emergency/Other
Start Date	First day of leave
End Date	Last day of leave
Number of Days	Total working days
Reason for Leave	Brief explanation
Contact During Leave	Phone/email
Handover To	Colleague covering duties
Leave Balance Before	Current balance
Leave Balance After	Balance after this leave
Employee Signature	Signature and date
Manager Approval	Signature and date
HR Approval	Signature and date

88.5 Performance Forms

88.5.1 Performance Appraisal Form

Section	Content
Employee Information	Name, ID, Position, Department, Manager, Review Period
Goal Achievement	List of goals with achievement ratings (1-5) and comments
Competency Assessment	Ratings for each core and job-specific competency
Overall Performance Rating	1-5 scale with justification
Strengths	Key strengths demonstrated
Development Areas	Areas for improvement
Development Plan	Specific development actions for next period
Career Aspirations	Employee's career goals
Employee Comments	Employee's self-assessment and feedback
Signatures	Employee, Manager, Department Head, HR

88.5.2 Performance Improvement Plan Template

Section	Content
Employee Information	Name, ID, Position, Department, Manager, PIP Start Date
Performance Gaps	Specific areas where performance is below standard
Expected Standards	Clear description of required performance
Improvement Goals	2-4 specific, measurable goals
Action Steps	Specific actions employee will take

Support Provided	Training, coaching, resources organization will provide
Timeline	Milestones and target dates
Check-in Schedule	Dates for progress review meetings
Success Criteria	Specific outcomes demonstrating improvement
Consequences	Clear statement of consequences if improvement not achieved
Signatures	Employee, Manager, HR Representative

88.6 Training Forms

88.6.1 Training Request Form

Field	Description
Employee Name	Requesting employee
Employee ID	Employee number
Department	Department
Training Title	Name of training program
Training Provider	Organization offering training
Training Dates	Start and end dates
Duration	Total hours/days
Location	Training venue (on-site/off-site)
Training Cost	Course fees, travel, accommodation
Business Justification	How training supports job/development
Employee Signature	Signature and date
Manager Approval	Signature and date

Training Department Approval

Signature and date

88.7 Disciplinary Forms

88.7.1 Written Warning Template

WRITTEN WARNING

Date: _____

Warning Number: _____

Employee Information:

Name: _____

Employee ID: _____

Department: _____

Position: _____

Incident Details:

Date of Incident: _____

Time: _____

Location: _____

Description of Incident: _____

Policy Violated:

Previous Warnings (if any):

Employee Response:

Expected Behavior:

Consequences of Further Violations:

Improvement Plan:

Signatures:

Employee: _____ **Date:** _____

(Signature acknowledges receipt, not necessarily agreement)

Manager: _____ **Date:** _____

HR Representative: _____ **Date:** _____

88.8 Exit Forms

88.8.1 Resignation Letter Template

RESIGNATION LETTER

Date: _____

To: _____

[Manager Name]

[Title]

From: _____

[Employee Name]

[Employee ID]

[Department]

Dear [Manager Name],

Please accept this letter as formal notification of my resignation from my position as [Position Title] with [Organization Name], effective [Last Working Date].

Per my employment contract and company policy, I am providing [Notice Period] notice.

[Optional: Brief statement of reason for leaving]

I am committed to ensuring a smooth transition and will complete all pending work and assist with the handover of my responsibilities.

I would like to thank you and the organization for the opportunities and support during my tenure.

Sincerely,

Signature

Date

88.8.2 Exit Clearance Form

Department	Item to Clear	Cleared By	Date	Signature
Employee's Department	Work handover completed			
	Files/documents returned			
	Project status documented			
IT Department	IT equipment returned			
	System access disabled			
	Email account closed			
Finance	Advances cleared			
	Expenses settled			
	Credit card returned			
Facilities	Access card returned			
	Keys returned			
	Locker cleared			
HR Department	Exit interview completed			

88.9 General Forms

88.9.1 Grievance Form

Field	Description
Employee Name	Grievant name
Employee ID	Employee number
Department	Department
Date Submitted	Submission date
Grievance Category	Type of issue
Statement of Grievance	Detailed description
Date(s) of Incident	When issue occurred
Witnesses	Names of witnesses
Evidence Attached	List of supporting documents
Resolution Sought	Desired outcome
Previous Attempts	Prior efforts to resolve
Employee Signature	Signature and date

88.9.2 Employee Suggestion Form

Field	Description
Employee Name	Optional (anonymous allowed)
Department	Department
Date	Submission date
Suggestion Category	Safety/Process/Service/Cost/Other

Current Situation	Description of current state
Proposed Improvement	Suggested change
Expected Benefits	Anticipated outcomes
Implementation Ideas	How it could be implemented

88.9.3 Salary Certificate Template

TO WHOM IT MAY CONCERN

SALARY CERTIFICATE

This is to certify that [Employee Name] holder of National ID Number [ID Number] has been employed with [Organization Name] since [Date of Joining].

Current employment details:

- **Position:** [Position Title]
- **Department:** [Department]
- **Monthly Basic Salary:** EGP [Amount]
- **Monthly Allowances:** EGP [Amount]
- **Total Monthly Salary:** EGP [Amount]

This certificate is issued upon employee's request for [purpose].

Date: _____

Authorized Signatory

Company Stamp

Policy 88.1: Form Version Control

All HR forms are version-controlled. Each form includes a version number and effective date. Obsolete forms are removed from circulation. Employees and managers must use current versions of forms. Current forms are available on the HR portal.

Policy 88.2: Form Submission

Forms should be submitted through designated channels: HR portal (preferred), email, or in person. Forms requiring signatures must have original signatures; electronic signatures are accepted for forms submitted through the HR portal. Incomplete forms will be returned for completion.

Policy 88.3: Form Retention

Completed forms are retained per legal requirements and organizational policy. Personnel-related forms are retained for 10 years after employment ends. Payroll-related forms are retained for 10 years. Training records are retained for duration of employment plus 5 years.

CHAPTER 89: HR CHATBOT INTEGRATION GUIDE

89.1 Chatbot Overview

89.1.1 Purpose of the HR Chatbot

The HR Chatbot is an AI-powered virtual assistant integrated into the ERP system to provide employees and managers with instant access to HR information, policy guidance, and transactional support. The chatbot serves as the first point of contact for HR-related queries, reducing response time and improving employee experience.

Chatbot Capabilities:

- Answer policy and procedure questions
- Provide information on benefits and entitlements
- Guide employees through HR processes
- Assist with form completion
- Route complex queries to HR team
- Provide 24/7 availability
- Support multiple languages (Arabic and English)

89.1.2 Chatbot Scope

The chatbot is designed to handle a wide range of HR topics:

Category	Example Queries
Leave Management	"How many leave days do I have?" "How do I apply for leave?" "What is the sick leave policy?"
Compensation	"When is payday?" "What allowances am I entitled to?" "How is overtime calculated?"

Benefits	"What health insurance coverage do I have?" "How do I add a dependent?" "What is the provident fund?"
Policies	"What is the dress code?" "What are working hours?" "What is the remote work policy?"
Performance	"When is the performance review?" "How are ratings determined?" "What is the PIP process?"
Career Development	"What training is available?" "How do I request training?" "What are the promotion criteria?"
Employee Relations	"How do I file a grievance?" "What is the disciplinary process?" "Who can I talk to about a problem?"
Onboarding	"What documents do I need to submit?" "When will I get my ID card?" "Who is my buddy?"
Exit Process	"What is the notice period?" "How is EOSB calculated?" "What is the exit process?"

89.2 Chatbot Knowledge Base

89.2.1 Knowledge Base Structure

The chatbot's knowledge is organized to mirror this HR Policy Manual:

Knowledge Base Organization:

- **Level 1 - Categories:** Major HR domains (Leave, Compensation, Benefits, etc.)
- **Level 2 - Topics:** Specific subjects within each category
- **Level 3 - Questions:** Individual query patterns and responses
- **Level 4 - Variations:** Different ways users may ask the same question

89.2.2 Response Types

The chatbot provides different types of responses based on query complexity:

Response Type	Description	Example
---------------	-------------	---------

Direct Answer	Simple, factual response	"Annual leave entitlement is 21 days per year."
Guided Response	Step-by-step guidance	"To apply for leave: 1) Log into HR portal..."
Policy Summary	Condensed information	policy "The remote work policy allows..."
Calculator Response	Interactive calculation	"Enter your basic salary to calculate EOSB..."
Form/Link	Direct to resource	"Click here to download the leave form..."
Escalation	Route to human agent	"This requires HR assistance. Connecting you..."

89.2.3 Sample Chatbot Responses

Leave Query Response:

User: "How many leave days do I have left?"

Chatbot: "I can help you check your leave balance. Please log into the HR portal and navigate to 'My Leave' to see your current balance. Your annual leave entitlement is 21 days per year. As of today, you have [X] days remaining. Would you like me to help you apply for leave?"

EOSB Query Response:

User: "How is end of service benefit calculated?"

Chatbot: "End of Service Benefits (EOSB) are calculated as follows:

For the first 5 years: $(\text{Last Basic Salary} \times \text{Years}) \div 2$

For additional years: $\text{Last Basic Salary} \times \text{Years}$

Example: If your last basic salary is EGP 10,000 and you worked for 8 years:

- First 5 years: $(10,000 \times 5) \div 2 = \text{EGP } 25,000$

- Next 3 years: $10,000 \times 3 = \text{EGP } 30,000$

- Total EOSB: EGP 55,000

Would you like me to calculate your estimated EOSB? Please provide your basic salary and years of service."

Policy Query Response:

User: "What is the notice period for resignation?"

Chatbot: "According to Egyptian Labor Law and company policy, the notice period depends on your tenure:

- Less than 2 years: 2 months**
- 2-5 years: 2 months**
- 5-10 years: 3 months**
- More than 10 years: 3 months**

Notice must be provided in writing. During the notice period, you are entitled to one day off per week to seek new employment. Would you like information about the resignation process?"

89.3 Chatbot Conversation Flows

89.3.1 Common Conversation Patterns

Leave Application Flow:

- 1. User: "I want to apply for leave"**
- 2. Chatbot: "I can help you with that. What type of leave would you like to apply for? (Annual/Sick/Emergency/Other)"**
- 3. User: "Annual leave"**
- 4. Chatbot: "Great. What dates would you like to take leave? (Please provide start and end dates)"**
- 5. User: "March 15-20"**
- 6. Chatbot: "That's 5 working days. You currently have 12 days of annual leave available. Would you like me to guide you through the application process?"**
- 7. User: "Yes"**
- 8. Chatbot: "Please follow these steps: 1) Log into HR portal... [continues with process]"**

Grievance Filing Flow:

1. User: "I want to file a complaint"
2. Chatbot: "I'm sorry to hear you're experiencing an issue. I can help guide you through the grievance process. Is this related to: a) Your manager, b) A colleague, c) Working conditions, d) Policy application, or e) Other?"
3. User: "Working conditions"
4. Chatbot: "Thank you. Have you tried to resolve this informally with your manager?"
5. User: "Yes, but no resolution"
6. Chatbot: "I understand. You have the right to file a formal grievance. Here's what you need to do: [explains process]. Would you like me to provide the grievance form?"

89.3.2 Fallback Responses

When the chatbot cannot understand or answer a query:

Fallback Response Examples:

- "I'm sorry, I didn't understand that. Could you rephrase your question?"
- "I don't have information on that topic. Would you like me to connect you with an HR representative?"
- "That's a complex question that requires HR assistance. Let me connect you..."
- "I can help with HR-related questions. For IT support, please contact the IT helpdesk at [number]."

89.4 Chatbot Integration with ERP

89.4.1 System Integration Points

The chatbot integrates with multiple ERP modules:

ERP Module	Integration Purpose	Data Accessed
HR Master Data	Employee information	Name, department, tenure, grade
Payroll	Compensation queries	Salary, allowances, deductions

Leave Management	Leave balance and requests	Leave balance, history, approvals
Attendance	Attendance queries	Attendance records, overtime
Performance	Performance queries	Ratings, goals, review dates
Training	Training queries	Training history, enrollments
Document Management	Form downloads	Forms, policies, certificates

89.4.2 Authentication and Security

Chatbot access is secured through:

- **User Authentication:** Employees log in with ERP credentials
- **Role-Based Access:** Responses tailored to user's role and permissions
- **Data Privacy:** Personal information only shown to authorized users
- **Session Timeout:** Automatic logout after period of inactivity
- **Audit Logging:** All conversations logged for compliance

89.5 Chatbot Administration

89.5.1 Knowledge Base Maintenance

The chatbot knowledge base requires ongoing maintenance:

Activity	Frequency	Responsible
Policy updates	As policies change	HR Policy Team
New query patterns	Monthly review	Chatbot Admin
Response accuracy review	Monthly	HR Business Partners
Training on new topics	As needed	Chatbot Admin
Performance analytics review	Weekly	Chatbot Admin

89.5.2 Chatbot Performance Metrics

Metric	Target	Measurement
Response Accuracy	≥90%	% of correct answers
User Satisfaction	≥4.0/5.0	Post-chat rating
Resolution Rate	≥80%	Queries resolved without escalation
Response Time	≤3 seconds	Average time to first response
Escalation Rate	≤20%	% queries escalated to HR
Daily Active Users	Growth target	Unique users per day

89.6 User Guide for Employees

89.6.1 How to Access the Chatbot

Employees can access the HR Chatbot through:

- ERP system homepage (chat icon)
- HR Portal (dedicated chat page)
- Mobile app (if enabled)
- Intranet (embedded widget)

89.6.2 Tips for Effective Use

- Be specific in your questions
- Use keywords related to your query
- If the chatbot doesn't understand, try rephrasing
- For complex issues, ask to be connected to HR
- Use the feedback option to help improve the chatbot

89.6.3 What the Chatbot Can and Cannot Do

Can Do	Cannot Do
Answer policy questions	Make exceptions to policies
Provide process guidance	Approve requests
Calculate entitlements	Change personal data
Direct to forms and resources	Handle sensitive complaints
Check leave balances	Discuss other employees' information
Route to HR when needed	Provide legal advice

Policy 89.1: Chatbot Usage

The HR Chatbot is provided to assist employees with HR-related queries. Users must not attempt to manipulate, test, or misuse the chatbot. Conversations may be logged for quality and training purposes. The chatbot provides general guidance and does not replace official policy documents. For complex or sensitive matters, employees should contact HR directly.

Policy 89.2: Chatbot Limitations

The chatbot is an AI-powered assistant and may not always provide perfect answers. Users should verify critical information with HR. The chatbot cannot process transactions, approve requests, or access information beyond the user's authorized permissions. Decisions requiring human judgment will always be escalated to HR staff.

CHAPTER 90: HR CASE STUDIES AND EXAMPLES

90.1 Purpose of Case Studies

90.1.1 Learning Through Examples

This chapter provides practical case studies and examples to illustrate the application of HR policies in real-world scenarios. These cases are designed to help managers, HR professionals, and employees understand how policies are implemented and how complex situations are resolved.

Case Study Categories:

- Recruitment and Selection
- Performance Management
- Disciplinary Actions
- Leave and Attendance
- Compensation and Benefits
- Employee Relations
- Termination and End of Service

90.2 Recruitment Case Studies

90.2.1 Case Study 1: Internal Promotion vs. External Hire

Scenario:

The Marketing Manager position is vacant. Two candidates are being considered:

- **Candidate A (Internal):** Senior Marketing Specialist, 5 years with company, knows the business well, strong performer, limited management experience
- **Candidate B (External):** Marketing Manager from competitor, 8 years experience, MBA, strong track record, higher salary expectations

Analysis:

Factor	Candidate A	Candidate B
Knowledge of Company	Excellent	Needs development
Management Experience	Limited	Strong
Cost	Lower (internal promotion)	Higher (market rate)
Time to Productivity	Shorter	Longer
Employee Morale Impact	Positive (promotion)	Neutral
Risk	Higher (unproven as manager)	Lower (proven track record)

Decision: Select Candidate A with structured development plan including management training and mentoring.

Rationale: Internal promotion supports retention and morale. Candidate A's business knowledge is valuable. Risk mitigated through development support. Cost savings can fund training.

90.2.2 Case Study 2: Handling a Counter-Offer

Scenario:

A top-performing Software Engineer resigns, having received an offer from a competitor with 30% higher salary. The employee is critical to an ongoing project.

Options Considered:

1. Match the offer: Counter with equal salary
2. Partial match: Offer 15% increase + retention bonus
3. Accept resignation: Let employee leave with proper handover
4. Negotiate non-salary factors: Offer promotion, project leadership, flexible work

Decision: Option 4 - Negotiate non-salary factors plus modest increase.

Approach:

- Conduct stay interview to understand motivations

- Offer Senior Engineer title and technical lead role on strategic project
- Offer 15% salary increase (within grade range)
- Offer 2 days/week remote work
- Commit to professional development budget

Outcome: Employee stays, project succeeds, becomes team lead within 18 months.

90.3 Performance Management Case Studies

90.3.1 Case Study 3: Addressing Declining Performance

Scenario:

A previously high-performing Sales Executive's performance has declined over 6 months. Quarterly targets missed, customer complaints increased, attitude has become negative.

Investigation Findings:

- Personal issues (family health problem)
- Feeling overwhelmed with new product line
- Conflict with new team member

Action Plan:

1. **Support:** Refer to Employee Assistance Program for personal support
2. **Training:** Provide intensive training on new product line
3. **Mediation:** Facilitate discussion with team member
4. **Performance Plan:** Set achievable 30-60-90 day targets
5. **Regular Check-ins:** Weekly one-on-ones for support

Outcome: Performance improved over 3 months. Employee grateful for support. Back to high performer status within 6 months.

90.3.2 Case Study 4: Performance Rating Dispute

Scenario:

An employee disputes their "Meets Expectations" (3) rating, believing they deserve "Exceeds Expectations" (4). Employee submits formal appeal.

Appeal Review Process:

1. Review employee's self-assessment and justification
2. Review manager's documentation and rationale
3. Compare employee's achievements against goals
4. Compare rating to similar roles in department
5. Interview both employee and manager

Findings:

- Employee achieved all goals but did not exceed any
- No evidence of exceptional contribution beyond role
- Rating consistent with department distribution
- Manager provided regular feedback throughout year

Decision: Rating upheld. Explanation provided to employee with specific guidance on what would be needed for "Exceeds" rating next year.

90.4 Disciplinary Case Studies

90.4.1 Case Study 5: Repeated Tardiness

Scenario:

An employee has been late 8 times in 3 months, ranging from 15 minutes to 1 hour. Previous verbal warning given 2 months ago. No improvement.

Timeline:

Date	Incident	Action Taken
Month 1	3 instances of lateness	Verbal warning
Month 2	2 instances of lateness	Reminder of policy
Month 3	3 instances of lateness	Written warning issued

Investigation:

- **Employee cites transportation issues**
- **No medical or family emergency justification**
- **Other employees in same area arrive on time**
- **Flexible start time not available for this role**

Action: Written warning issued with clear statement that next occurrence will result in final warning.

Documentation: Written warning includes: incident dates, policy violated, previous warning reference, employee response, expected behavior, consequences.

90.4.2 Case Study 6: Misconduct Investigation

Scenario:

Anonymous report alleges that a supervisor is verbally abusive to team members, using insulting language and threatening termination.

Investigation Process:

- 1. Initial Assessment: Allegation is serious; requires immediate investigation**
- 2. Witness Interviews: Interview all 6 team members individually**
 - **4 confirm witnessing inappropriate behavior**
 - **2 report being direct targets**
 - **1 denies witnessing (may be fearful)**
- 3. Subject Interview: Supervisor denies allegations, claims high standards being misinterpreted**
- 4. Document Review: Check for previous complaints (none found)**
- 5. Pattern Analysis: High turnover in this team (40% in 12 months)**

Findings:

- **Evidence supports allegations of inappropriate behavior**
- **Behavior constitutes bullying, not management style**
- **Impact on team morale and retention significant**

Action:

- **Written warning issued**

- **Mandatory management and communication training required**
- **6-month probationary period with monthly check-ins**
- **Any recurrence will result in termination**

90.5 Leave Case Studies

90.5.1 Case Study 7: Extended Sick Leave

Scenario:

An employee has been on sick leave for 4 months due to serious illness. Medical reports indicate need for additional 2 months recovery.

Leave Entitlements Used:

- **Sick leave with full pay: 1 month (exhausted)**
- **Sick leave with partial pay: 2 months (exhausted)**
- **Current status: Unpaid leave**

Considerations:

- **Employee has 8 years of service**
- **Strong performance history**
- **Position cannot remain vacant indefinitely**
- **Medical prognosis is positive for full recovery**

Decision:

- 1. Grant additional 2 months unpaid leave**
- 2. Hire temporary replacement**
- 3. Commit to reinstating employee upon recovery**
- 4. Keep employee informed and maintain contact**
- 5. Explore disability insurance options**

Outcome: Employee returned after 6 months total, successfully reintegrated.

90.5.2 Case Study 8: Emergency Leave Request

Scenario:

Employee requests 2 weeks emergency leave to travel abroad due to family emergency (parent serious illness). Has only 3 days annual leave remaining.

Options:

- **Approve unpaid leave**
- **Approve leave with advance from next year's entitlement**
- **Approve special emergency leave (policy allows 5 days)**
- **Combination of above**

Decision: Combination approach

- **3 days - remaining annual leave**
- **5 days - emergency leave per policy**
- **2 days - unpaid leave**
- **Remaining days - advance from next year (employee agrees)**

Documentation: Medical certificate obtained, leave form completed with all types specified.

90.6 Compensation Case Studies

90.6.1 Case Study 9: Salary Compression Issue

Scenario:

Market analysis reveals new hires in IT department are being paid at 95% of grade midpoint, while long-tenure employees are at 85%. Experienced employees discovering pay disparity.

Data Analysis:

Employee	Tenure	Compa-Ratio	Performance
A (Senior)	8 years	85%	Meets Expectations
B (Senior)	7 years	87%	Exceeds Expectations
C (New Hire)	1 year	95%	Meets Expectations

D (New Hire)	6 months	93%	Meets Expectations
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Solution:

- 1. Conduct market analysis for all IT positions**
- 2. Adjust salary structure if market has moved**
- 3. Implement equity adjustments for compressed employees:**
 - **Employee A: 8% increase to 93% compa-ratio**
 - **Employee B: 10% increase to 97% compa-ratio**
- 4. Review starting salary guidelines**
- 5. Implement compa-ratio monitoring**

90.6.2 Case Study 10: Overtime Dispute**Scenario:**

An employee claims 30 hours overtime for the month. Timesheet shows 20 hours approved by manager. Employee disputes, claiming additional hours worked but not recorded.

Investigation:

- **Review access logs: Employee was in office during claimed hours**
- **Review email timestamps: Activity during claimed hours**
- **Manager states employee was working on urgent project**
- **No prior approval obtained for additional hours**

Policy Check:

- **Policy requires prior approval for overtime**
- **Policy allows manager to approve retroactively in exceptional circumstances**
- **Maximum overtime: 12 hours per week**

Decision:

- **Approve 25 hours (evidence supports work performed)**
- **Deny 5 hours (exceeds weekly maximum)**
- **Counsel employee and manager on approval process**

- Document as exception, not precedent

90.7 Employee Relations Case Studies

90.7.1 Case Study 11: Conflict Between Colleagues

Scenario:

Two team members in constant conflict, affecting team morale and productivity. Both complain about each other to manager.

Issues Identified:

- Disagreement over work approach and quality standards
- Personal dislike affecting professional interaction
- Team members taking sides
- Work not being completed due to refusal to collaborate

Intervention:

1. Individual Meetings: Meet with each employee separately to understand perspective
2. Mediation: Facilitated joint meeting with HR
 - Establish ground rules
 - Each party explains their perspective
 - Identify common goals
 - Agree on professional behavior standards
3. Action Plan:
 - Clear role definition to minimize overlap
 - Regular check-ins with manager
 - Professional communication agreement
 - Escalation process if issues recur

Follow-up: Monthly check-ins for 3 months. Situation improved.

90.7.2 Case Study 12: Grievance Investigation

Scenario:

Employee files formal grievance alleging promotion was unfairly awarded to less qualified colleague.

Grievance Details:

- **Grievant: 5 years in current role, strong performance ratings**
- **Promoted employee: 3 years in role, good performance ratings**
- **Both applied for promotion to Team Lead**

Investigation:

- 1. Review promotion process documentation**
- 2. Review selection criteria and weighting**
- 3. Compare qualifications of both candidates**
- 4. Interview selection committee members**
- 5. Review interview notes and scores**

Findings:

- **Process was followed correctly**
- **Selection criteria clearly defined in advance**
- **Promoted employee scored higher on leadership competencies**
- **Grievant scored higher on technical skills**
- **Role required more leadership than technical expertise**
- **No evidence of bias or discrimination**

Decision: Grievance not upheld. Explanation provided with specific feedback on development areas for future opportunities.

90.8 Termination Case Studies

90.8.1 Case Study 13: Termination for Poor Performance

Scenario:

Employee on Performance Improvement Plan for 90 days shows no improvement. Targets not met despite support and coaching.

PIP History:

- **Goals:** Improve quality score to 90%, meet all deadlines, reduce errors by 50%
- **Support:** Weekly coaching, additional training, process documentation
- **Results:** Quality score 75%, missed 4 deadlines, errors reduced only 20%

Termination Process:

1. HR and Legal review of documentation
2. Final meeting with employee
 - Review PIP results
 - Explain decision
 - Discuss final settlement
 - Collect company property
3. Provide termination letter and experience certificate
4. Process final payment within 15 days

Outcome: Termination completed without legal challenge. Proper documentation protected organization.

90.8.2 Case Study 14: Redundancy Process

Scenario:

Department restructuring requires elimination of 5 positions from 20-person team.

Selection Process:

1. Objective Criteria Established:
 - Performance ratings (last 2 years)
 - Skills and qualifications
 - Adaptability to new roles
 - Length of service
2. Scoring: Each employee scored against criteria by panel
3. Selection: Lowest scoring 5 selected for redundancy
4. Consultation: Individual meetings with affected employees
5. Alternatives Explored:
 - Voluntary redundancy (2 accepted)

- **Transfer to other departments (1 accepted)**
- **3 remaining selected for compulsory redundancy**

Package Provided:

- **Legal EOSB entitlement**
- **Additional 2 months' salary (ex-gratia)**
- **3 months' notice or payment in lieu**
- **Outplacement support**
- **Reference letters**

Outcome: Process completed fairly, no legal challenges, remaining team morale maintained.

90.9 Key Lessons from Case Studies

90.9.1 Best Practices Demonstrated

Area	Key Lesson
Documentation	Always document decisions, conversations, and rationale
Consistency	Apply policies consistently across similar situations
Fair Process	Follow established procedures, give employees opportunity to respond
Communication	Keep employees informed throughout processes
Flexibility	Consider individual circumstances within policy framework
Prevention	Address issues early before they escalate
Support	Provide resources and support for improvement
Review	Regularly review policies and practices for improvement

Policy 90.1: Case Study Usage

Case studies in this chapter are for illustrative and training purposes. They represent composite scenarios and do not reflect actual employees or events. When handling real situations, always consult current policies, seek HR guidance, and consider the specific circumstances of each case.